



SUPREME COURT REPORTS

The Official Law Report
Fortnightly

2026 | Volume 3 | Part 2

Citation Style: [[Year..](#)] [Volume.No..](#) S.C.R. [Page.no..](#)

Digitally Published by
Supreme Court of India



SUPREME COURT REPORTS

The Official Law Report
Fortnightly

2026 | Volume 3 | Part 2

Digitally Published by
Supreme Court of India

Editorial Board

Hon'ble Mr. Justice Surya Kant

Chief Justice of India

Patron-in-Chief

Hon'ble Mr. Justice Dipankar Datta

Judge, Supreme Court of India

Patron

Hon'ble Mr. Justice K. Vinod Chandran

Judge, Supreme Court of India

Patron

Hon'ble Mr. Justice Joymalya Bagchi

Judge, Supreme Court of India

Patron

Mr. Bharat Parashar

Secretary General

Ms. Gracy L. Bawitlung

Registrar (J), Editorial

Mr. Bibhuti Bhushan Bose

Additional Registrar (Editorial) & Editor-in-Chief

© 2026 Supreme Court of India. All Rights Reserved.

Digitally Published by
Supreme Court of India

Tilak Marg, New Delhi-110001

E-mail: editorial@sci.nic.in

Web.: scr.sci.gov.in/, www.sci.gov.in/

Contents

1.	Registrar Cane Cooperative Societies & Ors. v. Gurdeep Singh Narval (Dead) Through Lrs. & Ors.	301
2.	Pooranmal v. The State of Rajasthan & Anr.	314
3.	Abhishek Sharma v. The State of Jammu and Kashmir & Ors. . .	335
4.	Manohar Lal v. Commissioner of Police & Ors.	358
5.	Rachana Gangu & Anr. v. Union of India & Ors.	393
6.	Central Bureau of Investigation v. Baljeet Singh	415
7.	M. Thanigivelu and Ors. v. Tamil Nadu Electricity Board and Ors.	432
8.	The State of Madhya Pradesh & Ors. v. Rajkumar Yadav	448
9.	Anurag Krishna Sinha v. State of Bihar & Anr.	465
10.	Pannalal Bhansali v. Bharti Telecom Limited & Ors.	493
11.	Municipal Corporation of Greater Mumbai v. M/s R.V. Anderson Associates Limited.	525
12.	Sanjay Kumar Sharma v. State of Bihar & Ors.	556
13.	Subramani v. State of Karnataka	576
14.	Mohammad Kaleem v. State of Uttar Pradesh & Ors.	586

**Registrar Cane Cooperative Societies & Ors.
v.
Gurdeep Singh Narval (Dead) Through Lrs. & Ors.**

(Civil Appeal No. 8743 of 2013)

10 March 2026

[Pamidighantam Sri Narasimha and Alok Aradhe,* JJ.]

Issue for Consideration

Whether Sugarcane Growers Cooperative Societies, Bajpur and Gadarpur, situated in Udham Singh Nagar, District of Uttarakhand could be treated as Multi-State Cooperative Societies by operation of s.103 of Multi-State Cooperative Societies Act, 2002, despite their prior reorganisation and confinement of their area of operations to a single State, under the statutory framework governing State reorganisation.

Headnotes[†]

Uttar Pradesh Reorganisation Act, 2000 – ss.87, 93 – Multi-State Cooperative Societies Act, 2002 – s.103 – Sugarcane Growers Cooperative Societies, Bajpur and Gadarpur, situated in Udham Singh Nagar, District of Uttarakhand, if could be treated as Multi-State Cooperative Societies by operation of s.103 of 2002 Act, despite their prior reorganisation and confinement of their area of operations to a single State, under the statutory framework governing State reorganization:

Held: Sugarcane Growers Cooperative Societies, Bajpur and Gadarpur are not Multi-State Cooperative Societies under the 2002 Act – Residence of the members or the geographical spread of activity cannot substitute the statutory requirement that principal objects must themselves be Multi States in character – In the instant appeals on careful scrutiny of bye-laws, it is evident that the object of the society are confined to safeguarding and promoting the interests of local canegrowers and their objects do not evince any intention to serve the members across the State boundaries – In view of the statutory scheme and chronology of events, decisions taken to reorganize the societies on bifurcation of erstwhile State of Uttar Pradesh are valid in view of ss.87 and

* Author

Supreme Court Reports

93 of Reorganisation Act – s.103 of 2002 Act neither operates automatically nor could it retrospectively invalidate the completed actions undertaken under the Reorganisation Act – Provisions contained in two statutes must be, if possible, interpreted in a harmonious manner to give full effect to both the statutes – The overriding effect of Reorganisation Act and effect of s.103 of the 2002 Act necessitates a harmonious construction by which operation of legal fiction has to be restricted, in cases where action for reorganisation of the Societies has already been taken and in respect of the Society whose objects and area of operation are confined to a single State – A deeming provision u/s.103 of 2002 Act cannot unsettle such completed action for reorganisation, by virtue of ss.87 and 93 of the Reorganisation Act – In the absence of multiple State objects in the bye-laws of the Societies, the same cannot be treated as Multi-State Cooperative Societies, as statutory pre-conditions for invoking s.103 of 2002 Act are absent – Judgment dtd.14.03.2007 passed by the High Court is quashed and set aside while the judgment dtd.05.09.2006 passed in C.A. No.8746 of 2013 by High Court is upheld – Authorities under the State Cooperative law shall take steps to conduct the elections of the Societies expeditiously – U.P. Cooperative Societies Act, 1965 – Interpretation of Statutes. [Paras 23, 24, 26]

Multi-State Cooperative Societies Act, 2002 – s.103 – Deeming fiction under – Legal fiction is confined to the purpose for which it is created and cannot be extended beyond its legitimate field:

Held: s.103 of 2002 Act introduces a deeming fiction, whereby certain societies affected by reorganisation may be treated as Multi-State Cooperative Societies – A legal fiction must be strictly confined to the purpose for which it is created and cannot be extended beyond its legitimate field – Legal fictions are crafted tools, precise in purpose and limited in reach – The deeming fiction created u/s.103 of the 2002 Act cannot, in any case be construed in isolation so as to override the express statutory scheme contained in Reorganisation Act, which is an enactment governing all legal, administrative and institutional consequences arising from bifurcation of erstwhile State of Uttar Pradesh – The Reorganisation Act has also a *non-obstante* clause *i.e.*, s.93 – The deeming fiction which though provides for a contingency on bifurcation of State, embodied in s.103 of 2002 Act, did not apply in view of decision

**Registrar Cane Cooperative Societies & Ors. v.
Gurdeep Singh Narval (Dead) Through Lrs. & Ors.**

taken for reconstitution of the societies under the Reorganisation Act – Uttar Pradesh Reorganisation Act, 2000 – s.93. [Para 22]

Multi-State Cooperative Societies Act, 2002 – s.103 – Uttar Pradesh Reorganisation Act, 2000 – ss.87, 93 – Interplay between the Acts – Doctrine of Legislative Continuity – Constitution (Ninety-Seventh Amendment) Act, 2011 – Amendment Act No.11 of 2023. [Paras 13-21]

Case Law Cited

State of Uttar Pradesh through Principal Secretary and Others v. Milkiyat Singh and Others, **2025 SCC OnLine SC 2802 – relied on.**

In re: Interplay between Arbitration Agreements under Arbitration and Conciliation Act, 1996 and Stamp Act, 1899 **[2023] 15 SCR 1081 : (2024) 6 SCC 1 – referred to.**

Naresh Shankar Srivastava v. State of Uttar Pradesh & Ors. **[2009] 7 SCR 1188 : (2009) 16 SCC 157 – held not applicable.**

List of Acts

Multi-State Cooperative Societies Act, 2002; Uttar Pradesh Reorganisation Act, 2000; Constitution (Ninety-Seventh Amendment) Act, 2011; Amendment Act No.11 of 2023; U.P. Cooperative Societies Act, 1965; Constitution of India.

List of Keywords

Section 103 of Uttar Pradesh Reorganisation Act, 2000; Section 93, Uttar Pradesh Reorganisation Act, 2000; Section 87, Uttar Pradesh Reorganisation Act, 2000; Bifurcation of the erstwhile State of Uttar Pradesh; Multi-State Cooperative Societies; Sugarcane Growers Cooperative Societies, Bajpur and Gadarpur, Udham Singh Nagar, District of Uttarakhand; State reorganisation; Confinement of area of operations of Multi-State Cooperative Societies to a single State; Doctrine of legislative continuity; Absence of multiple State objects in the bye-laws of the Societies; Residence of members or the geographical spread of activity; Principal objects must be Multi States in character; Registrar, Cane Cooperative Societies; Co-operative societies; Reorganisation of States; Bifurcation of the State; New State of Uttaranchal (now Uttarakhand); Area of operation of Sugarcane Growers Cooperative Society.

Supreme Court Reports

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 8743 of 2013

From the Judgment and Order dated 14.03.2007 and 11.04.2007 of the High Court of Uttarakhand at Nainital in CWP No. 988 of 2006

With

Civil Appeal No(s). 8746, 8745, and 8744 of 2013

Appearances for Parties

Advs. for the Appellant(s):

Dinesh Dwivedi, Sr. Adv., Abhishek Atrey, Dr. Abhishek Atrey, Vikas Negi, Ms. Vidyottma Jha, Jagdeep Sharma, Navneet Gupta, Dr. Riju Raj S Jamwal, Balaji Srinivasan, Manoj Sagar, Gupta, Mrs. Bharti Gupta, Pushp Raj Gupta.

Advs. for the Respondent(s):

K.M.Nataraj, A.S.G., T. N. Singh, Kumar Gaurav, Ms. Rajshree Singh, Umang Tripathi, Akshat Kumar, Abhishek Atrey, Vatsal Joshi, Amit Sharma-v, Uday Bhan Singh, Bhuvan Kapoor, Prashant Singh-ii, Yogesh Vats, Dr. N. Visakamurthy, Vatsal Joshi, Chitransh Sharma, Sharath Nambiar, Ms. Aashna Gill, Santosh Ramdurg, Yogesh Vats, Shreekant Neelappa Terdal.

Judgment / Order of the Supreme Court

Judgment

Alok Aradhe, J.

1. These batch of appeals raise an important question regarding legal status of two Sugarcane Cooperative Societies on bifurcation of erstwhile State of Uttar Pradesh and interplay between Uttar Pradesh Reorganisation Act, 2000 (Reorganisation Act) and Multi-State Cooperative Societies Act, 2002 (2002 Act). The core issue is whether Sugarcane Growers Cooperative Societies, Bajpur and Gadarpur, situated in Udham Singh Nagar, District of Uttarakhand could be treated as Multi-State Cooperative Societies by operation of Section 103 of 2002 Act, despite their prior reorganisation and confinement of their area of operations to a single State, under the statutory framework governing State reorganisation.

**Registrar Cane Cooperative Societies & Ors. v.
Gurdeep Singh Narval (Dead) Through Lrs. & Ors.**

2. For the facility of reference, facts from C.A. No.8743 of 2013 are being referred to. Sugarcane Growers Cooperative Society, Bajpur (Society) is a Sugarcane Growers Cooperative Society whose area of operation originally included 96 villages in Bajpur and 34 villages in Suar, District Rampur in the erstwhile State of Uttar Pradesh. The Society was registered under the U.P. Cooperative Societies Act, 1965 (1965 Act). The Registrar, Cane Cooperative Societies, Uttar Pradesh, on 10.07.1998 passed an order superseding the managing committee of the society. The District Cane Officer, Udham Singh Nagar assumed the charge of the society, as its administrator.
3. The Parliament enacted the Reorganisation Act, by which the State of Uttaranchal ('now Uttarakhand') was created with effect from 09.11.2000. On reorganisation of the State of Uttar Pradesh, 34 Revenue Villages, including village Suar, fell into the territory of the successor State of Uttar Pradesh and the villages of Tehsil Bajpur fell into the successor State of Uttaranchal. Thus, the area of operation of society spanned over the two states, namely State of U.P. and State of Uttarakhand.
4. A meeting between the officers of State of U.P. and Officers of State of Uttaranchal was convened on 08.02.2001, in which it was decided that in respect of the societies which have assumed the status of a multi-state cooperative society, a meeting of General Body shall be convened for reconstitution of such societies and with consent of both the States, the proposal shall be sent for their reorganization to the Central Registrar, Multi-State Cooperative Societies. Accordingly, a meeting of the General Body of the Society was convened on 03.04.2001 in which unanimously a resolution for reorganisation of the Society was passed. The Cane Commissioner/ Registrar Cooperative Societies, Uttar Pradesh on 03.11.2001 made appropriate amendments in bye-law no.3 of the Society.
5. The Deputy Cane Commissioner, Moradabad by an order dated 14.05.2002 directed deletion of names of 34 villages including the village Suar in District Rampur, from the area of operation of the society and ordered inclusion of the said villages in Sugarcane Cooperative Society Ltd. Suar, District Rampur, U.P. Consequently, the area of the operation of the society was curtailed and restricted to the areas which fell in the Territory of State of Uttaranchal.

Supreme Court Reports

6. The respondent No.1's name, who is a cane grower of village, Suar, was not included in the list of members of the society. He, therefore, filed a Writ Petition before the High Court, which was dismissed on 13.12.2002, on the ground that respondent No.1 has an alternative remedy of arbitration before the Central Registrar under the 2002 Act. The respondent no.1 thereupon initiated arbitration proceeding before the Central Registrar against his exclusion from membership of the society. The sole arbitrator by an award dated 31.08.2004, held that by virtue of Section 103 of 2002 Act, the society became a Multi-State Cooperative Society on 09.11.2000. It was further held that the meeting of the General Body of the Society dated 03.04.2001 and order dated 14.05.2002 passed by Deputy Cane Commissioner were illegal and void, and Respondent No.1 continued to be a *bona fide* member of the society.
7. The Registrar, Cane Cooperative Societies, Uttaranchal, on 17.03.2005, issued a notification initiating the process of election of the Society, which was challenged by respondent No.1 in a Writ Petition. However, during the pendency of the writ petition, the Registrar withdrew the aforesaid notification. Accordingly, the Writ Petition was dismissed as withdrawn, with the liberty to file fresh proceeding, if occasion so arises.
8. The Registrar, Cane Cooperative Societies, Uttaranchal, issued a fresh notification on 20.07.2006 for election of the Managing Committee of the Society. The respondent No.1 again approached the High Court by filing a Writ Petition. The High Court, by judgment and order dated 14.03.2007, *inter alia*, held that the Society is a Multi-State Cooperative Society under the 2002 Act. Therefore, the notification dated 20.07.2006 issued by Registrar, Cane Cooperative Societies, Uttaranchal is bad in law. The High Court directed the Registrar, Multi-State Cooperative Societies or the nominee of the Government of India to hold election for Managing Committee of the Societies whose area of operation fall in the States of Uttar Pradesh and Uttarakhand.
9. The judgment and order dated 14.03.2007, is challenged by the State of Uttarakhand and members of Sugarcane Growers Cooperative Society, Gadarpur, Udham Singh Nagar, Uttarakhand in Civil Appeal Nos. 8743 of 2013, 8745 of 2013 and 8744 of 2013. Civil Appeal No.8746 of 2013, has been filed by Cane farmers of Sugarcane Growers Cooperative Society, Gadarpur, Udham Singh Nagar,

**Registrar Cane Cooperative Societies & Ors. v.
Gurdeep Singh Narval (Dead) Through Lrs. & Ors.**

Uttarakhand, against order dated 05.09.2006 by which Writ Petition, challenging the election conducted by the State of Uttaranchal in respect of their society, has been dismissed. In the aforesaid factual background, these appeals arise for our consideration.

10. Learned Senior Counsel for the appellants in Civil Appeal Nos. 8743 of 2013, 8745 of 2013 and 8744 of 2013, has invited the attention of this Court to the provisions of Reorganisation Act and 2002 Act. It is submitted that Section 103 of 2002 Act, does not, by itself, confer an automatic or deemed status of a Multi-State Cooperative Society upon every society registered under the State Cooperative Societies Act, merely because the parent State has undergone reorganisation. It is urged that a factual inquiry is required to be undertaken to determine the applicability of Section 103 of the 2002 Act. In support of the aforesaid submission, reliance has been placed on the decisions of this Court¹.
11. Learned counsel for the appellants in Civil Appeal No. 8746 of 2013 has contended that by virtue of Section 103(1) of the 2002 Act, the Sugarcane Growers Cooperative Society, Gadarpur is deemed to be a Multi-State Cooperative Society. It is submitted that the respondents have failed to follow the scheme envisaged under the 2002 Act, and the amendments carried out in bye-laws of the Society are illegal. In support of the aforesaid submission, reliance has been placed on the decision of this Court².
12. Learned Additional Solicitor General while inviting the attention of this Court to Section 87 of the Reorganisation Act, has contended that both the States had already taken necessary steps to reorganize the Multi-State Cooperative Societies into two state cooperative societies, within a period of two years, therefore, the societies shall cease to be Multi-State Cooperative Societies. It is urged that the decision of this Court³ did not consider the impact of Section 87 of the Reorganisation Act.
13. We have considered the submissions made on both sides and have perused the record. At this stage, it is apposite to take note of the relevant statutory provisions. The Reorganisation Act is a

1 2025 SCC OnLine SC 2802 : State of Uttar Pradesh through Principal Secretary and Others v. Milkiyat Singh and Others.

2 (2009) 16 SCC 157 : Naresh Shankar Srivastava v. State of Uttar Pradesh & Ors.

3 Naresh Shankar Srivastava (supra)

Supreme Court Reports

parliamentary enactment designed to provide for a comprehensive legal framework governing the territorial, institutional, administrative and legal consequences arising from bifurcation of the erstwhile State of Uttar Pradesh. The said Act came into force w.e.f. 09.11.2000. Section 87 of the Reorganisation Act provides that the law which was applicable on the date of bifurcation of State would continue to cover the successor State i.e., Uttaranchal (now Uttarakhand) for a period of two years, as applicable by order, subject to such adaptations and modifications of the law. This provision embodies the doctrine of legislative continuity, ensuring that statutory regimes governing local institutions, including Cooperative Societies, remain operational until replaced by fresh legislation. Section 87 of the Act is extracted below for the facility of reference: -

“87. Power to adapt laws.—

For the purpose of facilitating the application in relation to the State of Uttar Pradesh or Uttaranchal of any law made before the appointed day, the appropriate Government may, before the expiration of two years from that day, by order, make such adaptations and modifications of the law, whether by way of repeal or amendment, as may be necessary or expedient, and thereupon every such law shall have effect subject to the adaptations and modifications so made until altered, repealed or amended by a competent Legislature or other competent authority.

Explanation.— In this section, the expression “appropriate Government” means as respects any law relating to a matter enumerated in the Union List, the Central Government, and as respects any other law in its application to a State, the State Government.”

14. Section 93 of the Reorganisation Act provides that provisions of the said Act shall have effect notwithstanding anything inconsistent therewith contained in any other law. Section 93 reads as under: -

“93. Effect of provisions of the Act inconsistent with other laws. –

The provisions of this Act shall have effect notwithstanding anything inconsistent therewith contained in any other law.”

**Registrar Cane Cooperative Societies & Ors. v.
Gurdeep Singh Narval (Dead) Through Lrs. & Ors.**

15. The 2002 Act was enacted to consolidate and amend the law relating to cooperative societies, with objects not confined to one State and serving the interests of members in more than one State, to facilitate the voluntary formation and democratic functioning of cooperatives as people's institutions based on self-help and mutual aid and to enable them to promote their economic and social betterment and to provide functional autonomy. Under the 2002 Act, a Multi-State Cooperative Society may come into existence either by registration under Section 5 or by conversion into a Multi-State Cooperative Society under Section 22 of the 2002 Act. A Multi-State Cooperative Society may also come into existence by a legal fiction as provided under Section 103(1) of the 2002 Act. Section 103 of the 2002 Act deals with cooperative societies functioning immediately before Reorganisation of States.
16. The Constitution (Ninety-Seventh Amendment) Act, 2011 incorporated Part IX-B in the Constitution of India, which deals with provisions relating to cooperative societies. The High Court of Gujarat struck down Part IX-B of the 97th Constitutional Amendment on 22nd April, 2013, on the ground that it required ratification of the majority of State Legislatures as per Article 368(2) of the Constitution of India. Subsequently, the Government of India filed a Civil Appeal against this judgment before this Court, which, in its majority judgment dated 20th July, 2021, pronounced that Part IX-B of the Constitution of India is operative only insofar as it concerns Multi-State Cooperative Societies both within the various States and in the Union Territories of India. Therefore, in order to bring the 2002 Act in consonance with Constitution (Ninety-Seventh Amendment) Act, 2011, to plug loopholes in the existing legislation and to strengthen the governance of Multi-State Cooperative Societies, the 2002 Act was amended by Act No.11 of 2023 with effect from 03.08.2023.
17. A proviso to Section 103 was added by Amendment Act No.11 of 2023. The proviso came into force with effect from 03.08.2023. Section 103(1) as amended by Act No.11 of 2023 is extracted below for the facility of reference: -

“103(1) Where, by virtue of the provisions of Part II of the State Reorganisation Act, 1956 (37 of 1956) or any other enactment relating to reorganisation of states, any cooperative society which immediately before the day

Supreme Court Reports

on which the reorganisation takes place, had its objects confined to one state becomes, as from that day, a multi-state cooperative society, it shall be deemed to be a multi-state cooperative society registered under the corresponding provisions of this Act and the bye-laws of such society shall, in so far as they are not inconsistent with the provisions of this Act, continue to be in force until altered or rescinded.

[Provided that where all the successor States take necessary steps to divide or reorganise such deemed multi-State co-operative society into State co-operative societies in order to confine their objects, services and the members to respective States within a period of three years, such deemed multi-State cooperative society shall cease to be a multi-State co-operative society:

Provided further that the deemed multi-State co-operative society other than those mentioned in the first proviso shall submit an application for registration and obtain the certificate of registration from the Central Registrar.]”

18. Now, we may advert to the facts of the case in hand. In exercise of powers conferred by Section 87 of the Reorganisation Act, admittedly the State of Uttaranchal (now Uttarakhand) adopted the provisions of U.P. Cooperative Societies Act, 1965. A meeting between the officers of Uttar Pradesh and Officers of State of Uttaranchal was convened on 08.02.2001 wherein it was decided that in respect of Societies which have assumed the status of Multi-State Cooperative Societies, a meeting of General Body shall be convened for reconstitution of such societies and with consent of both the States, the proposal shall be sent for their reorganization to the Central Registrar, Multi-State Cooperative Societies. A meeting of the General Body of the Sugarcane Growers Cooperative Society, Bajpur was convened on 03.04.2001 in which a resolution for constituting separate Sugarcane Growers Cooperative Societies consisting of 34 villages in Rampur, District of U.P. and 34 villages in Bajpur, District Udham Singh Nagar, was unanimously passed. Accordingly, Cane Commissioner/ Registrar Cooperative Societies, Uttar Pradesh on 03.11.2001 made appropriate amendments to bye-law no.3 of the Society.

**Registrar Cane Cooperative Societies & Ors. v.
Gurdeep Singh Narval (Dead) Through Lrs. & Ors.**

19. The Deputy Cane Commissioner, Moradabad, by an order dated 14.05.2002, directed deletion of names of 34 villages including the village Suar in District Rampur from the area of operation of the society and ordered inclusion of the said villages in Sugarcane Growers Cooperative Society Ltd. Suar, District Rampur, U.P. Consequently, the area of the operation of the society was curtailed and restricted to the areas which fell in the Territory of State of Uttaranchal.
20. The area of operation of Sugarcane Growers Cooperative Society, Gadarpur, consisted of 102 villages. On bifurcation of the State, 9 villages of Suar Tehsil in Rampur continued to be in State of Uttar Pradesh whereas 93 villages, namely 70 villages of Gadarpur, 14 villages of Tehsil, Bajpur and 5 villages of Tehsil Kiccha in Udham Singh Nagar fell in the territory of new State of Uttaranchal. In pursuance of policy decision taken by officers of both the States on 08.02.2001, consequential action was taken by Administrator of the society in presence of general body on 19.04.2003, by which 9 villages of Tehsil Swar District, Rampur were directed to be deleted and a decision was taken to reconstitute the Society with remaining 93 villages in the State of Uttaranchal. The Registrar, Cooperative Societies, Uttaranchal passed a consequential order on 01.12.2003, implementing the deletion of 9 villages from the area of operation of Sugarcane Growers Cooperative Society, Gadarpur.
21. The 2002 Act came into force w.e.f. 19.08.2002. However, prior to it, a meeting between the officers of State of Uttar Pradesh and Uttaranchal was convened on 08.02.2001, wherein decision was taken to reconstitute and reorganize the societies as their area of operation fell within the States of Uttar Pradesh and Uttaranchal. The said action and the consequential action of reconstitution of the society was taken under the transitional regime as provided under Section 87 of the Reorganisation Act.
22. We may now take note of Section 103 of 2002 Act which introduces a deeming fiction, whereby certain societies affected by reorganisation may be treated as Multi-State Cooperative Societies. It is well settled legal proposition that a legal fiction must be strictly confined to the purpose for which it is created and cannot be extended beyond its legitimate field. Legal fictions are crafted tools, precise in purpose and limited in reach. The deeming fiction created under Section 103 of the 2002 Act cannot, in any case be construed in isolation so as to

Supreme Court Reports

override the express statutory scheme contained in Reorganisation Act, which is an enactment governing all legal, administrative and institutional consequences arising from bifurcation of erstwhile State of Uttar Pradesh. The Reorganisation Act has also a non-obstante clause i.e., Section 93. The deeming fiction which though provides for a contingency on bifurcation of State, embodied in Section 103 of 2002 Act, did not apply in view of decision taken for reconstitution of the societies under the Reorganisation Act.

23. For yet another reason, the Societies cannot be treated as Multi-State Cooperative Societies under the 2002 Act. This Court⁴ has held that deeming fiction under Section 103 of 2002 Act is neither automatic nor universal, but is conditional upon factual determination of the objects of the concerned Society and it has to be ascertained whether the object of such Society extend to more than one State. This Court emphasised the conceptual distinction between 'objects' and 'area of operation' and clarified that residence of the members or the geographical spread of activity cannot substitute the statutory requirement that principal objects must themselves be Multi States in character. Applying the aforesaid principle to the instant appeals, and on careful scrutiny of bye-laws, it is evident that the object of the society are confined to safeguarding and promoting the interests of local canegrowers and their objects do not evince any intention to serve the members across the State boundaries.
24. Thus, the statutory scheme and chronology of events leave no manner of doubt that decisions taken to reorganize the societies on bifurcation of erstwhile State of Uttar Pradesh are valid in view of Sections 87 and 93 of Reorganisation Act. Section 103 of 2002 Act neither operates automatically nor could it retrospectively invalidate the completed actions undertaken under the Reorganisation Act. It is a cardinal principle of interpretation of statutes that provisions contained in two statutes must be, if possible, interpreted in a harmonious manner to give full effect to both the statutes⁵. The overriding effect of Reorganisation Act and effect of Section 103 of the 2002 Act necessitates a harmonious construction by which operation of legal fiction has to be restricted, in cases where action for reorganisation

⁴ Milkayat Singh and Others (supra)

⁵ (2024) 6 SCC 1 : In re: Interplay between Arbitration Agreements under Arbitration and Conciliation Act, 1996 and Stamp Act, 1899.

**Registrar Cane Cooperative Societies & Ors. v.
Gurdeep Singh Narval (Dead) Through Lrs. & Ors.**

of the Societies has already been taken and in respect of the Society whose objects and area of operation are confined to a single State. A deeming provision under Section 103 of 2002 Act cannot unsettle such completed action for reorganisation, by virtue of Sections 87 and 93 of the Reorganisation Act. In the absence of multiple State objects in the bye-laws of the Societies, the same cannot be treated as Multi-State Cooperative Societies, as statutory pre-conditions for invoking Section 103 of 2002 Act are absent.

25. In so far as, the decision rendered by this Court⁶ is concerned, suffice it to say that the aforesaid decision dealt with provisions of Multi-State Cooperative Societies Act, 1984 and the impact of Sections 87 and 93 of Reorganisation Act was not considered. Therefore, the same has no application to these appeals.
26. In view of foregoing discussion, we hold that Sugarcane Growers Cooperative Societies, Bajpur and Gadarpur are not Multi-State Cooperative Societies under the 2002 Act. The judgment and order dated 14.03.2007 passed by the High Court is quashed and set aside. The judgment and order dated 05.09.2006 passed in C.A. No.8746 of 2013 by High Court is upheld. The authorities under the State Cooperative law shall take steps to conduct the elections of the Societies expeditiously.
27. In the result, Civil Appeal Nos. 8743 of 2013, 8744 of 2013 and 8745 of 2013 are allowed, whereas Civil Appeal No. 8746 of 2013 is dismissed. There shall be no order as to costs.

Result of the case: Civil Appeal No(s). 8743 of 2013, 8744 of 2013 and 8745 of 2013 are allowed, whereas Civil Appeal No. 8746 of 2013 is dismissed.

[†]*Headnotes prepared by:* Divya Pandey

Pooranmal
v.
The State of Rajasthan & Anr.

(Criminal Appeal No. 1266 of 2026)

10 March 2026

[Vikram Nath, Sandeep Mehta* and N.V. Anjaria, JJ.]

Issue for Consideration

Whether the conviction of the appellant-P based solely on circumstantial evidence as convicted by the trial court and upheld by the High Court could be sustained in law. Whether the incriminating evidence are proved by cogent and admissible evidence, forming an unbroken chain pointing unequivocally towards the guilt of the appellant.

Headnotes[†]

Penal Code, 1860 – ss.302/34, 201 – Bhartatiya Nyaya Sanhita, 2023 – ss.103(1)/3(5) – Circumstantial evidence – Recoveries – Appellant-P along with one L, committed murder of wife of L – Appellant-P and L were convicted by the trial Court for the offence punishable u/ss.302/34 and s.201 of the Penal Code, 1860 – The common appeal preferred by the accused persons against their conviction was rejected by the High Court – SLP filed by L was dismissed by this Court *in limine* – The appellant-P who was unable to prefer an appeal owing to poverty and lack of access to legal assistance, has now filed the present appeal through legal aid – Interference warranted or not:

Held: As emerging from the impugned judgments of the trial Court and the High Court, the case of the prosecution pertaining to the murder is based purely on circumstantial evidence viz. call detail records, recovery of blood-stained shirt and the recovery of currency notes – The law governing cases resting on circumstantial evidence is no longer *res integra* – Mere recovery of currency notes, in the absence of any cogent evidence establishing a clear nexus between the said amount and the crime, would not by itself constitute an incriminating circumstance against the appellant – The said circumstance was wrongly treated to be incriminating by the

* Author

Pooranmal v. The State of Rajasthan & Anr.

trial Court as the recovery itself is doubtful and additionally, the mere recovery of currency notes cannot constitute incriminating evidence in absence of corroborative evidence – The second incriminating article recovered was blood-stained shirt – Even if the FSL report shows that the blood found on the shirt allegedly recovered at the instance of the appellant matches that of the deceased, such finding would by itself not be incriminating in the absence of other cogent and corroborative evidence completing the chain of circumstances – The last and final piece of circumstantial evidence is call details records – In the present case, the certificate u/s.65-B of the Evidence Act [s.63 of the BSA] was not proved by the prosecution – In the absence of the certificate, mandatorily required u/s.65-B of the Evidence Act [s.63 of the BSA], the call detail records become inadmissible in evidence and cannot be relied upon to support the prosecution’s case – The prosecution has miserably failed to establish a complete and coherent chain of incriminating circumstances so as to bring home the guilt of the appellant – Thus, the conviction of the appellant as recorded by the trial Court and affirmed by the High Court cannot be sustained – The impugned judgments are hereby set aside. [Paras 26, 27, 33, 52-55]

Case Law Cited

Sharad Birdhichand Sarda v. State of Maharashtra [1985] 1 SCR 88 : (1984) 4 SCC 116; *Karandeep Sharma alias Razia alias Raju v. State of Uttarakhand* [2025] 3 SCR 1482 : 2025 SCC OnLine SC 773; *Allarakha Habib Memon v. State of Gujarat* [2024] 8 SCR 345 : (2024) 9 SCC 546; *Anvar P.V. v. P.K. Basheer* [2014] 11 SCR 399 : (2014) 10 SCC 473; *Arjun Panditrao Khotkar v. Kailash Kushanrao Gorantyal* [2020] 7 SCR 180 : (2020) 7 SCC 1 – relied on.

List of Acts

Penal Code 1860; Evidence Act, 1872; Bharatiya Sakshya Adhinyam, 2023; Code of Criminal Procedure, 1973; Bharatiya Nagarik Suraksha Sanhita, 2023; Bhartatiya Nyaya Sanhita, 2023.

List of Keywords

Circumstantial evidence; Chain of custody; Corroborative evidence; Unbroken chain of custody; Call details records; Recovery of blood-stained cloth; Recovery of currency notes;

Supreme Court Reports

Electronic evidence; Requirement of certificate u/s.65-B of Evidence Act; Admissibility of electronic evidence; Coherent chain of incriminating circumstances.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1266 of 2026

From the Judgment and Order dated 16.03.2018 of the High Court of Judicature for Rajasthan at Jodhpur in DBCRA No. 238 of 2012

Appearances for Parties

Advs. for the Appellant(s):

Yuvraj Kashyap, Ms. Vijetha J., Ms. Ranjeeta Rohatgi.

Advs. for the Respondent(s):

Kartikeya Asthana, Ms. Nidhi Jaswal.

Judgment / Order of the Supreme Court

Judgment

Mehta, J.

1. Heard.
2. Leave granted.
3. The appellant, Pooranmal¹, along with one Ladu Lal faced trial in Sessions Case No. 33 of 2010 before the Court of the Additional Sessions Judge, (Women Atrocities Cases), Bhilwara, Rajasthan². Both the accused were convicted by the trial Court *vide* judgment and order dated 8th February, 2012, for the offence punishable under Sections 302/34 of the Indian Penal Code, 1860³ [Sections 103 (1)/3(5) of the Bhartatiya Nyaya Sanhita, 2023⁴] and were sentenced to undergo life imprisonment and fine of Rs. 5,000/- with default stipulation. Both the accused were also convicted for the offence

¹ Hereinafter, referred to as "appellant-Pooranmal".

² Hereinafter, referred to as "trial Court".

³ Hereinafter, referred to as 'IPC'.

⁴ Hereinafter, referred to as 'BNS'.

Pooranmal v. The State of Rajasthan & Anr.

punishable under Section 201 of the IPC [Section 238 of the BNS] and sentenced to undergo seven years rigorous imprisonment and fine of Rs. 5,000/- with default stipulation. Both the sentences were ordered to run concurrently.

4. The common appeal being DB Criminal Appeal No. 238 of 2012 preferred by the accused persons against their conviction stands rejected by the High Court of Judicature for Rajasthan at Jodhpur⁵ *vide* judgment and order dated 16th March, 2018. It may be mentioned here that Ladu Lal assailed the said judgment of the High Court by preferring Special Leave Petition (Crl.) No. 1071 of 2022, which has been dismissed by this Court *in limine vide* order dated 7th February, 2022.
5. The appellant-Pooranmal who was unable to prefer an appeal owing to poverty and lack of access to legal assistance, has now filed the present appeal through legal aid.
6. *Vide* order dated 28th January, 2026, we took note of the distinguishing features *inter se* between the case of the appellant-Pooranmal and that of the co-convict Ladu Lal and issued notice in the present appeal. The case of the prosecution as against the co-convict Ladu Lal was based on recoveries as well as the reverse burden of proof as provided under Section 106 of the Indian Evidence Act, 1872⁶ (Section 109 of the Bharatiya Sakshya Adhiniyam, 2023⁷). In contrast, insofar as the appellant-Pooranmal is concerned, the prosecution's case rests purely on recoveries and call detail records. It was in these circumstances and remaining conscious of the dismissal of the special leave petition preferred by the co-convict Ladu Lal, that we deemed it appropriate to entertain the special leave petition filed on behalf of the appellant-Pooranmal through legal aid, notwithstanding the significant delay of 2749 days, which stands condoned by the aforesaid order.

BRIEF FACTS

7. Succinctly stated, the facts relevant and essential for disposal of this appeal are noted hereinbelow.

5 Hereinafter, referred to as 'High Court'.

6 Hereinafter, referred to as 'Evidence Act'.

7 Hereinafter, referred to as 'BSA'.

Supreme Court Reports

8. The case as set up by the prosecution is that the appellant-Pooranmal along with the co-convict Ladu Lal, committed murder of Aruna, wife of Ladu Lal, in the latter's house on the night intervening 2nd March, 2010 and 3rd March, 2010.
9. The written report of the incident (Ex. P-40) was lodged by none other than Ladu Lal before the Station House Officer, Police Station Bijolia alleging *inter alia* that he was sleeping in the drawing room of his house with his son Devender. His wife, Smt. Aruna, was sleeping in the adjacent room. At about 1:30 am, he got up to attend the call of nature and found that his room was bolted from outside. He tried calling Smt. Aruna on her mobile number, but she did not respond. On this, he called his brother, Satyanarayan (PW.2), and upon receiving no response, he called his acquaintance Shankar Singh Rathore, posted as constable at the Police Station Bijolia. Thereafter, some people gathered at the spot and opened his room from outside. Upon proceeding to the adjoining room, they found Smt. Aruna lying on the bed with visible injuries, including a wound on her left temple, along with signs of struggle. On checking closely, they realised that Smt. Aruna was dead. The almirah situated near the dead body was lying open, and a sum of approximately Rs. 4 lakh was missing therefrom. Ladu Lal alleged in the report that some unknown persons had murdered his wife by inflicting injuries on her head and requested the police to take action. On the basis of said report, FIR No. 28 of 2010 came to be registered at the Police Station Bijolia under Section 460 of the IPC (Section 331(8) of the BNS). The usual investigation was undertaken. The dead body was subjected to inquest proceedings and subsequently forwarded to the Medical Jurist for postmortem examination.
10. During the course of investigation, Ladu Lal was interrogated and looking to his evasive response, the needle of suspicion turned towards him and he was accordingly arrested. Ladu Lal made a confession/disclosure statement (Ex. P-42) and based thereupon, the appellant-Pooranmal was also apprehended in the present case. The Investigating Officer, Dalpat Singh (PW.22)⁸, thereafter effected recoveries of a blood-stained shirt and a sum of Rs.46,000/-, in furtherance of the disclosure statements made by the appellant-Pooranmal.

8 Hereinafter, referred to as 'Investigating Officer (PW.22)'.

Pooranmal v. The State of Rajasthan & Anr.

11. The Investigating Officer (PW.22) collected the call details of mobile Nos. 978****222 and 977****299 belonging to the accused persons, which led to the conclusion that the appellant-Pooranmal and Ladu Lal were continuously in contact with each other, proximate to the probable time of the incident.
12. Upon conclusion of investigation, chargesheet came to be filed against two accused persons *i.e.* the appellant-Pooranmal and Ladu Lal for the offences punishable under Sections 302/34 and 201 of the IPC [Sections 103 (1)/3(5) and 238 of the BNS]. Since the offence punishable under Section 302 of the IPC [103 (1) of the BNS] was exclusively triable by the Court of Sessions, the case was committed and made over to the Court of the Additional Sessions Judge, (Women Atrocities Cases), Bhilwara, Rajasthan for trial. The trial Court framed charges against both the accused who pleaded not guilty and claimed trial. The prosecution examined twenty-four witnesses (PW.1 to PW.24) and exhibited fifty-five documents (Ex. P-1 to P-55) along with seven articles (Ex. A-1 to A-7) to prove its case.
13. The accused, upon being questioned under Section 313 of the Code of Criminal Procedure, 1973 [Section 351 of the Bharatiya Nagarik Suraksha Sanhita, 2023] denied the prosecution allegations and claimed to be innocent. Three witnesses (DW.1 to DW.3), and eight documents (Ex. D-1 to D-8) were exhibited in defence.
14. As stated above, the trial Court *vide* judgment and order dated 8th February, 2012 convicted and sentenced the appellant-Pooranmal and the co-accused for the offences mentioned above.⁹
15. The appeal preferred by the appellant-Pooranmal against his conviction has been rejected by the High Court *vide* judgment and order dated 16th March, 2018 and hence, this appeal by special leave.

SUBMISSIONS ON BEHALF OF THE APPELLANT

16. Learned counsel appearing for the appellant-Pooranmal, vehemently and fervently contended that the conviction of the appellant-Pooranmal recorded by the trial Court, and affirmed by the High Court, is based purely on conjectures and surmises. It was submitted that

9 *Supra* para 3.

Supreme Court Reports

the prosecution's case rests entirely on circumstantial evidence and that there is no credible or reliable evidence on record of the case so as to connect the appellant-Pooranmal with the alleged crime.

17. The learned counsel urged that the recovery of the blood-stained shirt allegedly made at the instance of the appellant-Pooranmal does not inspire confidence. The call detail records cannot be admitted in evidence because the mandatory certificate under Section 65-B of the Evidence Act [Section 63 of the BSA] was never proved.
18. The learned counsel further contended that the recovery of the currency notes cannot be treated to be incriminating because there is no credible evidence to show that these currency notes had, as a matter of fact, been given to the appellant-Pooranmal by the co-convict Ladu Lal for committing the murder of Smt. Aruna.

SUBMISSIONS ON BEHALF OF THE RESPONDENT

19. *Per contra*, learned counsel representing the State opposed the submissions advanced by the appellant's counsel. It was submitted that the special leave petition filed by the co-convict against the self-same impugned judgment, having been rejected by this Court, there is no reason for this Court to take a different view in the case of the appellant-Pooranmal.
20. It was further submitted that the Investigating Officer (PW.22) has given unimpeachable evidence proving the grave incriminating recoveries of the blood-stained shirt and the currency notes made at the instance of the appellant-Pooranmal. The shirt upon being examined at the serological department of the Forensic Science Laboratory¹⁰ tested positive (FSL Report Ex. P-49) for the presence of the same blood group (O) as that of the deceased-Aruna. The appellant-Pooranmal failed to offer any explanation as to how the shirt worn by him at the time of the incident was bearing stains of the same blood group as that of the deceased-Aruna. The failure of the appellant-Pooranmal to offer any explanation to this gravely incriminating circumstance requires drawing of adverse inference.
21. It was further submitted that the call detail records are gravely incriminating. The appellant-Pooranmal failed to offer any explanation

¹⁰ Hereinafter, referred to as 'FSL'.

Pooranmal v. The State of Rajasthan & Anr.

for the extensive contact with the main accused Ladu Lal proximate to the time of the occurrence. Thus, these incriminating call detail records were rightly relied upon by the trial Court and the High Court for drawing the inference of guilt against the appellant-Pooranmal.

22. It was further contended that the call detail records were proved by the nodal officers of the service providers, *i.e.* Vibhor Rastogi (PW.23) and Saurabh Kumar (PW.24) and hence, non-production of the certificate under Section 65-B of the Evidence Act [Section 63 of the BSA] pales into insignificance. Mere non-production of the certificate under Section 65-B of the Evidence Act [Section 63 of the BSA] in this case cannot be treated to be fatal to the prosecution's case, particularly, when the call detail records have been duly proved by examining the employees of the service providers *i.e.*, Vodafone and Bharati Hexacom Ltd./Bharati Heckjakom Ltd.
23. The learned counsel also urged that the appellant-Pooranmal hails from a poor family and as such, his being in possession of such a large sum of money soon after the incident is a gravely incriminating circumstance for which the appellant-Pooranmal could not offer any explanation. Thus, by virtue of Section 106 of the Evidence Act [Section 109 of the BSA], the burden shifted on to the appellant-Pooranmal to explain as to how he came into possession of the huge sum of money recovered from his house pursuant to the disclosure made by him under Section 27 of the Evidence Act [Proviso to Section 23 of the BSA].
24. On the aforesaid grounds, learned counsel submitted that the concurrent and well-reasoned findings recorded against the accused by the trial Court and affirmed by the High Court, *i.e.* convicting the appellant-Pooranmal and upholding his conviction do not warrant interference. He thus implored the Court to dismiss the appeal.

ANALYSIS AND DISCUSSION

25. We have heard and considered the submissions advanced by learned counsel for the appellant-Pooranmal and learned standing counsel appearing for the State. We have also carefully perused the impugned judgments and sifted the evidence available on record.
26. Suffice it to say that, as emerging from the impugned judgments of the trial Court and the High Court, the case of the prosecution pertaining to

Supreme Court Reports

the murder of Smt. Aruna is based purely on circumstantial evidence. Insofar as the appellant-Pooranmal is concerned, the prosecution's case rests upon following three incriminating circumstances: -

- i. Call detail records indicating continuous and frequent conversation between the appellant-Pooranmal and co-convict Ladu Lal corresponding to the time of the incident.
 - ii. The recovery of blood-stained shirt, having same blood group as that of Smt. Aruna, in furtherance of the disclosure made by the appellant-Pooranmal under Section 27 of the Evidence Act [Proviso to Section 23 of the BSA].
 - iii. The recovery of currency notes totalling Rs.46,000/-, purportedly paid by co-convict Ladu Lal to the appellant-Pooranmal for committing murder of Smt. Aruna.
27. The law governing cases resting on circumstantial evidence is no longer *res integra*. It would, therefore, be apposite to advert to the salient principles enunciated by this Court in ***Sharad Birdhichand Sarda v. State of Maharashtra***¹¹, wherein the parameters for appreciation of circumstantial evidence have been authoritatively and succinctly laid down:-

“**153.** A close analysis of this decision would show that the following conditions must be fulfilled before a case against an accused can be said to be fully established:

(1) the circumstances from which the conclusion of guilt is to be drawn should be fully established.

It may be noted here that this Court indicated that the circumstances concerned “must or should” and not “may be” established. There is not only a grammatical but a legal distinction between “may be proved” and “must be or should be proved” as was held by this Court in *Shivaji Sahabrao Bobade v. State of Maharashtra* [(1973) 2 SCC 793] where the observations were made: [SCC para 19, p. 807]

¹¹ (1984) 4 SCC 116.

Pooranmal v. The State of Rajasthan & Anr.

“Certainly, it is a primary principle that the accused *must* be and not merely *may* be guilty before a court can convict and the mental distance between ‘may be’ and ‘must be’ is long and divides vague conjectures from sure conclusions.”

(2) the facts so established should be consistent only with the hypothesis of the guilt of the accused, that is to say, they should not be explainable on any other hypothesis except that the accused is guilty,

(3) the circumstances should be of a conclusive nature and tendency,

(4) they should exclude every possible hypothesis except the one to be proved, and

(5) there must be a chain of evidence so complete as not to leave any reasonable ground for the conclusion consistent with the innocence of the accused and must show that in all human probability the act must have been done by the accused.”

(Emphasis Supplied)

28. Bearing the aforesaid principles in mind, we shall now proceed to examine and analyse the evidence led by the prosecution to prove the circumstances relied upon by it for bringing home the guilt of the appellant-Pooranmal.

I. RECOVERY OF CURRENCY NOTES

29. At the outset, we may take note of the fact that there is a grave discrepancy regarding the exact amount of currency notes recovered by the Investigating Officer (PW.22) purportedly in furtherance of the disclosure statement made by the appellant-Pooranmal.
30. Whilst in the examination-in-chief, the Investigating Officer (PW.22) deposed that the appellant-Pooranmal furnished an information under Section 27 of the Evidence Act [Proviso to Section 23 of the BSA]

Supreme Court Reports

regarding receipt of the amount of Rs.46,000/- (Ex. P-44) from Ladu Lal pursuant to a plan to commit the murder of Smt. Aruna.

31. The Investigating Officer (PW.22) further stated that in consequence of the said disclosure, as also another disclosure pertaining to the shirt allegedly worn at the time of the incident, the appellant-Pooranmal led the police party to his residence and got recovered a shirt (suspected to be blood-stained) kept in an iron box. The said recovery was reduced into writing *vide* memo (Ex. P-9), and the shirt was sealed at the spot. Further as per the information given by the appellant-Pooranmal, a sum of Rs.46,000/- was recovered from his house and was seized *vide* memo (Ex. P-13). The said amount was also sealed at the spot.
32. In cross-examination, the Investigating Officer (PW.22) admitted that though on the chit of material exhibit (Ex. P-52), the currency notes were mentioned as Rs.46,000/-, but when the notes were counted in Court, it was noticed that the amount was Rs.46,145/-. The Investigating Officer (PW.22) admitted that there was no mention of these extra Rs.145 on the packet marked as (Ex. P-52).
33. Thus, the very factum of recovery of the currency notes comes under a grave cloud of doubt. That apart, mere recovery of currency notes, in the absence of any cogent evidence establishing a clear nexus between the said amount and the crime, would not by itself constitute an incriminating circumstance against the appellant-Pooranmal. Thus, the said circumstance was wrongly treated to be incriminating by the trial Court as the recovery itself is doubtful and additionally, the mere recovery of currency notes cannot constitute incriminating evidence in absence of corroborative evidence.

II. RECOVERY OF BLOOD-STAINED SHIRT

34. The second incriminating article recovered at the instance of the appellant-Pooranmal was the blood-stained shirt which upon being analysed at the FSL purportedly gave a positive test for the presence of the same blood group (O) as that of the deceased-Aruna. From the evidence of the Investigating Officer (PW.22), it transpires that the recovery of the shirt was effected in furtherance of the disclosure statement of the appellant-Pooranmal (Ex. P-43). The recovery memo of the shirt was proved as (Ex. P-9).

Pooranmal v. The State of Rajasthan & Anr.

35. We may observe that the appellant-Pooranmal herein was a free bird since the day of incident *i.e.* from intervening night of 2nd and 3rd March, 2010 until 4th March, 2010, when he came to be formally arrested in connection with the present case, after being implicated by the co-convict Ladu Lal. The recovery memo (Ex. P-9) indicates that the appellant-Pooranmal had meticulously concealed the shirt in an iron box and when the same was recovered, it was bearing blood stains. To our mind, it is highly improbable and unnatural that the appellant-Pooranmal, who was a free bird, would have taken such great pains to conceal the shirt so meticulously rather than simply destroying it by burning. Furthermore, even if the appellant-Pooranmal was desirous of preserving the shirt, all that was required to obliterate the blood stains was to wash the same. Hence, we are of the firm view that the recovery of the shirt is totally unreliable.
36. The recovery of the shirt was held to be incriminating based on the FSL report (Ex. P-49) as per which the blood stains on the shirt tested positive for the presence of O blood group being the same as that of the deceased-Aruna. For treating the FSL report (Ex. P-49) to be admissible, the prosecution would have to prove the complete chain of custody establishing the sanctity of the sealed articles right from the time of the seizure till the time they reached the FSL. In this regard, we would like to refer to the evidence of the following witnesses:-

a. Mathura Singh (P.W.19)

37. Mathura Singh (PW.19), the Head Constable in-charge of the *malkhana* at Police Station Bijolia, stated that on 6th March, 2010 the Investigating Officer (PW.22) deposited blood-stained tissues and shirt in a sealed cloth bag. An entry to this effect was made in the *malkhana* register at Serial No. 227. On 7th March, 2010, the Investigating Officer (PW.22) deposited a sealed bag containing 46 notes of Rs.1,000/- each, totalling Rs. 46,000/-. The witness (PW.19) stated that these articles, which also included the articles/samples recovered from the crime scene and the t-shirt recovered at the instance of the co-convict Ladu Lal, bearing marks A, B, C, L, M (totalling five), were forwarded with constable Surender Singh (PW.16) to SP office Bhilwara on 15th March, 2010 for being deposited at the FSL accompanied by requisite documents. However, because the FSL forwarding letter was not yet prepared, the said articles were

Supreme Court Reports

returned and handed back to said witness (PW.19) who redeposited the same in the *malkhana* with an endorsement made in the *malkhana* register (Ex. P-37).

38. These very articles were again taken out from the *malkhana* on 18th March, 2010 and handed over to Surender Singh (PW.16) for delivery to FSL. Surender Singh (PW.16) proceeded to Udaipur and deposited the samples at the FSL on 19th March, 2010. He thereafter returned on 20th March, 2010 along with the receipt evidencing such deposit.
39. The witness (PW.19) was confronted with the *malkhana* entry in his cross-examination and stated as below: -

“It is wrong to say that I had given the material to Surendra Singh on 12.3.10 for taking to F.S.L. and that due to some shortage in it, the material were returned on 15.3.10. Ex.D.3 The copy of the Malkhana which was attached with the challan in the file, in the C-D part of which it is written that the material were sent on 12.3.10 is wrong.”

b. Surendra Singh (P.W.16)

40. The Carrier Constable, Surender Singh (PW.16), emphatically stated that he carried the *malkhana* articles to the FSL on 18th March, 2010, deposited them at the FSL, Udaipur on 19th March, 2010 and brought back the receipt. In his cross-examination, the witness (PW.16) stated that he did not recollect taking the same articles to the S.P. office on 12th March, 2010. He was confronted with the *malkhana* register (Ex. D-3), which records that he had been handed the samples on 12th March, 2010 and had attempted to deposit them at the S.P. Office on 15th March, 2010. However, he feigned ignorance as to the said entry recorded in the official document (Ex.D-3).
41. On a holistic appreciation of the evidence of these two witnesses, it becomes clear that there is a grave discrepancy regarding the safe-keeping/chain of custody of the *muddamal* articles. It is clearly discernible from the evidence of Mathura Singh (PW.19) that the *muddamal* articles were sent out of the police station prior to 18th March, 2010, to be precise on 15th March, 2010, but the same were returned from the FSL because of some defects. The precise reason for return of the *muddamal* articles is not forthcoming in the

Pooranmal v. The State of Rajasthan & Anr.

evidence of the prosecution witnesses. The Carrier Constable (PW.16) categorically denied having carried the samples on any date prior to 18th March, 2010.

42. The entry made in the *malkhana* register (Ex. D-3) with which both the witnesses were confronted, completely demolishes the versions of PW.19 and PW.16. In this entry, it is clearly recorded that the *muddamal* articles were forwarded to the FSL on 12th March, 2010. Utter failure of the prosecution to disclose as to the reasons for which the samples were returned from the FSL breaches the unbroken chain of custody mandatorily required to prove the safe keeping of the *muddamal* articles.
43. In ***Karandeep Sharma alias Razia alias Raju v. State of Uttarakhand***¹², this Court emphasised that for a DNA/FSL report to be acceptable and reliable, the prosecution must establish an unbroken chain of custody and demonstrate that the samples remained duly sealed and untampered throughout, and held as follows:-

“54. In order to make the DNA report acceptable, reliable and admissible, the prosecution would first be required to prove the sanctity and chain of custody of the samples/articles right from the time of their preparation/collection till the time they reached the FSL. For this purpose, the link evidence would have to be established by examining the concerned witness.

55. Evidently, there is not even a semblance of evidence on record to satisfy the Court that the samples/articles collected from the dead body of the child-victim and those collected from the appellant which were later forwarded to the FSL were properly sealed or that the same remained in a self-same condition right from the time of the seizure till they reached the FSL. No witness from the FSL was examined by the prosecution to prove that the samples/articles were received in a sealed condition. Hence, there is every possibility of the samples being tampered/manipulated by the police officers so as to achieve a favourable result from the FSL, thereby, inculcating the appellant in the crime.”

Supreme Court Reports

44. In view of the analysis of evidence made above, we are of the firm view that the requisite link evidence essential to prove the safe-keeping and sanctity of the *muddamal* articles is lacking and the chain of custody has been breached beyond reprieve, thereby, making the FSL report (Ex. P-49) redundant and a worthless piece of paper.
45. Moreover, this Court in ***Allarakhya Habib Memon v. State of Gujarat*¹³**, expounded that even if the FSL report establishes that the blood group detected on the article recovered at the instance of the accused matches that of the deceased, such circumstance by itself is not sufficient to link the said accused with the crime. This Court observed as follows:-

“42. The trial court as well as the High Court heavily relied upon the FSL reports (Exts. 111-115) for finding corroboration to the evidence of the eyewitnesses and in drawing a conclusion regarding culpability of the appellants for the crime. We may reiterate that the testimony of the so-called eyewitnesses has already been discarded above by holding the same to be doubtful. **Thus, even presuming that the FSL reports (Exts. 111-115) conclude that the blood group found on the weapons recovered at the instance of the accused matched with the blood group of the deceased, this circumstance in isolation, cannot be considered sufficient so as to link the accused with the crime.**

43. In this regard, reliance can be placed on the judgment of *Mustkeem v. State of Rajasthan* [*Mustkeem v. State of Rajasthan*, (2011) 11 SCC 724 : (2011) 3 SCC (Cri) 473], wherein this Court held that sole circumstance of recovery of bloodstained weapon cannot form the basis of conviction unless the same was connected with the murder of the deceased by the accused. The relevant portion is extracted hereinbelow : (SCC p. 730, para 19)

“19. The AB blood group which was found on the clothes of the deceased does not by itself establish the guilt of the appellant unless

Pooranmal v. The State of Rajasthan & Anr.

the same was connected with the murder of the deceased by the appellants. None of the witnesses examined by the prosecution could establish that fact. The blood found on the sword recovered at the instance of Mustkeem was not sufficient for test as the same had already disintegrated. At any rate, due to the reasons elaborated in the following paragraphs, the fact that the traces of blood found on the deceased matched those found on the recovered weapons cannot ipso facto enable us to arrive at the conclusion that the latter were used for the murder.”

(Emphasis Supplied)

46. Thus, even if the FSL report (Ex. P-49) shows that the blood found on the shirt allegedly recovered at the instance of the appellant-Pooranmal matches that of the deceased-Aruna, such finding would by itself not be incriminating in the absence of other cogent and corroborative evidence completing the chain of circumstances.
47. Thus, neither the recovery of the currency notes is reliable, nor the recovery of the shirt inspires confidence. In addition thereto, the link evidence having not been proved, the FSL report (Ex. P-49) pales into insignificance.

III. CALL DETAIL RECORDS

48. The last and final piece of circumstantial evidence relied upon by the prosecution to bring home the charges against the appellant-Pooranmal pertains to the call detail records.
49. Section 65-B of the Evidence Act [Section 63 of the BSA] mandates that electronic evidence in form of a computer output (call detail records) can only be admitted in evidence upon satisfaction of the mandatory conditions prescribed under Section 65-B (4) of the Evidence Act [Section 63(4) of the BSA], which reads as follows: -

“(4) In any proceedings where it is desired to give a statement in evidence by virtue of this section, **a certificate doing any of the following things, that is to say, --**

Supreme Court Reports

(a) **identifying the electronic record containing the statement and describing the manner in which it was produced;**

(b) giving such particulars of any device involved in the production of that electronic record as may be appropriate for the purpose of showing that the electronic record was produced by a computer;

(c) dealing with any of the matters to which the conditions mentioned in sub-section (2) relate, and purporting to be signed by a person occupying a responsible official position in relation to the operation of the relevant device or the management of the relevant activities (whichever is appropriate) shall be evidence of any matter stated in the certificate; and for the purposes of this subsection it shall be sufficient for a matter to be stated to the best of the knowledge and belief of the person stating it.

(Emphasis supplied)

50. This position of law was cemented by this Court in the case of **Anvar P.V. v. P.K. Basheer**¹⁴, wherein it was held as follows: -

“14. Any documentary evidence by way of an electronic record under the Evidence Act, in view of Sections 59 and 65-A, can be proved only in accordance with the procedure prescribed under Section 65-B. Section 65-B deals with the admissibility of the electronic record. The purpose of these provisions is to sanctify secondary evidence in electronic form, generated by a computer. It may be noted that the section starts with a non obstante clause. Thus, notwithstanding anything contained in the Evidence Act, any information contained in an electronic record which is printed on a paper, stored, recorded or copied in optical or magnetic media produced by a

Pooranmal v. The State of Rajasthan & Anr.

computer shall be deemed to be a document only if the conditions mentioned under sub-section (2) are satisfied, without further proof or production of the original. The very admissibility of such a document i.e. electronic record which is called as computer output, depends on the satisfaction of the four conditions under Section 65-B(2). Following are the specified conditions under Section 65-B(2) of the Evidence Act:

- (i) The electronic record containing the information should have been produced by the computer during the period over which the same was regularly used to store or process information for the purpose of any activity regularly carried on over that period by the person having lawful control over the use of that computer;
- (ii) The information of the kind contained in electronic record or of the kind from which the information is derived was regularly fed into the computer in the ordinary course of the said activity;
- (iii) During the material part of the said period, the computer was operating properly and that even if it was not operating properly for some time, the break or breaks had not affected either the record or the accuracy of its contents; and
- (iv) The information contained in the record should be a reproduction or derivation from the information fed into the computer in the ordinary course of the said activity.

15. Under Section 65-B(4) of the Evidence Act, if it is desired to give a statement in any proceedings pertaining to an electronic record, it is permissible provided the following conditions are satisfied:

- (a) There must be a certificate which identifies the electronic record containing the statement;

Supreme Court Reports

- (b) The certificate must describe the manner in which the electronic record was produced;
- (c) The certificate must furnish the particulars of the device involved in the production of that record;
- (d) The certificate must deal with the applicable conditions mentioned under Section 65-B(2) of the Evidence Act; and
- (e) The certificate must be signed by a person occupying a responsible official position in relation to the operation of the relevant device.

16. It is further clarified that the person need only to state in the certificate that the same is to the best of his knowledge and belief. Most importantly, such a certificate must accompany the electronic record like computer printout, compact disc (CD), video compact disc (VCD), pen drive, etc., pertaining to which a statement is sought to be given in evidence, when the same is produced in evidence. All these safeguards are taken to ensure the source and authenticity, which are the two hallmarks pertaining to electronic record sought to be used as evidence. Electronic records being more susceptible to tampering, alteration, transposition, excision, etc. without such safeguards, the whole trial based on proof of electronic records can lead to travesty of justice.

17. Only if the electronic record is duly produced in terms of Section 65-B of the Evidence Act, would the question arise as to the genuineness thereof and in that situation, resort can be made to Section 45-A—opinion of Examiner of Electronic Evidence.

18. The Evidence Act does not contemplate or permit the proof of an electronic record by oral evidence if requirements under Section 65-B of the Evidence Act are not complied with, as the law now stands in India.”

(Emphasis Supplied)

Pooranmal v. The State of Rajasthan & Anr.

51. Subsequently, this Court in **Arjun Panditrao Khotkar v. Kailash Kushanrao Gorantyal**¹⁵, reaffirmed and clarified the position laid down in **Anvar P.V. (supra)**, observing that the requirement of a certificate under Section 65-B of the Evidence Act [Section 63 of the BSA] for admissibility of electronic evidence is mandatory and cannot be dispensed with, and held as follows:-

“61. We may reiterate, therefore, that the certificate required under Section 65-B(4) is a condition precedent to the admissibility of evidence by way of electronic record, as correctly held in *Anvar P.V. [Anvar P.V. v. P.K. Basheer, (2014) 10 SCC 473 : (2015) 1 SCC (Civ) 27 : (2015) 1 SCC (Cri) 24 : (2015) 1 SCC (L&S) 108]*, and incorrectly “clarified” in *Shafhi Mohammad [Shafhi Mohammad v. State of H.P., (2018) 2 SCC 801 : (2018) 2 SCC 807 : (2018) 2 SCC (Civ) 346 : (2018) 2 SCC (Civ) 351 : (2018) 1 SCC (Cri) 860 : (2018) 1 SCC (Cri) 865]*. Oral evidence in the place of such certificate cannot possibly suffice as Section 65-B(4) is a mandatory requirement of the law. Indeed, the hallowed principle in *Taylor v. Taylor [Taylor v. Taylor, (1875) LR 1 Ch D 426]*, which has been followed in a number of the judgments of this Court, can also be applied. Section 65-B(4) of the Evidence Act clearly states that secondary evidence is admissible only if led in the manner stated and not otherwise. To hold otherwise would render Section 65-B(4) otiose.”

52. Admittedly, in the present case, the certificate under Section 65-B of the Evidence Act [Section 63 of the BSA] was not proved by the prosecution. In the absence of the certificate, mandatorily required under Section 65-B of the Evidence Act [Section 63 of the BSA], the call detail records become inadmissible in evidence and cannot be relied upon to support the prosecution’s case.

CONCLUSION

53. In view of the discussion made above, we are of the opinion that the prosecution has miserably failed to establish a complete and coherent chain of incriminating circumstances so as to bring home the guilt

15 (2020) 7 SCC 1.

Supreme Court Reports

of the appellant-Pooranmal. Neither were the so-called incriminating circumstances proved by cogent and admissible evidence, nor do they form an unbroken chain pointing unequivocally towards the guilt of the appellant-Pooranmal.

54. As an upshot of the above discussion, we have no hesitation in concluding that the prosecution has failed to bring home the charges against the appellant-Pooranmal and the impugned judgments do not stand to scrutiny.
55. Consequently, conviction of the appellant-Pooranmal as recorded by the trial Court and affirmed by the High Court cannot be sustained. Hence, the impugned judgments are hereby set aside. The appellant-Pooranmal is acquitted of the charges. He is in custody and shall be released forthwith, if not wanted in any other case.
56. The appeal is accordingly allowed in the above terms.
57. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Ankit Gyan

Abhishek Sharma
v.
The State of Jammu and Kashmir & Ors.

(Civil Appeal No. 3332 of 2026)

09 March 2026

[Vikram Nath* and Sandeep Mehta, JJ.]

Issue for Consideration

Whether the respondent-State was justified in law in classifying the present appellants, who were engaged on an academic arrangement basis under the impugned SRO No. 384 titled “Jammu and Kashmir Medical and Dental Education (Appointment on Academic Arrangement Basis) Rules, 2009”, as a distinct class u/s.3 of the Jammu and Kashmir Civil Services (Special Provisions) Act, 2010, and thereby excluding them from the benefit of regularisation contemplated under the said enactment.

Headnotes[†]

Jammu and Kashmir Civil Services (Special Provisions) Act, 2010 – ss.3(b), 5(v) – Constitution of India – Arts.14, 16 – s.3(b), if unconstitutional and violative of Art.14 – Appellants engaged on an academic arrangement basis under the impugned SRO No. 384 of 2009 were classified as a distinct class u/s.3 of the 2010 Act by the respondent-State and excluded from the benefit of regularisation under the 2010 Act which provided for the regularisation of employees appointed on an *ad hoc*, contractual or consolidated basis – Whether the classification engrafted u/s.3(b) of the 2010 Act offends the fundamental rights guaranteed under Part III of the Constitution – Whether the criterion adopted by the State to treat the appellants differently withstands scrutiny in the eyes of law, or whether the *differentia* sought to be carved out offends the equality principles enshrined in the Constitution:

Held: Nomenclature is not determinative of constitutional entitlement – Where employees appointed on an “academic arrangement” basis are similarly situated to those engaged on

* Author

Supreme Court Reports

ad hoc, contractual or consolidated basis in terms of duties, tenure, conditions of service and mode of appointment, denial of equal treatment solely on the basis of nomenclature is impermissible u/Art.14 of the Constitution of India – The exclusion u/s.3(b) of the 2010 Act does not satisfy the test of reasonable classification – It lacks an *intelligible differentia* and bears no rational nexus with the object of the Act, which is to regularize long-standing irregular appointments, and therefore results in invidious discrimination *qua* appointments on academic arrangement basis – Fulfilment of statutory conditions u/s.5(i) to (v) of the 2010 Act is determinative of eligibility for regularization – Once such conditions are satisfied, the nature of the initial engagement, whether academic arrangement, *ad hoc*, contractual or consolidated, ceases to have any legal relevance – The second proviso to s.5 of the 2010 Act is a beneficial provision and must receive purposive interpretation – Any construction which defeats the legislative intent of protecting employees who subsequently complete the qualifying service period is constitutionally unsustainable – State, as a model employer, cannot adopt artificial classifications to deny statutory benefits – Repackaging contractual engagements under a different nomenclature, while denying regularization, violates the equality mandate u/Arts.14 and 16 – Judgments passed by the High Court set aside – s.3(b) of the 2010 Act, insofar as it excludes employees appointed on an academic arrangement basis from consideration for regularisation despite fulfilment of conditions u/s.5 of the Act, is unconstitutional and violative of Art.14 of the Constitution – Respondent-State to consider the cases of the appellants for regularisation in accordance with s.5 of the 2010 Act, without reference to the nomenclature of their initial appointment – Jammu and Kashmir Contractual Appointment Rules, 2003. [Paras 12, 13.1, 13.2, 13.3]

Jammu and Kashmir Medical and Dental Education (Appointment on Academic Arrangement Basis) Rules, 2009 – Jammu and Kashmir Contractual Appointment Rules, 2003 (SRO of 2003) – State to act as a model employer and not as a hard-bargaining negotiator:

Held: State is expected to act as a model employer and not as a hard-bargaining or avaricious negotiator – The manner in which the respondent-State proceeded to issue the impugned SRO of 2009, disapproved – Undisputedly, SRO of 2003 was already in

Abhishek Sharma v. The State of Jammu and Kashmir & Ors.

force, providing for appointments on a contractual basis under the respondent-State – Thus, subsequent decision of the respondent-State to promulgate the impugned SRO of 2009 was not a benign or innocuous exercise – What was sought to be done was merely to repackage a substantially similar mode of engagement under a new nomenclature, namely “appointment on academic arrangement”, while simultaneously imposing an artificial ceiling of six years on the tenure of such appointments – To compound the matter, when the respondent-State did eventually act in the manner expected of a responsible employer by enacting the 2010 Act providing for regularisation of services, it once again carved out an exclusion by wholly denying appointees engaged on an academic arrangement basis the benefit of regularisation – Such a classification rests on considerations alien to settled constitutional jurisprudence and the equality mandate – By creating two categories, one comprising appointees on an academic arrangement basis and the other consisting of those engaged on a contractual, *ad hoc* or consolidated basis, the respondent-State has failed to establish any reasonable nexus between the classification and the object sought to be achieved by extending the benefit of regularisation to the latter category alone. [Paras 10.23, 10.24]

Jammu and Kashmir Medical and Dental Education (Appointment on Academic Arrangement Basis) Rules, 2009 *vis-à-vis* Jammu and Kashmir Contractual Appointment Rules, 2003 (regulating appointments of a contractual nature) – Rule 4(1) of SRO No. 384 of 2009 (the impugned SRO) and Rule 4(1) of SRO No. 255 of 2003 (the 2003 Contractual Rules) – Discussed. [Paras 10.11-10.14]

Constitution of India – Art.14 – When violated:

Held: Art.14 of the Constitution does not fetter the power of the State to frame classifications, for equals alone are entitled to equal treatment – Persons who are not similarly situated cannot claim parity – However, the said principle does not confer upon the State an unfettered licence to carve out artificial distinctions within a class of persons who are otherwise similarly situated – Any such artificial or unreasonable classification would strike at the very core of the right to equality and violate the mandate of Art.14 – For a classification to withstand constitutional scrutiny, two conditions are required to be satisfied – First, there must exist an

Supreme Court Reports

intelligible differentia, namely, a rational and discernible basis which distinguishes one group of persons from another, founded on a real and relevant criterion and in the absence of such a yardstick, the differentiation would be bereft of any rational foundation and would, therefore, be unreasonable – Second, the *differentia* so adopted, being the basis of the classification, must bear a rational nexus with the object sought to be achieved by the classification. [Paras 10.8, 10.9]

Case Law Cited

State of Punjab and Others v. Davinder Singh and Others [2024] 8 SCR 1321 : (2025) 1 SCC 1 – followed.

Anjum Kadari and Another v. Union of India and Others [2024] 11 SCR 365 : (2025) 5 SCC 53 – referred to.

List of Acts

Jammu and Kashmir Civil Services (Special Provisions) Act, 2010; Constitution of India.

List of Keywords

Section 3 (b), Jammu and Kashmir Civil Services (Special Provisions) Act, 2010 unconstitutional and violative of Article 14 of Constitution of India; Test of reasonable classification; Section 3 (b), Jammu and Kashmir Civil Services (Special Provisions) Act, 2010 lacks *intelligible differentia*; No rational nexus with the object of the Act; Section 5, Jammu and Kashmir Civil Services (Special Provisions) Act, 2010; Jammu and Kashmir Medical and Dental Education (Appointment on Academic Arrangement Basis) Rules, 2009; Jammu and Kashmir Contractual Appointment Rules, 2003; Employees appointed on an “academic arrangement” basis similarly situated to employees engaged on *ad hoc*, contractual or consolidated basis; Eligibility for regularization; Employees appointed on an “academic arrangement”; Employees engaged on *ad hoc*, contractual or consolidated basis; Regularisation of employees appointed on *ad hoc*, contractual or consolidated basis; Appointments of a contractual nature; Junior Staff Nurse/Female Multipurpose Health Worker; Purposive interpretation; State a model employer; Regularization denied; Violation of Articles 14 and 16 of the Constitution of India; Repackaging contractual engagements under different nomenclature.

Abhishek Sharma v. The State of Jammu and Kashmir & Ors.**Case Arising From**

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 3332 of 2026

From the Judgment and Order dated 22.02.2023 of the High Court of Jammu & Kashmir and Ladakh at Jammu in LPA No. 81 of 2018

With

Special Leave Petition (Civil) No(s). 5093, 12238 of 2023 and
Special Leave Petition (Civil) No. 2477 of 2025

Appearances for Parties

Advs. for the Petitioner(s):

Dr. Rajiv Nanda, Mrs. V. Mohana, Sr. Advs., Anilendra Pandey, Sandeep, Brajesh Pandey, Kanchan Kumar Jha, Gurmeet Singh, M/s. Brajesh Pandey & Associates.

Advs. for the Respondent(s):

Ms. Aishwarya Bhati, ASG, G.M.Kawoosa, Anupriya Srivastava, Ms. Manisha Chava, Pashupathi Nath Razdan, Anilendra Pandey.

Judgment / Order of the Supreme Court**Judgment**

Vikram Nath, J.

Civil Appeal @ SLP (C) No. 5108 of 2023, Civil Appeal @ SLP (C) No. 5093 of 2023 and Civil Appeal @ SLP (C) No. 12238 of 2023

1. Leave granted.
2. The present appeals call into question the common judgment dated 22nd February, 2023, passed by the High Court of Jammu & Kashmir and Ladakh at Jammu¹ in a batch of intra-court appeals² along with connected writ petitions³, whereby the learned Division Bench dismissed the said intra-court appeals and writ petitions and affirmed the order of the learned Single Judge rejecting the appellants' claim for regularisation of their services.

¹ Hereinafter, referred to as "High Court".

² Letter Patent Appeal Nos. 30, 33, 34, 40, 80, 81, 192, 193 of 2018, LPA No. 76 of 2019, LPA No. 10 of 2020, LPA Nos. 80 and 81 of 2022.

³ SWP No. 886 of 2018, Writ Petition (C) Nos. 4286 and 4364 of 2019.

Supreme Court Reports

FACTS OF PRESENT CASES: -

3. The brief facts, in a nutshell, insofar as they are relevant for the disposal of the present appeals, are stated hereinafter: -
 - 3.1. The respondent-State, *vide* order dated 14th December, 2009, issued SRO No. 384⁴ titled “Jammu and Kashmir Medical and Dental Education (Appointment on Academic Arrangement Basis) Rules, 2009”⁵. The said SRO envisaged the appointment of personnels to posts relating to teaching staff, medical officers, nurses, para-medical, para-dental and technical staff in the Government Medical Colleges on academic arrangement basis.
 - 3.2. In the interregnum, the respondent-State, on 29th April, 2010 enacted Jammu and Kashmir Civil Services (Special Provisions) Act, 2010,⁶ which provided for the regularisation of employees appointed on an *ad hoc*, contractual or consolidated basis. It is pertinent to note that appointments made under the impugned SRO were expressly excluded from the categories eligible to seek regularisation of service under the said enactment.
 - 3.3. Pursuant to the 2009 Rules, the present appellants were appointed thereunder to the posts of Junior Staff Nurse/Female Multipurpose Health Worker during the period between 2011 and 2013.
 - 3.4. On 17th August, 2015 respondent No. 2, namely the Government Medical College, addressed a communication to the respondent-State, requesting that the posts occupied by the appellants be referred to the Service Selection Board for undertaking the regular selection process.
 - 3.5. In this backdrop, the paramedical staff, including the present appellants who had been appointed under the 2009 Rules, submitted a joint representation to respondent No. 2, i.e. the Government Medical College, seeking regularisation of their services and further requesting that their posts not be referred to the Service Selection Board.

4 Hereinafter, referred to as “impugned SRO”.

5 Hereinafter, referred to as “2009 Rules”.

6 Hereinafter, referred to as “2010 Act”.

Abhishek Sharma v. The State of Jammu and Kashmir & Ors.

- 3.6. Ultimately, an advertisement dated 1st September, 2015, was issued inviting applications for appointment on a regular basis to 1088 posts, which included the posts occupied by the present appellants.
- 3.7. Aggrieved thereby, the appellants approached the High Court by filing writ petitions seeking the benefit of regularisation under the 2010 Act. The learned Single Judge, by a common judgment dated 4th May, 2018, dismissed the writ petitions and declined the appellants' claim for regularisation in terms of the said Act.
- 3.8. Aggrieved by the said judgment, the appellants preferred intra-court appeals before the High Court assailing the decision of the learned Single Judge. The learned Division Bench, by a common judgment dated 22nd February, 2023, dismissed the intra-court appeals along with the connected writ petitions, holding that the appellants were not entitled to regularisation under the 2010 Act.
4. It is in these circumstances that the appellants have approached this Court.

ISSUE BEFORE THIS COURT: -

5. The issue that, therefore, arises for our consideration is whether the respondent-State was justified in law in classifying the present appellants, who were engaged on an academic arrangement basis under the impugned SRO No. 384 of 2009, as a distinct class under Section 3 of the Jammu and Kashmir Civil Services (Special Provisions) Act, 2010, and thereby excluding them from the benefit of regularisation contemplated under the said enactment.

SUBMISSIONS ON BEHALF OF THE APPELLANTS:

6. Dr. Rajiv Nanda and Mrs. V. Mohana, learned Senior Counsel appearing on behalf of the appellants, vehemently assailed the impugned judgment of the High Court, contending, inter alia, as follows: -
 - 6.1. That Section 9(b) of the 2010 Act expressly excludes persons appointed on an "academic arrangement" basis from its purview, thereby creating an arbitrary and unjustified classification between the appellants and other similarly situated employees engaged on an ad hoc, contractual or consolidated basis.

Supreme Court Reports

It was contended that there exists no *intelligible differentia* distinguishing the appellants from such categories, nor any rational nexus between the said classification and the object sought to be achieved by the Act.

- 6.2. That the very object of the 2010 Act was to cure and regularise long-standing irregular appointments and to extend legal protection to employees who had been rendering service for considerable periods against substantive and essential posts.
- 6.3. That the appellants were appointed during the period 2011-2012 against clear and sanctioned vacancies, pursuant to a duly conducted, transparent selection process undertaken after verification of their eligibility, qualifications and experience in accordance with the applicable recruitment rules. It was further contended that the appellants have continuously discharged perennial and essential functions for a period exceeding a decade.
- 6.4. That the appellants have been discharging duties identical in nature, responsibility and continuity to those performed by regular employees, and that their functions are indispensable to the efficient functioning of the institutions under the respondent-State.
- 6.5. That the issuance of a fresh advertisement for the very posts presently occupied by the appellants was arbitrary, unreasonable and violative of Articles 14 and 16 of the Constitution of India⁷. It was contended that the respondent-State, having extracted perennial services from the appellants over several years, could not, without any justifiable basis, seek to displace them through a fresh selection process.

On these premises, learned Senior Counsel appearing for the appellants urged that the present appeals merit acceptance and that the impugned judgment of the High Court be set aside.

SUBMISSIONS ON BEHALF OF THE RESPONDENT-STATE: -

7. *Per contra*, Ms. Aishwarya Bhati, learned Additional Solicitor General appearing on behalf of the respondent-State, stoutly opposed the submissions advanced by the appellants and advanced the following submissions: -

⁷ Hereinafter, referred to as "Constitution".

Abhishek Sharma v. The State of Jammu and Kashmir & Ors.

- 7.1. That Section 3 of the 2010 Act was applicable only to specified categories of appointees who fulfilled the statutory cut-off conditions, and since the appellants were engaged on an academic arrangement basis, they did not fall within the ambit of the said provision so as to claim regularisation thereunder.
- 7.2. That the proviso to Rule 4 of the impugned SRO unequivocally stipulates that candidates appointed thereunder shall not have any preferential claim to regular appointment through the normal process of recruitment.
- 7.3. That the appellants had furnished affidavits undertaking to abide by the terms and conditions of the impugned SRO, and thus, prior to joining service on an academic arrangement basis, they had voluntarily accepted the conditions governing their engagement. Having consciously assented to the said Rules, the appellants, it was contended, are estopped from questioning the consequences flowing therefrom.
- 7.4. That any regularisation of the appellants' services would operate to the prejudice of other eligible candidates, who may have refrained from applying on the legitimate expectation that the appointments were purely temporary and would subsist only until the regular recruitment process was undertaken.
- 7.5. That it is a settled position of law that temporary, contractual or ad hoc engagement does not confer any vested right to regularisation, and that regularisation cannot be claimed in derogation of, or contrary to, the governing statutory rules.

On these grounds, the learned Additional Solicitor General appearing for the respondent-State submitted that the present appeals preferred by the appellants are devoid of merit and, accordingly, deserve to be dismissed.

ANALYSIS AND DISCUSSION: -

8. We have heard the learned Senior Counsel appearing on behalf of both parties and have carefully perused the material placed on record.
9. While dismissing the intra-court appeals preferred by the present appellants and affirming the order of the learned Single Judge, the learned Division Bench recorded the following findings: -

Supreme Court Reports

- i. That the learned Single Judge rejected the appellants' claim for regularization under the 2010 Act on the ground that the said statute applied only to appointments made up to 29th April, 2010, being the appointed date under the Act.
 - ii. That the Rules under which the appellants were appointed were framed with the object of ensuring that the functioning of the Medical and Dental Colleges did not suffer on account of delays in the regular recruitment process.
 - iii. That the appellants were fully conscious of the condition that they would not be entitled to any preferential claim for regular appointment through the normal process of selection, and therefore could not subsequently seek regularization.
 - iv. That even assuming, for the sake of argument, that the appellants could be treated as contractual employees, their engagement was for a limited duration and it could not be said that the respondent-State had utilized their services for an unduly prolonged period.
10. At the very threshold, we find ourselves unable to concur with the reasoning adopted by both the courts below. The High Court failed to advert to the correct position of law. Once a specific challenge was mounted by the present appellants to the *vires* of the 2010 Act, on the ground that the same infringed the fundamental rights guaranteed under the Constitution, it was incumbent upon the High Court to undertake a substantive examination as to whether the impugned provisions satisfied the constitutional threshold. Instead, the provisions were upheld as they stood, without any meaningful scrutiny or analysis as to their compatibility with the constitutional scheme. It is this perfunctory and truncated approach adopted by the courts below that has necessitated our examination of the validity of the challenge raised before us.
- 10.1. This Court, *vide* order dated 23rd June, 2023, passed in Civil Appeal arising out of SLP (C) No. 12238 of 2023, directed that *status quo* be maintained with respect to the appellants and all other similarly placed employees. Consequently, the appellants have continued in the service of the respondent-State throughout the pendency of the present *lis*.

Abhishek Sharma v. The State of Jammu and Kashmir & Ors.

10.2. The appellants were appointed during the period between 2011 and 2013 under SRO No. 384. The respondent-State enacted the 2010 Act, which provided for the regularisation of employees appointed on an *ad hoc*, contractual or consolidated basis. The relevant provisions of the said enactment, insofar as they bear upon the controversy in question, are extracted hereinbelow: -

“ . . .

3. Application of the Act.

The provisions of this Act shall apply to such posts under the Government as are held by any person having been appointed on ad hoc or contractual basis including those appointed on consolidated pay provided that such appointments have been made against the clear vacancies, but shall not apply to: -

(a) . . .

(b) persons appointed on tenure posts co-terminus with the life of the project or Scheme of the State or Central Government, as the case may be, and those appointed on academic arrangement for a fixed term in any Government Department ;

5. Regularization of ad hoc or contractual or consolidated appointees. -

Notwithstanding anything to the contrary contained in any law for the time being in force or any judgment or order of any court or tribunal, the ad hoc or contractual or consolidated appointees referred to in section 3 shall be regularized on fulfilment of the following conditions, namely: -

(i) that he has been appointed against a clear vacancy or post;

(ii) that he continues as such on the appointed day;

Supreme Court Reports

(iii) that he possessed the requisite qualification and eligibility for the post on the date of his initial appointment on ad hoc or contractual or consolidated basis as prescribed under the recruitment rules governing the service or post;

(iv) that no disciplinary or criminal proceedings are pending against him on the appointed day; and

(v) that he has completed seven years of service as such on the appointed day:

Provided that the regularization of the eligible ad hoc or contractual or consolidated appointees under this Act shall have effect only from the date of such regularization, irrespective of the fact that such appointees have completed more than seven years of service on the appointed day or thereafter but before such regularization:

Provided further that any ad hoc or contractual or consolidated appointee who has not completed seven years' service on the appointed day shall continue as such till completion of seven years and shall thereafter be entitled to regularization under this Act.

. . . ”

(emphasis supplied)

Accordingly, Section 3 of the 2010 Act expressly excludes from its ambit persons appointed on an academic arrangement for a fixed tenure in any Government Department. By operation of Section 3(b) of the said Act, the respondent-State has sought to justify its policy decision of treating the present appellants as a separate category and denying them the benefit of regularisation under the 2010 Act.

- 10.3. The said provision was assailed by the present appellants by filing writ petitions before the High Court, wherein a specific prayer was made for issuance of a writ of *mandamus* declaring Section 3(b) of the 2010 Act, insofar as it excluded persons

Abhishek Sharma v. The State of Jammu and Kashmir & Ors.

appointed on an academic arrangement for a fixed term in any Government Department, as *ultra vires* the Constitution. The reliefs sought by the appellants in the writ petitions before the High Court were, accordingly, as follows: -

“a) *Certiorari* so as to set aside and quash letter No. AHJ/ 2015/2014 dated 17-08-2015 to the extent it refers the posts held by the petitioners to SSRB with a consequential direction to quash the resultant advertisement Notice issued by SSRB bearing No.05 of 2015 dated 0109-2015 issued by respondent No.6 upto the extent of advertising the posts of FMPHW/ Junior Grade Nurse (Item No.264 and Item No.267).

b) *Certiorari/Mandamus* declaring part of Section 3(b) of Civil Services Special Provision Act, 2010 to the extent of providing those appointed on academic arrangement for a fixed term in any Government Department as *ultra-vires* the constitution and violative of Article 14 of the Constitution of India and quashing the same.

c) Further writ of *mandamus* directing and commanding the respondents to allow the petitioners to continue within the Proviso 2 of Section 5 of the Civil Services Special Provision Act, 2010 to complete seven years of their service and submit their cases to Empowered Committee for regularization within the provision of said Act after completion of seven years.

d) Writ of prohibition restraining the respondents 1, 2, 5 and 6 from filling up the posts held by the petitioners and particularly restraining respondent No.5 and 6 from Initiating any further selection process in respect of the posts advertised at item No.264 and Item No-267.

e) Issue writ in the nature of *mandamus* declaring the provision of SRO 384 of 2009 dated 14-12-2009 is so far as it excludes the petitioners from seeking regularization as Female Multipurpose Health Worker, Junior/ Senior Staff Nurse be declared as

Supreme Court Reports

unconstitutional and in violation to the mandate of Article 39 -D of the Constitution of India.”

- 10.4. The parameters on which the validity of a legislative enactment may be assailed have been consistently reiterated by this Court. A 3-Judge Bench of this Court, in **Anjum Kadari and another v. Union of India and others**,⁸ has authoritatively held that a law enacted by Parliament or a State Legislature can be invalidated by courts on two grounds alone, namely: (i) lack of legislative competence; and (ii) infringement of any of the fundamental rights guaranteed under Part III of the Constitution or violation of any other constitutional provision.
- 10.5. Accordingly, Section 3(b) of the 2010 Act is required to be tested on the anvil of the principles laid down by this Court to determine its constitutional validity. It is not in dispute that the appellants do not assail the 2010 Act on the ground of lack of legislative competence of the respondent-State. Consequently, the sole issue that survives for consideration is whether the classification engrafted under Section 3(b) of the 2010 Act offends the fundamental rights guaranteed under Part III of the Constitution.
- 10.6. According to the appellants, the impugned provision expressly excludes persons appointed under an “academic arrangement”, such as the present appellants, from its ambit. It is contended that this exclusion creates an artificial and arbitrary classification, resulting in an unjustified distinction between the appellants and other similarly situated employees engaged on an *ad hoc*, contractual or consolidated basis.
- 10.7. The 2010 Act, thus, creates two distinct classes of appointees, namely: those appointed on an *ad hoc*, contractual or consolidated basis, and those engaged on an academic arrangement.
- 10.8. More recently, a 7-Judge Bench of this Court, in **State of Punjab and others v. Davinder Singh and others**,⁹ had occasion to consider the permissibility of sub-classification within the framework of affirmative action, in the context of

8 (2025) 5 SCC 53

9 (2025) 1 SCC 1

Abhishek Sharma v. The State of Jammu and Kashmir & Ors.

the equality mandate under Article 14 of the Constitution. While delineating the parameters governing the creation of classifications without transgressing the principle of equality before the law, this Court observed as follows: -

“84. Article 14 employs two expressions — equality before the law and equal protection of the laws. Both different in content and sweep. “Equality before the law”, an expression derived from the English Common law, entails absence of special privileges for any individual within the territory. It does not mean that the same law should apply to everyone, but that the same law should apply to those who are similarly situated. The expression “equal protection of the laws” means that among equals, laws must be equally administered. It enjoins the State with the power to reasonably classify those who are differently placed. The mandate of “equal protection of laws” casts a positive obligation on the State to ensure that everyone may enjoy equal protection of the laws, and no one is unfairly denied this protection. In essence, the guarantee of equality entails that all persons in like circumstances must be treated alike. That there must be a parity of treatment under parity of conditions. Equality does not entail sameness. The State is allowed to classify in a manner that is not discriminatory. The doctrine of classification gives content to the guarantee of equal protection of the laws. Under this approach, the focus is on the equality of results or opportunities over equality of treatment.

85. The Constitution permits valid classification if two conditions are fulfilled. First, there must be an intelligible differentia which distinguishes persons grouped together from others left out of the group. The phrase “intelligible differentia” means difference capable of being understood. The difference is capable of being understood when there is a yardstick to differentiate the class included and others excluded from the

Supreme Court Reports

group. In the absence of the yardstick, the differentiation would be without a basis and hence, unreasonable. The basis of classification must be deducible from the provisions of the statute; surrounding circumstances or matters of common knowledge. In making the classification, the State is free to recognise degrees of harm. Though the classification need not be mathematical in precision, there must be some difference between the persons grouped and the persons left out, and the difference must be real and pertinent. The classification is unreasonable if there is “little or no difference”. Second, the differentia must have a rational relation to the object sought to be achieved by the law, that is, the basis of classification must have a nexus with the object of the classification.”

(emphasis supplied)

Article 14 of the Constitution, therefore, does not fetter the power of the State to frame classifications, for equals alone are entitled to equal treatment. Persons who are not similarly situated cannot claim parity. However, the said principle does not confer upon the State an unfettered licence to carve out artificial distinctions within a class of persons who are otherwise similarly situated. Any such artificial or unreasonable classification would strike at the very core of the right to equality and violate the mandate of Article 14 of the Constitution.

- 10.9. Thus, for a classification to withstand constitutional scrutiny, two conditions are required to be satisfied. *First*, there must exist an *intelligible differentia*, namely, a rational and discernible basis which distinguishes one group of persons from another, founded on a real and relevant criterion. As observed in ***Davinder Singh*** (*supra*), in the absence of such a yardstick, the differentiation would be bereft of any rational foundation and would, therefore, be unreasonable. *Second*, the *differentia* so adopted, being the basis of the classification, must bear a rational nexus with the object sought to be achieved by the classification.

Abhishek Sharma v. The State of Jammu and Kashmir & Ors.

- 10.10. In the present case, the 2010 Act extends the benefit of regularisation to appointees engaged on an *ad hoc*, contractual or consolidated basis, whereas those appointed on an academic arrangement, such as the present appellants, are placed in a separate category and rendered ineligible for the benefit of regularisation under the said enactment.
- 10.11. Appointments of a contractual nature were regulated by SRO No. 255 issued by the respondent-State on 5th August, 2003 titled “Jammu and Kashmir Contractual Appointment Rules, 2003”. A comparative examination of the said 2003 Contractual Rules and the impugned SRO of 2009 governing appointments on an academic arrangement basis reveal that a substantial number of provisions contained therein are identical or closely similar in nature.
- 10.12. Rule 4 of both the sets of Rules pertains to appointments made thereunder. Rule 4(1) of SRO No. 384 of 2009 (the impugned SRO) and Rule 4(1) of SRO No. 255 of 2003 (the 2003 Contractual Rules) are identically worded. For the sake of clarity, the relevant extract is reproduced hereinbelow: -

SRO No. 384 of 2009 (impugned SRO, governing appointment on academic basis)	SRO No. 255 of 2003 (2003 Contractual Rules)
4. Appointment under these rules. – (1) Notwithstanding anything to the contrary contained in any rule or order for the time being in force relating to the method of recruitment and conditions of service for recruitment in any service, or to any post under the Government, the appointing authority may appoint persons to the posts mentioned under rule 3 on academic arrangement basis initially for a period of one year extendable upto maximum of six years (one year at a time and subject to good performance and conduct) or till selection/promotion is made in accordance with the rules of recruitment governing the respective posts, whichever is earlier:	4. Appointment under these rules. – (1) Notwithstanding anything to the contrary contained in any rule or order for the time being in force relating to the method of recruitment and conditions of service for recruitment in any service, or to any post, under the Government, the appointing authority may appoint persons to the posts notified under Rule 3 on contract basis initially for a period of one year or till regular selection is made in accordance with the rules of recruitment governing the respective posts, whichever is earlier.

Supreme Court Reports

Provided that the appointment under these rules shall not entitle the appointee to any preferential claim for regular appointment under normal process of selection/appointment. ... (2) The services of an appointee under these rules shall be terminate before the expiry of the tenure appointment with one month's notice, from either side, or on payment of one month's salary in lieu of notice by the appointing authority. (3) The appointee under these rules shall have to execute an agreement with the Government on the prescribed form appended as Form 'A' to these rules. (4) The appointment on academic arrangement basis against a post shall be made only when in filling up the post according to relevant recruitment rules is likely to be time consuming.	Provided that the appointment under these rules shall not entitle the appointee to any preferential claim for regular appointment under normal process of selection. (2) the services of an appointee under these rules shall be terminable before the expiry of the contractual period with one month's notice, form either side, or on payment of one month's salary in lieu of notice by the appointing authority. (3) The appointee under these rules shall have to execute an agreement with the Government on the prescribed from appended as Form 'A' to these rules.
--	---

- 10.13. A conjoint reading of the provisions of both the SROs reveals a striking degree of similarity. The first *proviso* to the impugned SRO as well as to the 2003 Contractual Rules is *pari materia*, inasmuch as both stipulate that appointments made thereunder shall not confer any preferential claim for regular appointment through the normal process of selection. Rule 2 of both the SROs further provides that the services of an appointee may be terminated prior to the expiry of the tenure or contractual period, as the case may be, upon issuance of one month's notice or on payment of one month's salary in lieu thereof. Significantly, Rule 3 of both the SROs prescribes the execution of a formal agreement between the respondent-State and the appointee, and the language employed in the agreements under both the SROs is identical.
- 10.14. The sole distinction between the two sets of provisions lies in the tenure of engagement. The impugned SRO of 2009, governing appointments on an academic arrangement basis, prescribes a ceiling on the term of service, providing that

Abhishek Sharma v. The State of Jammu and Kashmir & Ors.

such appointments shall be made for a period of one year, extendable up to a maximum of six years. In contrast, the 2003 Contractual Rules contemplate appointments for a period of one year or until a regular selection is made in accordance with the applicable recruitment rules, whichever is earlier.

- 10.15. In the present case, the appellants have already exceeded the six-year ceiling prescribed under Rule 4(1) of the impugned SRO, by reason of the interim orders directing maintenance of *status quo*, initially passed by the High Court on 7th June, 2018, in the intra-court appeals and thereafter by this Court *vide* order dated 17th April, 2023. Had the respondent-State simply terminated the services of the appellants upon completion of six years, as contemplated under Rule 4(1), the appellants would have been rendered ineligible to claim the benefit of regularisation upon completion of seven years of service under the 2010 Act.
- 10.16. The question that, therefore, arises for our consideration is whether the criterion adopted by the respondent-State to treat the present appellants differently withstands scrutiny in the eyes of law, or whether the *differentia* sought to be carved out offends the equality principles enshrined in the Constitution.
- 10.17. We are unable to accede to the submission of the respondent-State that the criterion adopted to deny parity of treatment to the appellants is valid and legally sustainable. The exception carved out under Section 3(b) of the 2010 Act could have been justified only if appointees engaged on an academic arrangement basis were inherently incapable of satisfying the conditions stipulated under the Act. However, once those conditions stand fulfilled, we find no cogent basis to deny such appointees the benefit of regularisation.
- 10.18. More so, such benefit would necessarily have to be extended by the respondent-State where the nature of duties discharged by appointees engaged on an academic arrangement basis is identical to the duties performed by those falling within the other categories rendered eligible for the benefit of regularisation.

Supreme Court Reports

- 10.19. Section 5(v) of the 2010 Act stipulates, as a necessary condition for regularisation, that an employee must have completed seven years of service as on the appointed day, namely 28th April, 2010. However, the second *proviso* to the said provision expressly acknowledges the possibility of subsequent fulfilment of the minimum requirement of seven years of service.
- 10.20. The second *proviso* further provides that an appointee who had not completed seven years of service on the appointed day shall continue in service until the completion of the requisite period of seven years and shall thereafter become entitled to regularisation under the Act. The beneficial tenor of the said provision manifests the intent of the respondent-State to avoid the enactment of measures that would have otherwise operated harshly against employees who, though short of the prescribed tenure on the appointed day, would subsequently fulfil the minimum requirement of seven years of service for availing the benefit of regularisation.
- 10.21. Accordingly, once the conditions stipulated under Section 5(i) to (v) of the 2010 Act stand satisfied, the appointee becomes entitled to seek regularisation of service at the hands of the State. In such circumstances, the nature of the initial engagement, whether on an academic arrangement, *ad hoc*, contractual or consolidated basis, would cease to be of determinative relevance.
- 10.22. Additionally, the very object underlying the enactment of the 2010 Act was to cure and regularise long-standing irregular appointments and to extend legal protection to employees who had been rendering service for prolonged periods against substantive and essential posts. The Act, therefore, cannot be construed or applied in a manner that arbitrarily excludes a class of employees, such as the present appellants, who are discharging identical duties under comparable conditions. Acceptance of the exclusion sought to be enforced by the respondent-State would not only defeat the legislative intent but would also result in invidious discrimination against a homogeneous class of workers.
- 10.23. The State is expected to act as a model employer and not as a hard-bargaining or avaricious negotiator. We deem it

Abhishek Sharma v. The State of Jammu and Kashmir & Ors.

appropriate to record our serious disapproval of the manner in which the respondent-State proceeded to issue the impugned SRO of 2009. It is an undisputed position that SRO of 2003 was already in force, providing for appointments on a contractual basis under the respondent-State. In that backdrop, the subsequent decision of the respondent-State to promulgate the impugned SRO of 2009 cannot be regarded as a benign or innocuous exercise. What was sought to be done was merely to repackage a substantially similar mode of engagement under a new nomenclature, namely “appointment on academic arrangement”, while simultaneously imposing an artificial ceiling of six years on the tenure of such appointments.

- 10.24. To compound the matter, when the respondent-State did eventually act in the manner expected of a responsible employer by enacting the 2010 Act providing for regularisation of services, it once again carved out an exclusion by wholly denying appointees engaged on an academic arrangement basis the benefit of regularisation. Such a classification rests on considerations alien to settled constitutional jurisprudence and the equality mandate. By creating two categories, one comprising appointees on an academic arrangement basis and the other consisting of those engaged on a contractual, *ad hoc* or consolidated basis, the respondent-State has failed to establish any reasonable nexus between the classification and the object sought to be achieved by extending the benefit of regularisation to the latter category alone.
- 10.25. Accordingly, we have no hesitation in holding that the respondent-State has not only failed to demonstrate any distinction in the nature of duties discharged by the appellants, but has, by engrafting the impugned exception in the 2010 Act, subjected the present appellants to invidious discrimination, thereby infringing their fundamental right to equality.

Civil Appeal @ SLP (C) No. 2477 of 2025

11. Leave granted.

- 11.1. The present appeal assails judgment dated 27th December, 2024, passed by the High Court in Writ Petition (C) No. 2535

Supreme Court Reports

of 2023, whereby the High Court dismissed the writ petition filed by the appellant-employees and upheld the order dated 4th September, 2023 passed by Central Administrative Tribunal, Bench, Srinagar in TA No. 204 of 2021.

- 11.2. The appellants in the present case are aggrieved by the same differential treatment being accorded by virtue of their appointment being on academic arrangement basis and thus, the case of the present appellants is entirely covered by the reasoning and discussion made by us earlier in this judgment.

Civil Appeal @ SLP (C) No. 5108 of 2023, Civil Appeal @ SLP (C) No. 5093 of 2023, Civil Appeal @ SLP (C) No. 12238 of 2023 and Civil Appeal @ SLP (C) No. 2477 of 2025.

OUR CONCLUSIONS: -

12. In light of the foregoing analysis and discussion, we summarise our conclusions as under: -
 - I. Nomenclature is not determinative of constitutional entitlement. Where employees appointed on an “academic arrangement” basis are similarly situated to those engaged on *ad hoc*, contractual or consolidated basis in terms of duties, tenure, conditions of service and mode of appointment, denial of equal treatment solely on the basis of nomenclature is impermissible under Article 14 of the Constitution of India.
 - II. The exclusion under Section 3(b) of the Jammu and Kashmir Civil Services (Special Provisions) Act, 2010 does not satisfy the test of reasonable classification. The said provision lacks an *intelligible differentia* and bears no rational nexus with the object of the Act, which is to regularize long-standing irregular appointments, and therefore results in invidious discrimination *qua* appointments on academic arrangement basis.
 - III. Fulfilment of statutory conditions under Section 5(i) to (v) of the 2010 Act is determinative of eligibility for regularization. Once such conditions are satisfied, the nature of the initial engagement, whether academic arrangement, *ad hoc*, contractual or consolidated, ceases to have any legal relevance.
 - IV. The second *proviso* to Section 5 of the 2010 Act is a beneficial provision and must receive purposive interpretation. Any

Abhishek Sharma v. The State of Jammu and Kashmir & Ors.

construction which defeats the legislative intent of protecting employees who subsequently complete the qualifying service period is constitutionally unsustainable.

- V. The State, as a model employer, cannot adopt artificial classifications to deny statutory benefits. Repackaging contractual engagements under a different nomenclature, while denying regularization, violates the equality mandate under Articles 14 and 16 of the Constitution.

FINAL DIRECTIONS: -

13. Accordingly, the judgments dated 22nd February, 2023 and 27th December, 2024, passed by the High Court of Jammu & Kashmir and Ladakh at Jammu in Letter Patent Appeal No. 81 of 2018 (along-with other connected and analogous appeals) and in Writ Petition (C) No. 2535 of 2023, respectively, are hereby set aside.
 - 13.1. It is declared that Section 3(b) of the Jammu and Kashmir Civil Services (Special Provisions) Act, 2010, insofar as it excludes employees appointed on an academic arrangement basis from consideration for regularisation despite fulfilment of conditions under Section 5 of the Act, is unconstitutional and violative of Article 14 of the Constitution.
 - 13.2. The respondent-State is directed to consider the cases of the appellants for regularisation in accordance with Section 5 of the 2010 Act, without reference to the nomenclature of their initial appointment, within a period of 4 weeks from the date of this judgment.
 - 13.3. The benefit of this judgment shall extend to all similarly situated employees appointed on an academic arrangement basis who satisfy the statutory requirements under the 2010 Act.
14. Consequently, the present appeals stand allowed in aforesaid terms.
15. Pending application(s), if any, are disposed of.

Result of the case: Appeals allowed.

Manohar Lal
v.
Commissioner of Police & Ors.

(Civil Appeal No. 13860 of 2024)

12 March 2026

[J.K. Maheshwari* and Atul S. Chandurkar, JJ.]

Issue for Consideration

Matter pertains to dismissal of police constable without conducting departmental inquiry, holding that it was not reasonably practicable to hold an inquiry.

Headnotes[†]

Constitution of India – Art.311(2) second proviso clause (b) – Dismissal, removal or reduction in rank of persons employed in civil capacities under the Union or a State – Exercise of the power u/Art.311 – Registration of FIR against the appellant-constable posted in the Special Cell for the offence of robbery and thereafter arrested and taken in custody – While he was in custody the order of dismissal passed in exercise of the power u/Art.311(2) second proviso clause (b) holding that it would not be ‘reasonably practicable’ to conduct a regular departmental enquiry on account of reasonable belief of threat, intimidation and inducement to the victim and thereby creating the possibility of tampering of the vital evidence – Appellant filed application seeking quashment of his dismissal order, however rejected by the tribunal – Writ petition thereagainst also dismissed by the High Court – Correctness:

Held: It is vivid from the analysis of the intent of Art.311(2) that an employee holding a post in Union or State ought not to be dismissed or removed by an authority subordinate to the one by which he was appointed – Person shall be dismissed or removed or reduced in rank after an inquiry supplying the charges if any against him and giving a reasonable opportunity of being heard in respect of those charges – Applicability of the said clause is restricted in a situation wherein his conduct led to his conviction of criminal

* Author

Manohar Lal v. Commissioner of Police & Ors.

charges or where the authority empowered who dismissed, removed or reduced in rank records reason in writing upon satisfaction that it is not 'reasonably practicable' to hold an enquiry against him – Where such power has been exercised by the President or the Governor it may be in the interest of security of the State or if not expedient to hold such an enquiry, then exceptional power under clause (c) of second proviso to Art.311 ought to be exercised – In case such a decision invoking the extraordinary power is taken by the competent authority, the scope of judicial review is available to the Constitutional Courts wherein the reasons as assigned for satisfaction of the authority must be reasonable, valid, justified and in writing – Satisfaction as recorded must be the objective satisfaction on the basis of material brought on record which ordinarily the disciplinary authority may take as a prudent person, otherwise, dispensing with the enquiry not permissible in law – On facts, the power exercised by the authority is completely without application of mind, thus, the question of recording of satisfaction as affirmed by the appellate authority, the CAT and the High Court does not arise – Thus, the order dispensing with the regular procedure of inquiry is arbitrary and consequently the order of dismissal of the appellant to be quashed and the orders of the CAT and the High Court affirming the said dismissal order stand set aside – Order passed by the CAT and the High Court set aside and the order of dismissal passed by the DCP and confirmed by the appellate authority quashed – In consequence, the appellant to be reinstated with continuity of service, being entitled for all consequential benefits notionally – Since, the appellant found involved in a criminal case, back wages from the date of dismissal till reinstatement restricted to 50%. [Paras 40-43]

Case Law Cited

Union of India and Anr. v. Tulsiram Patel and Others [1985] Supp. 2 SCR 131 : (1985) 3 SCC 398 – relied on.

Jaswant Singh v. State of Punjab and Ors. [1990] Supp. 3 SCR 354 : (1991) 1 SCC 362 – held applicable.

Ex. Const. Chhote Lal v. Union of India & Ors. (2000) 10 SCC 196; *Sudesh Kumar v. State of Haryana and Ors.* (2005) 11 SCC 525; *Tarsem Singh v. State of Punjab* (2006) 13 SCC 581; *State of Punjab v. Harbhajan Singh* [2007] 11 SCR 752 : (2007) 15 SCC 217; *Reena Rani v. State of Haryana* (2012) 10 SCC 215;

Supreme Court Reports

Risal Singh v. State of Haryana [2014] 7 SCR 544 : (2014) 13 SCC 244; *Sudesh Kumar v. State of Haryana and Ors.* (2005) 11 SCC 525 – referred to.

List of Acts

Constitution of India; Delhi Police (Punishment and Appeal) Rules, 1980; Delhi Police Act, 1978.

List of Keywords

Dismissal; Police constable; Without conducting departmental inquiry; Not reasonably practicable to hold inquiry; Special Cell; Reasonable belief of threat, intimidation and inducement to victim; Tampering of the vital evidence; Quashment of dismissal order.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 13860 of 2024

From the Judgment and Order dated 02.02.2023 of the High Court of Delhi at New Delhi in WP (C) No. 1309 of 2023

Appearances for Parties

Advs. for the Appellant(s):

Ms. V. Mohana, Sr. Adv., Sandeep Choudhary, Ram Niwas Buri, Basudeb Biswas, Naresh Sharma, Ms. Sreepriya K, Praveen Jain.

Advs. for the Respondent(s):

Brijender Chahar, A.S.G., Mukesh Kumar Maroria, Sanjay Kumar Tyagi, Mili Baxi, Rajat Nair, Vibhu Shanker Mishra, Aaditya Vikram.

Judgment / Order of the Supreme Court

Judgment

J.K. Maheshwari, J.

- 1) The instant appeal is directed against the order dated 02.02.2023 passed by the Division Bench of the High Court of Delhi (hereinafter '**High Court**') disposing of the writ petition filed by the appellant questioning the order of dismissal from service dated 18.07.2017

Manohar Lal v. Commissioner of Police & Ors.

passed by Deputy Commissioner of Police (hereinafter '**DCP**'), New Delhi, the Order of Appellate Authority dated 30.07.2018 and the Order dated 29.11.2022 passed by Central Administrative Tribunal, Principal Bench at New Delhi (hereinafter '**CAT**') in OA No. 744 of 2020.

- 2) The appellant was dismissed from service by the DCP, Delhi *vide* order dated 18.07.2017, in exercise of the power under clause (b) of second proviso to Article 311(2) of the Constitution of India without conducting departmental inquiry. The reason assigned for not resorting to the normal procedure prescribed under Delhi Police (Punishment and Appeal) Rules, 1980 (hereinafter '**1980 Rules**'), was that Shri Govind Sharma, Assistant Commissioner of Police (hereinafter '**ACP**') in the preliminary enquiry found that it would not be 'reasonably practicable' to conduct a regular departmental enquiry on account of reasonable belief of threat, intimidation and inducement to the victim and thereby creating the possibility of tampering of the vital evidence.
- 3) The appeal against the said order was dismissed by the Special Commissioner of Police, Delhi *vide* order dated 30.07.2018 accepting the reasons as indicated in the order of dismissal.
- 4) Being dissatisfied, the appellant filed OA No. 744 of 2020 before CAT seeking quashment of his dismissal order and the order of the appellate authority. The CAT referred to the stand as taken in the counter affidavit of the State, relied upon some judgments and declined to interfere, dismissing the Original Application filed by the appellant *vide* order dated 29.11.2022. Writ Petition (Civil) No. 1309 of 2023 filed before the High Court of Delhi by the appellant was dismissed, accepting the same reasoning as taken by the DCP.
- 5) Ms. V. Mohana, learned senior counsel, appearing on behalf of the appellant, referring to Section 21 of the Delhi Police Act, 1978 (hereinafter '**1978 Act**') contends that the power of punishment conferred upon the competent authority is not absolute; it is subject to the provisions of Article 311 of the Constitution of India and the 1980 Rules referred above. Referring to Rule 6, she contended that punishment mentioned at Serial Nos. (i) to (vii) of Rule 5 therein are deemed to be 'major penalties' and the competent authority can award the same after regular departmental inquiry. It is contended that as per Rule 14(2), a punishment of major penalty ought to be awarded

Supreme Court Reports

by the appointing authority only after the regular departmental inquiry. Article 311(2) of the Constitution of India contemplates that if a person is a member of a civil service of the Union or all India Service or a Civil Service of a State or holds a civil post under the Union or a State, he shall not be dismissed or removed or reduced in rank except after an inquiry in which he has been informed of the charges against him and has been afforded reasonable opportunity of being heard. The first proviso contemplates that in case the penalty is required to be imposed on the basis of evidence adduced during the inquiry, it would not be necessary to afford an opportunity of making representation on the proposed penalty. Clause (b) of second proviso states that where the authority empowered to remove a person is satisfied for some reason to be recorded in writing, to the effect that holding an inquiry is not 'reasonably practicable', the orders can be passed without adhering to the general principle contemplated by Article 311(2).

- 6) In reference to above, learned senior counsel submits that after registration of FIR No. 390 of 2017 on 28.06.2017, the appellant was taken into custody on 29.06.2017 and released on bail on 14.10.2017. In the meanwhile, the competent authority, *vide* order dated 18.07.2017, in exercise of power under clause (b) of second proviso of Article 311 (2), indicating that possibility of traumatizing the witnesses may not be ruled out, dismissed him from service. It is forcefully contended that while the appellant was in custody, reason as assigned of intimidating or traumatizing the witnesses are flimsy. In absence of any convincing material, exercise of such extraordinary power ignoring the procedure prescribed under the 1980 Rules is not permissible otherwise it would amount to misuse of the power by the competent authority. In support of these contentions, learned senior counsel has placed reliance on the judgments of this Court in ***Union of India and Anr. v. Tulsiram Patel and Others*¹, *Jaswant Singh v. State of Punjab and Ors.*², *Ex. Const. Chhote Lal v. Union of India & Ors.*³, *Sudesh Kumar v. State of Haryana***

1 (1985) 3 SCC 398

2 (1991) 1 SCC 362

3 (2000) 10 SCC 196

Manohar Lal v. Commissioner of Police & Ors.

***and Ors.*⁴, *Tarsem Singh v. State of Punjab*⁵, *State of Punjab v. Harbhajan Singh*⁶, *Reena Rani v. State of Haryana*⁷, and *Risal Singh v. State of Haryana*⁸.**

- 7) It is urged that the dismissal order passed by the competent authority and confirmed by the appellate authority is not legally sustainable and the CAT as well as the High Court have committed grave error in refusing to entertain the Original Application and the Writ Petition challenging the same. Therefore, the order of dismissal is liable to be quashed and set-aside.
- 8) *Per contra*, learned Additional Solicitor General Mr. Brijender Chahar, representing the State, *inter alia*, relied upon the preliminary inquiry of the ACP and the documents collected, DD entries of information and proceedings and other relevant material in support of his contentions. As per him, these documents reflect that the complainant and witnesses could have been traumatized by the egregious act of appellant and his associates who are in the police department. Possibility of their association with criminals and to approach the complainant or witnesses to intimidate or to induce them for withdrawing from the case or to turn them hostile during trial cannot be ruled out. In light of such apprehension, power exercised by the competent authority for not proceeding with the normal procedure of departmental inquiry is within the scope of its authority. It is contended that the stand as taken by the Department has been accepted by the CAT and the High Court; therefore, interference is not warranted.
- 9) After hearing learned counsel for the parties, we find that since the power of punishment of the competent authority has been conferred upon it *vide* Section 21 and the procedure as prescribed under Section 22 of the 1978 Act, they are relevant, hence, reproduced as under :

“21. Powers of punishment.— (1) Subject to the provisions of article 311 of the Constitution and the rules, the Commissioner of Police, Additional Commissioner of Police, Deputy Commissioner of Police, Additional Deputy

4 (2005) 11 SCC 525

5 (2006) 13 SCC 581

6 (2007) 15 SCC 217

7 (2012) 10 SCC 215

8 (2014) 13 SCC 244

Supreme Court Reports

Commissioner of Police, Principal of the Police Training College or of the Police Training School or any other officer of equivalent rank, may award to any police officer of subordinate rank any of the following punishments, namely:—

- (a) dismissal;*
- (b) removal from service;*
- (c) reduction in rank;*
- (d) forfeiture of approved service;*
- (e) reduction in pay;*
- (f) withholding of increment; and*
- (g) fine not exceeding one month's pay.*

(2) Subject to the rules—

(a) any police officer specified in sub-section (1) may award the punishment of censure to any police officer of subordinate rank;

(b) the Assistant Commissioner of Police may award the punishment of censure to police officers of, or below, the rank of Sub-Inspectors of Police;

(c) any police officer of, and above, the rank of Inspector may award punishment drill not exceeding fifteen days or fatigue duty or any other punitive duty to constables.

(3) Nothing in sub-section (1) or sub-section (2) shall affect any police officer's liability for prosecution and punishment for any offence committed by him.

(4) The Commissioner of Police, Additional Commissioner of Police, Deputy Commissioner of Police, Additional Deputy Commissioner of Police, Principal of the Police Training College or of the Police Training School, Assistant Commissioner of Police, or any other police officer of equivalent rank may suspend any police officer of subordinate rank who is reasonably suspected to be guilty of misconduct, pending an investigation or enquiry into such misconduct.

Manohar Lal v. Commissioner of Police & Ors.

(5) An Inspector of Police may suspend any police officer below the rank of Sub-Inspector of Police, who is reasonably suspected to be guilty of misconduct, pending an investigation or enquiry into such misconduct.

22. Procedure for awarding punishments.—*When any officer passes an order of awarding a punishment of dismissal, removal from service, reduction in rank, forfeiture of service, reduction in pay, withholding of increments or fine, he shall record such order or cause the same to be recorded together with the reasons therefor, in accordance with the rules.”*

From perusal of above provisions, it is clear that subject to Article 311 of Constitution of India, Section 21 confers power upon the authorities prescribed therein to impose various types of punishments as specified in clauses (a) to (g) of sub-section (1) upon a police officer of subordinate rank.

- 10) Further, Section 22 governs the procedure for awarding the punishment of dismissal, removal and reduction of rank and casts obligation upon the officer passing an order of punishment to record the reasons for such order in accordance with the rules.
- 11) In this context, Rules 5 and 6 of 1980 Rules governing the procedure as applicable to punishment orders, are reproduced as thus:—

“5. Authorised punishments - *The Delhi Police Act, 1978 prescribed the following penalties :*

(i) Dismissal, (ii) Removal from service, (iii) Reduction in rank [for a specified period], (iv) Forfeiture of approved service, (v) Reduction in pay, (vi) Withholding of increments, (vii) Fine not exceeding one month’s pay, (viii) Censure, (ix) Punishment drill not exceeding 15 days or fatigue duty or any other punishment duty to Constable only.

6. Classification of punishments and authorities competent to award them - *(i) Punishments mentioned at Serial Nos. (i) to (vii) above shall be deemed ‘major punishment’ and may be awarded by an officer not below the rank of the appointing authority or above after a regular departmental enquiry.*

Supreme Court Reports

(ii) Punishment mentioned at Serial No. (viii) shall be called 'minor punishment' and may be awarded by the authorities specified in sub-section (i) of Section 21 of the Delhi Police Act, 1978 after serving a show cause notice giving reasonable time to the defaulter and considering his written reply as well as oral deposition, if any for which opportunity shall be afforded on request.

Authority competent to award	Rank to whom it can be awarded
<i>(i) Deputy Commissioner of Police and above</i>	<i>Inspector and below</i>
<i>(ii) Assistant Commissioner of Police</i>	<i>Constable to Sub-Inspector</i>

(iii) The punishment mentioned at Serial No. (ix) above may be called Orderly Room punishment and shall be awarded after the defaulter has been marched and heard in Orderly Room by the Officer of and above the rank of Inspector as laid down in Section 21 (3) (c) of the Delhi Police Act, 1978."

The present case relates to the punishment of dismissal. Therefore, as per classification contained in Rule 6, it is a major penalty, which can be inflicted after a regular departmental inquiry by a competent authority as specified therein. The manner and procedure for awarding the punishment is prescribed in Rule 14 and procedure for such regular departmental inquiry that has to be observed for awarding said punishment is contained in Rule 16. As such, in absence of the applicability of clause (b) of second proviso to Article 311(2), the procedure contemplates that Sections 21 and 22 and the rules aforementioned ought to be followed for dismissal of an employee.

- 12) In the case at hand, since the order of dismissal of the appellant has been passed in exercise of the power under clause (b) of second proviso to Article 311(2) of Constitution of India, the said provision is relevant to understand its ambit and scope, hence, reproduced as under:

Manohar Lal v. Commissioner of Police & Ors.***“311. Dismissal, removal or reduction in rank of persons employed in civil capacities under the Union or a State —***

(1) No person who is a member of a civil service of the Union or an all-India service or a civil service of a State or holds a civil post under the Union or a State shall be dismissed or removed by an authority subordinate to that by which he was appointed.

(2) No such person as aforesaid shall be dismissed or removed or reduced in rank except after an inquiry in which he has been informed of the charges against him and given a reasonable opportunity of being heard in respect of those charges

[Provided that where it is proposed after such inquiry, to impose upon him any such penalty, such penalty may be imposed on the basis of the evidence adduced during such inquiry and it shall not be necessary to give such person any opportunity of making representation on the penalty proposed:

Provided further that this clause shall not apply—

(a) where a person is dismissed or removed or reduced in rank on the ground of conduct which has led to his conviction on a criminal charge; or

(b) where the authority empowered to dismiss or remove a person or to reduce him in rank is satisfied that for some reason, to be recorded by that authority in writing, it is not reasonably practicable to hold such inquiry; or

(c) where the President or the Governor, as the case may be, is satisfied that in the interest of the security of the State it is not expedient to hold such inquiry.

(3) If, in respect of any such person as aforesaid, a question arises whether it is reasonably practicable to hold such inquiry as is referred to in clause (2), the decision thereon of the authority empowered to dismiss or remove such person or to reduce him in rank shall be final.”

Supreme Court Reports

- 13) Upon perusal of the above, it is clear that as per Article 311(2) a member of the civil service of the Union or a State may be dismissed or removed or reduced in rank by the appointing authority after a regular inquiry on charges which have been informed to him, affording him a reasonable opportunity. As per first proviso thereto, in case an inquiry is conducted for the purpose of imposing penalty, it is not necessary to afford an opportunity to the appellant at the stage of penalty.
- 14) Clause (b) of the second proviso to Article 311(2) restricts the applicability of Article 311(2) in a specific situation: (i) if the appointing authority is satisfied that there should be deviation from mandate of Article 311(2) because adherence to the same is not 'reasonably practicable'; and (ii) such reasons are to be recorded in writing. Similarly, when such power is to be exercised under clause (c) of the second proviso by the President or the Governor, they may, in the interest of security of the State or if it is not expedient to hold such inquiry, deviate from the applicable procedure.
- 15) Be that as it may, the present case relates to clause (b) of the second proviso to Article 311(2), therefore, we need to discuss in detail the applicability of the said provision in the facts of this case.
- 16) It is trite law that the decision of the appointing authority on the issue of recording reasons in writing on its satisfaction as to why holding an inquiry is not reasonably practicable may be subject to judicial review under Article 226 by High Court or under Article 32 by the Supreme Court. This Court in the Constitution Bench judgment rendered in the case of **Tulsiram Patel** (Supra) reiterated the legal positions and explained the same. The High Court in the impugned judgment has relied upon paragraph 101 of the said judgment. Learned senior counsel for the appellant contended before us that subsequent paragraphs, in particular, paragraphs 130, 133 and 138, which enunciates the law while interpreting Article 311(2) of the Constitution of India, have not been considered. Therefore, for ready reference, we reproduce all the aforesaid paragraphs as thus:

“101. Not only, therefore, can the principles of natural justice be modified but in exceptional cases they can even be excluded. There are well-defined exceptions to the nemo judex in causa sua rule as also to the audi alteram partem rule. The nemo judex in causa sua rule

Manohar Lal v. Commissioner of Police & Ors.

is subject to the doctrine of necessity and yields to it as pointed out by this Court in J. Mohapatra & Co. v. State of Orissa [(1984) 4 SCC 103 : (1985) 1 SCR 322, 334-5] . So far as the audi alteram partem rule is concerned, both in England and in India, it is well established that where a right to a prior notice and an opportunity to be heard before an order is passed would obstruct the taking of prompt action, such a right can be excluded. This right can also be excluded where the nature of the action to be taken, its object and purpose and the scheme of the relevant statutory provisions warrant its exclusion; nor can the audi alteram partem rule be invoked if importing it would have the effect of paralysing the administrative process or where the need for promptitude or the urgency of taking action so demands, as pointed out in Maneka Gandhi case [(1978) 1 SCC 248 : (1978) 2 SCR 621, 676] at p. 681. If legislation and the necessities of a situation can exclude the principles of natural justice including the audi alteram partem rule, a fortiori so can a provision of the Constitution, for a constitutional provision has a far greater and all-pervading sanctity than a statutory provision. In the present case, clause (2) of Article 311 is expressly excluded by the opening words of the second proviso and particularly its keywords "this clause shall not apply". As pointed out above, clause (2) of Article 311 embodies in express words the audi alteram partem rule. This principle of natural justice having been expressly excluded by a constitutional provision, namely, the second proviso to clause (2) of Article 311, there is no scope for reintroducing it by a side-door to provide once again the same inquiry which the constitutional provision has expressly prohibited. Where a clause of the second proviso is applied on an extraneous ground or a ground having no relation to the situation envisaged in that clause, the action in so applying it would be mala fide, and, therefore, void. In such a case the invalidating factor may be referable to Article 14. This is, however, the only scope which Article 14 can have in relation to the second proviso, but to hold that once the second proviso is properly applied and clause (2) of Article 311 excluded. Article 14 will step in to take the place of

Supreme Court Reports

clause (2) would be to nullify the effect of the opening words of the second proviso and thus frustrate the intention of the makers of the Constitution. The second proviso is based on public policy and is in public interest and for public good and the Constitution-makers who inserted it in Article 311(2) were the best persons to decide whether such an exclusionary provision should be there and the situations in which this provision should apply.

130. *The condition precedent for the application of clause (b) is the satisfaction of the disciplinary authority that “it is not reasonably practicable to hold” the inquiry contemplated by clause (2) of Article 311. What is pertinent to note is that the words used are “not reasonably practicable” and not “impracticable”. According to the Oxford English Dictionary “practicable” means “Capable of being put into practice, carried out in action, effected, accomplished, or done; feasible”. Webster’s Third New International Dictionary defines the word “practicable” inter alia as meaning “possible to practice or perform: capable of being put into practice, done or accomplished: feasible”. Further, the words used are not “not practicable” but “not reasonably practicable”. Webster’s Third New International Dictionary defines the word “reasonably” as “in a reasonable manner: to a fairly sufficient extent”. Thus, whether it was practicable to hold the inquiry or not must be judged in the context of whether it was reasonably practicable to do so. It is not a total or absolute impracticability which is required by clause (b). What is requisite is that the holding of the inquiry is not practicable in the opinion of a reasonable man taking a reasonable view of the prevailing situation. It is not possible to enumerate the cases in which it would not be reasonably practicable to hold the inquiry, but some instances by way of illustration may, however, be given. It would not be reasonably practicable to hold an inquiry where the government servant, particularly through or together with his associates, so terrorizes, threatens or intimidates witnesses who are going to give evidence against him with fear of reprisal as to prevent*

Manohar Lal v. Commissioner of Police & Ors.

them from doing so or where the government servant by himself or together with or through others threatens, intimidates and terrorizes the officer who is the disciplinary authority or members of his family so that he is afraid to hold the inquiry or direct it to be held. It would also not be reasonably practicable to hold the inquiry where an atmosphere of violence or of general indiscipline and insubordination prevails, and it is immaterial whether the concerned government servant is or is not a party to bringing about such an atmosphere. In this connection, we must bear in mind that numbers coerce and terrify while an individual may not. The reasonable practicability of holding an inquiry is a matter of assessment to be made by the disciplinary authority. Such authority is generally on the spot and knows what is happening. It is because the disciplinary authority is the best judge of this that clause (3) of Article 311 makes the decision of the disciplinary authority on this question final. A disciplinary authority is not expected to dispense with a disciplinary inquiry lightly or arbitrarily or out of ulterior motives or merely in order to avoid the holding of an inquiry or because the Department's case against the government servant is weak and must fail. The finality given to the decision of the disciplinary authority by Article 311(3) is not binding upon the court so far as its power of judicial review is concerned and in such a case the court will strike down the order dispensing with the inquiry as also the order imposing penalty. The case of Arjun Chaubey v. Union of India [(1984) 2 SCC 578 : 1984 SCC (L&S) 290 : (1984) 3 SCR 302] is an instance in point. In that case, the appellant was working as a senior clerk in the office of the Chief Commercial Superintendent, Northern Railway, Varanasi. The Senior Commercial Officer wrote a letter to the appellant calling upon him to submit his explanation with regard to twelve charges of gross indiscipline mostly relating to the Deputy Chief Commercial Superintendent. The appellant submitted his explanation and on the very next day the Deputy Chief Commercial Superintendent served a second notice on the

Supreme Court Reports

appellant saying that his explanation was not convincing and that another chance was being given to him to offer his explanation with respect to those charges. The appellant submitted his further explanation but on the very next day the Deputy Chief Commercial Superintendent passed an order dismissing him on the ground that he was not fit to be retained in service. This Court struck down the order holding that seven out of twelve charges related to the conduct of the appellant with the Deputy Chief Commercial Superintendent who was the disciplinary authority and that if an inquiry were to be held, the principal witness for the Department would have been the Deputy Chief Commercial Superintendent himself, resulting in the same person being the main accuser, the chief witness and also the judge of the matter.

138. *Where a government servant is dismissed, removed or reduced in rank by applying clause (b) or an analogous provision of the service rules and he approaches either the High Court under Article 226 or this Court under Article 32, the court will interfere on grounds well established in law for the exercise of power of judicial review in matters where administrative discretion is exercised. It will consider whether clause (b) or an analogous provision in the service rules was properly applied or not. The finality given by clause (3) of Article 311 to the disciplinary authority's decision that it was not reasonably practicable to hold the inquiry is not binding upon the court. The court will also examine the charge of mala fides, if any, made in the writ petition. In examining the relevancy of the reasons, the court will consider the situation which according to the disciplinary authority made it come to the conclusion that it was not reasonably practicable to hold the inquiry. If the court finds that the reasons are irrelevant, then the recording of its satisfaction by the disciplinary authority would be an abuse of power conferred upon it by clause (b) and would take the case out of the purview of that clause and the impugned order of penalty would stand invalidated. In considering the relevancy of the reasons given by the*

Manohar Lal v. Commissioner of Police & Ors.

disciplinary authority the court will not, however, sit in judgment over them like a court of first appeal. In order to decide whether the reasons are germane to clause (b), the court must put itself in the place of the disciplinary authority and consider what in the then prevailing situation a reasonable man acting in a reasonable way would have done. The matter will have to be judged in the light of the then prevailing situation and not as if the disciplinary authority was deciding the question whether the inquiry should be dispensed with or not in the cool and detached atmosphere of a court-room, removed in time from the situation in question. Where two views are possible, the court will decline to interfere.”

- 17) Upon perusal of the judgment of the Constitution Bench in the case of **Tulsiram Patel** (Supra), it is luculent that the constitutional provision has a far greater and all-pervading sanctity than a statutory provision, therefore, second proviso restricts application of Article 311(2) only in the circumstances as contemplated under Clauses (a), (b) and (c) of the second proviso. This clause uses the word “this clause shall not apply”, therefore, Article 311(2) shall not apply in the contingencies in clauses (a), (b) and (c) of the second proviso. The intention thereof has been expressed indicating that there is no scope for reintroduction of principles contained in Article 311(2) by a side door which the constitutional provision has expressly excluded. It is further clarified in the said judgement that if the second proviso is applied on an extraneous ground or a ground having no relation to the situation envisaged in that clause, the action of so applying would be mala fide and therefore void. This Court indicated that in such cases the invalidating factor may be referrable to the Article 14 distinguishing between a situation where the proviso has been properly applied and one where it has been improperly applied. Otherwise, if Article 14 is applied in a manner to take the place of clause (2) that would mean to nullify the effect of opening words of the second proviso and frustrate the intention of makers of the Constitution. It is said that the second proviso is based on public policy and is in public interest and for public good.
- 18) The wording as used in clause (b) of the second proviso indicates the satisfaction of the Disciplinary Authority by using the word “it

Supreme Court Reports

is not reasonably practicable to hold” the inquiry contemplated by clause 2 of Article 311. The Court emphasised the meaning of “not reasonably practicable” as juxtaposed against not “impracticable”. It is intended that the requirement to hold an inquiry is not practicable in the opinion of a reasonable man taking a reasonable view of the prevailing situation. The Court contemplated certain situations therein and said that a common man must bear in mind that numbers may coerce and terrify while an individual may not. The reasonable practicability of holding an inquiry is a matter of assessment to be made by the disciplinary authority holding the post and it is he who must visualize what is happening at the ground-zero. The Court clarified that the disciplinary authority is not expected to dispense with a departmental inquiry lightly or arbitrarily or out of ulterior motives or merely in order to avoid the holding of an inquiry or because the Department’s case against the government servant is weak and must fail. In this connection, referring Article 311(3), it is held that the finality given to the decision of the disciplinary authority is not binding upon the Courts and the scope of judicial review is open to strike down the order dispensing with the inquiry as also the order imposing penalty.

- 19) Further, the Court emphasised the words used in clause (b) of second proviso that the disciplinary authority should record its reasons in writing for its satisfaction that holding an inquiry is not reasonably practicable. In case such reason is not recorded in writing or not valid and justifiable, the order dispensing with the inquiry and the order of penalty flowing therefrom would be void and unconstitutional. Emphasising the scope of judicial review, it is said that in the matters where administrative discretion is exercised, it is open to assail either under Article 226 before High Court or under Article 32 before this Court. Referring clause 3 of Article 311 and reiterating that the decision of disciplinary authority indicating why it is not reasonably practicable to hold an inquiry is not binding on Court and the scope of judicial review is open. In the said contingency, the Court will examine the charges of *mala fides* if any made in the Writ Petition. It is emphasised that the Court, while exercising judicial review, would not sit as an appellate court but it shall consider the situation due to which, according to the disciplinary authority, it was not reasonably practicable to hold an inquiry. While examining the relevance of the reasoning, the Court ought to place itself as a disciplinary authority

Manohar Lal v. Commissioner of Police & Ors.

and consider whether in the prevailing situation, a reasonable man acting in a reasonable way, would have taken the same decision as taken by the disciplinary authority. If the Court finds that the reasons are irrelevant, then satisfaction of the disciplinary authority may be held to be an abuse of power. In that situation, it would be open to the Court to take the case out of purview of that clause and the order of penalty would stand invalidated.

- 20) In view of the foregoing conclusions of the Constitution bench in **Tulsiram Patel** (Supra), it can be safely observed that despite the use of the words “*this clause shall not apply*” in the second proviso, it shall not make power of Article 311(2) inapplicable. In fact, second proviso to Article 311 is an exception for dispensing with the inquiry on satisfaction by recording the reasons in writing by such authority.
- 21) In view of the analysis of the judgment of the Constitution Bench in **Tulsiram Patel** (Supra), we have examined the impugned judgement passed by the High Court wherein in paragraph 19, while referring to the judgment of **Sudesh Kumar vs. State of Haryana and Ors. (2005) 11 SCC 525** in respect of the principle of *audi alteram partem* and also referring to paragraph 101 of **Tulsiram Patel** (Supra), it has been observed by the High Court that the appellate authority had heard the appellant before affirming the decision of the disciplinary authority, it appears that the judgment of **Sudesh Kumar** (Supra) has not been appreciated in its true spirit by the High Court.
- 22) In our view, the reasoning as given by the High Court is completely misplaced, in particular, when the Court is examining the scope and applicability of clause (b) to the second proviso of Article 311(2), the reasoning assigned by the disciplinary authority ought to be relevant for dispensing with an inquiry which is the issue involved in the present case. Merely indicating that the reasons provided in writing have already been held justified by the CAT would not be sufficient in the context of law laid down by the judgment of **Tulsiram Patel** (Supra) merely observing that opportunity of hearing has been afforded by the appellate authority.
- 23) This case was heard on 04.02.2026. At the time of hearing, learned ASG appearing on behalf of the State vociferously contended that the reasoning to dispense with the inquiry finds its place in the preliminary inquiry report of the ACP whereby it was found that the complainant/ witnesses have been traumatised, threatened or intimidated by the

Supreme Court Reports

action of the criminals specially the police personnel involved therein and due to the close association of the police personnel with the hard-core criminals, there was every possibility that the appellant may approach the complainant/witnesses through his associates to threaten and intimidate them.

- 24) In this context, the argument advanced by the learned counsel for the appellant is that after lodging the FIR on 28.06.2017, the appellant was sent to custody on 29.6.2017 and was released on bail on 14.10.2017. In the meanwhile, the dismissal order dated 18.07.2017 was passed. Therefore, we deemed it appropriate to call for the said preliminary inquiry report which had not been placed before us for consideration.
- 25) On production of the said preliminary inquiry report, we have examined the contents thereof. In the said report, the ACP has collected the information/documents in respect of the investigation of Constable Manohar Lal, No. 362/Special Cell, PIS No. 28070974 (the appellant herein). He has also recorded the statement of the complainant, SI Hardeep Singh and other relevant persons. The details of the appointments and posting were collected from all concerned offices. Thereafter the details of the incidence were recorded. During preliminary inquiry, the ACP collected documents viz DD entries of information and proceedings of FIR No. 390/2017, arrest memo, personal search memo, disclosure memo, pointing out memo, seizure memos of mobile phone, recovery memos, PC remand, TIP Proceedings and other miscellaneous facts and documents. In the report, the ACP has recorded the statements of complainant Maniram, IO Hardeep Singh, HC Kuldeep Singh and Ct. Devender, viz. reproduced as under:

“a) Complainant Maniram s/o Late Ram Prasad r/o Vill. Sisahi, PS Rasoolabad, Distt Kanpur, UP, Aged 62 years – In his statement, he corroborated the facts as mentioned in the FIR and his joining investigation, participating of TIP and identification of Ct. Manohar Lal No. 362/Spl. Cell as one of the accused who had come to his godown on 27/06/17, at about 6.00 PM and made enquiry about the owner and details of goods/articles stored in godown. He also came back at around 8.30 – 9.00 PM to godown with a tempo and car. He also participated in forcibly breaking

Manohar Lal v. Commissioner of Police & Ors.

open the room where logs of sandalwood were kept and loading approx. 1355 Kg of sandalwood in tempo. He also took away SIM of his mobile phone with the help of other accused persons.

b) Statement of IO, SI Hardeep Singh D-5776, PIS No. 16150006, PS Bhalswa Dairy, mobile number-8510901900- In his statement he stated that on receipt of complaint of Mr. Maniram s/o Late Ram Prasad r/o Vill. Sisahi, PS Rasoolabad, Distt Kanpur, UP above case corroborated the facts as mentioned in the FIR NO. 390/17 dated 28/06/17 u/s 419/457/380/392/412/34 IPC PS was registered in PS Bhalswa Dairy. He also stated that during investigation he served notice u/s 160 of Cr.P.C. to Ct Manohar Lal 362/Spl. Cell and on 30/06/2017, on the basis of sufficient evidences, he was arrested in this case. He prepared arrest memo and personal search. He had also recorded the disclosure memo, prepared pointing out memos and recovered case property on the instance of Ct. Manohar Lal No. 362/Spl. Cell. He also stated that Ct. Manohar Lal No. 362/Spl. Cell refused to participate in TIP proceedings and during further investigation, the complainant identified Ct. Manohar Lal No. 362/Spl. Cell as one of the accused persons.

c) Statement of HC Kuldeep Singh No. 254/NW, PIS No 28981354, P.S-Bhalswa Dairy, New Delhi. In his statement, he has stated that on 30/06/2014, he alongwith Constable Devender joined investigation of his case. On 30/06/2017, Constable Manohar Lal No. 362/Spl Cell joined investigation and on the basis of sufficient evidences, SI Hardeep Singh arrested him and prepared arrest memo, personal search memo, disclosure statement, pointing out memo and recovery memo of 14 jute bags containing 680.35 kgs of Sandalwood and he has signed on relevant documents as true.

d) Statement of Ct Devender no 1227/NW, PIS No 29101653, P.S- Bhalswa Dairy, New Delhi. In his statement, he has stated that on 30/06/2017, he alongwith Head Constable Kuldeep Singh joined investigation of this

Supreme Court Reports

case. On 30/06/2014, Constable Manohar Lal No. 362/ Spl Cell joined investigation and on the basis of sufficient evidences, SI Hardeep Singh arrested him and prepared arrest memo, personal search memo, bags containing 680.35 kgs of Sandalwood and he has signed on relevant documents as true.”

- 26) While concluding in the preliminary inquiry, ACP observed as thus:

“From the above noted facts, information, documents and statements, it is clearly established that Ct. Manohar Lal No. 362/Spl. Cell, PIS No. 28070974 while posted in Special Cell and on Earned Leaves, along with other police personnel and public persons is found involved in robbery case has shown grave misconduct, high handedness and had brought bad name to the entire force of Delhi Police by having acted in a manner highly unbecoming of a police personnel.

From the preliminary enquiry conducted, it is revealed that the complainant/witnesses of the case has been traumatized by the egregious act of Ct. Manohar Lal No. 362/Spl. Cell and his associates. It appears that Ct. Manohar Lal No. 362/Spl. Cell, still has close association with criminals and there is every possibility that he may approach the complainant through his associates to threaten, intimate or induce him to withdraw from the case or turn hostile during the trial.”

- 27) On perusal of conclusion of the preliminary report, it reveals that the complainant/witnesses had been traumatized by the egregious acts of the appellant and his associates. It has been recorded that the appellant had close association with criminals and there was every possibility that he might approach the complainant through his associates to threaten, intimidate or induce him to withdraw from the case or turn hostile during the trial.
- 28) After perusal of the statements of the complainant-Mani ram, SI Hardeep Singh, HC Kuldeep Singh and Constable Devender Singh reproduced above in the preliminary report, it can be seen that no instance of traumatising the complainant or witnesses have been stated by any witness in their statements. Whether the act as alleged

Manohar Lal v. Commissioner of Police & Ors.

in the FIR is egregious in nature, would be a subject matter of trial. No material showing connection of the appellant and his associates with criminals which may reasonably demonstrate that there is a possibility of the complainant or witnesses being approached through his associates with an intent to threaten, intimidate or induce them to withdraw from the case or turn hostile is on record. In absence of any material, in our view, it is merely a presumption of the ACP who conducted the preliminary enquiry and it cannot form the basis of a reasonable apprehension which may be sufficient to dispense with the regular disciplinary inquiry.

- 29) The DCP while passing the order of dismissal on 18.07.2017 recorded the following reasons:

“Ordinarily a departmental enquiry should be conducted before imposing major punishment including dismissal against the defaulter but the facts and circumstances of the present case and the preliminary enquiry report of Sh. Govind Sharma, ACP/SR are such that it would not be reasonably practicable to conduct a regular departmental enquiry against the defaulter as there is a reasonable belief of threat, intimidation and inducement to the victim and thereby creating the possibility of tempering of the vital evidence. Therefore, holding the regular departmental enquiry in this case shall create fear in the mind of the complainant, witness/es and discourage him/them from deposing against the defaulter during the enquiry. Further, an extended enquiry would only cause more trauma to the complainant/victim. It is under these given set of compelling circumstances that action under Article 311(2) (b) of The Constitution of India has been invoked against Ct. Manohar Lal, No.362/Spl.Cell in this case.

Therefore, I, Sanjeev Kumar Yadav, Deputy Commissioner of Police, Special Cell, New Delhi do hereby order to dismiss Ct. Manohar Lal, No.362/Spl.Cell, PIS No. 28070974 from service with immediate effect, under Article 311(2)(b) of The Constitution of India. His suspension period from 30.06.2017 (date of his arrest) till the date of issue of this order is decided as period “Not Spent on Duty” for all intents and purposes and the same will not be regularized in any manner.”

Supreme Court Reports

- 30) From the order of dismissal passed by the DCP, it is clear that he has relied upon the preliminary inquiry report of the ACP and recorded its satisfaction that holding an enquiry is not 'reasonably practicable' and therefore, determined that this case is a fit case to apply the exclusion as contained in clause (b) of second proviso to Article 311 (2).
- 31) After appreciating the reasoning given in the report of the ACP as per the above discussion, in our view, in the statement of witnesses no incident of traumatising the complainant and witnesses have been recorded, therefore, nothing is available on record to accept the plea of threatening, intimidation or inducement to any witness to turn hostile. The disciplinary authority proceeded on the presumption of the ACP who conducted preliminary enquiry without any material and concluded that holding a regular enquiry is not reasonably practicable. Analysing the purport of the proviso and the interpretation made in the judgment of **Tulsiram Patel** (Supra) it was the duty of the disciplinary authority to satisfy himself that such reasoning as indicated in the preliminary enquiry report is based on some material, sufficient to dispense with an enquiry. In absence of the same, merely belief or a presumption is not sufficient to record such finding and to deviate from the normal procedure. It is not out of place to mention that the order of dismissal was passed on 18.07.2017. The appellant was taken into custody on 29.06.2017 and he was only released on bail on 14.10.2017. In such a situation it is clear that while he was in custody the order of dismissal was passed. Therefore, it was incumbent upon the ACP holding the preliminary enquiry to indicate any instances of threat from custody to the complainant or to intimidate witnesses brought during investigation. In the preliminary enquiry report none of the witnesses have indicated about threat or intimidation or possibility of threat to turn those witnesses hostile, therefore, we have no hesitation to say that the order passed by the disciplinary authority dispensing with the enquiry as required is without application of mind and cannot be sustained. In fact, it is the duty of the disciplinary authority to record satisfaction how and in what manner holding an enquiry is not reasonably practicable. In our view, the authority has completely failed to understand the letter and spirit of **Tulsiram Patel** (Supra) while passing the order that too without any basis to dispense with normal procedure and directed dismissal which cannot be countenanced.

Manohar Lal v. Commissioner of Police & Ors.

- 32) In the similar set of facts, the relevance of the material placed for recording the satisfaction by the Disciplinary Authority has been considered by this Court in the case of **Jaswant Singh** (Supra). In the said case, particularly in paragraph 5, the Court referred all the detailed facts and also relied upon the observations in **Tulsiram Patel** (Supra). The reasoning as given in the said judgement applies in the facts of this case also, the relevant para 5 is reproduced as thus:

“5. The impugned order of April 7, 1981 itself contains the reasons for dispensing with the inquiry contemplated by Article 311(2) of the Constitution. Paragraph 3 of the said order, which we have extracted earlier, gives two reasons in support of the satisfaction that it was not reasonably practicable to hold a departmental enquiry against the appellant. These are (i) the appellant has thrown threats that he with the help of other police employees will not allow holding of any departmental enquiry against him and (ii) he and his associates will not hesitate to cause physical injury to the witnesses as well as the enquiry officer. Now as stated earlier after the two revision applications were allowed on October 13, 1980, the appellant had rejoined service as Head Constable on March 5, 1981 but he was immediately placed under suspension. Thereafter, two show cause notices dated April 4, 1981 were issued against him calling upon him to reply thereto within 10 days after the receipt thereof. Before the service of these notices the incident of alleged attempt to commit suicide took place on the morning of April 6, 1981 at about 11.00 a.m. In that incident the appellant sustained an injury on his right arm with a knife. He was, therefore, hospitalised and while he was in hospital the two show cause notices were served on him at about 10.00 p.m. on April 6, 1981. Before the appellant could reply to the said show cause notices respondent 3 passed the impugned order on the very next day i.e. April 7, 1981. Now the earlier departmental enquiries were duly conducted against the appellant and there is no allegation that the department had found any difficulty in examining witnesses in the said inquiries. After the revision applications were allowed the show cause notices were issued and 10 days time was given to

Supreme Court Reports

the appellant to put in his replies thereto. We, therefore, enquired from the learned counsel for the respondents to point out what impelled respondent 3 to take a decision that it was necessary to forthwith terminate the services of the appellant without holding an inquiry as required by Article 311(2). The learned counsel for the respondents could only point out clause (iv)(a) of sub-para 29(A) of the counter which reads as under:

“The order dated April 7, 1981 was passed as the petitioner’s activities were objectionable. He was instigating his fellow police officials to cause indiscipline, show insubordination and exhibit disloyalty, spreading discontentment and hatred, etc. and his retention in service was adjudged harmful.”

This is no more than a mere reproduction of paragraph 3 of the impugned order. Our attention was not drawn to any material existing on the date of the impugned order in support of the allegation contained in paragraph 3 thereof that the appellant had thrown threats that he and his companions will not allow holding of any departmental enquiry against him and that they would not hesitate to cause physical injury to the witnesses as well as the enquiry officer if any such attempt was made. It was incumbent on the respondents to disclose to the court the material in existence at the date of the passing of the impugned order in support of the subjective satisfaction recorded by respondent 3 in the impugned order. Clause (b) of the second proviso to Article 311(2) can be invoked only when the authority is satisfied from the material placed before him that it is not reasonably practicable to hold a departmental enquiry. This is clear from the following observation at page 270 of Tulsiram case [(1985) 3 SCC 398 : 1985 SCC (L&S) 672 : 1985 Supp 2 SCR 131] : (SCC p. 504, para 130)

“A disciplinary authority is not expected to dispense with a disciplinary inquiry lightly or arbitrarily or out of ulterior motives or merely in order to avoid the holding of an inquiry or

Manohar Lal v. Commissioner of Police & Ors.

because the department's case against the government servant is weak and must fail."

The decision to dispense with the departmental enquiry cannot, therefore, be rested solely on the ipse dixit of the concerned authority. When the satisfaction of the concerned authority is questioned in a court of law, it is incumbent on those who support the order to show that the satisfaction is based on certain objective facts and is not the outcome of the whim or caprice of the concerned officer. In the counter filed by respondent 3 it is contended that the appellant, instead of replying to the show cause notices, instigated his fellow police officials to disobey the superiors. It is also said that he threw threats to beat up the witnesses and the Inquiry Officer if any departmental inquiry was held against him. No particulars are given. Besides it is difficult to understand how he could have given threats, etc. when he was in hospital. It is not shown on what material respondent 3 came to the conclusion that the appellant had thrown threats as alleged in paragraph 3 of the impugned order. On a close scrutiny of the impugned order it seems the satisfaction was based on the ground that he was instigating his colleagues and was holding meetings with other police officials with a view to spreading hatred and dissatisfaction towards his superiors. This allegation is based on his alleged activities at Jullundur on April 3, 1981 reported by SHO/GRP, Jullundur. That report is not forthcoming. It is no one's contention that the said SHO was threatened. Respondent 3's counter also does not reveal if he had verified the correctness of the information. To put it tersely the subjective satisfaction recorded in paragraph 3 of the impugned order is not fortified by any independent material to justify the dispensing with of the inquiry envisaged by Article 311(2) of the Constitution. We are, therefore, of the opinion that on this short ground alone the impugned order cannot be sustained."

- 33) It is not out of place to say that the judgment of **Tulsiram Patel** (Supra) has been appreciated by the Department and resultantly, the Commissioner of Police has issued a circular dated 31.12.1998. Analysis as made hereinabove, particularly in paragraphs 17, 18

Supreme Court Reports

and 19, have been truly introduced in the circular of the department. The relevant portion of the said circular is reproduced for ready reference as thus: -

“Instances have come to notice where provisions of Article 311(2)(b) of the Constitution were inappropriately invoked. This article provides that no person as mentioned in 311(2) (b) shall be dismissed or removed or reduced in rank except after an enquiry in which he has been informed of the charge against him and given a reasonable opportunity of being heard in respect of these charges.

Provided that where it is proposed after such enquiry to impose upon him any such penalty, such penalty may be imposed on the basis of the evidence adduced during such enquiry and it shall not be necessary to give such person any opportunity of making representation on the penalty proposed. Provided further that this clause shall not apply where an authority empowered to dismiss or to remove a person or to reduce him in rank is satisfied that for some reason to be recorded by that authority in writing, it is not reasonably practicable to hold such enquiry.

Clause (3) of Article 311 provides that if in respect of such person as aforesaid a question arises whether it is reasonably practicable to hold such enquiry as it referred to in clause (2) the decision thereon of the authority empowered to dismiss or to remove such person or to reduce him in rank shall be final.

From the above it is clear that a civil servant is not be dismissed, removed or reduced in rank similarly under Article 311(2)(b) of the Constitution of India but after holding regular departmental enquiry against him. No doubt the above provisions confers the power of infliction of above penalties on the disciplinary authority but while doing so circumstances will have to be mentioned in order to show as to how it was not reasonably practicable to hold the departmental action. In a number of authorities the Court/Tribunal have evaluated the reasons given by the disciplinary authority to see if really it was impracticable

Manohar Lal v. Commissioner of Police & Ors.

to hold the enquiry and for those reasons are indifferent and vague. Reliance may be placed in the judgment of the Hon'ble Supreme Court of India in the case of Tulsi Ram Patel AIR 1985 SC 1416 which reads as under:

"It would not be reasonably practicable to hold an enquiry where the government servant, particularly through or together with his associates, so terrorizes, threatens or intimidates witnesses who are going to give evidence against him with fear of reprisal as to present them for doing so or where the government servant by himself or together with or through others threatens, intimidates and terrorizes the officer who is the disciplinary authority or members of his family so that he is afraid to hold the enquiry or direct it to be held. It would also not be reasonable practicable to hold the enquiry where an atmosphere of violation or of great indiscipline and insubordination prevails and it is immaterial where the concerned government servant is or is not a party to bringing such an atmosphere.

In this connection, we must bear in mind that numbers coerce and terrify while an individual may not. The reasonable practicability or holding an inquiry is a matter of assessment to be made by the disciplinary authority. Such authority is generally on the spot and knows what is happening. It is because the disciplinary authority is best judge of this that clause (3) of Article 311 makes the decision of the disciplinary authority on this question final. A disciplinary authority is not expected to dispense with a disciplinary inquiry lightly or arbitrarily or out of ulterior motives or merely in order to avoid the holding of an enquiry or because the Department's case against the government servant is weak and must fail. The finality given to the decision of the disciplinary authority by Article 311(3) is not binding upon the court so far as its power of judicial review is concerned and in such a case the court will strike-down the order dispensing with the enquiry as also the order imposing penalty."

Power under Article 311(2) is not be used a short cut.

Supreme Court Reports

The police officers involved in the cases of Rape or Dacoity or any such heinous offence have been dismissed straightway under Article 311(2)(b) despite the fact that criminal cases have been registered. Such dismissal without holding D.Es. are illegal because in such cases D.E. can be conveniently held.

It is once again emphasized that the Disciplinary Authority should not take resort to Article 311(2)(b) lightly but only in those cases where it is not reasonably practicable to hold the enquiry. Whenever the disciplinary authority comes to the conclusion that it is not reasonably practicable to hold an enquiry he must record at length cogent and legally tenable reasons for coming to such conclusion. In the absence of valid reasons, duly reduced in writing, no such order of dismissal etc. with resort to Article 311(2)(b) can be sustained in law.

This circular supersedes the earlier circular No.25551-631/29.12.93."

- 34) The said circular was in supersession of all earlier circulars. A further clarification was issued by the department on 11.09.2007 which was in vogue on the date of passing of the order of dismissal. The relevant portion of the clarificatory circular is also reproduced as thus:

"As analysis has been done by PHQ in 38 cases pertaining to the period between 1.1.2000 to 31.12.2005 where action under Article 311(2)(b) of the Constitution of India was taken against the defaulters. The analysis shows that out of the 38 cases, the action of the department has been upheld by CAT only in two cases and out of these two cases, in only one case the action was upheld by the Hon'ble High Court of Delhi. Most of these cases have been remanded back to the Department by the Tribunal for initiating department enquiry.

Though some cases are still pending in the Hon'ble High Court for decision. In a majority of the cases, Disciplinary Authorities have resorted to Article 311(2) (b) on assumptions and conjectures. No speaking orders were passed based on and supported by material/facts

Manohar Lal v. Commissioner of Police & Ors.

on record for dispensing with prior enquiry. Orders for dismissal were passed arbitrarily violating Article 311 and the principles of natural justice.

Henceforth, it has been decided that whenever any Disciplinary Authority intends to invoke Article 311(2)(b) of the Constitution of India, he must keep in mind the judgment in the case of UOI v. Tulsi Ram Patel, AIR 1985 SC 1416. Only in cases where Disciplinary Authority is personally satisfied on the basis of material available on the file that the case is of such a nature that it is not practicable to hold an enquiry in view of threat, inducement, intimidation, affiliation with criminals etc and keeping in view the specific circumstances of the case it is not possible that PWs will depose against the defaulter and disciplinary authority has no option but to resort to Article 311(2)(b) should such an action be taken. Prior to such an order, a PE has to be conducted and it is essential to being on record all such facts. It has also been decided that before passing an order under Article 311(2)(b) of the Constitution, Disciplinary Authority has to take prior concurrence of Spl. CP/Admn.

This has the approval of C.P. Delhi.”

- 35) In the case at hand after registration of the FIR when the appellant was in custody the order of dismissal was passed. He was released only thereafter. As such, without indicating any instance of intimidation, traumatising, threatening or persuading the complainant or the witness to turn hostile from inside the jail, the belief or presumption as recorded by the disciplinary authority is not sufficient to bring the present case within the exception to Article 311(2) by applying clause (b) of second proviso thereto. Thus, in our view, the reasoning contemplated in the judgment of **Jaswant Singh** (Supra) applies in the case at hand.
- 36) It is relevant to note that applying the judgment of **Tulsiram Patel** (Supra), various cases have been decided by this Court indicating what may be a sufficient reason and how and in what circumstances holding a departmental enquiry is not reasonably practicable, and the scope of judicial review in such cases. In the judgement of this Court in **Ex. Constable Chhote Lal** (Supra) the Court held as thus:

Supreme Court Reports

“4. Having examined the rival contentions of the parties and bearing in mind the law laid down by this Court indicating the circumstances under which the inquiry under Article 311(2), second proviso, clause (b) of the Constitution can be dispensed with and applying the same to the facts and circumstances and the reasons advanced by the authorities in arriving at the decision, we have no hesitation to come to the conclusion that the order dispensing with the departmental inquiry is not in accordance with law and necessarily the order of dismissal cannot be sustained. We accordingly set aside the order of dismissal passed against the appellant and permit the departmental authority to hold an inquiry if so desired, in accordance with law and come to the conclusion in the said proceeding.

5. Normally, an order of dismissal on being set aside, the employee can claim back wages, but in this case we are not inclined to grant back wages to the employee concerned, more so, in view of the nature of charges against him.”

- 37) In the case of **Tarsem Singh** (Supra) this Court has observed that the power of dispensing with the constitutional remedy of a delinquent, should not be exercised lightly or arbitrarily, or out of ulterior motive with the intent to avoid holding an enquiry. In the said case in paras 10 and 14, this Court observed as thus:

“10. It is now a well-settled principle of law that a constitutional right conferred upon a delinquent cannot be dispensed with lightly or arbitrarily or out of ulterior motive or merely in order to avoid the holding of an enquiry. The learned counsel appearing on behalf of the appellant has taken us through certain documents for the purpose of showing that ultimately the police on investigation did not find any case against the appellant in respect of the purported FIR lodged against him under Section 377 IPC. However, it may not be necessary for us to go into the said question.

xxx xxx xxx

14. In view of the fact that no material had been placed by the respondents herein to satisfy the Court that it was

Manohar Lal v. Commissioner of Police & Ors.

necessary to dispense with a formal enquiry in terms of proviso (b) appended to Clause (2) of Article 311 of the Constitution of India, we are of the opinion that the impugned orders cannot be sustained and they are set aside accordingly. The appellant is directed to be reinstated in service. However, in view of our aforementioned findings, it would be open to the respondents to initiate a departmental enquiry against the appellant if they so desire. Payment of back wages shall abide by the result of such enquiry. Such an enquiry, if any, must be initiated as expeditiously as possible and not later than two months from the date of communication of this order.”

- 38) This Court in the case of **Risal Singh** (Supra), emphasised that while assigning the reason in writing it is imperative that such reason must be plausible and based on definite material. In the said case, the Court relied upon on para 130 on the judgment of **Tulsiram Patel** (Supra) and referring the same concluded in paras 9 and 10 as thus:

“9. Tested on the touchstone of the aforesaid authorities, the irresistible conclusion is that the order passed by the Superintendent of Police dispensing with the inquiry is totally unsustainable and is hereby annulled. As the foundation founders, the order of the High Court giving the stamp of approval to the ultimate order without addressing the lis from a proper perspective is also indefensible and resultantly, the order of dismissal passed by the disciplinary authority has to pave the path of extinction.

10. Consequently, we allow the appeal and set aside the order passed by the High Court and that of the disciplinary authority. The appellant shall be deemed to be in service till the date of superannuation. As he has attained the age of superannuation in the meantime, he shall be entitled to all consequential benefits. The arrears shall be computed and paid to the appellant within a period of three months hence. Needless to say, the respondents are not precluded from initiating any disciplinary proceedings, if advised in law. As the lis has been pending before the Court, the period that has been spent in Court shall be excluded

Supreme Court Reports

for the purpose of limitation for initiating the disciplinary proceedings as per rules. However, we may hasten to clarify that our observations herein should not be construed as a mandate to the authorities to initiate the proceeding against the appellant. We may further proceed to add that the State Government shall conduct itself as a model employer and act with the objectivity which is expected from it. There shall be no order as to costs."

- 39) In the case of **Reena Rani** (Supra) this Court has again applied the law laid down in the judgment of **Tulsiram Patel** (Supra) and **Jaswant Singh** (Supra) and held that the order of dismissal did not disclose the reasons explaining why it was not reasonably practicable to hold a regular departmental enquiry and applicability of the proviso in such a case is not justified. The Court in para 7 in the said judgment observed as under: -

"7. In the order of dismissal, the Superintendent of Police has not disclosed any reason as to why it was not reasonably practicable to hold regular departmental enquiry. The learned Additional Advocate General fairly stated that the order of dismissal does not contain the reasons as to why it was not reasonably practicable to hold regular departmental enquiry against the appellant. He also admitted that no other record has been made available to him which would have revealed that the Superintendent of Police had recorded reasons for forming an opinion that it was not reasonably practicable to hold regular departmental enquiry for proving the particular charge(s) against the appellant."

- 40) On overall analysis of the intent of Article 311(2), it is vivid that an employee holding a post in Union or State ought not to be dismissed or removed by an authority subordinate to the one by which he was appointed. It is further specified that a person shall be dismissed or removed or reduced in rank after an inquiry supplying the charges if any against him and giving a reasonable opportunity of being heard in respect of those charges. The applicability of the said clause is restricted in a situation wherein his conduct led to his conviction of criminal charges or where the authority empowered who dismissed, removed or reduced in rank records reason in writing upon satisfaction

Manohar Lal v. Commissioner of Police & Ors.

that it is not 'reasonably practicable' to hold an enquiry against him. In addition, where such power has been exercised by the President or the Governor it may be in the interest of security of the State or if not expedient to hold such an enquiry, then exceptional power under clause (c) of second proviso to Article 311 ought to be exercised.

- 41) In case such a decision invoking the extraordinary power is taken by the competent authority in light of the judgment ***Tulsiram Patel*** (Supra) within the parameter as discussed, the scope of judicial review is available to the Constitutional Courts wherein the reasons as assigned for satisfaction of the authority must be reasonable, valid, justified and in writing. In addition, the satisfaction as recorded must be the objective satisfaction on the basis of material brought on record which ordinarily the disciplinary authority may take as a prudent person. Otherwise, dispensing with the enquiry is not permissible in law. In the present case, Section 21 of the 1978 Act confers power of punishment and Section 22 prescribes the procedure for awarding such punishment. The procedure as contemplated has been elaborated under the 1980 Rules. In the present case, in our view, the power exercised by the authority is completely without application of mind, thus, the question of recording of satisfaction as affirmed by the appellate authority, the CAT and the High Court does not arise. Therefore, we can hold that the order dispensing with the regular procedure of inquiry is arbitrary and consequently the order of dismissal of the appellant is liable to be quashed and the orders of the CAT and the High Court affirming the said dismissal order stand set aside.
- 42) In light of the above discussion, the irresistible conclusion is to set aside the order passed by the CAT and the High Court and to quash the order of dismissal passed by the DCP and confirmed by the appellate authority. In consequence, the appellant shall forthwith be reinstated with continuity of service. He shall be entitled for all consequential benefits notionally. Since, the appellant is allegedly found involved in a criminal case, therefore, in the facts of the case, back wages from the date of dismissal till reinstatement are restricted to 50%.
- 43) The setting aside of the order passed under Article 311(2) proviso (b) of the Constitution and direction for reinstatement shall be

Supreme Court Reports

without prejudice to the right of the respondent to take recourse as permissible by initiating a departmental enquiry in accordance with law. Accordingly, and with the aforesaid directions, the present appeal stands allowed to the extent indicated. Parties to bear their own costs.

- 44) Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Nidhi Jain

Rachana Gangu & Anr.

v.

Union of India & Ors.

(Writ Petition (Civil) No. 1220 of 2021)

10 March 2026

[Vikram Nath* and Sandeep Mehta, JJ.]

Issue for Consideration

Whether the absence of a uniform policy governing compensation in cases of death or injury following administration of COVID-19 vaccination results in violation of right to life protected under the Constitution; if yes, can this Court direct the respondents to frame a policy in that regard.

Headnotes[†]

Constitution of India – Art.21 – Right to Life – Directions by Supreme Court – For formulation of no-fault compensation framework to address serious adverse events following immunisation arising in the context of COVID-19 vaccination:

Held: Constitution does not view the right to life solely through the lens of fault – Art.21 embodies a positive obligation of the State to ensure that where grave harm is alleged to have occurred in the course of a State led public health intervention, affected families are not left without any accessible mechanism of redress – The Union of India shall, through the Ministry of Health and Family Welfare, frame a no-fault compensation policy for serious adverse events following COVID-19 vaccination – The existing mechanisms for monitoring adverse events following immunisation shall continue, and relevant data shall be periodically placed in the public domain in accordance with the observations in *Jacob Puliyel* – No separate court-appointed expert body is necessary in view of the existing mechanisms for scientific assessment of adverse events following immunisation – Clarified, this judgment shall not preclude any person from pursuing such other remedies as may be available in law – Equally, the formulation of the no-fault framework is not to be construed as an admission of liability or fault on the part of the Union of India or any authority. [Paras 20, 38]

* Author

Supreme Court Reports

Constitution of India – Art.21 – Right to Life – Deaths allegedly after administration of COVID-19 vaccination – Writ petitions filed seeking *inter alia*, the constitution of an independent expert medical board to inquire into such deaths, the formulation of protocols for early detection and treatment of adverse events following immunization (AEFI), and the grant of compensation – In one of the writ petitions filed before the High Court of Kerala raising similar grievances, High Court passed interim directions to the Ministry of Health and Family Welfare and the National Disaster Management Authority to formulate a policy for identification of AEFI cases and for compensating the families of such deceased persons – Challenge to:

Held: Present petitions raise serious questions of violation of fundamental rights, more particularly that of right to life – Constitution does not view the right to life solely through the lens of fault – Art.21 embodies a positive obligation of the State to ensure that where grave harm is alleged to have occurred in the course of a State led public health intervention, affected families are not left without any accessible mechanism of redress – The absence of such an institutional framework raises constitutional concerns which warrant a calibrated response – Government data itself suggests that the vaccines also led to loss of life – Thus, State cannot shrug its responsibility in coming to aid to those affected families who have lost their near and dear ones – In *Jacob Puliye*, this Court underscored the responsibility of the State in monitoring adverse events following immunisation – That responsibility cannot end at surveillance alone, but must extend to providing fair compensation to those who suffered vaccine-related injury – Union of India shall continue to ensure that surveillance of adverse events following immunisation (AEFI) is carried out through efficient monitoring mechanisms, and that relevant data is placed in the public domain in a transparent and timely manner – Directions issued for formulation of no-fault compensation framework to address serious adverse events following immunisation arising in the context of COVID-19 vaccination – Public Health. [Paras 12, 20, 25, 34, 35, 38]

Public Health – Constitution of India – Arts.21, 14 – Right to health u/Art.21 – Obligation of State – Vaccine injury claims – Plea of the Union that individuals aggrieved by adverse outcomes may seek remedies before civil courts or consumer fora on the grounds of negligence-based principles.

Rachana Gangu & Anr. v. Union of India & Ors.

Held: While such remedies do exist, they are ill-suited as the only pathway of redress in the context of a mass immunization program – Vaccine injury claims raise questions where scientific attribution is often complex – To insist upon proof of negligence and fault in each case would impose an onerous burden upon affected families and would not be the best solution to those left affected – Further, a multiplicity of individual proceedings risks inconsistent outcomes and unequal access to relief, thereby undermining the guarantee of equality u/Art.14 – The relationship between the individual and the State cannot be viewed through the prism of fault-based liability – Where the State undertakes an intervention of this scale in discharging of its duty to protect public health, the right to health u/Art.21 would automatically extend to a corresponding obligation of institutional support in cases of grave outcomes, no matter how rare they are. [Para 26]

Constitution of India – Art.21 – Right to Life includes right to health – Positive obligation on the State to safeguard health of its people:

Held: Art.21 is not limited to protection against unlawful deprivation; of life, but also includes within its ambit a wide range of other rights that facilitate the smooth operation of right to life – Right to health and bodily integrity, is one such right – The jurisprudence of this Court has progressively evolved from recognising the right to health as a facet of the right to life u/Art.21 to emphasising the positive duty of the State to act as provider, facilitator, and regulator in all aspects of healthcare – Present proceedings approached with the limited objective of examining, whether in the exceptional context of a pandemic response, the absence of any structured framework to address serious adverse events raise constitutional concerns warranting an institutional response – In doing so, neither the vaccine efficacy is adjudicated upon nor the Court is sitting in scientific review over the regulatory approval process – The question is confined to whether the State's welfare obligations require the exploration of an equitable mechanism of redressal for harm arisen in the course of a national public health intervention. [Paras 14, 16, 17]

No-Fault Compensation – Principle of No-fault liability in Indian Law – No-fault vaccine injury compensation scheme across various jurisdictions in the world, discussed:

Held: India does not have any uniform or structured policy mechanism to provide redress to individuals who suffer adverse

Supreme Court Reports

effects following vaccination – This gap cannot be lightly overlooked, particularly when vaccination programmes are undertaken as public health measures under the aegis and authority of the State itself concern becomes all the more pressing in the context of the COVID-19 pandemic, where immunisation was carried out on an unprecedented scale as a collective societal necessity – In such a situation, the State cannot be heard to say that those who experience serious adverse consequences must fend for themselves, without any clear or accessible avenue of relief – The absence of a coherent framework, therefore, calls for timely intervention, lest the rights of such persons remain only theoretical and without meaningful enforcement. [Paras 28-31]

Case Law Cited

Parmanand Katara v. Union of India (1995) 3 SCC 248; *State of Punjab v. Mohinder Singh Chawla* [1996] Supp. 10 SCR 279 : (1997) 2 SCC 83; *State of Punjab v. Ram Lubhaya Bagga* [1998] 1 SCR 1120 : (1998) 4 SCC 117; *Distribution of Essential Supplies and Services During Pandemic, In re*, 2021 SCC OnLine SC 372; *Jacob Puliyel v. Union of India* [2022] 3 SCR 471 : 2022 SCC OnLine SC 533; *Gaurav Kumar Bansal v. Union of India* [2022] 2 SCR 568 : W.P.(C) No. 539/2021 – referred to.

List of Websites

Extensive studies by ICMR and AIIMS on sudden deaths among adults post COVID have conclusively established no linkage between COVID-19 vaccines and sudden deaths, PRESS INFORMATION BUREAU, <<https://www.mohfw.gov.in/?q=en/pressrelease/extensive-studies-icmr-and-aiims-sudden-deaths-among-adults-post-covid-have>>; WORLD HEALTH ORGANIZATION, Causality Assessment of An Adverse Event Following Immunization, <<https://iris.who.int/server/api/core/bitstreams/88d3e61d-63e5-458c-8880-893f713226d1/content>>

List of Acts

Constitution of India; Motor Vehicles Act, 1988.

List of Keywords

Death allegedly following administration of COVID-19 vaccination; Death allegedly due to COVID-19 vaccine; Deaths post COVID;

Rachana Gangu & Anr. v. Union of India & Ors.

Adverse events following immunization (AEFI); No-fault compensation policy; COVID-19 vaccination; Pandemic; Compensation; No-fault liability; No-fault vaccine injury compensation scheme; Right to life; Right to health; Public health policy; Fault-based liability; Vaccine-related injury; Article 41 of Constitution of India; Article 47 of Constitution of India.

Case Arising From

CIVIL ORIGINAL JURISDICTION: Writ Petition (Civil) No. 1220 of 2021

Under Article 32 of the Constitution of India

With

Civil Appeal No. 3257 of 2026, T.P.(C) No. 1716 of 2023 and T.P.(C) No(s). 2289-2294 of 2024

Appearances for Parties*Advs. for the Petitioner(s):*

Tushar Mehta, Solicitor General, Ms. Aishwarya Bhati, A.S.G., Colin Gonsalves, Sr. Adv., Manik Gupta, Satya Mitra, Gaurang Bhushan, Ishaan Sharma, Saurabh Pandey, Ketan Paul, T.S.Sabarish, Digvijay Dam, Mayank Pandey, Rajat Nair, Sudarshan Lamba, Amrish Kumar.

Advs. for the Respondent(s):

Tushar Mehta, Solicitor General, Ms. Aishwarya Bhati, A.S.G., SP Chaly, Sr. Adv., Rajat Nair, Padmesh Mishra, Ishaan Sharma, Vijay Awana, Sudarshan Lamba, Ms. Shivika Mehra, Ms. Riddhi Jad, Ketan Paul, Sudarshan Lamba, Rajat Nair, Ketan Paul, Ishaan Sharma, Digvijay Dam, Ms. Tanvi Dubey, Mayank Pandey, Arvind Kumar Sharma, Ms. Anu B., Shivam Sharma, Vaibhav Choudhary, Bibhuti Krishna, Prashant Bhushan, Prabhu K.N., Sureshan P., Vijay R. Deshmukh, Subhash S. Karnale, Hitesh Kumar Sharma, Akhileshwar Jha, Anupam Kumar, Honey Sharma, A.K. Sharma, Nishe Rajen Shonker, Mrs. Anu K Joy, Alim Anvar, Santhosh K, Mrs. Devika A.I., Shishir Pinaki, C Unnikrishnan, Pranav Krishna, Jai Gopal Yadav, Ms. Akanksha Singh, Aljo K. Joseph, Rajesh Kumar, Saket Jee, N Leela Vara Prasad, Santhosh Kumar Kolkundra, Vinay Kumar Puvvala, Rohit Kalra, Ms. Ankita Kutthi, Mohammed Sadique T.a., Mrs. Devika A.I., Pranav Sarthi, Utkarsh Vatsa, Ms. Prachi Dhingra, Ramesh Babu M. R., Pranav P P.

Supreme Court Reports**Judgment / Order of the Supreme Court****Judgment****Vikram Nath, J.**

1. Leave granted in SLP(C) No. 16452/2023.
2. The COVID-19 pandemic was an unprecedented period of suffering and disruption, which brought grief and hardship to countless families across the country. Many lives were lost, and many households were left to bear sorrow that cannot easily be expressed in words. The present proceedings arise in the aftermath of that difficult time. The Court approaches the issues raised with a deep sense of empathy for the human loss endured during the pandemic, while remaining mindful that the questions before it must be examined with care and within the constitutional limits of judicial determination.
3. At the outset, it is relevant to note that a writ petition under Article 32 of the Constitution, registered as W.P.(C) No. 1220 of 2021 (Rachana Gangu & Anr. v. Union of India & Ors.), was instituted before the Supreme Court by parents of young individuals who had received COVID-19 vaccination and are stated to have died thereafter. The petition sought, *inter alia*, the constitution of an independent expert medical board to inquire into such deaths, the formulation of protocols for early detection and treatment of adverse events following immunization (AEFI), and the grant of compensation.
4. Subsequent thereto, writ petitions raising similar grievances came to be filed before the High Court of Kerala. One such petition was Sayeeda K.A. v. Union of India & Ors. (W.P.(C) No. 17628 of 2022, High Court of Kerala), wherein the petitioner sought directions for recognition of a death allegedly following COVID-19 vaccination as an AEFI case and for the grant of compensation to the dependants of the deceased. By an interim order dated 01.09.2022, the Kerala High Court directed the Ministry of Health and Family Welfare and the National Disaster Management Authority to formulate, within a stipulated period, a policy for identification of AEFI cases and for compensating the families of such deceased persons.
5. Aggrieved by the aforesaid interim directions, the respondents approached this Court in SLP(C) No. 16452/2023 challenging the

Rachana Gangu & Anr. v. Union of India & Ors.

interim order passed by the High Court in Sayeeda K.A. v. Union of India & Ors.. A Transfer Petition TP(C) No.1716/2023 was also filed seeking transfer of proceedings from the High Court to this Court as the same issue was pending adjudication.

6. With respect to W.P.(C) Nos. 13487/2022, 13573/2022, 11276/2022, 35180/2022, 37055/2022 and 38961/2022 pending before the Kerala High Court where similar prayers of compensation were made by the petitioners, the respondent Union of India filed T.P.(C) Nos. 2289-2294/2024 seeking transfer of these proceedings before this Court. Consequently, the Article 32 writ petition, the proceedings arising from the Kerala High Court, and the connected matters were listed together for consideration. For ease of convenience, W.P.(C) No. 1220 of 2021 is taken as the lead case. The disposal of this writ petition shall govern the disposal of all connected matters.

7. A brief summary of facts giving rise to each case is as follows:

- i. *Rachna Gangu & Anr. v. Union of India & Ors., W.P.(C) No. 1220 of 2021*

Petitioner's younger daughter, aged 18 years, received the first dose on 29.05.2021. Her platelet count dropped, she had severe headache, and had a tingly and numb feeling in her fingertips. Her condition worsened and the petitioner was informed that her daughter had been diagnosed with CVST- Cerebral Venous Sinus Thrombosis. She passed away on 19.06.2021

Petitioner's elder daughter, aged 20 years, received the first dose of vaccine on 08.06.2021. She had high fever, arthralgia, headache and myalgia. In the following days, she developed Multisystem Inflammatory Syndrome (MIS- C/A) She lost her life on 10.07.2021.

- ii. *Sayeeda K.A. v. Union of India & Ors. in W.P.(C) 17628/2022 before Kerala High Court*

Husband Abdul Nazeer M.H. who was otherwise in good health received his first dose of vaccine on 08.06.2021. On the same day at 03.03 p.m., he was declared dead. The post-mortem report did not reveal a definite reason as to the cause of death, however it was noted that the possibility of death due to Heart Pathology following COVID-19 cannot be ruled out.

Supreme Court Reports

- iii. *Renjith R v. Union of India & Ors.* in *W.P.(C) No. 13487/2022* before Kerala High Court

Petitioner's wife Mahima aged 31 years, received the vaccine on 06.08.2021 and passed away on 20.08.2021. She was pregnant with twins at that time. She died of Thrombocytopenia. The cause of death as classified by the respondent was AEFI.

- iv. *Jean George v. Serum Institute of India Limited & Ors.* in *W.P. (C) No. 13573/2022* before Kerala High Court

Nova Sabu, aged 19 years, was the only daughter of the petitioner. She took the vaccine on 28.07.2021. She passed away on 12.08.2021. The cause of her death as mentioned in the post-mortem report was 'intra cranial bleeding of brain'. She had no history of neurological illness.

- v. *Rajagopalan K v. Union of India & Ors.* in *W.P. (C) No. 11276/2022* before Kerala High Court

Petitioner took the first dose of vaccine on 08.02.2021. Following that, he developed fever and his situation worsened. He was ultimately diagnosed with limbic encephalitis along with 'systematic inflammatory state in the form of deranged coagulation parameter. It was diagnosed as a probable autoimmune encephalitis following post COVID-19 vaccination.

- vi. *Ginu G Kumar v. Serum Institute of India Ltd. & Ors.* in *W.P.(C) No. 35180/2022* before Kerala High Court

Petitioner's wife, aged 37 years, was vaccinated on 02.08.2021. She was declared dead on 23.08.2021 and the cause of her death was 'intra cerebral haemorrhage'. The medical report revealed she had thrombosis with thrombocytopenia syndrome, which is a complication of Covishield vaccine, although rare.

- vii. *Ansaria AK v. Union of India & Ors.* in *W.P. (C) No. 37055/2022* before Kerala High Court

Petitioner's husband took the vaccine on 13.03.2021. He developed a high fever after that and the doctors could not pinpoint the exact cause for the problem. He eventually suffered from paralysis. Neurologist's report arrived at the conclusion that patient had been paralyzed due to the administration of Covishield vaccine.

Rachana Gangu & Anr. v. Union of India & Ors.

- viii. *Narayan`an MV & Anr. v. Serum Institute of India Ltd. & Ors.* in *W.P. (C) No. 38691/2022* before Kerala High Court

Petitioner's elder daughter, aged 18 years, received the vaccine on 26.10.2021. She developed a mild fever and continuous headache following it. She was admitted to the hospital. She ultimately passed away on 06.11.2021. Thrombotic Thrombocytopenia was identified as the cause of her death.

8. It is in this factual and procedural backdrop that the Court is called upon to examine the legality and propriety of the interim directions issued by the Kerala High Court, as well as the extent to which judicial intervention is warranted in matters touching upon adverse events following immunization, compensation, and public health policy.

Submissions

9. The submissions advanced on behalf of the appellants are summarised hereunder.
- 9.1 Learned counsel for the appellants have argued at length highlighting the Union Government's failure to ensure transparency, informed consent and post-vaccination surveillance, thereby constituting a violation of Article 21 of the Constitution. They allege that deaths caused after the administration of COVID-19 vaccines expose structural defects in India's vaccine governance regime.
- 9.2 It is submitted that the respondents' contention that vaccination was entirely voluntary is incorrect. According to them, public communication and administrative measures created an atmosphere of effective compulsion. It is urged that restrictions were imposed upon unvaccinated individuals, including limitations on travel and access to certain public spaces and services, thereby pressuring citizens to undergo vaccination irrespective of their autonomy or informed consent.
- 9.3 Appellants contend that a significant body of scientific evidence had emerged linking AstraZeneca vaccine, of which Covishield is a version, to fatal blood clotting disorders (VITT/TTS). By March-April 2021, around 18 European countries had suspended or restricted its administration, limiting its use to older age groups due to multiple vaccine-induced deaths. It is alleged

Supreme Court Reports

that the Government, despite having exclusive possession of facts essential for decision making, did not either publish causality assessments or maintain a publicly accessible portal, which is in clear violation of the expectation recorded by this Court in *Jacob Puliye v. Union of India*. This control by the Government over AEFI data, combined with non-disclosure of serious adverse events, deprived citizens of information crucial to make an informed decision.

- 9.4 The appellants further allege that, despite possessing relevant information regarding potential adverse effects, the respondents failed in their duty to adequately warn users, caregivers, and the medical community about known serious side effects. It is specifically contended that the Drug Controller General of India publicly stated on 04.01.2021 that the vaccines were “110% safe,” which, according to the appellants, contributed to a false sense of absolute safety and undermined informed consent.
- 9.5 They ultimately highlight that the non-disclosure of voluntariness, lack of truthful risk communication, investigative lapses in monitoring AEFI, denial of access to medical records, absence of diagnostic protocols and non-publication of causality assessments has led to the violation of Articles 14, 19(1)(a) and 21 of the Constitution. It was argued that many individuals had lost their lives, and many families their sole breadwinners. For the large number of similarly placed vaccine-injured citizens, it was submitted, formation of a policy which ensures grant of fair and timely compensation would secure a life of dignity.
10. Per contra, learned counsel for the respondents have strongly opposed the submissions made on behalf of the appellants and made the following submissions:
 - 10.1 That the safety of COVID-19 vaccines and their regulatory approval was in accordance with the statutory procedure prescribed under the law and the same was examined in detail by this Court in *Jacob Puliye*. The vaccine was given marketing approval by the CDSCO (Central Drugs Standard Control Organisation). Following that, NTAGI (National Technical Advisory Group of Immunization), which is the apex advisory body on immunization, compiled the scientific evidence on the vaccine, and the same was sent to the COVID-19 Working

Rachana Gangu & Anr. v. Union of India & Ors.

Group. In order to oversee all aspects of vaccine administration, the Government constituted the National Expert Group on Vaccine Administration for COVID-19 (NEGVAC), which provided the final layer of expert review for recommendations related to the vaccine. This is a testament to the fact that the vaccines have gone through a rigorous regulatory approval process with multifarious approval processes including reviews by independent experts. They also averred that this Court has found the approval of COVID-19 vaccines to be in accordance with law.

- 10.2 That the system of AEFI surveillance, monitoring and investigation is administered by leading scientific and medical experts. The AEFI Committees are created at the State and Central level to provide guidance to the program and carry out documentation, investigation and causality assessment. An AEFI can be reported by any person, on the CoWIN portal or otherwise to the District Immunization Officer (DIO). For all severe and serious AEFI cases, causality assessment is conducted by trained medical experts of the State or National AEFI Committee. It was also submitted that considering the novel nature of the virus, the Committee was expanded to include cardiologists, neurologists, respiratory medicine specialists and other medical specialists. With respect to the causality assessment, it was submitted that result of the same was made public and was available on the website of Ministry of Health and Family Welfare (MoHFW). The Operational Guidelines shared with the States and the Union Territories clearly recommended that the vaccine beneficiaries should be informed about the benefits and side-effects alike. Posters with information on the risks involved were also prepared in English and Hindi, which were to be displayed in all vaccination centres across the country.
- 10.3 That the occurrences of Thromboembolic events (TTS), which were identified as an AEFI, were very miniscule. It was submitted that in India, as compared to other European countries, occurrence of TTS was a rare event since different populations react differently to different vaccines due to genetic variations. In India, the reporting rate of TTS was 0.001 per one lakh doses, making it an extremely rare occurrence. It was

Supreme Court Reports

further submitted that the existing mechanism for monitoring, investigation and analysis of AEFIs is adequate, effective and transparent. It was strongly urged that if an independent review of AEFI is allowed, then that would plant a seed of doubt in the existing regulatory system and harm public interest.

- 10.4 That a claim for compensation for an AEFI related death does not lie under writ jurisdiction. It was contended that a claim can be made at two stages- first, during the clinical trial stage, where the vaccine manufacturer is under a legal obligation to provide treatment to the trial participant in case of an injury or death; second, at the vaccine administration stage, in case of an untoward incident, appropriate remedies are available in law to the vaccine beneficiary or their family. This includes approaching consumer courts seeking damages for negligence, malfeasance or misfeasance, which is determined on a day-to-day basis. It was brought to our attention that unlike other countries where vaccine manufacturers have legal immunity from such claims, the manufacturers here do not have any legal immunity whatsoever. Therefore, all those aggrieved can approach the consumer courts and pursue their claims.

Issues

11. Having heard the learned counsel for the parties at length and examined the submissions placed on record, the broad issues that have arisen for our determination are as follows:
- i. Whether the absence of a uniform policy governing compensation in cases of death or injury following administration of COVID-19 vaccination results in violation of Right to Life protected under the Constitution?
 - ii. If yes, can this Court direct the respondents to frame a policy in that regard?

Analysis

12. At the outset, we would like to reiterate that the petitions before us raise serious questions of violation of fundamental rights, more particularly that of right to life. The respondent Union of India has urged that the questions raised by the appellants traverse into a

Rachana Gangu & Anr. v. Union of India & Ors.

realm of scientific inquiry, and that the individuals aggrieved by the adverse outcomes have the door of private remedies open for them. The Court is conscious that questions of public health, governance, vaccine approval and element of causality involve complex technical considerations, and that the constitutional courts must exercise appropriate restraint in domains entrusted exclusively for determination by the executive branch.

13. At the same time, a closer look at the petitions reveals that the question is not just confined to the adjudication of individual cases. The grievance here is much deeper, namely, that families alleging grave harm during the course of State-led vaccination program are left without any uniform remedy to seek redressal.

Extension of the Right to Health

14. It is well settled that Article 21 is not limited to protection against unlawful deprivation; of life, but also includes within its ambit a wide range of other rights that facilitate the smooth operation of right to life. Right to health and bodily integrity, is one such right. This Court has not shied away from upholding this constitutional idea and recognizing that the State bears a positive obligation to safeguard health of its people and ensure conditions necessary for meaningful enjoyment of life.
15. In the aftermath of the unfortunate Bhopal Gas Tragedy, this Court had expressed its anguish at the plight of the affected persons and noted the absence of a coordinated and effective effort to provide timely care and redress to them. It was noted:

“9. It is indeed a matter for national introspection that public response to this great tragedy which affected a large number of poor and helpless persons limited itself to the expression of understandable anger against the industrial enterprise but did not channel itself in any effort to put together a public supported relief fund so that the victims were not left in distress, till the final decision in the litigation.”

10. This Court, considered it a compelling duty, both judicial and humane, to secure immediate relief to the victims. In doing so, the court did not enter upon any forbidden

Supreme Court Reports

*ground. Indeed, efforts had earlier been made in this direction by Judge Keenan in the United States and by the learned District Judge at Bhopal. What this court did was in continuation of what had already been initiated.”*¹

16. The jurisprudence of this Court has progressively evolved from recognising the right to health as a facet of the right to life under Article 21 in **Parmanand Katara v. Union of India**² to emphasising the positive duty of the State to act as provider, facilitator, and regulator in all aspects of healthcare. In **State of Punjab v. Mohinder Singh Chawla**,³ this Court had reiterated that “*it is now settled law that right to health is integral to the right to life. Government has a constitutional obligation to provide health facilities.*” Again, in **State of Punjab v. Ram Lubhaya Bagga**,⁴ this Court observed that “*the State can neither urge nor say that it has no obligation to provide medical facility. If that were so, it would be ex facie violative of Article 21*”.
17. The Court therefore approaches the present proceedings with the limited objective of examining, whether in the exceptional context of a pandemic response, the absence of any structured framework to address serious adverse events raise constitutional concerns warranting an institutional response. In doing so, we reiterate that we are neither adjudicating upon the vaccine efficacy nor sitting in scientific review over the regulatory approval process. The question is confined to whether the State’s welfare obligations require the exploration of an equitable mechanism of redressal for harm arisen in the course of a national public health intervention.
18. This Court in **Distribution of Essential Supplies and Services During Pandemic, In re**⁵ specifically talked about special duty cast on the executive in times of emergency such as this and the subsequent duty of the Court in ensuring that the executive acts within the constitutional boundaries. The relevant portion is extracted below:

“16. Similarly, courts across the globe have responded to constitutional challenges to executive policies that have

1 Union Carbide Corpn. v. Union of India (1989) 3 SCC 38.

2 (1995) 3 SCC 248.

3 (1997) 2 SCC 83.

4 (1998) 4 SCC 117.

5 2021 SCC OnLine SC 372.

Rachana Gangu & Anr. v. Union of India & Ors.

directly or indirectly violated rights and liberties of citizens. Courts have often reiterated the expertise of the executive in managing a public health crisis, but have also warned against arbitrary and irrational policies being excused in the garb of the “wide latitude” to the executive that is necessitated to battle a pandemic. This Court in Gujarat Mazdoor Sabha vs State of Gujarat,⁶ albeit while speaking in the context of labour rights, had noted that policies to counteract a pandemic must continue to be evaluated from a threshold of proportionality to determine if they, inter alia, have a rational connection with the object that is sought to be achieved and are necessary to achieve them.”

19. This Court does not proceed on the premise that the regulatory approval process or the vaccination programme was unlawful or deficient. The measures were undertaken in extraordinary circumstances with the objective of protecting public health. As submitted by the respondents, this has already been dealt with by the Court in **Jacob Puliyel v. Union of India**.⁷ The relevant portion is extracted below:

“117. An analysis of the submissions made by the learned counsel appearing for the parties and a close scrutiny of the material placed on record would show that there is a strict statutory regime in force for grant of approvals to vaccines. Specialist bodies established under the provisions of the Drugs and Cosmetics Act, 1940 and the rules framed thereunder comprise of domain experts in the relevant field, who conduct a thorough scrutiny of the material produced by the manufacturers before granting approval. The information provided on behalf of the Union of India substantiates that the data provided by the vaccine manufacturers was considered by the SEC over a period of time and several conditions were imposed at the time of recommending approvals, which have been modified or lifted subsequently on availability of further data arising from the clinical trials before the SEC, as can be seen

6 AIR 2020 SC 4601, para 9.

7 2022 SCC OnLine SC 533.

Supreme Court Reports

from the minutes of the meetings of the SEC, available on the website of the MoHFW.

118. *We do not agree with the submission on behalf of the petitioner that emergency approvals to the vaccines were given in haste, without properly reviewing the data from clinical trials.”*

20. However, the Constitution does not view the right to life solely through the lens of fault. Article 21 also embodies a positive obligation of the State to ensure that where grave harm is alleged to have occurred in the course of a State-led public health intervention, affected families are not left without any accessible mechanism of redress. The absence of such an institutional framework raises constitutional concerns which warrant a calibrated response.
21. The Union of India has submitted that question of causality between the vaccination and the resultant deaths involve scientific assessment. They also admit that such an assessment has been conducted by them and no relation has been found between the two. This Court in **Jacob Puliyel** did a detailed examination of the AEFI surveillance system in India and recorded the following:

“132. *From the material placed before us, we note that the National AEFI Surveillance Secretariat has been functioning for 10 years and as has been pointed out, there is a well-established protocol in place for identification and monitoring of AEFIs. The website of the MoHFW carries the results of causality assessment of AEFI cases, from which the public can obtain relevant information pertaining to AEFIs. We have been informed that a thorough causality assessment analysis of AEFIs is carried out by experts and not every severe disease and death can be attributed to vaccination. Reactions are examined by experts specifically trained to undertake causality analysis before notifying such reactions as adverse events arising from vaccination. There is a well-defined mechanism for collection of data relating to adverse events that occur due to COVID-19 vaccines and the Government of India has taken steps to direct all medical professionals concerned at the ground level to report adverse events. Even medical practitioners at private hospitals are associated with reporting of adverse*

Rachana Gangu & Anr. v. Union of India & Ors.

events. Therefore, we are not inclined to accept the broad strokes challenge mounted by the petitioner that the surveillance system of AEFIs in this country is faulty and the correct figures of those who have suffered any side effects, severe reactions or deaths post inoculation have not been disclosed.”

22. It has come to our notice that extensive studies conducted by Indian Council of Medical Research (ICMR) and National Centre for Disease Control (NCDC) have affirmed that there is no direct link between the vaccines and sudden deaths caused thereafter. They have concluded that the vaccines are safe with extremely rare instances of side effects.⁸ This court accords due weight to such scientific findings. At the same time, the expression ‘Adverse Event Following Immunization’ (AEFI), as recognized by the World Health Organization (WHO) denotes any untoward medical occurrence after vaccination which does not necessarily have a causal relationship with the vaccine itself.⁹
23. This Court does not consider it either feasible or appropriate, in a writ jurisdiction, to embark upon a scientific determination of causality in individual cases. Such questions are better left to be answered by domain experts. Nevertheless, the Court’s inability to undertake scientific inquiry does not exhaust its constitutional enquiry.
24. The Constitution does not conceive of the State as a distant spectator to human suffering, but as an active guardian of welfare and dignity. The Directive Principles of State Policy illuminate this vision with clarity. Article 41 speaks of public assistance in cases of sickness and disablement, within the limits of State’s capacity. Article 47 declares the improvement of public health to be among the State’s primary duties.
25. The vaccination program undertaken during the pandemic was itself an expression of these constitutional commitments. The State went above and beyond in order to create a vaccination scheme and the

8 *Extensive studies by ICMR and AIIMS on sudden deaths among adults post COVID have conclusively established no linkage between COVID-19 vaccines and sudden deaths*, Press Information Bureau, <<https://www.mohfw.gov.in/?q=en/pressrelease/extensive-studies-icmr-and-aiims-sudden-deaths-among-adults-post-covid-have>>.

9 WORLD HEALTH ORGANIZATION, Causality Assessment of An Adverse Event Following Immunization, <<https://iris.who.int/server/api/core/bitstreams/88d3e61d-63e5-458c-8880-893f713226d1/content>>.

Supreme Court Reports

same undoubtedly helped save many lives. But at the same time, as the government data itself suggests, it cannot be brushed aside that the same vaccines also led to loss of life. In such a situation, it is not appropriate that the State shrugs its responsibility in coming to aid to those affected families who have lost their near and dear ones.

26. The Union has urged that individuals aggrieved by adverse outcomes may seek remedies before civil courts or consumer fora on the grounds of negligence-based principles. While such remedies do exist, the Court is of the view that they are ill-suited as the only pathway of redress in the context of a mass immunization program. Vaccine injury claims raise questions where scientific attribution is often complex. To insist upon proof of negligence and fault in each case would impose an onerous burden upon affected families and would not be the best solution to those left affected. Further, a multiplicity of individual proceedings risks inconsistent outcomes and unequal access to relief, thereby undermining the guarantee of equality under Article 14.
27. In such a setting, the relationship between the individual and the State cannot be viewed through the prism of fault-based liability. Where the State undertakes an intervention of this scale in discharging of its duty to protect public health, the right to health under Article 21 would automatically extend to a corresponding obligation of institutional support in cases of grave outcomes, no matter how rare they are.

No-Fault Compensation

28. The principle of no-fault liability is not alien to Indian law. Section 164 of Motor Vehicles Act, 1988 stipulates a fixed liability of the owner even though the accident was caused without any fault of her own, subject to certain conditions. The rationale behind it is simple- certain categories of harm require swift relief without prolonged inquiry into fault.
29. Even across the world in many jurisdictions, no-fault vaccine injury compensation scheme is a recognized feature of a welfare-state response. Some policies are listed below:
 - i. Australia, which did not have a no-fault vaccine injury compensation program already in place, introduced a comprehensive policy on COVID-19 vaccination compensation

Rachana Gangu & Anr. v. Union of India & Ors.

called the 'COVID-19 Vaccine Claims Scheme Policy 2021'. It lays out the basis on which the government may make a grant of financial assistance to a person who submits a claim for compensation. It covers losses or expenses arising from administration of a COVID-19 vaccine or an adverse effect which is recognized as vaccine-related. The scheme recognises graded categories of injury, including death, and provides structured compensation covering medical expenses, loss of earnings, dependency benefits, and funeral costs.

- ii. Similarly, the United Kingdom, which already had a no-fault compensation scheme for vaccines, incorporated COVID-19 vaccines into the scheme from 31 December 2020. The scheme is administered by the NHS Business Services Authority and funded by the government. It covers vaccine recipients, their representatives, or estates at no cost to file claims.
 - iii. The World Health Organization's COVID-19 Vaccines Global Access (COVAX) initiative which covered low and middle-income countries also had a No-Fault Compensation Program which provided a lump sum compensation to eligible individuals who suffered from adverse events after receiving the vaccine distributed through the COVAX Facility till 30 June 2022.
 - iv. Japan had a no-fault compensation scheme for vaccine related injuries since 1976, and it added COVID-19 vaccines as 'temporary vaccinations' after a 2020 amendment. It covers a wide range of adverse reactions related to COVID-19 vaccines.
30. It is evident from the policies adopted internationally that Governments have acknowledged the need to address vaccine-related injuries through dedicated compensation mechanisms. Such programmes provide an expeditious and fair avenue of relief, obviating the necessity for affected persons to be relegated to the labyrinthine processes in order to secure enforcement of their claims.
31. In contrast, as matters stand today, India does not appear to have in place any uniform or structured policy mechanism to provide redress to individuals who suffer adverse effects following vaccination. This gap cannot be lightly overlooked, particularly when vaccination programmes are undertaken as public health measures under the aegis and authority of the State itself. The concern becomes

Supreme Court Reports

all the more pressing in the context of the COVID-19 pandemic, where immunisation was carried out on an unprecedented scale as a collective societal necessity. In such a situation, the State cannot be heard to say that those who experience serious adverse consequences must fend for themselves, without any clear or accessible avenue of relief. The absence of a coherent framework, therefore, calls for timely intervention, lest the rights of such persons remain only theoretical and without meaningful enforcement.

32. It must also be acknowledged that, from the onset of the pandemic, efforts were undertaken at every level of governance to mitigate the impact of the pandemic. This Court, at the beginning took suo moto cognizance of the situation in ***Distribution of Essential Supplies and Services During Pandemic, In re***¹⁰ which led to the development of a national policy, the issues of oxygen supply, drugs, administration and pricing of vaccines were also adjudicated upon. Similarly in ***Gaurav Kumar Bansal v. Union of India in W.P.(C) No. 539/2021***, this Court had directed the National Disaster Management Authority to frame appropriate guidelines for ex-gratia assistance to families of persons who died due to COVID-19. The Court recognized that while the design of the policy lies within the executive domain, the absence of any structured framework of relief in exceptional circumstances affecting life and dignity may warrant a limited institutional response.
33. That said, this Court has time and again also reiterated that the executive, which has been democratically elected by the people of the country and is accountable for its actions to them, is vested with the competence and authority to draft policies. But at the same time, this constitutionally protected separation of powers cannot in any scenario come in the way of Judiciary when the fundamental rights of its citizens are violated due to executive policies, or by lack of them, as in this case. In such circumstances, the constitutional duty of this Court to safeguard the rights of citizens cannot be eclipsed.
34. This Court, in *Jacob Puliyel*, underscored the responsibility of the State in monitoring adverse events following immunisation. In our considered view, that responsibility cannot end at surveillance alone, but must extend to providing fair compensation to those who suffered vaccine-related injury, in light of the discussion above.

¹⁰ Supra note 5.

Rachana Gangu & Anr. v. Union of India & Ors.

35. In addition to this, to allay the concerns of the appellants regarding the inefficiency in monitoring AEFIs, we reiterate that the Union of India shall continue to ensure that surveillance of adverse events following immunisation (AEFI) is carried out through efficient monitoring mechanisms, and that relevant data is placed in the public domain in a transparent and timely manner. This is consistent with the observation of this Court in *Jacob Puliyl* which is produced hereinbelow:

“144.8. We are also of the opinion that information relating to adverse effects following immunisation is crucial for creating awareness around vaccines and their efficacy, apart from being instrumental in further scientific studies around the pandemic. Recognising the imperative need for collection of requisite data of adverse events and wider participation in terms of reporting, the Union of India is directed to facilitate reporting of suspected adverse events by individuals and private doctors on an accessible virtual platform. These reports shall be made publicly accessible, without compromising on protecting the confidentiality of the persons reporting, with all necessary steps to create awareness of the existence of such a platform and of the information required to navigate the platform to be undertaken by the Union of India at the earliest.”

36. With respect to the issue regarding forming an independent expert board to look into the deaths caused, we are satisfied with the submissions made by the respondent that a framework already exists consisting of National and State AEFI Committees which investigate into the deaths and injuries caused after the administration of vaccines. As discussed before, this court is not sitting in a scientific inquiry into the question of causation. In our opinion, this mechanism is adequate and there is no need to conduct any independent inquiry into the individual cases of deaths. In the absence of any material indicating that such mechanisms are non-functional or incapable of performing their role, it would not be appropriate for this Court, in exercise of its writ jurisdiction, to constitute a parallel body to undertake individual medical determinations.
37. In view of the foregoing discussion, and having regard to the limited constitutional concerns which arose for consideration, the Union of

Supreme Court Reports

India, through the Ministry of Health and Family Welfare is hereby directed to expeditiously formulate and place in the public domain an appropriate no-fault compensation framework to address serious adverse events following immunisation) arising in the context of COVID-19 vaccination.

Conclusion

38. In the end, the following directions are issued:
- i. The Union of India shall, through the Ministry of Health and Family Welfare, frame a no-fault compensation policy for serious adverse events following COVID-19 vaccination.
 - ii. The existing mechanisms for monitoring adverse events following immunisation shall continue, and relevant data shall be periodically placed in the public domain in accordance with the observations in *Jacob Puliye*.
 - iii. No separate court-appointed expert body is considered necessary in view of the existing mechanisms for scientific assessment of adverse events following immunisation.
 - iv. It is clarified that this judgment shall not preclude any person from pursuing such other remedies as may be available in law. Equally, the formulation of the no-fault framework shall not be construed as an admission of liability or fault on the part of the Union of India or any authority.
39. Accordingly, the writ petition and other connected matters are disposed of.

Result of the case: Writ petition and other connected matters disposed of.

Central Bureau of Investigation

v.

Baljeet Singh

(Special Leave Petition (Crl.) No. 12486 of 2025)

10 March 2026

[Sanjay Kumar and K. Vinod Chandran,* JJ.]

Issue for Consideration

Bereft of proof of the conspiracy theory and finding absence of the demand of bribe, the conviction of both the accused (A1 and A2) was overturned by the High Court.

Headnotes[†]

Prevention of Corruption Act, 1988 – s.7 – Penal Code, 1860 – s.120B – PW1 alleged that Income Tax Officer-A2 made a demand of Rs.5 lakhs purportedly on behalf of appellant, Assessing Officer-A1 – PW1 approached CBI – PW1 is alleged to have informed A2 that he had in his possession only Rs.2 lakhs – Trap was laid – PW1 then went to the office room of A1, where he found only A2, to whom he handed over the envelope, which A2 put in his coat pocket – The Trap Laying Officer (TLO) and another constable caught hold of the hands of A2 and one of the independent witnesses, PW18 was asked to search A2 – Envelope was recovered – The notes were taken out from the envelope recovered from the coat pocket of A2 and both the hands of A2 being submerged in two separate tumblers of Sodium Carbonate solution, they turned pink revealing the taint of acceptance of the powdered envelope with the marked notes – Trial Court convicted both the accused persons u/s.120B of the IPC r/w s.7 of the PC Act – The High Court, by the impugned decision, found that there was no conspiracy proved and that there was no proof of a demand having been made by A2 and A1 – **Correctness:**

Held: This Court noticed from the evidence of PW22 that after fully corroborating the trap it was deposed that on being challenged,

* Author

Supreme Court Reports

A2 remained mum – It was also testified that A2 tried to escape and take out the money – It was PW1 who pointed out the upper pocket of the coat of A2 where he had kept the envelope which was taken out by PW18 as fully corroborated by PW22 – PW10 also stated that the man apprehended in A1's room turned pale – All these are relevant conduct of A2 pointing to his guilt fortified by the recovery of the marked cash from his body and his hands, coat and sweater, on being washed in the test solution, turning pink, as deposed by the witnesses – The order of acquittal passed by the High Court insofar as A2 is concerned, cannot be accepted – As far as, the trap proper is concerned, there is complete corroboration of the testimony of PW1 by that of PW22, the TLO – There is also sufficient corroboration from PW10 & PW18, the independent witnesses – The hand wash of A2 also stood established beyond doubt – The marked notes were identified from the numbers taken down in the HOM at the time of pre-trap proceedings, corroborated by all the above witnesses – There was neither proof of demand nor acceptance by A1 – However, the acquittal against A2 is set aside and order of the trial Court in convicting him for the offence u/s.7 of the PC Act is restored – The sentence of four years of RI handed down by the trial court is modified to one year, considering the age of A2. [Paras 28-30]

Case Law Cited

A. Srinivasulu v. State represented by the Inspector of Police [2023] **10 SCR 11 : (2023) 13 SCC 705**; *Dashrath Singh Chauhan v. Central Bureau of Investigation* [2018] **12 SCR 914 : (2019) 17 SCC 509**; *Bhagat Ram v. State of Rajasthan* [1972] **3 SCR 303 : (1972) 2 SCC 466**; *Prakash Chand v. State (Delhi Administration)* [1979] **2 SCR 330 : (1979) 3 SCC 90**; *State of Bihar v. Basawan Singh* [1959] **1 SCR 195 : AIR 1958 SC 500**; *Bhanuprasad Hariprasad Dave Rajuji v. State of Gujarat* [1969] **1 SCR 22 : AIR 1968 SC 1323**; *Neeraj Dutta v. State (Govt. of NCT of Delhi)* [2022] **5 SCR 104 : (2023) 4 SCC 731**; *Sat Paul v. Delhi Administration* (1976) **1 SCC 727**; *Himachal Pradesh Administration v. Shri Om Prakash* [1972] **2 SCR 765 : (1972) 1 SCC 249** – referred to.

List of Acts

Prevention of Corruption Act, 1988; Penal Code, 1860.

Central Bureau of Investigation v. Baljeet Singh**List of Keywords**

Corruption; Demand of money; Criminal conspiracy; Demand and acceptance; Trap proceedings; Phenolphthalein Test; Independent Witnesses; Corroboration; Modification of sentence; Pre-trap proceedings.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Special Leave Petition (Criminal) No. 12486 of 2025

From the Judgment and Order dated 22.03.2024 of the High Court of Delhi at New Delhi in CRLA Nos. 630 and 643 of 2015

Appearances for Parties

Advs. for the Petitioner(s):

Kanakamedala Ravindar Kumar, A.S.G., Mukesh Kumar Maroria, Mayank Pandey, Ms. Rajeshwari Shankar, Akshay Amritanshu, Shashank Bajpai, Praneet Pranav, Aditya Kumar, Siddhant Gupta, Dheeraj B., Mayank Pandey, Ms. Rajeshwari Shankar, Akshay Amritanshu, Praveen Pranav, Shashank Bajpai.

Advs. for the Respondent(s):

Vikas Pahwa, Sr. Adv., Ms. Vrinda Bhandari, Manish Tiwari, Jasmeet Singh Chadha, Ms. Shreya Chauhan.

Judgment / Order of the Supreme Court**Judgment**

K. Vinod Chandran, J.

Leave granted.

2. Bereft of proof of the conspiracy theory and finding absence of the demand of bribe, the conviction of both the accused was overturned by the High Court. The Central Bureau of Investigation (the 'CBI') which laid the trap at the instance of the complaint made by PW1, is in appeal.
3. We heard Mr. Kanakamedala Ravindar Kumar, learned Additional Solicitor General and Mr. Mukesh Kumar Moraria, learned counsel for the appellant-CBI and Mr. Vikas Pahwa, learned Senior Counsel for the respondent-accused.

Supreme Court Reports

4. PW1, the complainant, was the partner of a firm whose Assessing Officer under the Income Tax Act was the 1st appellant/1st accused; A1. There was a notice issued to the assessee for the assessment year 2008-09 as pending in the office of A1, to finalize which PW1 had approached the 2nd appellant/2nd accused; A2, an Income Tax Inspector, who was the subordinate of A1. It was the complaint of PW1 that in October 2010, he had met both the appellants concerned in connection with the scrutiny of the accounts of the firm in which he was a partner, pursuant to which he was directed to furnish information which also was submitted. On 27.12.2010, PW1 had gone to the Income Tax Office where he met A2 who took him to A1. After discussions, when PW1 was coming out with A2, the latter made a demand of Rs.5 lakhs purportedly on behalf of A1. PW1 protested and the second appellant having persisted, he haggled for a lesser amount pointing out that in October 2010 the demand was for a far lesser amount of Rs.1,50,000/-. The second appellant refused to budge, and this prompted PW1 to approach the CBI with the complaint.
5. The complaint was verified by PW22, referred to as a Trap Laying Officer (TLO). The TLO called for two independent witnesses from the House Taxes Department of the Municipal Corporation of Delhi, PW10 and PW18. In the presence of the independent witnesses there was a telephonic conversation between PW1 and A2, which was recorded in a Digital Voice Recorder (DVR) and transferred to a CD. PW1 is alleged to have informed A2 that he had in his possession only Rs.2 lakhs upon which A2 had directed PW1 to come to his office in the Drum Shaped Building, IP Estate, New Delhi. The pre-trap proceedings were carried out in the presence of the independent witnesses wherein 200 notes of Rs.1000/- each, smeared with phenolphthalein powder, after noting down their serial numbers, were kept in an envelope which also was smeared with the powder. The entire proceedings were recorded and reduced to writing in the Handing Over Memo (HOM) signed by the complainant, the TLO and the independent witnesses. PW1 was given a DVR to record the conversation likely to take place between PW1 and A2.
6. The team reached the Income Tax Office upon which PW1 followed by the TLO and the other members of the team entered the building. PW1, on reaching the office of A2 was informed that he is in A1's

Central Bureau of Investigation v. Baljeet Singh

room. PW1 then went to the office room of A1, where he found only A2, to whom he handed over the envelope, which A2 put in his coat pocket. PW1 walked out of the room followed by A2 and as prearranged, touched his shoe to signal the TLO. The TLO gave signal to the team and confronted A2 and took him back into the room. The independent witnesses too marched into the room, PW18 with the TLO, and PW10, a little later with the other members of the team. The TLO and another constable caught hold of the hands of A2 and one of the independent witnesses, PW18 was asked to search A2. As pointed out by PW1, the envelope was recovered from the coat pocket of A2 by PW18 and handed over to the TLO. The notes were taken out from the envelope recovered from the coat pocket of A2 and both the hands of A2 being submerged in two separate tumblers of Sodium Carbonate solution, they turned pink revealing the taint of acceptance of the powdered envelope with the marked notes.

7. The TLO asked for A1 who was said to be in the Commissioner's office. The TLO proceeded to the Commissioner's office and after making a request to the Commissioner escorted A1 back to his room where the trap team had detained A1. The statements were taken from both A1 & A2 and the arrest recorded. After investigation charge was framed of conspiracy under Section 120B and the offence under Section 7 of the Prevention of Corruption Act, 1988 (for brevity, 'the PC Act').
8. The prosecution examined twenty-three witnesses and produced relevant documents as also transcript of the conversation between PW1 and A2 over telephone and in person, recorded in the DVR. The defense examined three witnesses, two of whom were Officers of the Income Tax Department and DW2, a Junior Judicial Assistant at the record room of the Sessions Court at Patiala House Courts. The Trial Court listed out fifteen circumstances found established and held the charge raised against both the accused to have been proved. Convicting the accused under Section 120B of the IPC r/w Section 7 of the PC Act and separately under Section 7 of the PC Act, sentence was imposed, of 4 years rigorous imprisonment on each count and fine of Rs.1 lakh again on each count, for both, with default sentences of simple imprisonment for 4 months each.
9. The High Court, by the impugned decision, found that there was no conspiracy proved and that there was no proof of a demand having

Supreme Court Reports

been made by A2 and A1. Disbelieving the conspiracy angle, the trite principle that it is always difficult to establish the same since invariably it is conceived and executed in privacy was noticed. Looking at the evidence proffered it was found that merely for the reason that A1 was the Assessing Officer and A2 was assisting him, that by itself was not sufficient to establish a prior meeting of minds between A1 and A2, in furtherance of the commission of crime. Immediately we observe that, having gone through the evidence led and the findings of both the Trial Court and the High Court, we are inclined to accept the said finding of the High Court, more particularly for reason of there being absolutely no evidence of A1 having ever demanded a bribe from PW1, nor even the demand made by A2 said to be in the presence of A1. We may note that, while issuing notice in this case on 18.08.2025, this Court dismissed the Special Leave Petition (Crl.) No.12485 of 2025 filed by the CBI against the acquittal of A1/ Arun Kumar Gurjar.

10. Insofar as the absence of proof of demand, the finding of the High Court was that PW1 failed to disclose at the first instance, about the initial demand of Rs.1,50,000/- in October 2010, in the early part of his chief examination. This was the first charge alleged under Section 120B of the IPC. Even in the complaint Ex.PW1/A, there was no mention about the initial demand of Rs.1,50,000/- alleged to have been made in October 2010. A casual statement was also made regarding other contradictions and improvements in the testimony of PW1 to hold that the demand was absent. It was also observed that the transcription of the conversation between PW1 and A2 over the telephone, in the presence of the TLO and the independent witnesses only disclosed the offer made by PW1 of Rs.2 lakhs, which was accepted by A2. It was hence found that even on the crucial date i.e. 29.12.2010, there was no demand made of either Rs.5 lakhs or 2 lakhs from the complainant. Having gone through the testimonies, specifically of PW1, PW10, PW18 and PW 22, we are unable to agree with the High Court, reasons for which we would presently elaborate.
11. Before we look at the evidence, we should first notice the compelling argument made by the learned Senior Counsel for the respondent that if the conspiracy element is found to be absent then there is no cause to further examine the records since the charge itself has

Central Bureau of Investigation v. Baljeet Singh

to fail. Specific reference is made to the charge-sheet produced as Annexure R2 with the counter affidavit dated 27.10.2025 filed by A2. We cannot but notice that there are two charges raised, one under Section 120B of IPC r/w Section 7 of the PC Act and the other under Section 7 of the PC Act; but without the conspiracy angle, independently as against the two accused. For completeness we extract the charges as hereunder

“Firstly, that during the period of October, 2010 to December, 2010, you Arun Kumar Gurjar, Joint Commissioner of Income Tax, Range-29, New Delhi and Baljeet Singh, Inspector, Income Tax , Range-29 , New Delhi/IAP-V, CIT (Audit) 1, C.R Building, New Delhi while posted and functioning as such public servants entered into criminal conspiracy and in pursuance thereof by abusing your official position as public servants while scrutinizing the income tax assessment of 2008-2009 of M/S Madhya Pradesh Vanijaya Company you both demanded illegal gratification of Rs. 5, 00, 000/- in the month of October, 2010 from Sh. Pawan Aggarwal, the partner of said company for scrutiny and finalizing the income tax assessment without any hurdle and when Sh. Pawan Aggarwal refused to pay the bribe amount of Rs. 5 Lakhs, a notice dated 20.12.2010 was issued to the company by you Arun Kumar Gurjar, and subsequently when Sh. Pawan Aggarwal visited the office on 27.12.2010 you both Sh. Arun Kumar Gurjar and Sh. Baljeet Singh again demanded bribe of Rs. 5 lakhs from Sh. Pawan Aggarwal for finalization of entire matter without any hurdle and that illegal gratification of Rs.2 lakhs was accepted by you accused Baljeet Singh on 29.12.2010 from Sh. Pawan Aggarwal on behalf of yourself and accused Arun Kumar Gurjar which was recovered from his possession by CBI team and thus you both have committed an offence punishable u/s 120B of the Indian Penal Code r/w Section 7 of Prevention of Corruption Act, 1988 and within my cognizance.

Secondly, you both while posted and functioning as such public servants at aforesaid place, period and dates in your capacity as public servants by abusing your position as such public servants demanded illegal gratification of

Supreme Court Reports

Rs.5 lakhs from Sh. Pawan Aggarwal, the partner of M/S Madhya Pradesh Vanijaya Company in lieu of finalizing the scrutiny of assessment case of above-noted firm without any hurdle and in furtherance of said criminal conspiracy that on 29.12.2010 you Sh. Baljeet Singh was caught red-handed by CBI team while demanding and accepting Rs.2,00,000/- (which was recovered by CBI team from possession of Baljeet Singh) as part amount of said demanded amount from Sh. Pawan Aggarwal for himself and on behalf of Sh. Arun Kumar Gurjar in his office as illegal gratification other than legal remuneration as motive or reward for finalizing the scrutiny of assessment case of the firm of Sh. Pawn Aggarwal and subsequently you Arun Kumar Gurjar was also arrested and thus you both have committed an offence punishable u/s 7 of Prevention of Corruption Act, 1988 and within my cognizance.”

12. We are unable to accept the contention put forth by the respondent, for which reliance was placed on the decisions in **A. Srinivasulu v. State represented by the Inspector of Police¹**, **Dashrath Singh Chauhan v. Central Bureau of Investigation²** and **Bhagat Ram v. State of Rajasthan³**.
13. **Bhagat Ram³** was a Police Inspector who was alleged to have conspired with one Ram Swarup in an attempt to extort an amount of Rs.2,000/- from PW1. The Trial Court acquitted both the accused and in an appeal against acquittal, the learned Judges of the High Court found the charge under Section 120B of the IPC to be not proved. However, there was a dispute on whether Bhagat Ram alone can be convicted under Section 161 of the IPC and Section 5(1)(a) of the PC Act. A third judge found the conspiracy angle to be proved, but due to the unanimous opinion restrained himself from imposing any conviction under that provision but still convicted Bhagat Ram under Section 161 IPC and also under Sections 347 and 389 of the IPC. This Court found that the third judge could not have reopened the entire case, since the issue before him was only limited to the

1 (2023) 13 SCC 705

2 (2019) 17 SCC 509

3 (1972) 2 SCC 466

Central Bureau of Investigation v. Baljeet Singh

offence under Section 161 IPC and Section 5(1)(a) of the PC Act. It was also categorically found that the offence under Section 161 IPC would not survive against one of the accused since the specific case of the prosecution was that Bhagat Ram made a demand of bribe through Ram Swarup and there was no demand by Bhagat Ram directly to PW1. This disabled the Court from convicting one of the accused, as having accepted the bribe while the person who made the demand was exonerated. The facts in the present case are quite distinct insofar as the prosecution having alleged the demand and acceptance by A2, while there was also an allegation of the bribe having been demanded for A1, who was the Assessing Officer, whose culpability was not established.

14. In ***Dashrath Singh***², one of the accused had demanded the bribe, even as per the complaint and when it was sought to be handed over, he directed the money to be handed over to the other accused, who accepted it. Hence, the charge of demand was not available against one accused, and the charge of acceptance was absent insofar as the other accused. ***A. Srinivasulu***¹ also dealt with a criminal conspiracy entered into by A1 to A7 to cause wrongful loss to a public sector undertaking, in which A1 to A4 were employees, so as to confer a wrongful gain on A5 to A7. It was held that once the offence under Section 120B was not made out against A5 to A7, the very foundation of the prosecution becomes shaky. We are afraid the dictum in those cases applies squarely to the facts of those cases only and does not apply to the facts of this case.
15. As we observed, in addition to the charge under Section 120B, both the accused were separately alleged to have demanded money and accepted it, which demand and acceptance even as per the statement of PW1 is not available against A1 but very much present against A2. That A2 informed PW1 that the bribe was for A1 is of no consequence insofar as A1's culpability is concerned. Since A2 was also an officer of the Department, which was carrying on the assessment, actively participating in the assessment proceedings as spoken of by PW1, A2 was in a position of some authority to influence the assessment proceedings, as far as PW1 was concerned and that was the purpose for which the demand of bribe was made. True, if the charge under the PC Act linked with the charge of conspiracy was the only one levelled, then if one is acquitted the other cannot

Supreme Court Reports

be convicted. But here there is another charge of demand and acceptance against both, which as against the two are not inextricably linked by a definite charge of conspiracy. The second charge can be proved against both or against one independently as there is no meeting of minds alleged.

16. It was argued on behalf of the accused that there was no demand proved and even the trial court noticed the inconsistent stand regarding the demand in the complaint and the testimony, especially regarding the demand made in October 2010 and the amounts also did not tally. The pre-trap demand alleged through telephone was not established since the trial Court refused to give any credence to the voice recording for reason of the certification with respect to the electronic data under Section 65B of the Evidence Act not being produced. The voice recording at the time of trap also failed on the same count. The charge of conspiracy being that related to the demand in October the prosecution has to fail and there was also no proof offered of the other demands alleged, is the compelling argument.
17. The complainant was examined as PW1, who clearly spoke of a demand of Rs.5 lakhs having been made by A2 on 27.12.2010 when they were coming out of the room of A1 after discussions took place with respect to the assessment. True, with respect to the demand made in October 2010, PW1 had different versions. In the original complaint, it was stated that Rs.5 lakhs was demanded in October 2010 and reiterated in December 2010, when PW1 had visited the Income Tax Office. In his deposition before Court, his version was that earlier the demand was of Rs.1.5 lakhs and later Rs.5 lakhs. This does not in any way totally efface the demand having been made in December 2010 which tallies with the statement in the complaint and the statement under Section 161 of the Criminal Procedure Code. However, though PW1 spoke that the bribe was demanded for both A1 and A2, there is no evidence that A1 ever demanded a bribe or even that A2 made the demand in the presence of A1. It is on such demand by A2 that PW1 approached the CBI, which agency had authorized PW22 as the TLO, to carry out the trap. The demand in October 2010 though not proved, the demand made by A2 on 27.12.2010 was testified to by PW1 and is corroborated by PW22 who vouches the complaint filed before the CBI.

Central Bureau of Investigation v. Baljeet Singh

18. PW22 also spoke of the two independent witnesses, PW10 and PW18 having been summoned to his office. Both PW10 and PW18 confirmed the presence of PW1 in the office of the CBI and corroborated fully the pre-trap proceedings. That PW1 talked over the telephone to a person who asked him to come to the Income Tax Office is also confirmed by PW10 and PW18, but without identifying the voice on the other side. The pre-trap proceedings with respect to the notes being powdered and kept in an envelope, which was also powdered and handed over to PW1 was spoken of by the independent witnesses. PW10 and PW18 spoke also of the numbers of the notes having been recorded by the TLO in the Hand Over Memo (HOM); Ex. PW1/E, which was produced before Court along with the notes, PW1/F10 and the envelope; PW1/E-9, signed by the complainant, the TLO and the independent witnesses; proved by the testimonies of the witnesses. The number of the notes produced tallied with the HOM as verified by the trial court and the HOM was specifically identified by both the witnesses, PW10 & PW18 who also identified the pre-trap verification memo PW1/E recovery memo PW1/G, and the arrest memos of A1 & A2 PW10/A & PW10/B respectively.
19. A1 was the Joint Commissioner of Income Tax who was the Assessing Officer of the firm in which PW1 was a partner, and A2 was an Inspector in the same department is beyond any cavil. There was a suggestion raised by A2 in the cross examination of PW1 that he harbored enmity since he had conducted a scrutiny in a related firm carried on in the very same premises in which was housed the firm of PW1. The related firm had to shell out a huge penalty for the discrepancies revealed on scrutiny. It was also the suggestion of A2 that since A1 was the Assessing Officer of PW1's firm, there was no reason for A2 to demand or accept any bribe from PW1 since he was not the authority entrusted with the assessment of PW1.
20. PW1 readily accepted the scrutiny of the related firm by a team led by A2 and also the penalty imposed on such firm. There is nothing indicated other than this to establish that the trap was laid merely on the enmity especially since, as we would presently see, the acceptance of the bribe and the recovery of the envelope with the marked cash was made from the body of A2. PW1's evidence was categoric insofar as, after issuance of notice to his firm, he had contacted A2 and A2 had been present when the issues arising on the

Supreme Court Reports

assessment were discussed with A1, the Assessing Officer. The fact that A2 was an Inspector who had conducted a survey operation with respect to a related firm, who was also present during the hearing with respect to the assessment proceedings before A1, clearly indicates that A2 was a person in a position of influence, which would also validate PW1's subservience insofar as understanding the demand of bribe being made by a person of some authority.

21. It was further brought out in evidence through PW7, another Inspector that A2 was transferred in October/November 2010 and PW14, an Assistant Commissioner of Income Tax deposed that there was a request made to the Chief Commissioner of Income Tax to retain A2 in the present place. Undisputedly, A2 was present in the Drum Shaped Building, on 27.12.2010, when the demand was made and on 29.12.2010, when he was trapped with the bribe, the marked notes in an envelope, recovered from his person. One defense taken by the accused before the Trial Court was that the assessment of PW1's firm had to be completed by 31.12.2010 and the entire trap was stage-managed to ensure that the assessment is time barred. As a corollary, it should also be observed that the hearing with respect to the assessment proceedings, admittedly commenced in October, 2010 and there was no reason for the assessment to be kept pending till 29.12.2010, when the bribe was handed over. There is also a valid inference from the above stated facts that the assessment was kept pending only to ensure the payment, which as against A1 even as of now, does not stand established. In fact, it has to be noticed that there was a huge stash of money recovered from the room of A1 on which no investigation was carried out nor a charge laid. A1 hence goes scot-free on the recovery being not properly investigated.
22. As has been found by the trial court so much of the prosecution case regarding the role of A1 and A2 in the assessment proceedings of PW1's firm, the demand made by A2, the complaint before the CBI and the pre-trap proceedings stand fully corroborated by the evidence of PW1, PW10, PW18 and PW22. The recorded conversation pertaining to the pre-trap and post-trap proceedings were eschewed from consideration by the Trial Court; rightly so. We also do not place any reliance on the mobile conversations, PW1 is said to have had with A2 from the office of the CBI before the trap was laid and in the course of the trap.

Central Bureau of Investigation v. Baljeet Singh

23. Insofar as the trap, we find PW10 and PW18 to have prevaricated and deposed contrary to their Section 161 statements but still corroborated the version of PW1 and PW22 on many aspects. PW18 travelled with PW1 and PW22 while moving towards the Income Tax Office and PW10 was in another car with the other team members, following the car of the TLO. At the Income Tax Office, they dispersed and PW18 went along with the TLO who was following PW1. PW1 is said to have gone into the room of A1 where he categorically submits that he had handed over the envelope, which A2 accepted and kept inside the pocket of his coat. PW1 then came out of the room followed by A2 and on his signaling TLO, the team rushed to PW1 who pointed out A2. A2 was immediately held by his hands by PW22 and a constable and taken back into the room of A1.
24. PW18, though did not identify A2 in Court, spoke of the person who was apprehended by PW22 having been required to sit in a chair in the room of A1. PW18 also deposed that on the instruction of PW22, he had made a search of the person caught by CBI and having recovered the envelope from the coat pocket of the person apprehended, which was handed over to the TLO. PW18 made these admissions referring to the person apprehended by his name. PW10 on the other hand came into the room after the apprehension of A2 and the money was recovered. Both PW10 and PW18 spoke of the hands of the person apprehended having been washed with the test solution which turned pink. PW10 though claimed to have failing eyesight due to diabetes, on being asked so to do, went around the Court looking at the persons standing there and identified A2, specifically deposing that he looks similar to the person caught by the CBI though at that time the said gentleman was very healthy. In the cross examination by the Public Prosecutor, PW10 specifically deposed that the person who was caught and was identified by him was similar to the accused Baljeet Singh present in Court though he was not sure that it was the same Baljeet Singh. PW10 also identified the sweater worn by A2, which was also said to have been dipped in a separately prepared solution, which too revealed the taint by turning pink; which sweater was also identified though there was a minor discrepancy regarding a black strip in the sweater, which is not very relevant especially considering the passage of time. The hand wash, and the wash of the coat and sweater; both belonging to A2, was testified to by PW10 & the hand wash and coat wash testified by PW18.

Supreme Court Reports

25. PW18 though failed to identify A2, spoke of a person from whom he recovered, on the instructions of PW22, an envelope which was handed over to the TLO and identified. The hand wash and the coat wash were also confirmed by PW18. PW10 and PW18 spoke of A1 having been brought to his room where already the trap laid had been successfully completed. It cannot at all be said that PW10 and PW18, independent witnesses turned completely hostile. As we observed, they had corroborated the pre-trap proceedings and the post-trap proceedings, immediately after the trap. While both spoke of the prearranged envelope with the marked cash having been recovered from the man apprehended in the room of A1, from which PW1 and A2 stepped out; the latter following the former, PW10 identified the apprehended man while PW18 failed so to do. There is sufficient corroboration available from the independent witnesses to also believe the trap having been successful as deposed by PW1 and PW22.
26. In this context, we cannot but notice the judgment of this Court in ***Prakash Chand v. State (Delhi Administration)***⁴. The complainant there, PW6, was an architect concerned with the sanction of a building plan, which was continuously being objected to by the Overseer-Section Officer of the Delhi Development Authority, who also demanded a bribe. The trap was laid with two independent witnesses, in the course of which PW6 was handed over a file by the accused which he read at a distance and returned with the bribe amount of Rs.30/- placed inside the file. When the file was handed over to the accused, the accused placed it under the table putting his foot on it. On the prearranged signal, the trap team came inside the room and accosted the accused. The accused denied the demand and also claimed the money to have been kept in the file, without his knowledge. The independent witnesses examined by the prosecution also did not fully support the prosecution case resiling from the statement made during the course of the investigation. These circumstances were in favour of the accused and the compelling argument in defense was that there can be no conviction based on the uncorroborated testimony of PW6, the complainant who being a part of the trap was an interested and partisan witness. Their Lordships found that there cannot be found a legal proposition that the uncorroborated testimony

Central Bureau of Investigation v. Baljeet Singh

of a trap witness can never be acted upon especially when the law laid down was to the contrary, in ***State of Bihar v. Basawan Singh***⁵ and ***Bhanuprasad Hariprasad Dave Rajuji v. State of Gujarat***⁶. Having gone through the testimony of PW6, it was found that he was a truthful witness and there was sufficient corroboration by PW9 who led the trap team. It was stated by PW9 that when he questioned the accused about having accepted the bribe the accused was stunned and did not reply and kept mum. PW2, the independent witness also corroborated the fact and said that the accused did not reply and kept mum and that he was perplexed, which though the other independent witness first denied in chief examination, accepted on further questioning.

27. It was categorically held in ***Basawan Singh***⁵, by a Constitution Bench that there is no inflexible rule of discarding the testimony of the persons in the raiding party, unless independent corroboration is available. The trite law is that the testimony of an interested or partisan witness has to be scrutinized with care, and it is not that of an accomplice. Neither is the complainant an accomplice, nor can the persons involved in the raiding party be considered to be interested since they are exercising a public duty without any personal rancour. In the instant case, when the independent witness had not fully supported the prosecution story sufficient corroboration was found from their deposition. A Constitution Bench of this Court in ***Neeraj Dutta v. State (Govt. of NCT of Delhi)***⁷ approved ***Prakash Chand***⁴ and referred also to ***Sat Paul v. Delhi Administration***⁸ to hold that “even if a witness is treated as “hostile” and is cross examined, his evidence cannot be written off altogether but must be considered with due care and circumspection and that part of the testimony which is creditworthy must be considered and acted upon” (sic-para 67). The contention taken by the defense that the conduct of the accused when challenged by the Inspector was inadmissible under Section 162 was repelled. Relying on ***Himachal Pradesh Administration v. Shri Om Prakash***⁹, it was held that, when an

5 AIR 1958 SC 500

6 AIR 1968 SC 1323

7 (2023) 4 SCC 731

8 (1976) 1 SCC 727

9 (1972) 1 SCC 249

Supreme Court Reports

accused person leads a police officer to a particular location where stolen articles and weapons are concealed, which have a connection with the offence alleged, on such recovery, the concealment would be admissible as relevant conduct under Section 8 of the Indian Evidence Act, 1872 irrespective of whether any statement by the accused contemporaneously with or antecedent to such conduct, falls within the purview of Section 27 of the Evidence Act.

28. We notice from the evidence of PW22 that after fully corroborating the trap it was deposed that on being challenged, A2 remained mum. It was also testified that A2 tried to escape and take out the money. It was PW1 who pointed out the upper pocket of the coat of A2 where he had kept the envelope which was taken out by PW18 as fully corroborated by PW22. PW10 also stated that the man apprehended in A1s room turned pale. All these are relevant conduct of A2 pointing to his guilt fortified by the recovery of the marked cash from his body and his hands, coat and sweater, on being washed in the test solution, turning pink, as deposed by the witnesses.
29. We are unable to accept the order of acquittal passed by the High Court insofar as A2 is concerned, especially noticing the demand having been specifically spoken of by PW1 and the same having been stated in his complaint before the CBI. The pre-trap proceedings were also clearly established by the evidence of PW1, PW10, PW18 and PW22. Insofar as the trap proper is concerned, there is complete corroboration of the testimony of PW1 by that of PW22, the TLO. There is also sufficient corroboration from PW10 & PW18, the independent witnesses regarding the apprehension of a person, who was identified in Court by PW10 and though not identified by PW18, it was PW18 who made the recovery of the envelope from the coat pocket of the apprehended person, who was A2. The hand wash of A2 also stood established beyond doubt. The marked notes were identified from the numbers taken down in the HOM at the time of pre-trap proceedings, corroborated by all the above witnesses.
30. As rightly observed by the High Court, there was neither proof of demand nor acceptance by A1 but for the statement of PW1 that A2 demanded the bribe on behalf of A1. There can be no reliance placed on such statement made by the co-accused and there can be no conviction entered into on that account. We are, however, inclined and persuaded to set aside the acquittal against A2 and restore the

Central Bureau of Investigation v. Baljeet Singh

order of the Trial Court convicting him for the offence under Section 7 of the PC Act; there being no conspiracy under Section 120B of IPC established. The sentence of four years of RI handed down by the trial court is modified to one year, considering the age of A2, with a fine of Rs.1 lakh with a default simple imprisonment of three months as awarded by the trial court, which will stand restored and confirmed. A2 shall surrender within a period of four weeks from today.

31. The appeal is, accordingly, allowed to the extent indicated above.
32. Pending applications, if any, shall stand disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Ankit Gyan

**M. Thanigivelu and Ors.
v.
Tamil Nadu Electricity Board and Ors.**

(Civil Appeal No(s). 862 of 2026)

11 March 2026

[Rajesh Bindal* and Vijay Bishnoi, JJ.]

Issue for Consideration

Dispute pertains to *inter-se* seniority of the Assistant Engineers (Electrical)-directly recruited and internally selected candidates, and what is to be taken as the date of the appointment of the direct recruits.

Headnotes[†]

Tamil Nadu Electricity Board Service Regulations, 1967 – Regn 10(9), 87, 97 – Seniority – Inter-se seniority of the Assistant Engineers (Electrical)-directly recruited and internally selected candidates – Date of the appointment of direct recruits – Seniority of direct recruit to be counted from the first date of their joining after which they were sent for training or from the date the candidate starts his probation:

Held: From the plain language used in the Regulation, it is evident that seniority is to be counted from the placement of a candidate in the merit list which is prepared at the time when recruitment takes place – As provision has been made for two years' probation after selection, different candidates may join on different dates during the permitted joining time – Period of probation he had to undergo will remain two years from the date he joins duty – Merit will not affect completion of probation – Training is a part of service which is imparted after an incumbent joins duty – Even Regulations treat this as a part of duty – Merely payment of consolidated sum during the period of training and regular scale when the probation starts will not make any difference – That is why Regn 97 does not say anything to the contrary to what is clearly provided in Regns 10(9) and 87 – No Regulation cited from which it can be inferred that the seniority is to be counted from the date a candidate starts his probation – Anything said either in the appointment letter or in any of the BPs which runs contrary to the plain language of Regn 10(9)

* Author

M. Thanigivelu and Ors. v. Tamil Nadu Electricity Board and Ors.

and 87 will not stand in the way for this Court to form an opinion that the seniority of a direct recruit is to be counted from the first date of their joining after which they were sent for training – Period thus, is irrelevant, it may change from time to time – Impugned judgment passed by the High Court set aside – Opinion expressed by the Division Bench that the seniority will commence from the date the candidate starts his probation totally erroneous and not supported by the plain language used in Regulations. [Paras 19-25]

Case Law Cited

R.S. Ajara and Others v The State of Gujarat, 1997 INSC 213 : [1997] 2 SCR 597 : (1997) 3 SCC 641; *The State of H.P. v J. L. Sharma*, 1997 INSC 736 : [1997] Supp. 5 SCR 174 : (1998) 1 SCC 727; *Govt. of A.P. v. P. Bhaskar*, 2008 INSC 267 : [2008] 3 SCR 589 : (2008) 11 SCC 687 – referred to.

List of Acts

Tamil Nadu Electricity Board Service Regulations, 1967.

List of Keywords

Inter-se seniority; Assistant Engineers (Electrical); Direct recruits; Internally selected candidates; Date of the appointment of the direct recruits; Seniority; Selection of direct recruits internal Probation; Training.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 862 of 2026

From the Judgment and Order dated 06.09.2024 of the High Court of Judicature at Madras in WA No. 1444 of 2018

With

Civil Appeal No(s). 863-864, 865, and 866-872 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Amit Anand Tiwari, Sr. A.A.G., Ms. Madhavi Divan, Guru Krishna Kumar, Nikhil Goel, Sr.Advs., Ms. Preetika Dwivedi, Naveen Kumar Murthy, Abhishek Mohanty, Ansh Rajauria, Atharva Kotwal, Sabarish Subramanian, Ms. Anusha Nagarajan, Ms. Jahnvi Taneja,

Supreme Court Reports

Ms. Akansha Bhola, Vishnu Unnikrishnan, Ms. Tanvi Anand, Ms. Saushriya Havelia, Siddhartha Iyer, M. Mahamani, Naveen Kumar Murthy, Aman Gupta, Ms. Srishti Ghoshal, Ms. Riddhi Jain, Tonmoy Talukdar, Ms. Payal Rani.

Advs. for the Respondent(s):

Amit Anand Tiwari, Sr. A.A.G., Nikhil Nayyar, Shoeb Alam, Gautam Narayan, Jayanth Muthuraj, Senthil Jagadeesan, Sr.Advs., T. V. S. Raghavendra Sreyas, Siddharth Vasudev, Ms. Gayatri Gulati, Ms. Asmita Singh, Ms. Asmita Singh, Ms. Asmita Singh, Ms. Ankita Makan, Sabarish Subramanian, Ms. Anusha Nagarajan, Ms. Jahnvi Taneja, Ms. Akansha Bhola, Vishnu Unnikrishnan, Ms. Tanvi Anand, Ms. Saushriya Havelia, Ms. Preetika Dwivedi, Siddhartha Iyer, M. Mahamani, Naveen Kumar Murthy, Aman Gupta, Ms. Srishti Ghoshal, Ms. Riddhi Jain, Tonmoy Talukdar, Ms. Payal Rani, A Velan, K. Paari Vendhan.

Judgment / Order of the Supreme Court

Judgment

Rajesh Bindal, J.

1. Leave granted.
2. This judgment will dispose of a bunch of appeals involving identical issues. Vide common judgment¹, passed by the Division Bench of the High Court², seven writ appeals³ were disposed of. The Division Bench of the High Court had set aside the order passed by the Single Bench whereby writ petitions filed by the private respondents herein were dismissed. The dispute pertains to inter-se seniority of the Assistant Engineers (Electrical)⁴, directly recruited and internally selected candidates. The appellants are the direct recruits, and the private respondents are the internally selected candidates.
3. Briefly, the facts relevant to the issue under consideration, as pointed out by the learned counsel for the parties at the time of hearing, are as follows.

¹ Dated 06.09.2024

² High Court of Judicature at Madras

³ W.A. Nos.2093, 2094, 2095, 2685, 2686 of 2010 and 1443 & 1444 of 2018

⁴ Hereinafter 'AE'

M. Thanigivelu and Ors. v. Tamil Nadu Electricity Board and Ors.

- 3.1 Tamil Nadu Electricity Board⁵ contemplated selection to the post of AE on direct recruitment basis and for internal candidates. Both have their separate quotas.
- 3.2 Vide Board Proceeding⁶ No.29 dated 27.11.2000 issued by the Board, written examination was introduced for the selection to the post of AE on direct recruitment basis. Vide another BP No.39 issued on 04.12.2000, for carrying out selection for the post of AE, even for internal candidates, a written examination was proposed. Prior to that, on 03.11.2000, the Board had called for information regarding eligible candidates for appearance in examination for the internal selection quota. It was for the purpose of considering their suitability for promotion as AEs.
- 3.3 The prospective candidates, seeking selection through internal selection process, challenged the communication dated 03.11.2000 by filing Writ Petition No.20512 of 2000 before the High Court. The High Court granted interim stay on 06.12.2000.
- 3.4 BP No.35 was issued by the Board on 13.12.2000 providing that all appointed as AE (Training) shall undergo training, for a period of two years including induction training of three months with consolidated emoluments of ₹7,500/- per month. After carrying out the process of selection in December 2000 on direct recruitment basis, 200 AEs were appointed.
- 3.5 Subsequent thereto, after due process of selection, 100 more AEs were appointed on direct recruitment basis on 28.03.2001.
- 3.6 BP No.59 was issued by the Board on 13.11.2001 to dispense with the written examination for internal candidates from the date of issuance of BP.
- 3.7 BP No.9 issued by the Board on 23.04.2002 pertains to direct recruits providing that on completion of 3 months of intensive training AE (Trainee) shall be designated as AEs and their probation shall commence from the date of joining in the Board and will be for two years.

5 For short, 'the Board'

6 For short, 'BP'

Supreme Court Reports

- 3.8 Thereafter, the selection process for internal candidates was carried out and the select list was issued on 06.05.2002. Consequently, appointments were made in that quota.
- 3.9 Writ Petition No.19596 of 2002 was filed by the internal selectees challenging BP No.9 vide which the training period of the candidates selected on direct recruitment basis was reduced from two years to three months. Subsequent thereto, number of other writ petitions were filed claiming the same relief.
- 3.10 On 31.10.2007, inter-se seniority of AEs selected in the year 2000 was issued. It was revised on 01.04.2008. The same was also impugned before the High Court in W.P. 20879/2008.
- 3.11 On 03.07.2008, inter-se seniority of AEs selected and appointed in the year 2001 was issued. The same was also the subject matter of the challenge in W.P. No.20875/2008.
- 3.12 In the year 2009, AEs appointed on direct recruitment basis in the year 2000 and 2001 were promoted to the post of Assistant Executive Engineer on the basis of their seniority.
4. The writ petitions⁷ filed by the internal selectees were dismissed by the Single Bench of the High Court holding that the directly recruited AEs in the year 2000 and 2001 were entitled to seniority from the date of their initial appointment. The aforesaid order was challenged by filing intra-court appeals before the Division Bench of the High Court.
5. The Division Bench set aside the order passed by the Single Bench and directed re-drawing of the seniority list treating that all the candidates were appointed in the year 2002.
6. It is this judgment of the High Court decided a bunch of appeals which is the subject-matter of challenge before this Court by the Board as well as the direct recruits. The respondents are the internal selectees.

ARGUMENTS ON BEHALF OF THE BOARD

7. Mr. Amit Anand Tiwari, learned counsel appearing for the Board, submitted that, in the case in hand, on direct recruitment basis 200 candidates were selected in December 2000, whereas 100 were

M. Thanigivelu and Ors. v. Tamil Nadu Electricity Board and Ors.

selected and appointed on 28.03.2001. As against that, the internal candidates were selected and promoted on 06.05.2002. For the purpose of determining the issue as to whether the seniority of the direct recruits is to be reckoned from the date of their initial appointment, including the period of training or from the date when they were put on probation, after completion of training, he has referred to Regulation Nos. 10(9), 87 and 97 of the Tamil Nadu Electricity Board (Service Regulations), 1967⁸.

- 7.1 The argument raised while referring to Regulation 10(9), is that a person is said to be on duty when he is performing the duties of a post or is undergoing the probation or training prescribed for the post.
- 7.2 While referring to Regulation 87(1), it was submitted that a person is said to be appointed to the service at the time he discharges for the first time, the duties on a post or commences probation or training prescribed therefor.
- 7.3 Referring to Regulation 97 dealing with the seniority, it was submitted that the seniority is to be determined with reference to the rank obtained by a candidate in the list of approved candidates by the appointing authority. It was submitted that the commencement of the probation is from the date a candidate joins duty, irrespective of his seniority. This has nothing to do with determination of inter-se seniority of the recruits from two different sources.
- 7.4 Explaining the proviso to the aforesaid Regulation, it was submitted that the same shall be applicable for determination of inter-se seniority of the direct recruits and the internal candidates in case both were recruited in the same calendar year. The case in hand does not fall in that category as the direct recruits were selected in the years 2000 and 2001, whereas the internal candidates were promoted in May 2002.
- 7.5 It was further argued that the Division Bench of the High Court has recorded erroneous findings to the effect that the seniority of the direct recruits is to be taken from the date when their probation started. The training period is to be excluded.

8 Hereinafter referred to as, 'the Regulations'.

Supreme Court Reports

7.6 In support of the arguments, reliance was placed upon the judgments of this Court in ***R.S. Ajara and Others v The State of Gujarat***⁹ and the ***State of H.P. v J. L. Sharma***¹⁰.

ARGUMENTS ON BEHALF OF APPELLANTS / DIRECT RECRUITS

8. Mr. Nikhil Goel, learned senior counsel appearing for appellants, submitted that the problem arose on account of different B.Ps issued by the Board. He referred to B.P. No.35 dated 13.12.2000 whereby B.P. No.29 dated 27.11.2000 was amended. It clearly laid down that an incumbent shall be placed on probation for two years on completion of training. However, the same was never implemented. He further referred to B.P. No.9 dated 23.04.2002 in which it has been noticed that representations had been made by AE (Trainee) stating that two years' training period on consolidated pay may be reduced as they are independently attending to the work attached to the post of AEs, three months after intensive training. Vide aforesaid circular, the training period of newly recruited AEs (Trainee) during December 2000 to March 2001 was reduced from two years to three months.
9. Promotions from the quota of internal candidates was made in May 2002. On 03.06.2002, W.P. No.19596 of 2002 was filed by the internal candidates who were appointed to the post of AE (Electrical) in May 2002, praying for the quashing of B.P. No.9 dated 23.04.2002 with a further direction that the service of the directly recruited AEs (Trainees) be regularised only on completion of two years from the date of appointment. It was argued that the aforesaid BP was administrative in nature and could not override the Regulations, which are quite explicit.
10. The Single Bench dismissed the Writ Petitions. However, the Division Bench, without pointing out any error in the judgment of the Single Judge, has just reversed the same. The import of the Regulations applicable to the post has not even been touched. As a result of the impugned judgment of the Division Bench, the date of appointment of the candidates who were appointed later will be ante-dated, whereas the direct recruits who were appointed earlier shall be deemed to be appointed later. The interpretation, as given by the Division Bench, runs contrary to the Regulations. If there was any delay in

9 1997 INSC 213 : [1997] 2 SCR 597 : (1997) 3 SCC 641

10 1997 INSC 736 : [1997] Supp. 5 SCR 174 : (1998) 1 SCC 727

M. Thanigivelu and Ors. v. Tamil Nadu Electricity Board and Ors.

selection of the internal candidates, they were to be blamed as they had challenged the condition of exam provided for their selection. The examination for internal candidates was prescribed vide letter dated 03.11.2000 and this came to be reiterated vide B.P. No.31 dated 04.12.2000. The aforesaid BP was challenged by the internal candidates by filing W.P. No.20512 of 2000 in which interim stay was granted by the High Court on 06.12.2000. Subsequently, the conditions for holding exam for internal candidates vide B.P. No.31 dated 04.11.2000 was withdrawn vide B.P. No.59 dated 13.11.2001.

11. It was further argued that it is the recruitment to the post of AE (Electrical) and not AE (Trainee). Training is the part of the service as is evident from the Regulations and after training, the probation starts. It cannot be argued that for the purpose of counting seniority of the directly recruited candidates, the period will be counted only from the date the probation started. In support of the argument, reliance was placed upon judgment of this Court in **Govt. of A.P. v. P. Bhaskar**¹¹.

ARGUMENTS ON BEHALF OF INTERNALLY SELECTED CANDIDATES/PRIVATE RESPONDENTS

12. On the other hand, Mr. Nikhil Nayyar, learned senior counsel appearing for the internal selected candidates submitted that the challenge made by them before the High Court was to the reduction of period of training for the direct recruits, as the same was affecting their seniority. He referred to B.P. No.29 dated 27.11.2000 and B.P. No.35 dated 13.12.2000 providing for training period of 2 years inclusive of three month induction training for all appointees as Assistant Engineer/Electrical (Trainee) on a consolidated pay of ₹7,500/- p.m. The recruitment was subsequent to the issuance of the above B.Ps.
- 12.1 He further referred to appointment letter dated 15.12.2000 issued to directly recruited candidate in which a specific clause was put in that after completion of training, the candidate will be placed on probation for a period of two years on a regular pay scale. The same was to happen after completion of training for a period of two years on a consolidated pay. The aforesaid conditions were never challenged by any of the direct recruits.

11 2008 INSC 267 : [2008] 3 SCR 589 : (2008) 11 SCC 687

Supreme Court Reports

- 12.2 He had referred to another appointment letter dated 27.12.2000 containing similar clause. This also provided that the newly recruited candidate will have to undergo training for a period of two years.
- 12.3 The argument was that the recruitment of direct recruits was made after the issuance of the aforesaid B.Ps. Subsequent thereto, B.P. No.9 dated 23.04.2002 was issued which reduced the period of training from two years to three months. The benefit of aforesaid BP was sought to be given to the candidates who had already been recruited. This was the reason for the internal candidates to approach the Court. This action of the Board was affecting the seniority of internal selected candidates. The High Court had rightly opined that the aforesaid BP should be considered as prospective and not retrospective. Even referring to Regulations 89 and 97, the argument is that the seniority is to be counted only from the date probation starts. This is the opinion of the High Court as well. There is no error in the impugned judgment of the High Court. The appeals deserve to be dismissed.
13. Mr. Gautam Narayan, learned senior counsel appearing for the private respondents while adopting the arguments addressed by Mr. Nikhil Nayyar, Senior Advocate, submitted that the whole idea of issuing BP No.9 was to bypass the provisions of Regulation 97 which clearly provide the manner in which seniority of the direct recruits and the internal candidates is to be determined. In fact, the private respondents were eligible in the year 1997 for being promoted. However, the process of selection was delayed. As a result, there being no fault on their part, their position in the seniority is being compromised. He submitted that the delay in the process of promotion of the private respondents was caused by the direct recruits.
- 13.1 He further argued that appointment of internally selected candidates was stalled due to introduction of an exam for them. To substantiate the same, it was contended that service regulations did not provide for any such exam and the same was introduced by Board Proceeding. Even the Single Judge in Para 50 of the order, held that Board's issuance of BP, introducing written examinations for internal selectees in violation of service regulations, was the "root cause" for all the problems regarding fixation of inter-se seniority.

M. Thanigivelu and Ors. v. Tamil Nadu Electricity Board and Ors.

13.2 The learned senior counsel further added that an employee enters the cadre only when the period of probation starts and not on the initial date of appointment. This is what Regulation 97 also provides. The internally selected candidates were rightly aggrieved against BP No.9 vide which the period of training of direct recruits was reduced as it was substantially affecting rights of the internally selected candidates, who had much more experience of working in the Board as compared to the direct recruits who had just entered the service. The reason for reducing the period of training is evident from the Note dated 12.02.2002, which also clearly depicts that the training period was not to be counted for qualifying service for the purpose of terminal benefits.

DISCUSSION

14. Heard learned counsel for the parties and perused the relevant referred record.
15. The dispute in the present case pertains to inter-se seniority of AEs (Electrical) coming from two different sources, namely, direct recruits and internally selected candidates. The process is governed by Tamil Nadu Electricity Board Service Regulations, 1967.
16. To appreciate the contentions being raised by the learned counsel for the parties in our view certain Board Proceedings (BP) issued by the Board from time to time need to be summed up hereunder:

**Brief narration of various BPs issued by Tamil Nadu
Power Distribution Corporation Ltd. (TNPDC),
Formerly Tamil Nadu Electricity Board (TNEB)**

S.No.	Date	Particulars
1.	27.11.2000	Board Proceeding (BP) No. 29 was issued by TNEB. BP No. 29 provided for introduction of written examination for selection of AEs through direct recruitment. It further provided for consolidated emoluments of ₹7,500/- p.m. during the two-year probation period (as against 6 months at Rs. 2,500/- currently) and stated that after successful completion of probation they will be absorbed as regular AEs in the regular scale of pay.

Supreme Court Reports

2.	03.11.2000	TNEB, by letter No.116790/269/G55/G551/2000-3, informed Chief Engineers and Superintending Engineers of TNEB that a written examination is proposed to be held on 11.11.2000 for internal selection of AEs. They were directed to send all eligible and qualified employees to attend the examination.
3.	04.12.2000	BP No. 31. Provided that written examination will be conducted for promotion to post of AE (Electrical) even for existing eligible employees who are qualified.
4.	13.12.2000	BP No. 35 was issued by TNEB, amending para 4 of BP No. 29, as follows: <i>"All appointees as Assistant Engineer/Electrical (Trainee) shall be on training initially for a period of two years including induction training of three months with a consolidated pay of Rs.7,500/- p.m. On completion of the training, he/she will be placed on probation for two years in the time scale of pay which is applicable to the regulation Assistant Engineer/Electrical in the Tamil Nadu Electricity Board."</i>
5.	12.04.2001	BP No. 23 was issued by TNEB, to amend Annexure I of Service Regulations, as follows: <i>"Internal Selection and Direct Recruitment shall be made in the ratio of 1:1. Internal selection shall be made based on the results of a written test and also based on a minimum length of service rendered after acquiring B.E. Degree or equivalent qualification as may be decided by the Board from time to time."</i>
6.	23.04.2002	BP No. 9 was issued by TNEB. The BP pertained to direct recruits, and provided as under: (i) On completion of three months intensive training the I Assistant Engineers/ Trainee shall be designated as Assistant Engineers with the duties and responsibilities of the regular Assistant Engineers. (ii) The Assistant Engineers (Trainee) recruited during December 2000 and March 2001 shall be given the time scale of pay on par with the regular Assistant Engineers after completion of 3 months intensive training. (iii) Their probation shall commence from the date of joining in the Board and will be for a period of two years within a continuous period of three years."

M. Thanigivelu and Ors. v. Tamil Nadu Electricity Board and Ors.

17. The relevant provisions or the Regulations dealing with the issue are extracted below:

“10. Unless there be something repugnant in the subject or context the terms defined in this chapter are used in these regulations in the sense here explained :

(9) DUTY: A person is said to be on duty when he is performing the duties of a post or is undergoing the probation, instructions or training prescribed for a post in a class of service;

X X X X

87. (1) Appointed to a Class of Service:

A person is said to be “appointed to a class of service” when in accordance with these regulations or in accordance with the Regulations applicable at the time, as the case may be, he discharges for the first time the duties of a post borne on the cadre of such class of service or commences probation, instruction or training prescribed for members thereof.

Explanation: The appointment of person holding a post borne on the cadre of one category or class of service or a post in another category or class of service or to discharge the current duties thereof does not amount to appointment.

(2) Approved Candidate means, a candidate whose name appears in an authoritative list of candidates approved for appointment to any class of service or post borne on the cadre of a class of service.

X X X X

97. SENIORITY:

(a) The seniority of a person in a class of service, category or grade shall, unless he has been reduced to a lower rank as a punishment, be determined by the rank obtained by him in the list of approved candidates drawn up by the Board or other appointing authority, as the case may be. The date of commencement of his probation shall be the date on which he joins duty irrespective of his Seniority.

Supreme Court Reports

Provided that the seniority of Assistant Engineers (Electrical)/ (Civil)/ Mechanical recruited both by Internal Selection and direct recruitment in the ratio of 1:1 in a particular calendar year shall be fixed in the following cyclic order:

1. *Internal Selection*
2. *Direct Recruitment”*

Opinion Expressed By The High Court

18. The Division Bench of the High Court held that the Board has the power to prescribe training as a qualification for appointment. Consequently, B.P. No. 35, which mandated a two-year training period for direct recruits, was deemed valid and consistent with the Regulations. Further, regarding B.P. No. 9, issued on 23.04.2002, reducing the training period to three months, the Division Bench opined that this proceeding could not be applied retrospectively to start probation of the direct recruits from initial joining dates in 2000 or 2001. There cannot be any quarrel with the aforesaid view expressed by the High Court as it only talks about period of training of a direct recruit. The Division Bench ruled that direct recruits could only be considered to have started their probation on and after 23.04.2002 (the date B.P. No. 9 was issued). Before this date, they were designated as “trainees” and, by the express terms of the BPs, were prohibited from exercising the powers and duties of regular AEs. Since both the direct recruits and the internal selectees were now considered recruited in the same calendar year (2002), the Division Bench directed the Board to redraw the seniority list.

CONCLUSION

19. As far as the date of appointment of the candidate from two different sources of recruitment is concerned, the direct recruits were selected and appointed in December 2000 to March 2001 whereas the internally selected candidates were appointed by way of promotion in May 2002.
20. The issue to be considered in the present appeals is as to what is to be taken as the date of the appointment of the direct recruits. In our opinion, instead of going into the language used in various BPs

M. Thanigivelu and Ors. v. Tamil Nadu Electricity Board and Ors.

issued by the Board, which had merely resulted in creating confusion to some extent, the complete answer lies in the Regulations.

21. Chapter 2 of the Regulations provides for the definition of 'Duty' in Regulation 10(9). From a bare perusal thereof, it is evident that a person is said to be on 'duty' when he is performing the duties of the post or is undergoing probation or training prescribed for the post. In the case in hand, the argument raised by the counsel for the respondent runs contrary to the plain language of Regulation 10(9) as noticed above. They wish to state that the period during which the direct recruits were undergoing training should not be counted for the purpose of seniority, while the Regulation treats them on duty.
22. If we go further, Regulation 87 which is part of Chapter 10 again containing certain definitions with the title 'Appointed to a Class of Service'. It clearly mentions that a person shall be appointed to a class of service when he discharges for the first time, the duties of the post or commences probation or training prescribed therefor.
 - 22.1. Taking this further, even Regulation 97 is also in the same line and consistent with the aforesaid two regulations. Regulation 97 talks about seniority. It does not talk about the date of appointment which in fact had already been clarified in Regulations 10(9) and 87. It only mentions that the seniority shall be determined on the basis of the rank obtained by a candidate in the list of approved candidates drawn by the Board or any other appointing authority. Date of commencement of probation shall be the date on which he joins duty, irrespective of seniority.
 - 22.2. In our opinion, from the plain language used in the aforesaid Regulation, it is evident that seniority is to be counted from the placement of a candidate in the merit list which is prepared at the time when recruitment takes place. As provision has been made for two years' probation after selection, different candidates may join on different dates during the permitted joining time. The period of probation he had to undergo will remain two years from the date he joins duty. The merit will not affect completion of probation.
 - 22.3. Proviso to the aforesaid regulation will not come in aid of the respondents, as it talks about the seniority of Assistant

Supreme Court Reports

Engineers recruited from two sources i.e. both by way of internal selection and direct recruitment in a particular calendar year in the ratio of 1:1. It is for the reason that selection in the case in hand of direct recruits was made in December 2000 and March 2001 whereas the internal selected candidates were promoted in May 2002. In case, the argument raised by learned counsel for the respondents is accepted, it will wash off the service rendered by the direct recruits from the date of their initial appointment. At the cost of repetition, it is added that training is a part of service which is imparted after an incumbent joins duty. Even Regulations treat this as a part of duty. Merely payment of consolidated sum during the period of training and regular scale when the probation starts will not make any difference. That is why Regulations 97 does not say anything to the contrary to what is clearly provided in Regulations 10(9) and 87. No Regulation has been cited before us from which it can be inferred that the seniority is to be counted from the date a candidate starts his probation.

23. Even issuance of B.P. No.9 dated 23.04.2002 vide which the training was reduced from two years to three months will not have any bearing on the case in hand. The High Court has misdirected itself in treating that BP to be relevant for the purpose of determination of seniority of the direct recruits in the case in hand. No doubt, it will have application from the date on which the same has been issued. However, only for the purpose of the period of training, any candidate recruited and sent for training even if for a period of three months will be treated to have been recruited on day when he joins service and sent for training. In fact, this BP did not give a cause of action to the internal candidates to challenge the same, even if it had reduced training period of directly recruited candidates. It is the wisdom of the employer regarding how much period of training is to be imparted to a candidate selected for the post. Nothing was mentioned in the aforesaid BP regarding seniority. It was a creation of the self-imagination of internal candidates. It may only affect the emoluments to which such a candidate may be entitled to.
24. Anything said either in the appointment letter or in any of the BPs which runs contrary to the plain language of Regulation 10(9) and 87 will not stand in the way for this Court to form an opinion that the seniority of a direct recruit is to be counted from the first date

M. Thanigivelu and Ors. v. Tamil Nadu Electricity Board and Ors.

of their joining after which they were sent for training. The period therefor is irrelevant. It may change from time to time.

25. For the reasons mentioned above, the present appeals are allowed. The impugned judgment passed by the High Court is set aside. The opinion expressed by the Division Bench of the High Court to the extent that the seniority will commence from the date the candidate starts his probation is totally erroneous. Such a view is not supported by the plain language used in the Regulations.
26. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeals allowed.

[†]Headnotes prepared by: Nidhi Jain

The State of Madhya Pradesh & Ors.

v.

Rajkumar Yadav

(Civil Appeal No. 3279 of 2026)

11 March 2026

[Ahsanuddin Amanullah and N.V. Anjaria,* JJ.]

Issue for Consideration

Challenge to the judgment of the Division Bench of the High Court setting aside the order of the Single Judge by way of which the Single Judge had dismissed the writ petition of respondent wherein he had challenged the rejection of his candidature by the screening committee for appointment to the post of constable (driver) in the police force on the ground that he had criminal antecedents.

Headnotes[†]

Service Law – Recruitment in Police Force – M.P. Police Regulations – Rejection of candidature by screening committee for appointment to the post of constable (driver) in the police force on the ground of criminal antecedents, when justified – Single Judge of the High Court dismissed the writ petition of the respondent challenging the rejection of his candidature by the screening committee for appointment to the post of constable (driver) in the police force on the ground that he had criminal antecedents – Single Judge held that the acquittal of the respondent in the criminal case was not a clean acquittal, but was founded on the ground of benefit of doubt – Order set aside by Division Bench holding that the acquittal was honourable and directing the competent authority to reconsider the case of the respondent – Interference with:

Held: Impugned judgment set aside – Respondent was charged in respect of the offences u/ss.363, 366, 366/120B, 366A, 376(2)(c), IPC which were the offences in the nature of grave moral turpitude – Respondent was found to be involved in the serious offences such as kidnapping and abducting a minor girl and raping her, which was a conduct undoubtedly amounting to moral turpitude – The respondent, though acquitted in the criminal

* Author

The State of Madhya Pradesh & Ors. v. Rajkumar Yadav

case, was exonerated only on the ground of benefit of doubt – Division Bench of the High Court intruded into the functional realm of the screening committee and trampled upon its discretion which was validly exercised by the Committee to treat the respondent unsuitable to be employed in the police force – The domain of considering the fitness and suitability of a candidate for the purpose of taking him in service belongs to the employer – But for the limited considerations namely arbitrariness, unreasonableness, whimsicalness or *mala fide* approach, the scope of judicial review on this score is extremely limited – Moreover, the quality of law and order in the society and maintenance thereof depends upon the character of the persons serving in the police force – It becomes imperative that the recruits in the disciplined force should be the persons beyond reproach and men with rectitude. [Paras 9, 9.1, 10]

Service Law – Suitability of candidate, wisdom of the employer – Scope of judicial review, extremely limited:

Held: The domain of considering the fitness and suitability of a candidate for the purpose of taking him in service belongs to the employer – A host of relevant consideration would legitimately find a place in the process of such consideration by the employer to decide whether it is feasible and advisable to offer employment to an aspirant – Where the employer or the screening committee of the employer has acted to discard, exclude or reject the candidature by applying relevant considerations and has not acted arbitrarily or whimsically, the courts have no role to interpose – But for the limited considerations namely arbitrariness, unreasonableness, whimsicalness or *mala fide* approach, the scope of judicial review on this score is extremely limited – Courts are not expected to override the wisdom of the employer in judging the suitability of a candidate and in considering the relevance of the antecedents of the candidate and would not substitute its own view. [Paras 7.3, 9]

Service Law – Antecedents of a candidate – Role in the decision-making process by the employer – Scope of discretion:

Held: In service law jurisprudence, mere involvement of a person in an offence or in a conduct amounting to moral turpitude without anything else may become relevant consideration to judge his fitness to the post and to assess credentials for allowing such a person into the employment – Every moral turpitude has its own

Supreme Court Reports

counts and degree to become either abhorrent and unacceptable conduct, and would also amount to commission of offence under the law – In a given case, moral turpitude may not result into a legally proved guilt, and it may go unpunished for variety of reasons – Still however, it remains a conduct against decency, morality and norms practiced in the civil society inviting a serious discount and disability for such person in a given situation and given context – Whether it is a question of recruiting a person into the service or continuing him in service or extending an employee some service benefit, his criminal antecedents, involvement in criminal activity, the conduct amounting to moral turpitude, registration of a criminal case as well as nature of his acquittal in a criminal case are all germane considerations to be applied – The employer who would be acting through a screening committee to sift such cases, has fairly a large realm of freedom to act, though without becoming arbitrary – The area of discretion vested with the screening committee in this regard is wide enough to permit it to exclude a candidate or reject him for the purpose of giving appointment – In a given case where the facts are stark, mere involvement of a person in an alleged offence or in the act of moral turpitude may become sufficient enough to apply it as debilitating factor for such candidate to be offered employment – Antecedents of a candidate play an important role in the decision-making process by the screening committee – This dictum would operate with greater rigour when it comes to the recruitment and appointment to the disciplined force like police. [Paras 6-7.1]

Honourable Acquittal – What is:

Held: An honourable acquittal may be one where court comes to a definitive conclusion at the end of the trial upon full-fledged appreciation of evidence that the accused had not committed an offence for which he was charged – This is in sharp contrast against arriving at a finding that because of some lacuna in the prosecution case or in the leading the evidence or on account of non-availability of credible evidence, the offender is not convicted by giving him the benefit of doubt – In such eventualities, the yardstick known to the criminal jurisprudence is applied namely that the offence has to be proved beyond reasonable doubt – Distinction between an honourable acquittal and the acquittal other than honourable, discussed – The acquittal founded on benefit of doubt is an acquittal based on technical ground – Giving benefit of doubt and thus

The State of Madhya Pradesh & Ors. v. Rajkumar Yadav

not convicting the offender is a technical consideration applied – The acquittal for the respondent was governed by such criteria. [Para 5.2.1-5.2.3]

Service Law – Acquittal in criminal case is not always conclusive of the suitability of a candidate:

Held: Even the departmental enquiry can proceed independent of the acquittal in criminal case and mere exoneration in criminal case would not entitle an employee to be reinstated as a necessary sequitur to the acquittal. [Para 5.7]

Case Law Cited

Commissioner of Police, New Delhi & Anr. v. Mehar Singh [2013] 13 SCR 432 : (2013) 7 SCC 685; *Avtar Singh v. Union of India & Ors.* [2016] 7 SCR 445 : (2016) 8 SCC 471; *Union Territory, Chandigarh Administration & Ors. v. Pradeep Kumar & Anr.* [2018] 1 SCR 112 : (2018) 1 SCC 797; *Management of Reserve Bank of India, New Delhi v. Bhopal Singh Panchal* [1993] Supp. 3 SCR 586 : (1994) 1 SCC 541; *State of Madhya Pradesh & Ors. v. Parvez Khan* [2014] 14 SCR 520 : (2015) 2 SCC 591 – **relied on.**

List of Acts

Code of Criminal Procedure, 1973; Penal Code, 1860.

List of Keywords

Acquittal founded on benefit of doubt; Acquittal on technical ground; Exoneration only on the ground of benefit of doubt; Not a clean and honourable acquittal; Post of constable (driver); Rejection of candidature by screening committee; Appointment to the post of constable (driver) in the police force; Criminal antecedents; Ineligible for police service; Appointment of police constables; Offences in the nature of grave moral turpitude; Serious offences; Kidnapping and abducting a minor girl; Raping a minor girl; Conduct amounting to moral turpitude; “honourably acquitted”; “honourable acquittal”, “acquittal of blame”, “fully acquitted”; Verification of character and antecedents; Suitability of a candidate; Screening committee; Discretion of Screening committee; Discretion of employer; Police service; M.P. Police Regulations; Acquittal in criminal case not always conclusive of the suitability of a candidate; Offences in the nature of grave moral turpitude.

Supreme Court Reports

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 3279 of 2026

From the Judgment and Order dated 20.07.2023 of the High Court of Madhya Pradesh at Indore in WA No. 297 of 2023

Appearances for Parties

Advs. for the Appellant(s):

Sarthak Raizada G.A., Sarad Kumar Singhanian, Anil Hooda, Ms. Mrigna Shekhar.

Advs. for the Respondent(s):

Santosh Kumar, Sr. Adv., Rajiv R. Mishra, Suruchi Yadav, Ashutosh Yadav.

Judgment / Order of the Supreme Court

Judgment

N.V. Anjaria, J.

Leave granted.

- 1.1. The appellants are permitted to place on record the additional documents, as prayed for.
2. More often than not, the quality of law and order in the society and maintenance thereof depends upon the character of the persons serving in the police force. It becomes imperative that the recruits in the disciplined force should be the persons beyond reproach and men with rectitude.
 - 2.1. The exposition of the above narrative is required to be applied in its four corners while examining the challenge to judgment and order dated 20.07.2023 passed by the High Court of Madhya Pradesh in Writ Appeal No. 297 of 2023, which is impugned in the present appeal preferred by the appellant—the State of Madhya Pradesh.
 - 2.2. Learned Single Judge of the High Court dismissed the writ petition of respondent-original petitioner (hereinafter referred to as ‘the respondent’ as per the present position) by judgment and

The State of Madhya Pradesh & Ors. v. Rajkumar Yadav

order dated 09.02.2023 in which the respondent had challenged the rejection of his candidature by the screening committee for appointment to the post of constable (driver) in the police force on the ground that the petitioner had criminal antecedents.

- 2.3. The Division Bench of the High Court set aside the judgment and order of learned Single Judge, consequently set at naught order-cum-decision dated 16.06.2017, whereby the screening committee treated the respondent to be not fit for giving employment as constable. It further directed the competent authority of the appellants to reconsider the case of the respondent, for appointment to the post of constable (driver) by treating the acquittal dated 26.09.2014 granted to the respondent to be a clean and honourable acquittal and to pass appropriate order within stipulated time.
- 2.4. The operative part of the impugned judgment and order of the High Court in Paragraph 11 is reproduced herein,
 - ‘(i) Impugned order dated 09.02.2023, passed in WP No 4212/2017 is set aside.
 - (ii) Impugned order dated 16.6.2017(Annexure-P/1 to the petition), passed by the respondents is quashed for having been passed without application of mind.
 - (iii) The respondents/competent authority is directed to reconsider the case of the appellant for appointment to the post of constable (driver) in Police Force afresh by treating the acquittal dated 26.09.2014 to be clean and honourable and pass an appropriate speaking order in accordance with law.
 - (iv) The aforesaid exercise be completed within a period of 60 days from the date of receipt of certified copy of this order.’
3. In the writ petition before the High Court, the respondent herein prayed to set aside the order-cum-decision dated 16.07.2017 of the competent authority of the screening committee. The screening committee had undertaken the character verification of the respondent and after examination, treated the respondent to be ineligible for the police service. The respondent had applied for the post of constable (driver) in the process of appointment of the police constables in

Supreme Court Reports

different categories initiated in the year 2016. He was qualified to stand at serial No. 336 in the unreserved category. Before joining, the respondent submitted an affidavit disclosing the factum of criminal case against him, and enclosed copy of the order of the acquittal.

- 3.1. In the year 2012, First Information Report bearing Crime No. 33 of 2012 was registered against the respondent and four other accused persons in respect of the offences under Sections 363, 366, 366-A, 376(2)(f) and Section 120B of the Indian Penal Code, 1860, at Begumganj Police Station, Raisen district. The chargesheet came to be filed against the respondent and the trial took place. The trial court by judgment and order dated 26.09.2014 acquitted the respondent herein and two other accused persons giving them benefit of doubt.
- 3.2. In course of the recruitment process, the screening committee of the appellant herein undertook the process of character verification. The respondent was found to be not fit for the post in question on the ground of the said criminal case against him. In the writ petition, the respondent-petitioner contended *inter alia* that he was already acquitted and that he had also disclosed the registration of the criminal case against him. It was submitted that in the M.P. Police Manual, there was no provision which created any bar on the appointment of candidate against whom a criminal case has been registered. It was further submitted that the respondent was selected for the post of constable (driver) and not for discharging general duty as constable, which aspect could not have been ignored by the employing authorities.
- 3.3. The stand of the respondent in the writ petition was that though the petitioner was acquitted in the criminal case by the trial court, it was an acquittal by giving benefit of doubt. It was pointed out that the respondent was tried for the serious offences in the nature of moral turpitude and was acquitted on technical ground, therefore, he was not liable to be considered for the post of police constable and therefore was not allowed to join duty. It was stated that in view of the provision in paragraph 53(C) of the M.P. Police Regulations, the respondent was not fit for the post of police constable inasmuch as his acquittal was on technical ground.

The State of Madhya Pradesh & Ors. v. Rajkumar Yadav

- 3.4. While dismissing the writ petition and negating the prayer of the respondent, learned single judge took note of paragraph 53(C) of the M.P. Police Regulations. He further took the view that the acquittal of the respondent in the criminal case was not a clean acquittal, but was founded on the ground of benefit of doubt, and when there was no clean acquittal, the respondent was rightly refused induction into the service in the police department. According to the Division Bench, however, the acquittal was honourable as per paragraph 90 and 92 of the judgment and that it was incorrect to project the acquittal not to be the clean acquittal.
4. Heard learned Advocate Mr. Sarthak Raizada with learned advocate-on-record, Mr. Sarad Kumar Singhania for the appellant-State along with other assisting advocates, learned senior advocate Mr. Santosh Kumar with learned advocate Mr. Rajiv R. Mishra and other assisting advocates, at length. Both the learned advocates made this Court travel through the record of the case including the judgment of the trial court which acquitted the respondent.
5. In the impugned judgment and order, the Division Bench of the High Court has taken the view that in light of what is observed in paragraph 90 and 92 of the judgment of the trial court, the respondent was honourably acquitted. While it may be true that the trial court discussed the evidence before recording the acquittal, there is no gainsaying that what the court held was that the charges against the four accused including the respondent herein were not proved beyond reasonable doubt.
- 5.1. The relevant part of paragraph 90, is extracted herein,
- ‘Involvement of the remaining accused except accused Dhaniram in the crime and the criminal conspiracy hatched by them is doubtful. Therefore, the other four accused are entitled to get the benefit of doubt. The charge against them is not proved beyond reasonable doubt.’
- 5.1.1. In the same way, the following was recorded in paragraph 92,
- ‘The court concludes that the charges against the remaining accused Delan, Vishal,

Supreme Court Reports

Rajkumar and Mahesh are not proved beyond reasonable doubt for criminal conspiracy and kidnapping of minor girl from lawful guardianship, kidnapping of minor girl for illicit sexual intercourse and criminal conspiracy for rape under Section 363 alternative, Section 363/120B, Section 366 alternative, Section 366/120-B, Section 366-A and Section 376 (2) (c) / 120-B IPC. The above four accused are entitled to be acquitted of all the above charges.'

5.2. The concept of "honourably acquitted", often becomes hazy. This court on several occasions observed that the expressions "honourable acquittal", "acquittal of blame", "fully acquitted" are unknown to the Code of Criminal Procedure, 1973 or the Penal Code, 1860. These phrases are coined in the judicial pronouncements.

5.2.1. An honourable acquittal may be one where court comes to a definitive conclusion at the end of the trial upon full-fledged appreciation of evidence that the accused had not committed an offence for which he was charged. This would stand in sharp contrast against arriving at a finding that because of some lacuna in the prosecution case or in the leading the evidence or on account of non-availability of credible evidence, the offender is not convicted by giving him the benefit of doubt. In such eventualities, the yardstick known to the criminal jurisprudence is applied namely that the offence has to be proved beyond reasonable doubt.

5.2.2. A simple example would explain the nicety of the distinction between an honourable acquittal and the acquittal other than honourable. In a given case, say a person is charged for committing misappropriation of money. After trying the accused for the offence, if the court comes to a clear conclusion that the person has not committed misappropriation and has not defalcated money, it amounts to a clean chit in respect to the offence. It is suggestive of the factum that the

The State of Madhya Pradesh & Ors. v. Rajkumar Yadav

misappropriation was not done. However, if the court holds that charge of misappropriation is not proved on the account of weak prosecution case or weak evidence and therefore it is not possible to conclusively record finding about the commission of offence, the acquittal which may follow in such circumstances cannot be said to be an honourable acquittal.

- 5.2.3. The acquittal founded on benefit of doubt is an acquittal based on technical ground. Giving benefit of doubt and thus not convicting the offender is a technical consideration applied. The acquittal for the respondent was governed by such criteria.

- 5.3. In **Commissioner of Police, New Delhi & Anr. Vs. Mehar Singh**¹, this court had on occasion to consider the question whether the candidature of the respondents who had revealed of their involvement in a criminal case by mentioning such fact in their application/attestation form while applying for a post of constable in Delhi Police, who were provisionally selected subject to verification of their antecedents and who were subsequently acquitted/discharged in the criminal case, could be cancelled by the screening committee of the Delhi Police on the ground that they were not found suitable for appointment to the post of constable.

- 5.3.1. This Court observed that the screening committee was within its right to cancel the candidature of a candidate even if the candidate was acquitted of the criminal charges, by taking into account the nature of acquittal. It was observed that persons involved in grave cases of moral turpitude could be properly kept out of police force even if they are acquitted or discharged.

- 5.3.2. Stated this Court thus,

‘It is only experienced officers of the screening committee who will be able to judge whether the acquitted or discharged candidate is likely to revert to similar activities in future with more

Supreme Court Reports

strength and vigour, if appointed, to the post in a police force. The screening committee will have to consider the nature and extent of such person's involvement in the crime and his propensity of becoming a cause for worsening the law and order situation rather than maintaining it. In our opinion, this policy framed by the Delhi Police does not merit any interference from this Court as its object appears to be to ensure that only persons with impeccable character enter the police force.'

(Para 23)

- 5.3.3. It was emphasised that satisfactory character antecedent has to be insisted for, when a person wishes to join the disciplined force,

'The police force is a disciplined force. It shoulders the great responsibility of maintaining law and order and public order in the society. People repose great faith and confidence in it. It must be worthy of that confidence. A candidate wishing to join the police force must be a person of utmost rectitude. He must have impeccable character and integrity. A person having criminal antecedents will not fit in this category.'

(Para 35)

- 5.4. The purpose and utility of verification of a character and antecedents to judge the suitability of a person to the post need not be overemphasized. In **Avtar Singh Vs. Union of India & Ors.**². It was observed that it is one of the important criteria which is necessary to be fulfilled before appointment is made and that an incumbent should not have antecedents of such a nature which may adjudge him unsuitable for the post.

The State of Madhya Pradesh & Ors. v. Rajkumar Yadav

5.4.1. It was stated,

‘The verification of antecedents is necessary to find out fitness of incumbent, in the process if a declarant is found to be of good moral character on due verification of antecedents, merely by suppression of involvement in trivial offence which was not pending on date of filling attestation form, whether he may be deprived of employment? There may be case of involving moral turpitude/serious offence in which employee has been acquitted but due to technical reasons or giving benefit of doubt.’

(Para 29)

5.5. In **Union Territory, Chandigarh Administration & Ors. Vs. Pradeep Kumar & Anr.**³, the respondents were declared successful in the recruitment for the post of constable in Chandigarh Police after clearing the physical efficiency test, physical measurement test, written test and interview. The respondents were prosecuted in criminal trial for the offences under Sections 323, 506 read with Section 34, Indian Penal Code, 1860 and were acquitted by the trial court. When the matter was referred to the screening committee as per the recruitment guidelines, the screening committee found that the respondents were not suitable for appointment as constables.

5.5.1. The Tribunal set aside the order of the screening committee and directed the authorities to consider the case of the respondents for appointment to the said post. The High Court refused to interfere with the order of the tribunal. This Court however did not approve the view taken by the tribunal and the High Court and restored the order of the screening committee.

5.5.2. The following principles came to enunciated by this court,

- (a) The acquittal in a criminal case is not conclusive of the suitability of the candidates in respect of

Supreme Court Reports

the post concerned. Even if a person is acquitted or discharged, it cannot always be inferred that he was falsely involved or he had no criminal antecedents.

(Para 10)

- (b) Acquittal in a criminal case does not automatically entitle a candidate for appointment to the post. Still, it is open to the employer to consider the antecedents and examine whether the person is suitable for appointment to the post.

(Para 13)

- (c) In a case where the employee has made declaration truthfully of a concluded criminal case, the employer still has the right to consider antecedents and cannot be compelled to appoint the candidate.

(Para 12)

- 5.5.3. It was reiterated that police service requires candidate with good character, integrity and clean antecedents,

‘Police service requires candidates of good character, integrity and clean antecedents. The police force is a disciplined force. It shoulders the great responsibility of maintaining law and order and public order in the society. People repose great faith and confidence in it. It must be worthy of that confidence. A person having criminal antecedents will not fit in this category. Even if he is acquitted or discharged in the criminal case, that acquittal or discharge order will have to be examined to see whether he has been completely exonerated in the case because even a possibility of his taking to the life of crimes poses a threat to the discipline of the police force.’

(Para 11, 13)

The State of Madhya Pradesh & Ors. v. Rajkumar Yadav

- 5.6. In **Union Territory, Chandigarh administration (supra)**, this Court underlined that acquittal in criminal case is not always conclusive of the suitability of a candidate,

‘The acquittal in a criminal case is not conclusive of the suitability of the candidates in the post concerned. If a person is acquitted or discharged, it cannot always be inferred that he was falsely involved, or he had no criminal antecedents.’

(Para 10)

- 5.7. The law is also well settled that even the departmental enquiry can proceed independent of the acquittal in criminal case and that mere exoneration in criminal case would not entitle an employee to be reinstated as a necessary sequitur to the acquittal. In **Management of Reserve Bank of India, New Delhi Vs. Bhopal Singh Panchal**⁴, this Court held that when the High Court acquitted the respondent employee by giving benefit of doubt, the bank rightly refused to reinstate him in service on the ground that it was not an honourable acquittal. Further, the criminal antecedents of an employee and the nature of his acquittal is considered germane to be applied by the employer even while determining the entitlement of pay and allowance for the period concerned to the employee or for treating the period of suspension on duty.
6. As is already stated, in the present case, the respondent was charged in respect of the offences under Sections 363, 366, 366/120B, 366A, 376(2)(c) which were the offences in the nature of grave moral turpitude. Every moral turpitude has its own counts and degree to become either abhorrent and unacceptable conduct, and would also amount to commission of offence under the law. In a given case, moral turpitude may not result into a legally proved guilt, and it may go unpunished for variety of reasons. Still however, it remains a conduct against decency, morality and norms practiced in the civil society inviting a serious discount and disability for such person in a given situation and given context.

Supreme Court Reports

- 6.1. In service law jurisprudence, mere involvement of a person in an offence or in a conduct amounting to moral turpitude without anything else may become relevant consideration to judge his fitness to the post and to assess credentials for allowing such a person into the employment.
7. The necessary conclusion from the parameters and principles summarised above, is that whether it is a question of recruiting a person into the service or continuing him in service or extending an employee some service benefit, his criminal antecedents, involvement in criminal activity, the conduct amounting to moral turpitude, registration of a criminal case as well as nature of his acquittal in a criminal case are all germane considerations to be applied. The employer who would be acting through a screening committee to sift such cases, has fairly a large realm of freedom to act, though without becoming arbitrary.
- 7.1. The area of discretion vested with the screening committee in this regard is wide enough to permit it to exclude a candidate or reject him for the purpose of giving appointment. In a given case where the facts are stark, mere involvement of a person in an alleged offence or in the act of moral turpitude may become sufficient enough to apply it as debilitating factor for such candidate to be offered employment. Antecedents of a candidate play an important role in the decision-making process by the screening committee. This dictum would operate with greater rigour when it comes to the recruitment and appointment to the disciplined force like police.
- 7.2. The position of law was highlighted again in the following observations by this Court in **State of Madhya Pradesh & Ors. Vs. Parvez Khan**⁵,
- ‘...it is clear that a candidate to be recruited to the police service must be worthy of confidence and must be a person of utmost rectitude and must have impeccable character and integrity. A person having criminal antecedents will not fit in this category. Even if he is acquitted or discharged, it cannot be presumed that he was completely exonerated. Persons who are

The State of Madhya Pradesh & Ors. v. Rajkumar Yadav

likely to erode the credibility of the police ought not to enter the police force.’

(Para 13)

7.2.1. It was further stated,

‘No doubt the screening committee has not been constituted in the case considered by this Court, as rightly pointed out by the learned counsel for the respondent, in the present case, the Superintendent of Police has gone into the matter. The Superintendent of Police is the appointing authority. There is no allegation of mala fides against the person taking the said decision nor the decision is shown to be perverse or irrational.’

(Para 13)

- 7.3. The domain of considering the fitness and suitability of a candidate for the purpose of taking him in service belongs to the employer. A host of relevant consideration would legitimately find a place in the process of such consideration by the employer to decide whether it is feasible and advisable to offer employment to an aspirant. Where the employer or the screening committee of the employer has acted to discard, exclude or reject the candidature by applying relevant considerations and has not acted arbitrarily or whimsically, the courts have no role to interpose. Of course, a demonstrably mala fide approach by the employer would give room to the courts to exercise the power of judicial review.
8. In **Mehar Singh (supra)** and in **Parvez Khan (supra)**, this court opined that the decision of the screening committee must be taken as final unless as it is shown to be mala fide. The screening committee also must be alive to the importance of the trust reposed in it and must examine the candidate with utmost care for the candidate’s character.
9. But for the above limited considerations namely arbitrariness, unreasonableness, whimsicalness or mala fide approach, the scope of judicial review on this score is extremely limited. The courts are not expected to override the wisdom of the employer in judging the

Supreme Court Reports

suitability of a candidate and in considering the relevance of the antecedents of the candidate and would not substitute its own view.

- 9.1. Reverting back to the facts of the instant case, the screening committee of the appellant rejected the candidature of the respondent for the post of constable (driver) in police force as per the decision dated 16.06.2017. What weighed with the screening committee was that the respondent was found to be involved in the serious offences such as kidnapping and abducting a minor girl and raping her, which was a conduct undoubtedly amounting to moral turpitude. The respondent, though acquitted in the criminal case, was exonerated only on the ground of benefit of doubt.
- 9.2. Learned Single Judge was justified in dismissing the petition upholding the decision of the screening committee. The judgment and order of learned Single Judge of the High Court, which was eminently just and legal, came to be reversed by the Division Bench of the High Court for not good reason, directing that the acquittal ought to have been treated as an honourable acquittal and required the appellant-employer to consider the respondent for appointment to the post. The Division Bench of the High Court thereby intruded into the functional realm of the screening committee and trampled upon its discretion which was validly exercised by the Committee to treat the respondent unsuitable to be employed in the police force.
10. For the foregoing discussion and reason, the impugned judgment and order dated 20.07.2023 passed by the Division Bench of the High Court allowing Writ Appeal No. 297 of 2023 cannot be sustained in eye of law. The same is set aside.
11. The appeal stands allowed.

All Interlocutory Applications, as may be pending, will not survive in view of the disposal of the main appeal.

Result of the case: Appeal allowed.

Anurag Krishna Sinha

v.

State of Bihar & Anr.

(Civil Appeal No. 13581 of 2025)

10 March 2026

[Vikram Nath* and Sandeep Mehta, JJ.]

Issue for Consideration

- i) Whether the Smt. Radhika Sinha Institute and Sachchidanand Sinha Library (Requisition & Management) Act, 2015 is manifestly arbitrary and violative of Article 14 of the Constitution of India;
- ii) Whether the impugned Act effects compulsory acquisition and extinguishment of rights in a confiscatory manner, thereby offending Article 300A read with Article 14 of the Constitution of India.

Headnotes[†]

Constitution of India – Art.14 – Validity of Srimati Radhika Sinha Institute and Sachchidanand Sinha Library (Requisition & Management) Act, 2015 (impugned Act) – The Institute & Library were established in the year 1924 – A formal Deed of Trust was executed on 10.03.1926 – On 24.11.1955, an agreement was entered into between the Government of Bihar and the Trust, whereby the Institute & Library were accorded the status of a State Central Library – It was expressly agreed that control and management of the institution and its property would continue to vest in the trustees, while the State Government would provide financial assistance – The State promulgated the Smt. Radhika Sinha Institute and Sachchidanand Sinha Library (Acquisition and Management) Ordinance, 1983, by which the Trust was sought to be acquired and vested in the State – Writ petition – The Ordinance was challenged – Ordinances lapsed – The High Court rejected the writ petition – The Bihar State Legislature enacted the impugned Act – Again, writ petition was filed before the High Court, which was dismissed and the validity of the Act was upheld – Correctness:

Held: The impugned Act authorises the State to take over the Institute & Library in its entirety, dissolving existing legal arrangements and divesting long-standing rights, without any

* Author

Supreme Court Reports

demonstrated necessity, objective criteria, or prior inquiry – The manner in which this power is exercised is excessive, unreasoned and disproportionate to the stated object of “better management and development” – This Court is of the view that Srimati Radhika Sinha Institute and Sachchidanand Sinha Library (Requisition & Management) Act, 2015 is manifestly arbitrary and violative of Art.14 of the Constitution of India – Further, the scheme of the Act permits deprivation of property without adherence to basic requirements of fairness and due process – The absence of any principled or meaningful framework for compensation underscores the arbitrary character of the legislative measure – While Art.300A permits deprivation of property by authority of law, such law must be fair, reasonable and non-confiscatory – The impugned Act fails to meet this standard – The Srimati Radhika Sinha Institute and Sachchidanand Sinha Library (Requisition & Management) Act, 2015 is unconstitutional and is accordingly struck down – Accordingly, the Trust governing the Institute & Library, together with its rights of management and administration, shall stand restored to its pre-existing legal position prior to the enactment of the impugned Act – This shall not preclude the State Government from providing financial assistance, administrative support or regulatory oversight in accordance with law. [Paras 50-53]

Trust – Public Trust – Determination of legal character:

Held: The fact that an institution is intended to serve a public purpose or is open to public use does not, by itself, conclusively determine that the trust is a public trust in law – The legal character of a trust depends on several factors, including the manner in which the dedication is made, the structure of the trust, the nature of control and management, and the rights reserved by the Settlor and his successors under the trust deed – A public-facing object, standing alone, is not determinative. [Para 19]

Constitution of India – Art.14 – Principle of equality – Evolution of – Discussed. [Paras 23-34]

Constitution of India – Art.14 – Equality before the law is not a mere formal concept:

Held: The guarantee by Art.14 strikes at arbitrariness in State action and ensures that the exercise of legislative power is informed by reason, fairness and non-discrimination – Equality before the law is not a mere formal concept; it embodies the principle that State

Anurag Krishna Sinha v. State of Bihar & Anr.

action, whether legislative or executive, must be based on rational criteria and must not operate in an arbitrary or capricious manner – From an early stage, this Court has interpreted this guarantee not merely as a prohibition against formal discrimination, but as a constitutional injunction against arbitrariness in State action – The evolution of this principle is traceable through a consistent line of authorities. [Para 23]

Constitution of India – Art.14 – Arbitrariness – A ground to strike down legislation:

Held: The principle that arbitrariness is antithetical to equality now operates as a firm substantive constitutional limitation on legislative power – Manifest arbitrariness is a ground available to this Court to strike down legislation under the judicial review of Art.14 – It is acknowledged that this power must be exercised with care and restraint, so as to maintain the constitutional balance between the legislature and the judiciary – However, where clear and substantive unreasonableness is embedded in a legislative enactment, the Court is not only empowered but obliged to intervene. [Para 32]

Constitution of India – Art.14 – Arbitrariness is not confined to discriminatory classification:

Held: As the jurisprudence u/Art.14 makes clear, arbitrariness is not confined to discriminatory classification – A law which proceeds on unreasoned assumptions, adopts excessive means, or operates without adequate determining principles equally attracts constitutional censure – The impugned Act, by extinguishing long-standing rights and arrangements without cogent justification, departs from the discipline of reason that Art.14 mandates. [Para 43]

Constitution of India – Art.300A – Deprivation of property by authority of law cannot be arbitrary:

Held: While Art.300A of the Constitution permits deprivation of property by authority of law, such law must nevertheless be just, fair and reasonable, and not arbitrary or confiscatory in effect – A statutory provision that enables acquisition of property while reducing compensation to a token amount lacks the basic attributes of fairness – The confiscatory nature of the vesting contemplated under the impugned Act therefore reinforces the conclusion that the enactment is manifestly arbitrary and fails constitutional scrutiny. [Para 45]

Supreme Court Reports

Case Law Cited

S.G. Jaisinghani v. Union of India [1967] 2 SCR 703 : AIR 1967 SC 1427; *Maneka Gandhi v. Union of India* [1978] 2 SCR 621 : (1978) 1 SCC 248; *Ajay Hasia v. Khalid Mujib Sehravardi* [1981] 2 SCR 79 : (1981) 1 SCC 722; *Shayara Bano v. Union of India* [2017] 9 SCR 797 : (2017) 9 SCC 1; *Mithu v. State of Punjab* [1983] 2 SCR 690 : (1983) 2 SCC 277; *Sunil Batra v. Delhi Administration* [1979] 1 SCR 392 : (1978) 4 SCC 494; *Joseph Shine v. Union of India* [2018] 11 SCR 765 : AIR 2018 SC 4898; *Association for Democratic Reforms v. Union of India*, 2024 INSC 113 : [2024] 2 SCR 420; *E.P. Royappa v. State of Tamil Nadu* [1974] 2 SCR 34 : (1974) 4 SCC 3 – followed.

Tika Ramji v. State of U.P. [1956] 1 SCR 393 : AIR 1956 SC 676; *Innoventive Industries Ltd. v. ICICI Bank* [2017] 8 SCR 33 : (2018) 1 SCC 407; *In Re: Expeditious Trial of cases under Section 138 of the N.I.Act, 1881* [2021] 4 SCR 257 : (2021) 16 SCC 116; *Saregama (India) Ltd v. Next Radio Ltd.* [2021] 9 SCR 137 : (2022) 1 SCC 701; *Bachhaj Nahar v. Nilima Mandal* [2008] 14 SCR 621 : (2008) 17 SCC 491; *Deoki Nandan v. Murlidhar* [1956] 1 SCR 756 : AIR 1957 SC 133; *State of Mysore v. S.R. Jayaram* [1968] 1 SCR 349; *Indian Express Newspapers (Bombay) Pvt. Ltd. v. Union of India* [1985] 2 SCR 287 : (1985) 1 SCC 641; *K.R. Lakshmanan v. State of Tamil Nadu* [1996] 1 SCR 395 : (1996) 2 SCC 226; *A.P. Dairy Development Corporation Federation v. B. Narasimha Reddy* [2011] 14 SCR 1 : (2011) 9 SCC 286; *State of Andhra Pradesh v. McDowell & Co.* [1996] 3 SCR 721 : (1996) 3 SCC 709 – referred to.

List of Acts

Constitution of India; Srimati Radhika Sinha Institute and Sachchidanand Sinha Library (Requisition & Management) Act, 2015; Trust Act, 1882.

List of Keywords

Trust; Public trust; Compulsory acquisition; Takeover; Arbitrary; Fairness; Art.300A of Constitution of India; Art.14 of the Constitution of India; Legislative enactment; Extinguishment of rights; Deprivation of property; Rights of management and administration; Law must be fair, reasonable and non-confiscatory;

Anurag Krishna Sinha v. State of Bihar & Anr.

Legal character of a trust; Principle of equality; Smt. Radhika Sinha Institute and Sachchidanand Sinha Library (Acquisition and Management) Ordinance, 1983; Srimati Radhika Sinha Institute and Sachchidanand Sinha Library (Requisition & Management) Act, 2015.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 13581 of 2025

From the Judgment and Order dated 29.02.2024 of the High Court of Judicature at Patna in CWJC No. 7940 of 2015

Appearances for Parties

Advs. for the Appellant(s):

Sunil Kumar, Sr. Adv., Ms. Rohini Prasad, Ms. Ashika Ranjan.

Advs. for the Respondent(s):

Ranjit Kumar, Sr. Adv., Manish Kumar, Divyansh Mishra, Kumar Saurav, Akash Dikshit, Mrigank Prabhakar, Siddharth Sahu, Ms. Astha Singh, N.R. Shwetabh.

Judgment / Order of the Supreme Court**Judgment**

Vikram Nath, J.

1. The present appeal challenges the final judgment and order dated 29th February 2024 passed by the High Court of Judicature at Patna in Civil Writ Jurisdiction Case No.7940 of 2015 whereby the appellant's writ petition has been dismissed by the High Court while upholding the validity of the Srimati Radhika Sinha Institute and Sachchidanand Sinha Library (Requisition & Management) Act, 2015¹.

A. Background

2. The case before us concerns the Smt. Radhika Sinha Institute and Sachchidanand Sinha Library², an institution that has been in

1 Hereinafter, "The Act".

2 Hereinafter, "Institute & Library".

Supreme Court Reports

existence for nearly a century. To appreciate the controversy, it is necessary to briefly trace the history of the Institute & Library and the circumstances in which it was established.

3. The Institute & Library were established in the year 1924 by Shri Sachichidanand Sinha³, a distinguished public figure of his time and a prominent son of the State of Bihar, who served as the first President of the Constituent Assembly for an interim period. The Institute & Library was founded in memory of his wife, Smt. Radhika Sinha. For this purpose, Shri Sachichidanand Sinha addressed a letter to the then Governor of Bihar and Orissa, offering a sum of ₹50,000 from the sale proceeds of ancestral property belonging to Smt. Radhika Sinha. The offer was accepted, and the foundation stone was laid on 28th March 1922. The construction of the buildings for the Institute and Library was completed using the said amount.
4. Shri Sachichidanand Sinha also donated a substantial collection of books, numbering approximately 10,000 volumes, to the Library. On 9th February 1924, the Institute & Library were formally declared open by the Governor. Dr. Sinha made an oral declaration constituting a trust, appointed trustees, and assumed the role of Trustee, Honorary Secretary and Chief Executive Officer. An additional sum of ₹50,000 was also provided for the maintenance and upkeep of the institution.
5. A formal Deed of Trust was executed on 10th March 1926 and signed by all the trustees, including the then Chief Justice of the Patna High Court as an ex officio trustee. The Trust Deed provided that the eldest male member of the family would serve as the Honorary Secretary and Chief Executive Officer, and further stipulated that, in the event of failure of the Trust, the entire trust property would revert to the family members of the Settlor.
6. The appellant before this Court is the great-grandson of Shri Sachichidanand Sinha and Smt. Radhika Sinha, and presently serves as the Trustee, Honorary Secretary and Chief Executive Officer of the Institute.
7. On 24 November 1955, an agreement was entered into between the Government of Bihar and the Trust, whereby the Institute & Library were accorded the status of a State Central Library. It was

3 The "Settlor".

Anurag Krishna Sinha v. State of Bihar & Anr.

expressly agreed that control and management of the institution and its property would continue to vest in the trustees, while the State Government would provide financial assistance to meet its expenses in accordance with budgetary allocations.

8. Notably, in 1983, the State Government promulgated the Smt. Radhika Sinha Institute and Sachichidanand Sinha Library (Acquisition and Management) Ordinance, 1983, by which the Trust was sought to be acquired and vested in the State. This was communicated to Shri Gopal Krishna Sinha, the then Honorary Secretary of the Trust and father of the present appellant, by a letter dated 21 May 1983 issued by the Education Department. The ordinance was challenged before the Patna High Court in C.W.J.C. No.2458 of 1983, wherein an interim stay was granted. The ordinance was to lapse on 14 August 1983, but a second ordinance promulgated on 12 August 1983 sought to validate actions taken under the first. The second ordinance also lapsed thereafter. The High Court ultimately rejected the writ petition, upholding the letters and orders vide which the trust stood acquired by the State and held that despite the ordinances lapsing, their effect must continue. However, this Court, in Civil Appeal No.2208 of 1984, by order dated 20 February 1996, held that the lapsing of the ordinances rendered all actions thereunder *non est*, and allowed the appeal.
9. More than three decades later, the Bihar State Legislature enacted the impugned Act. The Act was published in the Bihar Gazette on 6th May 2015 and provided for the takeover of the Institute & Library by the State Government.
10. The appellant challenged the Act by filing C.W.J.C. No.7940 of 2015 before the Patna High Court. By an interim order dated 22nd May 2015, the operation of the Act was stayed. A special leave petition filed by the State against the interim order was dismissed by this Court on 13th July 2015.
11. The High Court heard the matter and passed the present impugned order dated 29th February 2024. The High Court was of the view that the Trust governing the Institute & Library was in fact not a private Trust, observing that the dedication made by the settlor was in favour of the public of Patna and its neighbourhood being the general public. Therefore, there is no application of the Indian

Supreme Court Reports

Trust Act, 1882⁴. The public interest was found to be clear from the recitals 'for better management and development' in the preamble of the enactment. It was held that for all purposes, the Institute & Library was financed by the State Government and the State Librarian was acting as the ex-officio Chief Librarian of the Library who was entrusted with the responsibility of general supervision of the working and administration of the Institute & Library subject to the general direction of the Trustees.

12. The High Court ultimately dismissed the writ petition and upheld the validity of the Act, while observing that the State Government was obliged to carry on the objects of the Trust.
13. Aggrieved by the decision of the High Court, the appellant is before us.

B. Issues

14. The present appeal gives rise to the following issues:
 - i. Whether the Smt. Radhika Sinha Institute and Sachchidanand Sinha Library (Requisition & Management) Act, 2015 is manifestly arbitrary and violative of Article 14 of the Constitution of India.
 - ii. Whether the impugned Act effects compulsory acquisition and extinguishment of rights in a confiscatory manner, thereby offending Article 300A read with Article 14 of the Constitution of India.

C. Submissions

I. Appellant's submissions

15. Learned senior advocate, Mr. Sunil Kumar made the following submissions:
 - i. On Legislative Competence: The impugned Act is an exercise of legislative power by the State Legislature in respect of a Private Trust which had the overall control over management and administration of the said Institute & Library as defined under Section 2(a) and (b) of the Act.

4 Hereinafter, "Trust Act".

Anurag Krishna Sinha v. State of Bihar & Anr.

- a) The Deed of Trust, the Deed of Agreement, the Deed of Lease of Land, the Trust and all its committees and sub-committees stand dissolved under Section 4(2) of the Act.
- b) The right, title and interest of the Trustees in the Institute & Library stands transferred to and vested in the State Government from the commencement of the said Act under Section 3 thereof.
- c) The Trustees including the appellant are put under a duty to hand over possession of all assets and furnish complete particulars, agreements and other instruments of the Institute & Library to the State Government under Section 5 and 6 of the said Act.
- d) The impugned Act relates to Trust and Trustees i.e. Entry 10 of List III of the VIIIth Schedule to the Constitution of India, which is a field occupied by a Federal Legislation, namely, the Indian Trusts Act, 1882. The Preamble of the Indian Trusts Act makes it abundantly clear that the object is to codify the law regarding Trusts and to occupy the entire field of legislation. Hence, the Trusts Act shall prevail and the impugned State Act whose subject matter directly relates to the Trust and its Trustees would be void under Article 254(1) of the Constitution of India.
- e) The provisions of the impugned Act are in conflict with the provisions of the Trusts Act. One cannot be obeyed without disobeying the other. Therefore, the impugned State Act is repugnant to the Federal Legislation.
- f) In this regard, reliance was placed on **Tika Ramji vs. State of U.P.**⁵ wherein it was reiterated by this Court in the case of **Innoventive Industries Ltd vs. ICICI Bank**⁶ that repugnancy may be in three ways – (1) Where the Federal Legislation expressly or implicitly evinces its intention to cover the whole field, (2) even in absence of intention, where the Federal Legislation and State Legislation seek to exercise their powers over the same subject matter,

5 AIR 1956 SC 676

6 (2018) 1 SCC 407

Supreme Court Reports

and (c) where there is a direct conflict between two or more provisions of the competing Statutes. In any of these situations, the Federal Legislation prevails and the State Legislation would be void to the extent of repugnancy.

- ii. On the High Court's Findings on Legislative Competency:
 - a) The High Court decided the question of repugnancy in paragraph 17 of the impugned judgment. It acknowledged that the impugned Act and the Trusts Act, both relate to Entries in List III of the VIIth Schedule of the Constitution of India, however, by applying the doctrine of pith and substance, the High Court has gone on to hold that the impugned Act "does not even incidentally trench upon the Indian Trusts Act".
 - b) As was held by this Court in **Tika Ramji** (supra) and reiterated in the case of **Innoventive Industries** (supra), the doctrine of pith and substance cannot be referred to while determining questions of repugnancy, once it is found that both the Federal Legislation and State Legislation are referable to the Concurrent list.
 - c) The impugned Act clearly states in its Preamble that the aim is for the better management of the said Institute & Library and one of the consequences of vesting as contemplated under Section 4(2) of the Act is that the Trust would be deemed to be dissolved from the date of the commencement of the Act. However, the High Court holds in paragraph 18 of the impugned order that even if there was acquisition of the property, as in the present case, it was for better administration of the Trust. Further, the High Court holds in paragraph 36 that the impugned Act was to vest the Trust and its properties in the State Government for better functioning and for furtherance of the objects of the Trust.
 - d) The impugned Act clearly lays down in Section 3 that what vests is the right, title and interest of the Institute & Library. The definition of Trust in Section 3 of the Trusts Act is that it is an obligation annexed to the ownership of property, and arising out of a confidence reposed in and accepted by the owner. The High Court holds in paragraph

Anurag Krishna Sinha v. State of Bihar & Anr.

18 of the impugned judgment that the obligation travels with the ownership of the property. However, the High Court omitted to consider that the obligation has to arise out of a confidence reposed by the Settlor which cannot be transferred to anyone. Neither the impugned Act nor the Trusts Act, even remotely talk about any obligation dealing with the acquisition of the property.

- e) This Court in **In Re: Expeditious Trial of cases under Section 138 of the N.I.Act, 1881**⁷ as quoted and followed in **Saregama (India) Ltd vs. Next Radio Ltd.**⁸ has held that *“...Conferring power on the court by reading certain words into provisions is impermissible. A judge must not rewrite a statute, neither to enlarge nor to contract it. Whatever temptations the statesmanship of policy-making might wisely suggest, construction must eschew interpolation and evisceration. He must not read in by way of creation. The Judge’s duty is to interpret and apply the law, not to change it to meet the Judge’s idea of what justice requires. The court cannot add words to a statute or read words into it which are not there.”*
- iii. On “Public Trust”: the parties before the High Court were *ad idem* that the Trust in question was a Private Trust and arguments were advanced accordingly.
 - a) In the impugned judgment, the High Court records in paragraph 17 that “...The arguments were addressed on an assumption that the institution which is a Trust is a private trust governed by the Indian Trust Act. We have our own reservations about such assumption, looking at the deed of Trust authored by the Settlor...” Thereafter, the High Court went on to make out a third case that the Trust in question was a Public Trust.
 - b) In the present appeal, specific grounds are raised by the appellant regarding the High Court dismissing the writ petition on facts and grounds neither pleaded nor argued

7 (2021) 16 SCC 116

8 (2022) 1 SCC 701

Supreme Court Reports

before it, thereby denying the appellant the opportunity to rebut the same and hence being a nullity in the eyes of the law as it is impermissible for the High Court in exercise of its power of judicial review to make out a case which was not the stand taken by the State in their Counter Affidavit, has not been adverted to by the Respondent-State, much less denied by them.

- c) This Court in the case of **Bachhaj Nahar vs. Nilima Mandal**⁹ has held that when neither party puts forth a contention, the Court cannot make out such a case not pleaded, suo moto.
- d) In the present case, neither parties pleaded nor was it argued that the Trust in question was a Public Trust. In these circumstances, the High Court could not have made out a third case that the Trust in question was a Public Trust.
- iv. The main point of distinction between a Private Trust and a Public Trust is; a Private Trust may fail but a Public Trust does not fail. In the instant case, the Trust Deed itself visualised that the Trust may fail and also spelled out the consequences of such a failing.
- v. On the impugned Act being confiscatory and violative of Article 300A of the Constitution of India: Section 7 of the impugned Act states that if any question arises for compensation for the acquisition, the State Government may pay only maximin one rupee after examining the claims.
 - a) Acquisition of property which has devolved on the appellant by inheritance, without payment of just and adequate compensation renders the impugned Act confiscatory and violative of Article 300A of the Constitution of India.
- vi. On manifest arbitrariness: for more than a hundred years, the Trustees, including the appellant and his ancestors as the Chief Executive Officer and Secretary, have controlled and managed the Institute & Library which has continued to be open, except during the Covid pandemic, to the public who have been permitted reasonable use and enjoyment thereof.

Anurag Krishna Sinha v. State of Bihar & Anr.

- a) There was no allegation of any mismanagement against the Trustees in any correspondence by the State Government or in the pleadings before the High Court, or during the course of arguments before the High Court.
- b) The rank arbitrariness of the impugned Act manifests when one considers the latest Survey of Libraries in the State of Bihar which shows that there were 540 public libraries in the State in the 1960's, out of which only 51 now survive, and that too in poor condition.
- c) The impugned Act is liable to be invalidated on the sole ground of violation of Article 14 of the Constitution of India.

II. Respondent-State of Bihar's submissions:

16. Learned senior advocate, Mr. Ranjit Kumar made the following submissions:

- i. The impugned Act: The preamble of the Act expressly notes that its object is to provide for the acquisition, transfer and better management of the Act.
- ii. As per the petition, the appellant is the legal heir of the Settlor of the Trust, member-secretary of the Board of Trustees and its Chief Executive Officer. The Trust itself has not challenged the impugned Act. The appellant has no locus or authority to act on behalf of the Trust.
- iii. The Trust is a Public Trust and not a Private Trust: The appellant has argued before this Court that the High Court erred by recording a finding that the Trust is public in nature when the State did not contest this in its pleadings. However, the appellant specifically argued before the High Court that the Trust is a Private Trust governed by the Trusts Act. In such circumstances, it was open to the High Court to hold that the appellant's contentions were not correct in law and facts. It is a settled position as held by this Court in **Deoki Nandan vs. Murlidhar**¹⁰ and relied upon by the High Court that whether a Trust is a public or private trust is a mixed question of law and

Supreme Court Reports

fact. The factual foundation for the findings of the High Court were the admitted facts discernible from the Lease Deed.

- iv. The appellant has relied on Clause 12 of the Trust Deed, i.e., the reversal of property to the Settlor in the event the Trust fails, to contend that the Trust is private. However, that contention is without merit and it is not the appellant's case that the Trust has failed. The Trust Deed clearly envisages the creation of a Public Trust.
- v. The appellant's challenge to legislative competence is wholly misconceived. Since the Trust is a Public Trust and Public Trusts are expressly excluded from the application of the Trusts Act; consequently, no conflict can arise between the impugned Act and the Indian Trusts Act. Even on a contrary assumption, there is no repugnancy because the Trusts Act governs the creation, administration, duties, rights and revocation of trusts but does not regulate or prohibit the acquisition of trust property by the State, which is the subject matter of the impugned Act. A legislation whose pith and substance is the acquisition of property is traceable to Entry 42 of List III and the impugned Act squarely falls within this entry, furnishing an independent constitutional source of legislative power.
- vi. The proposal for nationalisation of the Institute & Library arose only due to the persistent and undeniable failure of the Trust to discharge its responsibilities, despite substantial aid, support and oversight extended by the State Government over several decades. The State Legislature, in the exercise of its legislative wisdom and in furtherance of public interest, deemed it appropriate and necessary to acquire the Institute & Library and ensure its proper administration, development and preservation.
- vii. The appellant has alleged that the impugned Act is in contravention of Article 14 of the Constitution of India. This contention is *ex facie* untenable. The Institute & Library constitutes a class by itself. It is the appellant's own case that the Settlor was an instrumental figure in the State's history and the Institute & Library embody his vision and legacy. The State Government is equally interested in the preservation and advancement of the legacy of Shri Sachichidananda Sinha. The

Anurag Krishna Sinha v. State of Bihar & Anr.

impugned Act was enacted to revitalise the Library, safeguard and honour the Settlor's legacy and ensure the provision of improved facilities to the public. The Act, therefore, validly singles out the Institute & Library as a distinct class and the classification bears a rational nexus to the object sought to be achieved.

- viii. Therefore, the Impugned Act, being constitutionally sound in its object, scheme and source of legislative power, warrants no interference.

D. Analysis

17. Before advertng to the rival submissions, it is necessary to recall the genesis and founding purpose of the Institute & Library. The Smt. Radhika Sinha Institute and Sachchidanand Sinha Library was conceived not as a commercial or administrative enterprise, but as a voluntary act of public beneficence by Shri Sachchidanand Sinha, a distinguished public figure of his time and a prominent son of the State of Bihar. Established in the memory of his wife, Smt. Radhika Sinha, the Institute & Library was founded through the personal contribution of the Settlor's property and his own extensive collection of books, with the avowed object of promoting learning, scholarship and public access to knowledge. For nearly a century thereafter, the Institute & Library has continued to function in furtherance of this founding vision, preserving both a cultural legacy and a public institution of learning. It is this historical context, and the continuity of purpose with which the Institute & Library has been managed, that must inform the constitutional scrutiny of the impugned enactment.
18. Before examining the challenge under Article 14, it is necessary to briefly address the premise on which the High Court proceeded, namely the characterisation of the Trust governing the Institute & Library as a public trust. The High Court has held that the Trust governing the Institute & Library is a public trust, relying primarily on the language used in the Deed of Trust executed by the Settlor. The Deed records the wish of Smt. Radhika Sinha to establish an institution for "*providing the public of Patna and its neighbourhood with a place for intellectual and social intercourse,*" including a library, reading room and facilities for public meetings. On this basis, the High Court concluded that the dedication was in favour of the general public and that the Trust must therefore be treated as a public trust.

Supreme Court Reports

19. In our view, this approach is flawed. The fact that an institution is intended to serve a public purpose or is open to public use does not, by itself, conclusively determine that the trust is a public trust in law. The legal character of a trust depends on several factors, including the manner in which the dedication is made, the structure of the trust, the nature of control and management, and the rights reserved by the Settlor and his successors under the trust deed. A public-facing object, standing alone, is not determinative.
20. Section 3 of the Indian Trusts Act defines a trust as “*an obligation attached to the ownership of property, arising from a confidence reposed by the Settlor and accepted by the trustee*”. In the present case, Shri Sachchidanand Sinha clearly reposed such confidence in identified trustees through a formal Deed of Trust. The Deed also provided for succession to the office of Honorary Secretary and Chief Executive Officer, and for reversion of the trust property in the event of failure of the Trust. These provisions are material and cannot be disregarded merely because the Institute & Library was intended to benefit the public.
21. It is also significant that neither party before the High Court pleaded or argued that the Trust was a public trust. The case was argued on the common assumption that the Trust was a private trust governed by the Indian Trusts Act. In such circumstances, the High Court could not have proceeded to decide the case on an entirely different basis without affording an opportunity to address that issue.
22. In any event, even if it were assumed that the Trust has a public character, that fact alone does not legitimise the State’s action in acquiring the Institute & Library or dissolving the existing trust arrangements. Whether the Trust is public or private, any legislative measure resulting in compulsory acquisition and vesting must satisfy constitutional requirements, particularly those flowing from Article 14. The question of public or private character, therefore, is not determinative of the validity of the impugned Act.

Issues I & II

23. Article 14 of the Constitution of India mandates that “*the State shall not deny to any person equality before the law or the equal protection of the laws within the territory of India.*” This guarantee strikes at arbitrariness in State action and ensures that the exercise of legislative power is

Anurag Krishna Sinha v. State of Bihar & Anr.

informed by reason, fairness and non-discrimination. Equality before the law is not a mere formal concept; it embodies the principle that State action, whether legislative or executive, must be based on rational criteria and must not operate in an arbitrary or capricious manner. From an early stage, this Court has interpreted this guarantee not merely as a prohibition against formal discrimination, but as a constitutional injunction against arbitrariness in State action. The evolution of this principle is traceable through a consistent line of authorities.

24. In **S.G. Jaisinghani v. Union of India**,¹¹ a Constitution Bench of this Court emphasised the centrality of non-arbitrariness to the rule of law. In paragraph 14 of the judgment, the Court observed:

“14. In this context it is important to emphasise that the absence of arbitrary power is the first essential of the rule of law upon which our whole constitutional system is based. In a system governed by rule of law, discretion, when conferred upon executive authorities, must be confined within clearly defined limits. The rule of law from this point of view means that decisions should be made by the application of known principles and rules and, in general, such decisions should be predictable and the citizen should know where he is. If a decision is taken without any principle or without any rule it is unpredictable and such a decision is the antithesis of a decision taken in accordance with the rule of law.”

Therefore, this description makes it clear that arbitrariness is fundamentally incompatible with constitutional governance, as it replaces reasoned decision-making with uncertainty and unfettered discretion. The absence of arbitrary power was thus recognised as the first essential of the rule of law upon which the constitutional system rests.

25. In **State of Mysore v. S.R. Jayaram**,¹² Rule 9(2) of the Mysore Recruitment of Gazetted Probationers' Rules, 1959 was challenged and struck down by a Constitution Bench as violative of Article 14 read with Article 16(1), on the ground that it conferred arbitrary and uncanalised power on the government without any guiding principles.

¹¹ AIR 1967 SC 1427

¹² [1968] 1 SCR 349.

Supreme Court Reports

26. A landmark development in this line of jurisprudence came with **E.P. Royappa v. State of Tamil Nadu**,¹³ where arbitrariness was recognised as a distinct and independent facet of Article 14, alongside unjustness and unfairness; establishing three standards against which State action may be tested when assailed on the touchstone of Article 14. The Constitution Bench categorically stated in paragraph 85:

“85 ... From a positivistic point of view, equality is antithetic to arbitrariness. In fact equality and arbitrariness are sworn enemies; one belongs to the rule of law in a republic while the other, to the whim and caprice of an absolute monarch. Where an act is arbitrary, it is implicit in it that it is unequal both according to political logic and constitutional law and is therefore violative of Article 14, and if it effects any matter relating to public employment, it is also violative of Article 16. Articles 14 and 16 strike at arbitrariness in State action and ensure fairness and equality of treatment. They require that State action must be based on valid relevant principles applicable alike to all similarly situate and it must not be guided by any extraneous or irrelevant considerations because that would be denial of equality. Where the operative reason for State action, as distinguished from motive inducing from the antechamber of the mind, is not legitimate and relevant but is extraneous and outside the area of permissible considerations, it would amount to mala fide exercise of power and that is hit by Articles 14 and 16. Mala fide exercise of power and arbitrariness are different lethal radiations emanating from the same vice: in fact the latter comprehends the former. Both are inhibited by Articles 14 and 16.”

(emphasis supplied)

27. This ratio was followed by a larger Seven-Judge Bench in **Maneka Gandhi v. Union of India**,¹⁴ where the Court, while testing provisions

¹³ (1974) 4 SCC 3

¹⁴ (1978) 1 SCC 248

Anurag Krishna Sinha v. State of Bihar & Anr.

of the Passports Act, reaffirmed that equality and arbitrariness are antithetical, and that Article 14 infuses the requirement of reasonableness across all State action. It was observed:

“equality is antithetical to arbitrariness..... Article 14 strikes at arbitrariness in State action and ensures fairness and equality of treatment. The principle of reasonableness, which legally as well as philosophically, is an essential element of equality or non-arbitrariness pervades Article 14 like a brooding omnipresence and the procedure contemplated by Article 21 must answer the test of reasonableness in order to be in conformity with Article 14. It must be “right and just and fair” and not arbitrary, fanciful or oppressive; otherwise, it would be no procedure at all and the requirement of Article 21 would not be satisfied.”

28. Thereafter, in **Ajay Hasia v. Khalid Mujib Sehravardi**,¹⁵ a Constitution Bench of this Court affirmed and consolidated the above line of decisions. In paragraph 16, this Court held:

“16... Wherever therefore there is arbitrariness in State action whether it be of the legislature or of the executive or of an ‘authority’ under Article 12, Article 14 immediately springs into action and strikes down such State action. In fact, the concept of reasonableness and non-arbitrariness pervades the entire constitutional scheme and is a golden thread which runs through the whole of the fabric of the Constitution.”

The significance of *Ajay Hasia* lies in its explicit clarification that the doctrine of arbitrariness operates as a check on legislative action no less than on executive action and that Article 14 springs into action wherever arbitrariness is found.

29. In **Indian Express Newspapers (Bombay) Pvt. Ltd. v. Union of India**,¹⁶ the constitutionality of import duty imposed on newsprint imported from abroad under sections of the Custom Act, 1962, Customs Tariff Act, 1975 and levy of auxiliary duty under the Finance Act, 1981 as modified by notifications issued under Section 25 of

¹⁵ (1981) 1 SCC 722.

¹⁶ (1985) 1 SCC 641

Supreme Court Reports

the Customs Act, 1962 was tested. In this decision, the Court further propounded the test of manifest arbitrariness. The Court observed:

*“75. In India arbitrariness is not a separate ground since it will come within the embargo of Article 14 of the Constitution. In India any enquiry into the vires of delegated legislation must be confined to the grounds on which plenary legislation may be questioned, to the ground that it is contrary to the statute under which it is made, to the ground that it is contrary to other statutory provisions or **that it is so arbitrary that it could not be said to be in conformity with the statute or that it offends Article 14 of the Constitution.**”*

(emphasis supplied)

30. In **K.R. Lakshmanan v. State of Tamil Nadu**,¹⁷ the Court struck down the Tamil Nadu Act, 1986 on the ground of arbitrariness, holding that the vice of arbitrariness was writ large on the face of the statutory provisions of the said Act.
31. The application of this doctrine to legislative action was reiterated in **A.P. Dairy Development Corporation Federation v. B. Narasimha Reddy**.¹⁸ In paragraph 29, this Court observed:

“29. It is a settled legal proposition that Article 14 of the Constitution strikes at arbitrariness because an action that is arbitrary, must necessarily involve negation of equality. This doctrine of arbitrariness is not restricted only to executive actions, but also applies to the legislature. Thus, a party has to satisfy that the action was reasonable, not done in unreasonable manner or capriciously or at pleasure without adequate determining principle, rational, and has been done according to reason or judgment, and certainly does not depend on the will alone. However, the action of the legislature, violative of Article 14 of the Constitution, should ordinarily be manifestly arbitrary. There must be a case of substantive unreasonableness in the statute itself for declaring the act ultra vires Article 14 of the Constitution.”

¹⁷ (1996) 2 SCC 226

¹⁸ (2011) 9 SCC 286

Anurag Krishna Sinha v. State of Bihar & Anr.

32. The doctrine of arbitrariness as a facet of Article 14, capable of being used to test and strike down legislation, received its most authoritative affirmation in **Shayara Bano v. Union of India**.¹⁹ A Constitution Bench of this Court held that Triple Talaq was manifestly arbitrary, and in doing so, brought to rest any remaining divergence or controversy about whether manifest arbitrariness is a valid ground to invalidate legislation. In paragraph 84, the Court observed:

“84...Arbitrariness in legislation is very much a facet of unreasonableness in Articles 19(2) to (6), as has been laid down in several judgements of this Court...therefore, there is no reason why arbitrariness cannot be used in aforesaid sense to strike down legislation under Article 14 as well”

In paragraph 101, the Court further held:

“101...Manifest arbitrariness, therefore, must be something done by the legislature capriciously, irrationally and/or without adequate determining principle. Also, when something is done which is excessive and disproportionate, such legislation would be manifestly arbitrary. We are, therefore, of the view that arbitrariness in the sense of manifest arbitrariness as pointed out by us above would apply to negate legislation as well under Article 14.”

Shayara Bano relied on the Constitution Bench judgments in **Mithu v. State of Punjab**²⁰ and **Sunil Batra v. Delhi Administration**²¹, which were both cases where statutes were struck down on grounds of arbitrariness and unreasonableness and which drew upon the sustained line of authority traced above. Significantly, **Shayara Bano** (supra) held that **State of Andhra Pradesh v. McDowell & Co.**²², which had taken the position that arbitrariness is not a ground on which plenary legislation may be struck down, to be per incuriam and bad in law, on the ground that it had failed to consider at least two binding precedents; a Constitution Bench decision in **Ajay Hasia** (supra), a three-Judge decision in **K.R. Lakshmanan** (supra). Further, it did not acknowledge another Constitution Bench decision in **Maneka Gandhi** (supra).

19 (2017) 9 SCC 1

20 (1983) 2 SCC 277

21 (1978) 4 SCC 494

22 (1996) 3 SCC 709

Supreme Court Reports

Hence, it was affirmed that the principle that arbitrariness is antithetical to equality now operates as a firm substantive constitutional limitation on legislative power.

33. Post **Shayara Bano** (supra), the doctrine was applied in **Joseph Shine v. Union of India**,²³ by a Constitution Bench of this Court where Section 497 of the Indian Penal Code, 1860 was challenged and struck down as being manifestly arbitrary. The relevant observation reads thus:

*“103... What is clear, therefore, is that this archaic law has long outlived its purpose and does not square with today’s constitutional morality, in that the very object with which it was made has since become manifestly arbitrary, having lost its rationale long ago and having become in today’s day and age, utterly irrational. On this basis alone, the law deserves to be struck down, for with the passage of time, **Article 14 springs into action and interdicts such law as being manifestly arbitrary. That legislation can be struck down on the ground of manifest arbitrariness is no longer open to any doubt, as had been held by this Court in Shayara Bano v. Union of India** [Shayara Bano v. Union of India, (2017) 9 SCC 1 : (2017) 4 SCC (Civ) 277].”*

(emphasis supplied)

34. Most recently, in **Association for Democratic Reforms v. Union of India**,²⁴ the validity of the Electoral Bond Scheme and provisions of the Finance Act, 2017 were challenged. A Constitution Bench of this Court held them to be unconstitutional and struck them down, reaffirming that manifest arbitrariness remains a ground available to Courts to invalidate legislation under Article 14.
35. It is therefore well settled that manifest arbitrariness is a ground available to this Court to strike down legislation under the judicial review of Article 14. It is acknowledged that this power must be exercised with care and restraint, so as to maintain the constitutional

²³ AIR 2018 SC 4898

²⁴ 2024 INSC 113

Anurag Krishna Sinha v. State of Bihar & Anr.

balance between the legislature and the judiciary. However, where clear and substantive unreasonableness is embedded in a legislative enactment, the Court is not only empowered but obliged to intervene.

36. The arc traced through these decisions, from **Jaisinghani** (supra) to **Shayara Bano** (supra) and beyond, reflects a coherent and settled constitutional principle being that State action, whether executive or legislative, must be structured by reason, guided by discernible and adequate determining principles, and proportionate in its operation and effect. Arbitrariness, in whatever form it manifests, whether in the conferral of uncanalised power, the adoption of excessive means, the absence of rational nexus, or the imposition of consequences wholly disproportionate to the stated object, is antithetical to the constitutional guarantee of equality and invites the intervention of this Court. A law which departs from these requirements attracts the vice of manifest arbitrariness and is liable to be struck down as violative of Article 14. These are not abstract propositions; they are the tested and authoritative foundations on which the present challenge falls to be adjudicated.
37. Tested against these settled principles, the impugned Act discloses multiple features of manifest arbitrariness. While the stated object of the Act is “better management and development” of the Institute & Library, the means adopted by the legislature bear no rational or proportionate nexus to that object.
38. Section 3 of the impugned Act effects a complete vesting of the Institute & Library, together with all rights, title and interest therein, in the State Government. Section 4(2) simultaneously dissolves the Deed of Trust, the Agreement, the Lease of land, and all committees and sub-committees constituted thereunder. The cumulative effect of these provisions is not regulatory supervision, but total displacement of a legal and institutional framework that has governed the Institute & Library for nearly a century.
39. Such a drastic assumption of control represents the most intrusive form of State intervention. Yet, the record before this Court discloses no finding of abandonment, failure of purpose, or established mismanagement of the Institute & Library. No inquiry appears to have preceded the enactment. No contemporaneous material has been placed to demonstrate that the objectives of the Trust were being defeated or that lesser measures were inadequate. In the

Supreme Court Reports

absence of demonstrated necessity, compulsory acquisition coupled with dissolution of trust arrangements is plainly disproportionate.

40. This Court, in the course of hearing the present appeal, summoned the original records pertaining to the impugned Act. These records, which included the correspondence exchanged between the State Government and the Trust, were produced and examined by this Court. The examination reveals a significant and telling gap as there is not a single communication from the State Government to the Trust or its Trustees bringing to their notice any allegation of mismanagement, financial irregularity, neglect, or failure to discharge the objects of the Trust. The record contains no correspondence to the effect that the Institute & Library was non-functional, that its affairs were being conducted improperly, or that the funds of the Trust were being misused. Before the passing of the impugned Act, the State Government neither intimated the Trust of any such concern, nor afforded it any opportunity to respond or to take corrective steps, nor furnished any reasons for the proposed acquisition. A measure of such sweeping consequence including complete divestiture of an institution that has functioned for nearly a century, cannot rest on assumptions that were never put to the very persons sought to be displaced. This itself is a powerful indicator of the arbitrary character of the legislative action.
41. There is a further circumstance which bears directly on the State's claim of mismanagement. Under the arrangement governing the Institute & Library, the State Librarian functioned as the ex-officio Chief Librarian of the Library and was entrusted with the responsibility of general supervision over its working and administration, subject to the overall direction of the Trustees. The day-to-day management of the Institute & Library thus fell squarely within the domain of a government-appointed functionary. It necessarily follows that any mismanagement in the functioning of the Institute & Library, which the State now invokes as the justification for a complete legislative takeover, would, at least in part, have fallen within the supervisory responsibility of this very official. Yet, the record does not disclose that any notice was ever issued to the State Librarian, that any inquiry was ever initiated against him, or that any action of any kind was taken in respect of discharge of duties, by the said official. The State, therefore, is not in a position to rely on mismanagement as the basis for the acquisition when it failed to act against its own

Anurag Krishna Sinha v. State of Bihar & Anr.

appointee, who was charged with the general administration of the very institution whose management it now seeks to impugn. This inconsistency further reinforces that the stated rationale of the Act does not withstand scrutiny.

42. The State has placed on record that, following the enactment of the impugned Act, a sum of Rs. 72,89,88,640/- (Rupees Seventy-Two Crores Eighty-Nine Lakhs Eighty-Eight Thousand Six-Hundred and Forty only) has been sanctioned towards construction, renovation and infrastructure enhancement of the Institute & Library, of which an amount of Rs. 16,24,12,840/- (Rupees Sixteen-Crores Twenty-Four Lakhs Twelve-Thousand Eight-Hundred and Forty only) has already been released; that dedicated funds have been sanctioned for the rejuvenation of the heritage building; that modern technology and digital tools have been introduced; and that approval has been granted for the construction of a new multi-storeyed library building. This Court does not doubt that such investment reflects a genuine commitment to the preservation and development of a historically significant institution. However, the question that this Court must ask is whether a complete legislative acquisition of the Institute & Library by dissolving its Trust, extinguishing long-standing rights, and displacing a century-old institutional framework, was a necessary precondition for such investment. The answer is in the negative. The State is well equipped, through constitutional and statutory means, to extend financial assistance to trust institutions and to ensure that such assistance is applied to its intended purpose, without resorting to outright acquisition. Grant-in-aid, conditional funding, statutory audit, and supervisory oversight are all established mechanisms that serve this purpose without displacing existing management. The scale of post-takeover investment does not validate the takeover; it demonstrates, if anything, that the State's objective could have been achieved through far less drastic means. That the legislature chose the most extreme measure available, when less invasive alternatives were plainly at hand, is itself a manifestation of the arbitrariness that the impugned Act discloses.
43. As the jurisprudence under Article 14 makes clear, arbitrariness is not confined to discriminatory classification. A law which proceeds on unreasoned assumptions, adopts excessive means, or operates without adequate determining principles equally attracts constitutional censure. The impugned Act, by extinguishing long-standing rights and

Supreme Court Reports

arrangements without cogent justification, departs from the discipline of reason that Article 14 mandates.

44. The arbitrariness of the statutory scheme is further aggravated by the compensation provision contained in Section 7. The provision authorises the State Government to pay compensation, if any, up to a maximum of one rupee, after examining claims, without prescribing any principles, criteria, or procedural safeguards. Such a scheme vests unguided discretion in the legislature and reduces compensation to a nominal and illusory figure.
45. While Article 300A of the Constitution permits deprivation of property by authority of law, such law must nevertheless be just, fair and reasonable, and not arbitrary or confiscatory in effect. A statutory provision that enables acquisition of property while reducing compensation to a token amount lacks the basic attributes of fairness. The confiscatory nature of the vesting contemplated under the impugned Act therefore reinforces the conclusion that the enactment is manifestly arbitrary and fails constitutional scrutiny.
46. The legislative history preceding the impugned enactment also bears relevance. An earlier attempt by the State to take over the Institute & Library through ordinances in 1983 did not pass muster of judicial scrutiny, and the consequences of those ordinances were set aside by this Court in 1996 upon their lapse, restoring the Trust to its prior legal position. The legislature is, of course, competent to enact a fresh law. However, the impugned Act, enacted more than three decades later, seeks to achieve substantially the same outcome as the failed ordinance of 1983, without any intervening change in circumstances and without any fresh material justifying acquisition being placed on record. The mere passage of time does not supply any justification. When a legislature re-enacts substantially the same measure that has previously failed, without placing any new or cogent material before the Court to justify the same, the legislative history becomes a relevant consideration. Viewed in light of this, the history of this enactment reinforces the findings of manifest arbitrariness in the impugned Act.
47. It is also material that the impugned Act targets a single institution for complete takeover, without disclosing any intelligible basis for such exclusive treatment. The State's own material indicates that several public libraries in the State have ceased to function or are in

Anurag Krishna Sinha v. State of Bihar & Anr.

a state of disrepair. The selective application of an extreme legislative measure to a functioning institution, without objective criteria, further underscores the absence of a rational and principled approach.

48. Viewed cumulatively, the scheme of the impugned Act reveals a pattern of arbitrariness: complete vesting of property in the State, dissolution of long-standing trust arrangements, absence of any finding of necessity or mismanagement, provision for illusory compensation, and lack of guiding principles or safeguards. Each of these features, taken individually, raise serious constitutional concern; taken together, they render the enactment manifestly arbitrary in its conception and operation.
49. In light of the settled jurisprudence under Article 14, as traced in the decisions of this Court referred to above, the impugned Act cannot be sustained. The legislation fails the test of reasonableness, proportionality and non-arbitrariness, and consequently violates Article 14 of the Constitution of India. In view of this conclusion, it is unnecessary to examine the remaining contentions relating to legislative competence and repugnancy in further detail.

E. Conclusion

50. The impugned Act authorises the State to take over the Institute & Library in its entirety, dissolving existing legal arrangements and divesting long-standing rights, without any demonstrated necessity, objective criteria, or prior inquiry. The manner in which this power is exercised is excessive, unreasoned and disproportionate to the stated object of “better management and development”. We are therefore satisfied that the Srimati Radhika Sinha Institute and Sachchidanand Sinha Library (Requisition & Management) Act, 2015 is manifestly arbitrary and violative of Article 14 of the Constitution of India.
51. Further, the scheme of the Act permits deprivation of property without adherence to basic requirements of fairness and due process. The absence of any principled or meaningful framework for compensation underscores the arbitrary character of the legislative measure. While Article 300A permits deprivation of property by authority of law, such law must be fair, reasonable and non-confiscatory. The impugned Act fails to meet this standard.
52. In view of the above, the judgment and order dated 29th February 2024 passed by the High Court of Judicature at Patna in Civil Writ

Supreme Court Reports

Jurisdiction Case No.7940 of 2015 is set aside. The Srimati Radhika Sinha Institute and Sachchidanand Sinha Library (Requisition & Management) Act, 2015 is declared unconstitutional and is accordingly struck down.

53. Accordingly, the Trust governing the Institute & Library, together with its rights of management and administration, shall stand restored to its pre-existing legal position prior to the enactment of the impugned Act. This shall not preclude the State Government from providing financial assistance, administrative support or regulatory oversight in accordance with law.
54. The appeal is accordingly allowed.
55. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

†Headnotes prepared by: Ankit Gyan

Pannalal Bhansali
v.
Bharti Telecom Limited & Ors.

(Civil Appeal No. 7655 of 2025)

10 March 2026

[Sanjay Kumar and K. Vinod Chandran,* JJ.]

Issue for Consideration

Issue arose whether the reduction of share capital u/s.66 of the Companies Act, 2013, and the consequent forced exit of minority shareholders, was arbitrary and unfair.

Headnotes[†]

Companies Act, 2013 – s.66 – Reduction of share capital – Appellants-minority public shareholders in the respondent company, held a fraction of 1.09% of shares – Respondent no.1 decided to reduce its share capital u/s.66, by cancelling 28,457,840 equity shares held by the minority shareholders and paying them an exit price of Rs.163.25 per share which was subsequently raised to Rs.196.80 per share by the NCLT – Said reduction approved by 99.9% of total shareholders – Minority shareholders including appellants filed appeal challenging the same on the ground that the explanatory note of the General Meeting was a tricky notice to mislead them because it did not include the actual valuation reports, and valuation was done by an internal auditor – Correctness:

Held: Notice not vitiated by non-disclosure or mis-disclosure merely for reason of the valuation and fairness report not being placed before the shareholders as there was no statutory mandate for a valuation report for the reduction of a share capital – Valuation in the process of reduction of capital was resorted to by the company only to arrive at a fair value and the fair value arrived, after the deduction of tax was disclosed in the notice and the method adopted itself was kept open for verification by the identified shareholders at the registered office – It was disclosed fully in the proceedings before the NCLT where the investors objected, despite the special resolution having been passed with a thumping majority – Reduction of share capital can be achieved by a special resolution and confirmation

* Author

Supreme Court Reports

by the tribunal, without a report of valuation from an approved/registered valuer and hence, it does not fall within the ambit of a relevant material; without the full and complete disclosure of which the reduction of capital cannot be acted upon – However, company despite any legal requirement adopted a valuation exercise, which was further affirmed in a fairness evaluation by a different agency, both of which reports were retained in the Registered Office of the Company, kept open for verification by the investors – Thus, no procedural infraction or misleading disclosure to style the notice as ‘tricky notice’ – Notice contains the full disclosure as required in a measure employed for reduction of share capital u/s.66, which is the price offered by the company which translates as an exit option for the identified shareholder – Furthermore, appointment as an internal auditor, does not bring in a bias with respect to the activities of the company which would essentially go against the scope and spirit of an audit carried out of the accounts of the company as an inhouse verification, which is also a statutory requirement, available for scrutiny before a statutory auditor – Not even a probability found that the internal auditor would act in a biased manner, leave alone the valuation agency which is an affiliate of the former – Plea that arbitrarily and without legal sanction, the method of Discount for Lack of Marketability-DLOM was applied to further reduce the value of share, cannot be accepted – Applicability of DLOM cannot be held invalid and in any event, what has to be looked at by the tribunal in scrutinising the scheme of reduction of capital is only as to whether there was a fair measure employed which cannot be termed unreasonable or prejudicial to the individual shareholders – Fair and reasonable value was offered to the minority shareholders and the majority of the identified shareholders present and voting, voted in favour of the resolution – Even on a microscopic scrutiny the valuation cannot be found to be egregiously wrong especially looking at the previous offers and also the rights issue offered at par, prior to the reduction of share capital, exponentially increasing the take aways of the individual shareholders and the valuation cannot at all be said to have gone off-track, so as to make it egregiously wrong – Appellants were seasoned retail investors who made a calculated decision – Valuation is an exercise best left to experts, and the Court found no blatant unfairness – Furthermore, plea as regards the jurisdictional defect on the composition of the NCLAT and the *status-quo* order cannot be accepted. [Paras 29, 32, 34, 38, 46, 48, 50]

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

Companies Act, 2013 – s.66 – Reduction of share capital – Requirements – Explained. [Para 47]

Case Law Cited

Union of India v. Madras Bar Association [2010] 6 SCR 857 : (2010) 11 SCC 1; *Madras Bar Association v. Union of India* [2015] 6 SCR 638 : (2015) 8 SCC 583; *State of M.P. v. B.R. Thakare* (2002) 10 SCC 338; *State of West Bengal v. Anwar Ali Sarkar* [1952] 1 SCR 284 : AIR 1952 SC 75; *LIC v. Escorts Ltd and Others* [1985] Supp. 3 SCR 909 : (1986) 1 SCC 264; *Claude-Lila Parulekar (SMT.) v. Sakal Papers (P) Ltd. and Others* [2005] 2 SCR 1063 : (2005) 11 SCC 73; *Devas Multimedia (P) Ltd. v. Antrix Corpn. Ltd.* [2022] 11 SCR 291 : (2023) 1 SCC 216; *N.K. Bajpai v. Union of India* [2012] 2 SCR 433 : (2012) 4 SCC 653; *Mihir H. Mafatlal v. Mafatlal Industries Ltd.* [1996] Supp. 6 SCR 1 : (1997) 1 SCC 579 – referred to.

In Re: Reckitt Benckiser (India) Ltd., 2005 SCC OnLine Del 674; *In Re: Cadbury India Limited*, 2014 SCC OnLine Bom 4934; *Firestone Tyre & Rubber Co. v. Synthetics and Chemicals Ltd.* (1971) Comp. Cases 377 (Bom.) – referred to.

British and American Trustee and Finance Corporation v. Couper (1894) SC 399; *Kiri Industries Ltd. v. Senda International Capital Ltd.* [2022] SGCA (I) 5; *Baillie v. Oriental Telephone and Electric Co. Ltd.* [1915] 1 Ch 503; *Foss v. Harbottle*, 67 E.R. 189; *Kaye v. Croydon Tramways & Co. Ltd.* [1898] 1 Ch. 358; *Thio Syn Kym Wendy and Others v. Thio Syn Pyn and Others* [2018] SGHC 54; *Liew Kit Fah and Others v. Koh Keng Chew and Others* [2020] 1 SLR 275 – referred to.

Books and Periodicals Cited

“Shareholder Oppression and ‘Fair Value’: of Discounts, Dates and Dastardly Deeds in Close Corporation” by Professor Douglas Moll (2004) 54 (2) Duke LJ 293 – referred to.

List of Acts

Constitution of India; Companies Act, 2013; Companies (Accounts) Rules, 2014; Special Court (Trial of Offences relating to Transactions in Securities) Act, 1992; Chartered Accountants Act, 1949.

Supreme Court Reports

List of Keywords

Buy-back offer; Discount for Lack of Marketability (DLOM); Fair market value; Fair value; Fairness report; Indian Accounting Standards; Internal auditor; Minority shareholders; Oppression and mismanagement; Reduction of share capital; Special Resolution; Tricky notice; Valuation report.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 7655 of 2025

From the Judgment and Order dated 03.04.2025 of the National Company Law Appellate Tribunal in CAAT No. 340 of 2019.

With

Civil Appeal No(s). 9862, 9601, 9797, 7666, 9478, 9599, 9849, and 13824 of 2025

Appearances for Parties

Advs. for the Appellant(s):

K. Parameshwar, Sr. Adv., Masoom K. Shah, Udit Gupta, Ms. Veda Singh, Prasad Hegde, N Sai Kaushal, Adit Garg, Rohan Chawla, Ms. Aashvi P. Shah, M/s. Udit Kishan And Associates.

Advs. for the Respondent(s):

Shyam Divan, Ramji Srinivasan, Percival Billimoria, Sr. Advs., Ms. Arti Singh, Kamal Shankar, Tanmay Sharma, Aakashdeep Singh Roda, Arjun Narang, Shivam Jain, Ms. Shefali Munde, Arjun Bhatia, Arpith Jacob Varaprasad, Ankur Singhal, Ms. Pooja Singh, B P Singh, Soumya Dutta, Khowaja Siddiqui, Arvind Gupta, Kshitij Arora, Ms. Rachita Sood, Ms. Priyamvada Paneru, Rahul Bhaskar.

Judgment / Order of the Supreme Court

Judgment

K. Vinod Chandran, J.

1. The appellants, investors in a minority, cry foul on the allegation of their being arbitrarily disgorge of their shareholdings and eased out of the 1st respondent company, (BTL for brevity) in a grossly unfair manner, making a sham of an evaluation fixing the share price at an unreasonably low value. Shorn of the details, the 1st respondent,

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

a closely held company having 1.09% of its shareholding with individuals, decided to reduce its share capital under Section 66 of the Companies Act 2013¹ by cancelling 28,457,840 equity shares held by the identified minority shareholders by paying an amount of Rs.163.25/- per equity share of Rs.10/- each. The resolution was passed by a Special Resolution with a majority of more than 99.90%, the sanction for which was sought before the National Company Law Tribunal (the NCLT hereinafter). The NCLT found that the decision to deduct the Dividend Distribution Tax from the price fixed for the individual shares was arbitrary and directed the BTL to pay the identified individual investors; without the tax deduction, Rs.196.80/- per equity share. BTL acceded to the NCLT's order but thirty-five of the shareholders, those who voted in favour of the reduction of share capital, filed appeals before the National Company Law Appellate Tribunal (NCLAT hereinafter), unsuccessfully, some of whom are before us; precisely eleven of them. The intervention attempted by some others were disallowed by us.

2. Sri. K. Parmeshwar, learned Senior Counsel led the arguments on behalf of appellants and forcefully urged the unfairness in the fixation of share value, which edged out the individual investors with a raw deal for the shares held for long. The Directors and the majority have a fiduciary relationship with not only the Company but also with the minority, negated totally in fixing the share prices. The challenge according to Sri. Parmeshwar is on three counts which are subtly encapsulated as the Manner, the Method and Matter, which he styles as the three objectionable Ms. The manner being the procedure followed, the method being the measure employed in valuation and the matter being the very low price determined. Insofar as the manner is concerned, it is pointed out that the Board resolution does not speak of a request made by the shareholders to give them an escape route, which is included in the notice of the General Meeting; misleading since such a request was absent. The Board peremptorily decided to reduce the shareholding and entrusted the valuation to the company's own internal auditor's associate, a related entity. Though a fairness report was obtained, it has the same date as the valuation report, indicating the hasty manner in which valuation and fairness evaluation were proceeded with, a clear sham.

1 For brevity 'the Act of 2013'

Supreme Court Reports

3. Further, there were essential aspects of valuation as revealed from documents, which were relevant insofar as the consideration of the value fixed for reduction of shareholding, which was never supplied to the independent shareholders, who were in a minority. Those were merely kept in the registered office as indicated from the notice of the General Meeting, which is insufficient as has been declared by the decisions of this Court. Despite some of the shareholders having asked for a copy of the valuation and fairness reports, the same were not supplied. There are serious procedural infractions and inadequate, misleading disclosures, in violation of the mandate of Section 102 of the Act of 2013, which vitiates the entire process of reduction of shareholding. On a summing up of the procedural infractions, it is urged that the explanatory note of the General Meeting is a *'tricky notice'* for : (i) it does not have a summary of or the valuation report itself, (ii) non-disclosure of the methodology adopted in valuation; reference not being made to the share value of Bharti Airtel Limited (BAL for brevity), a subsidiary company the shareholding in which is the only business of the first respondent company and (iii) the valuation having been made by an interested entity. The *'tricky notice'* disabled an informed decision by the individual shareholders, is the contention, fortified with decisions. This encompasses the challenge to the manner in which the procedure was carried out.
4. Insofar as the methodology is concerned, it is argued that the BTL, earlier listed in the Stock Exchanges was delisted between 1999-2000 and BAL was incorporated as a subsidiary. On the BAL launching an IPO in January 2002, it was listed on the Bombay Stock Exchange and the majority shareholding of the first respondent in BAL fell considerably, making BAL & BTL associate companies. It was by a rights issue brought out in the year 2016 and the resultant capital increase in BTL, BAL again became a subsidiary of BTL. Since, the BTL's only business was the investment made in BAL, the share price fixed of BTL should have been fixed with reference to the share value of BAL. The valuation report indicates the share value of BAL at Rs.368.22/- as it's listed price while the value of BTL was calculated based on the market value of BAL and the Net Asset Value of BTL. More importantly, arbitrarily and without legal sanction, the method of Discount for Lack of Marketability (DLOM) was applied to further reduce the value of share. The method of DLOM applied is against the accepted norms of valuation as has been deprecated

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

internationally too, as revealed from the judgment of the Court of Appeal of Singapore in ***Kiri Industries Ltd. v. Senda International Capital Ltd.***² The reliance on Professor Aswath Damodaran's opinion also is not relevant, since it applies to valuation of private companies plagued with illiquidity. The method applied hence is arbitrary and unfair is the contention.

5. Insofar as the material irregularity, the price fixation is argued to be wholly deficient and arbitrarily low. It is argued that in the year 2001, the first respondent had offered an exit price of Rs.96/- per share and later in the year 2006 @ Rs.400/- per share. There was a private offer by a commodity broker in the year 2007 @ Rs.2000/- per share. Reliance is also placed on the various purchase offers, as produced at Annexure 2 series, in the Convenience Compilation. It is based on the capital infusion of the rights issue that the first respondent again rose to the position of a holding company of BAL and in the year 2018 for the induction of a foreign entity, an estimate of fare share value was made by a qualified agency, which put the per share price @ Rs.310/- as is evident from Annexure A5. It is at this price SingTel purchased 49% of the shares in BTL. The reduction of the share capital then made was intended at edging out the investors from amongst the public, who were in a minority, in which circumstance there should have been a higher standard of fairness and transparency applied.
6. The reference to market value is no basis since the investors had remained in the company for long, admittedly even without payment of dividends. A fair value for their exit from the company cannot be equated with the fair market value. The several offers made for buy-back and purchase at a higher value and the value at which SingTel purchased shares in the BTL, almost simultaneous to the reduction in share capital would definitely regulate valuation under Section 66. Reference is also made to Section 68 and Section 230 of the Act of 2013, respectively of a voluntary exit and one based on compromise which procedure ought to have been applied to bring in the standard of fairness even under Section 66, which is an involuntary purchase made by the majority in oppression of the minority shareholders; a forced exit. The material defect is the low

Supreme Court Reports

value of the share fixed for the exit of the minority shareholders. Sri. Parmeshwar while summing up cautions that we would be laying down the law with respect to edging out of minority shareholders, which necessarily has to satisfy the judicial conscience with a higher standard of fairness than applicable in a voluntary or optional exit or an exit by compromise, especially since it is the majority will running roughshod over the minority rights.

7. Sri. Masoom K. Shah, learned counsel appearing in one of the appeals, for the appellant while adopting the submissions of Sri. Parmeshwar, points out a defect in the constitution of the NCLAT insofar as it being comprised of two Technical Members and one Judicial Member. Reliance is placed on ***Union of India v. Madras Bar Association***³ (2010-MBA) (paragraph 120 (xii)) to contend that a Constitution Bench of this Court deprecated the practice of a majority of Technical Members sitting in a Bench of the NCLT or the NCLAT, which substitutes the High Court. In anticipation, to preempt that contention, it is pointed out that there cannot be raised a ground of acquiescence, insofar as the defect going to the root of jurisdiction by reason of the illegal composition, as has been held in ***State of M.P. v. B.R. Thakare***⁴. Sri Shah also points out from the valuation report and the documents pertaining to various associates of the agency which carried out the valuation that it has an inextricable link and connection with the Internal Auditor of BTL. The one who signed the valuation report itself is in the Board of the internal auditor, thus, throwing a cloud of absence of impartiality on the valuer, coupled with a bias in favour of the majority shareholders revealing a collusion in arriving at a lower value of shares for the exit of the individual members from the public; which does not augur well on the facts of the case especially on the minority shareholders being given a raw deal and forced out of their shareholding.
8. Sri Sumit Kumar, learned counsel appearing for one of the appellants refers to Annexure A7 in C.A. No.2864 of 2021, wherein there was a status quo order, which is even now in force; and reduction of share capital having been made in the interregnum, falling flat, requiring immediate resumption of shares. The valuation made by the Custodian also is pointed out to assail the price fixed now.

3 (2010) 11 SCC 1

4 (2002) 10 SCC 338

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

9. Sri Ramji Srinivasan & Sri. Shyam Divan learned Senior Counsel appearing for BTL commenced their arguments with Section 423 of the Act, which jurisdiction the appellants have invoked, wherein there should be a clear question of law raised, which is absent in the present case. Every legal requirement has been complied with for the reduction of share capital under Section 66 of the Act of 2013 and there is no violation complained of but for a mere allegation of prejudice which the appellants have failed to substantiate as real and compelling, enabling this Court to interfere. Valuation is dependent on multiple factors and not possible of mathematical certainty. It is urged that in the formation of companies, the shareholders come together and enter into a contract or charter as revealed from the Articles of Association to which each of them are bound. The decisions are of the majority of such shareholders, failing which there would be mayhem and no corporate entity would be able to perform its functions and arrive at its collective goal of realizing its objectives. In the present case, it is pointed out that the appellants, eleven in number and those before the NCLAT, thirty-five in number do not together satisfy the definition of a minority as coming out from Section 244 of the Act of 2013. Neither do they have the number of shareholders, nor do their total value of shareholding satisfy the minimum requirement thereunder of a minimum 100 persons or 1/10th of the share value, thus disabling even an application for oppression or mismanagement on their combined efforts.
10. It is pointed out that there is no valuation provided under Section 66 as would be the requirement under various other provisions of the Act of 2013 which demolishes the ground of an interested valuation having been taken up by a related agency of the internal auditor of the company. Even otherwise on that sole ground prejudice cannot be found unless it is shown in reality. Section 66 does not require a valuation and the safeguards as provided therein of a special resolution being passed in the General Meeting of the Company and more importantly confirmation by the Tribunal have been scrupulously followed. Though, a valuation is not mandated as per the Section, definitely there should be some method by which a fair value is arrived at insofar as providing an exit for the identified shareholders. A Valuer was appointed who is an agency, with its associates, having a global presence and a reputation in corporate matters including

Supreme Court Reports

financial aspects. When the company could have done the valuation by itself, then thought it fit to appoint an independent valuer only to ensure transparency and to avoid a contention of bias being raised. The valuer had examined the books of accounts and submitted the valuation report, which was scrutinized by another agency who had also affirmed the valuation as fair and reasonable by its fairness report.

11. The fact that the valuer was a sister concern of BTL's Internal Auditor does not bring forth any conflict of interest or validate the contention of lack of independence. The Internal Auditor as is mandated by the guidelines issued by the Institute of Chartered Accountants of India (ICAI) is an independent agency appointed by the Company for the purpose of carrying out audit, as per the mandate of the Act of 2013. The mere fact that the signatory of the report valuing the shares of BTL was in the Board of Directors of BTL's Internal Auditor does not create any conflict or relation insofar as the affairs of BTL. The Internal Auditor acts as an independent agency and so did the valuer on accepted accounting norms. It is reiterated that the same was affirmed by an independent agency and it also was affirmed as a fair and true valuation by two other agencies having no connection with BTL or the Internal Auditor as was sought for by the Custodian who is a party in Civil Appeal No. 2864 of 2021. The valuation and fairness report being on the same date only denotes the day of issuance and is no reflection of the time taken for evaluation.
12. On facts it is pointed out that BTL having been delisted from all stock exchanges made a buy-back offer of Rs.96/- per share in the year 2001, which was the only buy-back offered by the company itself. One of the promoters of BTL, Bharti Overseas Trading Company had offered Rs.400/- per share in May 2006. But for that there is nothing substantial brought out from the various documents produced as to a clear value of the share of BTL, whose only investment was in BAL. In 2016, there was a rights issue which increased the share base exponentially causing significant lowering of the monetary value of the shares. This was followed up with a preferential allotment of shares at the rate of Rs.310/- per share in favour of a Strategic Long-Term Promoter, SingTel, so as to infuse funds into the company. The share value for the said transaction was on the basis of the prevailing market price of BAL and in accordance with the applicable FEMA regulations mandating a certain floor price. In any event, there can be no equation of the share price determined for

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

preferential allotment to the present reduction of shares. Therein the investors were entering into a strategic partnership in the business which definitely would have required a premium to be paid on the share value. It is also pointed out that BAL share value fell sharply from January 2018 to May 2018 due to the tariffs imposed and the fierce competition in the telecom market, which also impacted the share value of BTL. There is no misrepresentation insofar as the shareholders having requested for a buyback, which is evident from the Minutes of the various AGMs, some of which were handed over across the Bar. The shares having been delisted and there being no payment of dividend for long coupled with a constant clamor for buy-back the reduction of share capital was proposed, by which measure the Company out of its own funds, would purchase the shares of the identified shareholders which had no marketability.

13. We were taken through the valuation report, figure by figure and page by page pointing out the manner in which the valuation was arrived at and the DLOM applied at the rate of 25%, at the minimum, for reason of the existing illiquidity, approved by Indian Accounting Standards as brought out in the ICAI Valuation Standards. The valuation as earlier pointed out was approved in the fairness report issued by a totally different agency. The same was placed in the Board of Directors and a resolution was passed subject to the approval of the shareholders for which notice was issued as per Annexure A18. The notice specifically indicated the relevant documents having been kept in the Registered Corporate Offices of BTL, available for inspection between 19.06.2018; the date of notice and 26.07.2018; the last day of receipt of postal ballot or e-voting. It is emphasized that there can be no case raised of the relevant documents having not been supplied, especially since the voting period extended over a month and in fact the Advocate of one of the investors had inspected the documents and sought for further details as is evident from the e-mail projected by the appellants themselves. It is emphatically contended that 99.90% of the equity shareholders of BTL passed and approved a special resolution and 76.35% of the identified shareholders present and voting also voted in favour of the special resolution approving the share value of Rs.196.80/-. No Objection Certificates were also received from all the creditors and hence, the petition under Section 66 of the Act seeking confirmation of the scheme of capital reduction before the NCLT.

Supreme Court Reports

14. The NCLT as is the mandate, called for a report from the Regional Director of the Department who confirmed compliance of the procedure prescribed under the Act for reduction of capital. The NCLT having confirmed the capital reduction after looking at the objections filed by public shareholders, the NCLAT has also approved the same. There is hence no scope for interference, especially since no prejudice is shown. It is pointed out that the capital reduction was proceeded with immediately after the rights issue which put the identified shareholders in a position enhancing their shareholding exponentially, especially since the rights issue offered 115 shares at par for Rs.10/-, as against every single share held by an investor. Hence, the capital reduction after the rights issue put the investors in a very favorable position and the appellant in Civil Appeal No. 7655 of 2025 who would have obtained Rs.16 lakhs before the rights issue, on the very same valuation went home with an astronomical amount of Rs.47.30 crores. The fair value cannot be fixed at the *ipse dixit* of the investor, and it has to be with reference to the market value. There cannot be a fair value fixed divorced from the market value, especially in the case of BTL which had no other commercial activity other than the investment in BAL. The shares of BAL were listed in the stock market, and the value therein could not have been adopted for BTL which was the holding company, having only investment in the listed company; the shareholdings of which holding company was not marketable by reason of the delisting. It is pointed out that the identified investors are neither fly-by-night operators nor persons unfamiliar to investor domains but are shrewd operators who have earned substantial payouts; though not by way of periodic dividends which were practically absent, in the reduction of share capital, despite their shares being locked in for long. They have waited patiently and benefited with bountiful yields and crave more on an impulsive caprice, with nothing more and in total absence of any real prejudice having been shown to have visited them.
15. Both sides have placed reliance on a host of decisions to buttress their contentions which we shall refer to, as are applicable, in the course of our adjudication. We also refer from the documents in the Convenience Compilation and otherwise from the specified volumes of the numbered appeals.

Pannalal Bhansali v. Bharti Telecom Limited & Ors.**Jurisdictional defect on the composition of the NCLAT & the status-quo order:**

16. The contention first taken is of the constitution of the Bench of the NCLAT running foul of the mandate declared in **2010-MBA**³. The Constitution Bench in **2010-MBA**³ considered the challenge against the Companies (Second Amendment) Act, 2002, constituting the NCLT & NCLAT; pointedly for our purpose, with reference to Section 10-FL insofar as the constitution of Benches. Paragraph 120(xii), one of the several corrections suggested, required two members of the Tribunal to always have a Judicial Member and any Larger or Special Benches constituted to have more Judicial Members than Technical Members.
17. Section 10-FL by sub-section (1) provided for the Tribunal to exercise the powers conferred by Benches constituted by the President out of which one shall be a Judicial Member and another a Technical Member. The first proviso empowered the President of the Tribunal by general or special order to permit Members to sit single and exercise the jurisdictional powers and authorities of the Tribunal with respect to such class of cases or matters with respect to a class of cases, as specified. The above provision is no more applicable since the Companies Act, 1956 has been replaced by the Companies Act, 2013. Sections 418A and 419 of the new statute speak of Benches of the NCLAT and that of the NCLT. The proviso to sub-section (1) of Section 418A requires a Bench of the NCLAT to have at least one Judicial Member and one Technical Member and the proviso to Section 419(3) mandates a similar composition in constitution of Benches of two Members. Section 419 further provides that the Tribunal shall exercise the powers in respect of such class of cases or such matters pertaining to a class of cases as the President by general or special order specifies, by a Bench consisting of a Single Judicial Member.
18. The provisions leading to the constitution of the NCLT and NCLAT were again challenged in **Madras Bar Association v. Union of India**⁵ (**2015-MBA**). Section 419, as we see from the law reports, was not challenged before the Constitution Bench and Section 418A came to be introduced by Act 29 of 2020, later to the decision. Three issues

Supreme Court Reports

arose in the **2015-MBA**⁵, which were with respect to (i) the constitution of NCLT and NCLAT, held to be valid; (ii) qualification of President and the Members of NCLT and NCLAT, Section 409(3)(a) & (e) as also Section 411(3) held invalid as making eligible a person other than a Secretary or Additional Secretary to be a Technical Member and (iii) the constitution of the Selection Committee for Members; held to be possible if comprising of only four Members, two from the Judicial side being the Chief Justice of India or his nominee and a Senior Judge of the Supreme Court or the Chief Justice of a High Court and two Secretaries, one from the Ministry of Finance and Company Affairs and the other from the Ministry of Law and Justice, with the Chief Justice of India or his nominee having a casting vote; following the earlier judgment. Thus, ensuring that the Judiciary has the final say, untrammelled by any governmental influence or interference in the appointment of a Member of the Tribunal, be it a Judicial Member or a Technical Member.

19. The provisions as of now do not require a majority of Judicial Members in the Larger Benches of the NCLT or the NCLAT. We cannot but notice the extract made in **2010-MBA**³ from **State of West Bengal v. Anwar Ali Sarkar**⁶ in the context of Article 14, applies equally to the issue raised before us, attempting a distinction drawn between judicial members and technical members. The extract was made consequent to the finding in paragraph 102 that “*The fundamental right to equality before law and equal protection of laws guaranteed by Article 14 of the Constitution, clearly includes a right to have the persons rights adjudicated by a forum which exercises judicial power in an impartial and independent manner, consistent with the recognized principles of adjudication*” (sic). **Anwar Ali Sarkar**⁶ held that even a criminal is entitled to set up a defense, and a special trial, as was contemplated in the legislation under challenge though is in public interest, would interfere with his fundamental rights.
20. Examining the special law contrasted with the ordinary law of the land, Vivian Bose J. in paragraph 87; **Anwar Ali Sarkar**⁶ opined that the test is not merely academic, for equality should be tested on the collective conscience of a sovereign democratic republic as to whether substantially equal treatment would be found by ‘*men of*

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

resolute minds and unbiased views’. Whether these men would find it right or proper in a democracy of the kind we have proclaimed ourselves, is the true test. We respectfully adopt the definition as applicable to adjudications in every sphere and branch involving interpretation and resolution of disputes, complex and simple, both. All adjudicators first and foremost are or should be *reasonable persons* having *resolute minds and unbiased views*. Though judicial experience is valuable, administrative officers and technocrats; to whom judicious consideration is not alien in their long tenures of service dealing also with quasi-judicial matters, statutory appeals and the like, when permitted by the legislature to be included as Tribunal Members to aid, assist and promote a holistic adjudication of disputes and interpretation of laws, having administrative and technical ramifications, we cannot after permitting them to sit side-by-side treat them or their capabilities, with disdain or label them lower in status or in quality.

21. In the present case, we also have to notice that the Bench was headed by a Judicial Member and had two Technical Members, and the opinion was unanimous at the NCLAT. We also find no parallel infirmity as arising from ***B.R. Thakare***⁴, wherein a single Member of the Tribunal, an Administrative Member, was tasked with the adjudication of a dispute relating to cadre determination involving interpretation of the respective rules. It was held as a measure of proper administration of justice that ‘... *while allotting work to a Single Member, whether judicial or administrative, the Chairman should keep in mind the nature of the litigation and where questions of law and its interpretation are involved, they should be assigned to a Division Bench of which one of them is a Judicial Member*’ (sic). No distinction was drawn with reference to the source from which the Members come and there is no application to the facts of the present case. As of now, the Companies Act permits a Single Bench to sit only in the NCLT and that too a Bench of a Judicial Member. The NCLAT as provided in Section 418A always comprises of two Members, one of whom is a Judicial Member or such larger composition where the prescription is only of the presence of a Member from the Judicial side and not in the majority.
22. We find absolutely no reason to interfere with the order on the question raised of the composition of the Bench of the Appellate Tribunal. We also notice the further contention taken based on the

Supreme Court Reports

order of *status quo*, wherein the first respondent company was not a party, to only reject it immediately. Obviously, the matter arose from a scam in which a Custodian was appointed for the sale of assets of the person involved in the scam, the assets being represented by the legal representatives. The Custodian had proceeded to sell the properties belonging to the legal representatives in which circumstance this Court had issued a *status quo* order which binds the Custodian and not the first respondent company, who was not a party to that proceeding. The *status quo* order is only insofar as the preservation of the assets, which in the circumstance of a reduction of shareholding, as is the subject matter of the present case, would only have the consequence of the shareholding being converted to money which would be held by the Custodian, the disbursement and adjustment of which would depend on further orders passed by this Court in the pending appeal. Reference is also made to Annexure-22 in Civil Appeal No. 2864 of 2021 to contend that the undertaking before the Custodian to disclose the Special Courts order before the NCLT was not complied with. The Special Courts order or even this Court's as we perceive it has no bearing on the share capital reduction of BTL. What assumes relevance is the custody of certain shares being with the Custodian, in which circumstance the proceeds with respect to that, on reduction of share capital, will have to be submitted to the Custodian. It does not have any significance to the reduction of share capital or the proceedings before the NCLT.

The Manner; The procedural infraction:

23. Under this head is raised issues of; (i) a request from the shareholders, though disclosed in the notice having not been indicated in the Board Resolution; (ii) the 'tricky notice' issued insofar as the elements constituting valuation having not been disclosed, especially the valuation and fairness reports; (iii) the valuation having been effected by a related agency; (iv) the fairness report having been issued on the very same date of the valuation report and (v) the valuation and fairness reports having not been sent along with the notice and kept out of reach of the investors by making it open for verification only at the Registered Office of the Company. As was pointed out by the respondent company, the shares of the company remained locked in for long after the initial buyback offer, pursuant to delisting. There were also no dividends paid, in which circumstance the individual

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

investors had sought for an exit option at the Annual General Meetings (AGM), the minutes of which were handed over to us, across the Bar. That the investors herein did not opt for the buyback offer and had been holding the shares despite no payment of dividend for long is crystal clear from the minutes of the AGM. Also, it is revealed that there were requests made for buyback or another opportunity by which an exit is provided to the shareholders. That the company resorted to reduction in share capital, which in turn provided an exit option, as sanctioned under the Act of 2013 cannot also be disputed.

24. Even when the request made by the individual shareholders from the minutes of the AGM was pointed out, there was stiff opposition by the appellants on the ground that they never asked for a forced exit from the company. Be that as it may, when it cannot be denied that the reduction of capital is a valid means, legally permissible under the Act of 2013 which is also hedged in by safeguards insofar as a sanction being required by a special resolution in an extraordinary general meeting with a further sanction by the Tribunal, wherein the Central Government and the Registrar of Companies is entitled to offer their opinions; there is little room to find a request for exit from the investors being necessary. The Board having decided to go in for a reduction in capital, which definitely is not a buyback option but would all the same be an exit measure, there is no infirmity in the notice having indicated the request made by the investors. Especially since the shares of the company were locked in and it was decided that the capital reduction process is the best possible route to provide an exit opportunity in a fair and transparent manner. The observations in the notice though not a part of the resolution would have weighed with the Board of Directors in arriving at a decision for reduction of capital by purchase of the shares held by the identified investors, members of the public.
25. The further contention is with respect to a 'tricky notice' which is argued on the basis of reliance placed on various decisions of the High Courts and this Court relying on **Baillie v. Oriental Telephone and Electric Co. Ltd.**⁷ We would in that circumstance, look at the decision from the source, which coined the term 'tricky notice' and in that context a bit of the history of corporate law would be apposite.

Supreme Court Reports

Foss v. Harbottle⁸ is a leading precedent in corporate law which brought in the principle of ‘proper plaintiff rule’ wherein the alleged wrongs against a company had to be agitated by the company itself. There were exceptions, subsequently carved out, by judicial precedents, sanctioning an individual action in the event of (i) *ultra vires* actions, (ii) a fraud on the minority, (iii) an illegal action by the majority and (iv) a ‘tricky notice’ without relevant material or without sufficient disclosure, the last of which is the contention herein.

26. The term itself was coined in **Kaye v. Croydon Tramways & Co. Ltd.**⁹ which was concerned with an agreement between two companies for sale of one to the other. The company which was to be sold called a meeting of its shareholders by a notice issued for approval of the agreement. The purpose for convening the meeting as disclosed in the notice was to confirm the agreement of sale with the purchase price specified and the compensation to be paid for loss of office of the Directors and the Secretary. The compensation was based on an arrangement; in deviation of the original proposal to take over the Directors and the Secretary, to relieve them of their duties. It was found that the notice was artfully framed to mislead the shareholders that the entire purchase price would come to the selling company, making it a ‘tricky notice’, playing with words to mislead the shareholders to consider a contract of sale, concealing from them that a large portion of the purchase money would go into the pockets of the Directors and Secretary.
27. **Baillie**⁷ was again a case in which the decision of the company was annulled on the ground of a ‘tricky notice’ without proper disclosure. Therein two special resolutions were under challenge with respect to enhancement of remuneration of the Directors in a subsidiary company, completely controlled by the holding company. The increased remuneration of the Directors of the subsidiary included 20% of the net profits of that company. On an auditor’s report pointing out that the remuneration fixed in the subsidiary company required authorization by the holding company, a meeting was convened with three resolutions, one of which required ratification of all actions taken with respect to the subsidiary, including ratification of the

8 67 E.R. 189

9 [1898] 1 Ch. 358

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

remuneration already paid to the Directors and the other, authorising the articles to be altered, bringing in sweeping changes with respect to the remuneration of the Directors in the subsidiary company. On a challenge made by the individual shareholder it was found that there was no disclosure of the actual amount received by the Directors which was alleged to be enormous and sedulously concealed. The notice was found to be *not frank, not open, not clear and not in any way satisfactory*, making it a 'tricky notice'.

28. ***LIC v. Escorts Ltd and Others***¹⁰ is an authority for the proposition that a shareholder calling an extraordinary general meeting of the company is not bound to disclose its reasons as is incumbent on the management so to do under Section 173(2) of the Companies Act, 1956. ***Claude-Lila Parulekar (SMT.) v. Sakal Papers (P) Ltd. and Others***¹¹ dealt with transfer of shares denying the right of pre-emption to the existing shareholders, the appellant therein. The decision to raise the issued capital of the company and to allot the shares at par, to any person whether a member of the company or not was to be ratified by a General Body Meeting. The notice issued subsequently for an Annual General Meeting contained the details of ordinary and special business but no indication whatsoever of the increase in the share capital and allotment of shares. It was argued by the respondents that after the notice of AGM, the Ministry of Finance had given notice extending the validity of a sanction for a foreign exchange loan, clarifying that no further extension would be granted, based on which the foreign financier advised the company to increase its share capital in view of its expansion programme. This Court held that since the increase in share capital did not fall within the exceptions carved out in Article 94, which reflected the substance of Section 173 of the Act of 1956, it was incumbent for notice to be given not only indicating the issuance of share capital as a special item of business but also setting out all material facts relating thereto.
29. We do not think that the notice in the present case is vitiated by non-disclosure or mis-disclosure merely for reason of the valuation and fairness report not being placed before the shareholders. As we

10 (1986) 1 SCC 264

11 (2005) 11 SCC 73

Supreme Court Reports

found, the measure adopted was a reduction in capital as permitted by Section 66, hedged in by various protections but does not require a valuation report as would be required in other circumstances. A valuation in the process of reduction of capital was resorted to by the company only to arrive at a fair value and the fair value arrived, after the deduction of tax was disclosed in the notice and the method adopted itself was kept open for verification by the identified shareholders at the registered office. It was disclosed fully in the proceedings before the NCLT where the investors objected, despite the special resolution having been passed with a thumping majority. The NCLT did not reject their contentions *in limine* on the ground that they had participated in the extraordinary meeting convened and voted in favour of the capital reduction with a majority of 99.90% of the total shareholders and 76.35 % of the identified shareholders present and voting in favour of the resolution, but dealt with the contention of an unfair value having been fixed and rejected the same on an examination of the attendant facts and figures. We are quite conscious of our confined jurisdiction under Section 423 of the Act of 2013, which is to consider a question of law. As held in ***Devas Multimedia (P) Ltd. v. Antrix Corpn. Ltd.***¹² when NCLT & NCLAT have recorded concurrent findings it is not for this Court to reappraise evidence in the usual course. However, we are obliged to look into the question of whether there is any perversity in the findings, which it is trite is one of law.

30. A comparison was attempted to be drawn from other provisions, which also are exit options available to the shareholders. Section 62 dealing with further issuance of share capital by sub-section (1)(c) requires a valuation report from a registered valuer, which in that circumstance would have to be enclosed with the notice to the existing shareholders. Likewise, Section 230 of the Act of 2013 under Chapter XV deals with compromise, arrangement and amalgamation with creditors and members. When a compromise or arrangement is made with the creditors or the members, the provision speaks of two motions before the Tribunal, one to convene a meeting of the creditors or a class of creditors or members or a class of members to be held and conducted in such manner as the Tribunal directs. In the first motion made before the Tribunal, as is evident from

12 (2023) 1 SCC 216

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

sub-section (2)(v), a valuation report in respect of the shares and the property and all assets, tangible and intangible, movable and immovable of the company by a registered valuer is required to be annexed. If the meeting sanctions the resolution by 3/4th majority, then again the compromise or arrangement has to be sanctioned by the Tribunal by an order, for which a second motion is stipulated by sub-section (6).

31. An amalgamation or merger as contemplated in Section 232 also stipulates a report of the expert with regard to valuation by sub-section (2)(d). So does Section 236(2) in the context of a buyback or purchase of minority shares, which is conspicuously absent in a reduction of share capital, which also results in an exit of certain shareholders. Similarly, a buyback under Section 68 is optional and it is for the shareholder to decide whether the buyback is accepted or not, looking at the value at which the buyback is offered, which provision also does not stipulate a valuation report. Hence, whenever a valuation report was found expedient, it was statutorily required, but not under Section 66.
32. Reduction of share capital can be achieved by a special resolution and confirmation by the Tribunal, without a report of valuation from an approved/registered valuer and hence, it does not fall within the ambit of a relevant material; without the full and complete disclosure of which the reduction of capital cannot be acted upon. However, it is pertinent to notice that the company despite any legal requirement had adopted a valuation exercise, which was further affirmed in a fairness evaluation by a different agency, both of which reports were retained in the Registered Office of the Company, kept open for verification by the investors. As has been factually found one of the investors, through his advocate had verified the reports and made a subsequent request only for the details of the shareholders and raised no dispute against the value adopted. We have to pertinently also notice that as argued by the learned Senior Counsel for the respondent, the individual investors are not fly-by-night operators, but are shrewd investors who are aware of the changing trends in businesses especially when the respondent company is only having the business of holding shares in a telecom company. We do not find any procedural infraction or misleading disclosure to style the notice as a 'tricky notice'. The notice contains the full disclosure

Supreme Court Reports

as required in a measure employed for reduction of share capital under Section 66, which is the price offered by the company which translates as an exit option for the identified shareholder.

33. On the finding that there was no statutory mandate for a valuation report for the reduction of a share capital, we could reject the arguments raised of a related agency having been employed for valuation, but we proceed to consider the ground of a perceivable bias raised. The specific argument is that the valuer was an associate/affiliate of the internal auditor of the company. It was buttressed by reference to documents, including the valuation report displaying the same logo, having common partners/directors and the internal auditor having a controlling interest in the valuer. There was a contention by the respondent that no allegation of *mala fide* or bias can be raised without making the entity against whom such an allegation is raised, a party to the *lis*. We are not persuaded to reject the contention only on that ground since here the *lis* was initiated by the company for the purpose of obtaining a confirmation of the special resolution, which is strictly not adversarial in nature, but in which the stakeholders are entitled to raise their objections and argue against such confirmation. Hence, when an objection is raised as to the independence or lack of it, of a valuer, it is for the Tribunal to look into it and if satisfied implead that entity or otherwise reject it *in limine*; which later procedure was adopted in the present case.
34. Before us, the learned Senior Counsel appearing for the respondent company had produced the Basic Principles Governing Internal Audit which mandates that the internal auditor shall be free from undue influence and shall resist any undue pressure or interference in establishing the scope of the assignments or the manner in which the audit is conducted and reported. The internal auditor in the nature of an in-house vigilance machinery, is mandated by the Act of 2013, under Section 138 read with The Companies (Accounts) Rules, 2014. Rule 13 of the said Rules by its Explanation also permits an employee to be appointed as an internal auditor, which in the present case has not been resorted to. Though, distinguished from statutory audits under Chapter X, the internal auditor, here an outside agency, merely by their appointment by the company cannot be said to be related in any manner to the company. Appointment as an internal auditor, does not bring in a bias with respect to the activities of the company which would essentially go against the scope and spirit of

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

an audit carried out of the accounts of the company as an in-house verification, which is also a statutory requirement, available for scrutiny before a statutory auditor. It has been held in **N.K. Bajpai v. Union of India**¹³ that bias should be demonstrably real and present to vitiate an action. Where it is shown that there exists a real danger of bias the action would attract judicial chastisement while, if it is only a mere probability or even a preponderance of probability it cannot affect the action adversely, was the law declared. We do not find even a probability that the internal auditor would act in a biased manner, leave alone the valuation agency which is an affiliate of the former.

35. We have to further notice that the fairness report has been obtained from a different agency which has no connection with the internal auditor and in any event, the valuation report is accepted as valid and proper by the ICICI Securities Limited and SBI Caps Securities Limited, totally unrelated to the respondent company as is revealed from Annexures A-30 & A-31 produced in Civil Appeal No. 2864 of 2021 as obtained by 'The Custodian, Appointed under Special Court (Trial of Offences relating to Transactions in Securities) Act, 1992' the 2nd respondent in that appeal. All the more as per the proviso to Section 66(3) the Tribunal considering the reduction of capital measure has to obtain a certificate from the Company's auditor that the accounting standards adopted is in conformity with that specified in Section 133, which is produced as Annexure A13 in the application under Section 66 before the NCLT produced as Annexure-A/14 in the Convenience Compilation.
36. The fairness report signed on the same day as the valuation report does not raise any apprehension of levity since the fairness is of the approach in valuation, which does not require a threadbare analysis or a reverification of the books of accounts. The figures are more than explicit and so is the method adopted as discernible by financial experts. We also reckon the contention raised by the respondent company that the date of the report indicates the day of issuance and not necessarily the time taken or the diligence exercised in arriving at the valuation or even affirming the fairness.
37. One other contention is of the reports being kept in the Registered Office not being sufficient based on **Firestone Tyre & Rubber**

Supreme Court Reports

Co. vs. Synthetics and Chemicals Ltd.¹⁴ highlighting the difficulty and disinclination of shareholders to travel to the Registered Office. We cannot subscribe to the said view at least in today's scenario of ease of travel, especially since most of the 35 appellants before the NCLAT lived in Delhi, when the Registered Office was in Gurgaon, Haryana. Some had their residence at Mumbai & Pune and only three were abroad, as revealed from the cause title of the order of the NCLAT. None except one thought it fit to verify the reports. We hence find absolutely no reason to sustain the procedural infraction on the grounds of non-disclosure or bias, as alleged by the appellants.

The Method and The Matter; DLOM and the share price:

38. The above aspects are considered together since they are inextricably linked. The share value determined for reduction of share capital is termed unfair solely because of the application of DLOM, which is said to be inapplicable in a situation of this kind where there is a forced exit of the shareholders. Both sides relied on ***Kiri Industries Ltd.***². On a reading of the same, we do not find any international denouncement of the application of DLOM in all situations, as argued by the appellants. True, in the aforesaid case wherein there was a forced buyout as per the order of the Singapore International Commercial Court, wherein the minority shareholders were asked to be bought out by the majority shareholders, DLOM was declined. Insofar as the DLOM principle is concerned, the decision in ***Thio Syn Kym Wendy and Others v. Thio Syn Pyn and Others***¹⁵ and the decision in ***Liew Kit Fah and Others v. Koh Keng Chew and Others***¹⁶ were referred to. ***Liew Kit Fah***¹⁶ held that liquidity, after all is a valuable attribute of an investment and the lack of it is a depreciatory factor, giving rise to application of DLOM in the valuation of unquoted shares. However this was observed to be laid down in a consent order where there was no Court order on account of a finding of oppression. The principle laid down in ***Thio Syn Kym Wendy***¹⁵ that DLOM will apply to illiquid privately held shares, save in exceptional circumstances proven by the party alleging it, was held to be an incidental observation which cannot be elevated into

¹⁴ (1971) Comp. Cases 377 (Bom.)

¹⁵ [2018] SGHC 54

¹⁶ [2020] 1 SLR 275

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

a principle of law. In the context of a Court ordered buyout in an action alleging oppression, DLOM was found to be inapplicable, not as a universal principle but more on the facts of that case.

39. Interestingly the Court referred to an article of Professor Douglas Moll titled *"Shareholder Oppression and 'Fair Value': of Discounts, Dates and Dastardly Deeds in Close Corporation"* (2004) 54 (2) Duke LJ 293, wherein the distinction between fair value and fair market value was brought out which we have read, as available on the internet. 'Fair value', as distinguished from 'fair market value', is the enterprise value; the pro-rata portion of the company's overall value as an operating business. 'Fair market value' on the other hand involves the Court valuing the minority's share by considering what a hypothetical purchaser would pay for them. Professor Moll was of the opinion that in a 'fair market value' situation, a marketability discount is applied since a hypothetical purchaser is likely to pay less for shares which lack a ready market. Professor Moll was also of the opinion that valuation is inherently contextual and buyout proceedings in the context of an oppression setting, would make the marketability discounts inappropriate. The report is an interesting read and affords insights in the context of an oppressive setting with respect to Close Corporations, in the United States of America. The illustrative reference to minority with a 33% shareholding in an oppressive setting also is distinguishable from the instant case, which deals with a far lesser minority and in the Indian setting. The statutory language was also pertinently pointed out as standing against a marketability discount being applied, when the specific term used was 'fair value' as distinguished from 'fair market value', employed in comparable statutes.
40. It is recognised even by Prof. Moll that investors generally pay a premium for liquidity and conversely extract discounts for illiquidity. In the present case, there is no oppression complained of by the minority shareholders and in any event, 11 appellants do not, by their sheer number or with their combined holdings, constitute a collective which could validly raise an allegation of oppression under Section 244 of the Act of 2013. We have to immediately also notice that the shareholders identified for the purpose of capital reduction, together far exceeded the minimum number; one hundred under Section 244. There was no complaint of any oppressive action existing. All the same in the setting of the present proceedings, even the objection

Supreme Court Reports

raised by an individual shareholder as to the reasonableness of the price fixed has to be looked into, which pertinently is not in a setting of oppression.

41. In *Baillie*⁷, the decision in *Foss v. Harbottle*⁸ was noticed and the exception carved out to the ‘proper plaintiff’ rule even while rejecting the challenge against the action of its Directors enabling purchase of the personal properties of the Directors for prices far exceeding its actual value that too by mortgaging and encumbering other properties of the company and applying these proceeds to make the purchases. However, it was observed that it would not be proper to hold that a society of private persons associated together in an undertaking, are deprived of their civil rights *inter se*, because the Crown or the Legislature has conferred on them a corporate character to make more attainable, the common objects. The ‘claims of justice’ then would be found superior to any difficulties arising out of technical rules regarding the mode in which the corporations are required to sue. Even in *Foss v. Harbottle*⁸ it was held that if a case arises as to an injury to a corporation or to some of its members, for which no adequate remedy remains except that of a suit by an individual corporator in their private character, requiring protection of those rights entitled in their corporate character, then the ‘claims of justice’ would override procedural technicalities. It is the said principle that is enshrined in the Act of 2013 where even when a special resolution is passed the Tribunal is required to scrutinise a reduction in capital under Section 66, after hearing all the stake holders, *ex debito justitiae*.
42. Coming back to the present case, here the measure employed was of a reduction in capital as permitted by the statute. *In Re: Reckitt Benckiser (India) Ltd.*¹⁷ encapsulated the principles regulating a reduction of share capital after referring to *British and American Trustee and Finance Corporation v. Couper*¹⁸. The broad principles distilled were that (i) reduction of share capital is a strictly domestic concern depending on the decision of the majority, (ii) if reduction of share capital is approved by a special resolution, the majority also has the right to decide how it should be carried out, (iii) reduction of share capital can be brought about by extinguishing some of the

17 2005 SCC OnLine Del 674

18 (1894) SC 399

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

shares while retaining others even in the same class or making a proportionate reduction for all or even for some, while for others it is totally extinguished. The reduction thus can be in any manner and even if it is selective it is permissible.

43. The reduction of capital was sanctioned by the Board and it was put up as a special resolution before the general meeting convened. The special resolution was passed by not only the majority shareholders but also by 3/4th of the majority individual shareholders, present and voting, identified for the purpose of reduction of share capital, which makes it consensual. Even the appellant in C.A. No.7655 of 2025, who holds the majority of the minority shareholding voted in favour of the special resolution. An argument was raised that only 733 out of the 4942 identified shareholders voted and the 3/4th majority from those present and voting is a mirage. We cannot accept the said contention, first for reason of the statute not prescribing any majority from the identified shareholders. Then, the others thought it fit to abstain and in a democratic set up where the will of the majority reigns supreme, the abstainers are deemed to have left the choice to those who vote and they acquiesce to the majority will of those present and voting in the extraordinary general meeting. It is only later, finding the application of DLOM that an objection was taken. Thus there is no oppression setting in the present case and there can be no distinction drawn from the statutory words employed of a 'fair value' and a 'fair market value'.
44. The statutory scheme also does not restrict the use of DLOM. Examining the statutory scheme under Section 66, in addition to the special resolution and notice to the Central Government and the Registrar of Companies, sanction is accorded by the Tribunal for capital reduction only if it is satisfied that the accounting treatment proposed by the company for such reduction is in conformity with the accounting standards specified in Section 133 or any other provision of the Act and a certificate to that effect by the company's auditor has been filed with the Tribunal, as per the proviso to Section 66(3); which we have found was furnished. Section 133 enables the Central Government to prescribe accounting standards as recommended by the Institute of Chartered Accountants of India constituted under Section 3 of the Chartered Accountants Act, 1949 in consultation with and after examination of the recommendations made by the National Financial Reporting Authority, constituted under Section 132 of the

Supreme Court Reports

Act of 2013. The Indian Accounting Standards (Ind AS) 113 provides for fair value determination as a market based measurement and not an entity specific measurement, quite contrary to the statutory scheme found in the United States as described by Professor Moll.

45. The definition of fair value as per the Ind AS 113 is *'the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date'*(sic). It is required that when measuring fair value, an entity shall take into account the characteristics of the asset or liability, if market participants would take those characteristics into account when pricing the asset or liability at the measurement date. These characteristics include, not exhaustively, but as stated in the Ind AS 113, as an example, the condition and location of the asset and restrictions if any on the sale or use of the asset. Hence, the approved accounting standards, as statutorily brought out, treats the fair price as one linked with the market especially in the context of Section 66, reduction of share capital. The Valuation Standards Board ICAI and the ICAI Registered Valuers Organisation of the Institute of Chartered Accountants of India has brought out 'ICAI Valuation Standard 103-Valuation Approaches and Methods'. The Discount for Lack of Marketability (DLOM) is one of the subheadings under the heading "Adjustment and Valuation". It is stated therein that *'DLOM is based on the premise that an asset which is readily marketable commands a higher value than an asset which requires longer period/ more efforts to be sold or an asset having restriction on its ability to sell.'* *'Determining an appropriate level of DLOM can be a complex and subjective process. Accordingly, the specific nature and characteristics of the asset and the acts and circumstances surrounding the valuation should be considered.'*
46. Looking at the valuation report it definitely reckoned the share value of BAL for a reasonable period since that would have a nexus in deciding the value of shares of BTL whose only business is investment in the listed BAL. BTL admittedly was not listed having been delisted in the year 1999-2000 and continued without any payment of dividend to the shareholders. The only buyout, which was statutorily prescribed, was offered at the rate of Rs.96/- per share, long back in the year 2001. In 2006, one of the promotor firms of BTL had offered to purchase the shares of public shareholders at Rs.400/- per share. More importantly, BTL conducted a rights issue in 2016 whereby the

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

existing shareholders were offered and issued 115 shares for every one share held by them which resulted in diminishing the monetary value of BTL shares. The various offers relied on in the Convenience Compilation, at Annexure 2, even though not authenticated, reveals only a price of Rs.35-Rs.55 that too before the rights issue of the shares. A commodity broker is said to have offered an amount of Rs.2000/- in the year 2007 that too, far prior to the rights issue. The further issue of share capital for the purpose of bringing in an investor as a strategic long-term promoter made a valuation at Rs.310/- per equity share which is not parallel with the reduction of capital now attempted by the respondent company. The marketability of the shares is absent, and it has to be reiterated that the company had not been paying any dividends. There were also requests made by the shareholders for an exit option as is revealed from the minutes of the AGMs. In the totality of the circumstances, the applicability of DLOM cannot be held invalid and in any event, what has to be looked at by the Tribunal in scrutinising the scheme of reduction of capital is only as to whether there was a fair measure employed which cannot be termed unreasonable or prejudicial to the individual shareholders.

47. ***In Re: Reckitt Benckiser (India) Ltd.***¹⁷ held that when the matter comes to Court, the satisfaction of the Court is as to whether (i) there is an unfair or inequitable transaction and (ii) whether the creditors entitled to object to the reduction have either consented or are paid or are secured. ***In Re: Cadbury India Limited***¹⁹ examined Section 100 of the Act of 1956; analogous to the purpose of Section 66, to find three requirements; (i) the Articles of Association should permit a reduction of share capital; (ii) the scheme for reduction should be approved by a special resolution and (iii) the Court's sanction (sic- now the 'Tribunal') must be obtained if the special resolution is passed. The consideration of sanction of the scheme of reduction is regulated insofar as being (i) not against public interest; (ii) fair and just and not unreasonable and (iii) not unfairly discriminatory or prejudicial against a class of shareholders. As for prejudice it was held to be something more than just receiving less than what a particular shareholder may desire. To find prejudice there should be an attempt to force a class of shareholders to divest themselves

Supreme Court Reports

of their holding at a rate far below what is reasonable, fair and just; a strategy by which an entire class is forced to accept something that is inherently unjust. It was also held that reasonableness can be tested on the basis of past open offers, extinguishments or buy-backs and the rates at which they were effected. If the rates offered in the scheme of reduction is more than the past offers then, the burden on the objector is exponentially high when raising the plea that the offer is unfair or unreasonable, to establish real prejudice, palpable bias and demonstrable arbitrariness. Allegation of violation of principles of fairness, when raised should be substantiated by obvious and blatant unfairness as revealed from the consequent action; which is absent here.

48. Unless the valuation is especially unreasonable it would be a wrong approach to reject a plausible rationale provided by the valuer on the mere ground that the objector has a different point of view. The test insofar as considering a sanction as held in ***In Re: Cadbury India Limited***⁹ is as to whether (i) a fair and reasonable value was offered to the minority shareholders? (ii) The majority of the non-promoter shareholders have voted in favour of the resolution? (iii) the resolution read by any fair-minded and reasonable person, without microscopic scrutiny, finds it to be egregiously wrong offending the judicial conscience? (iii) the valuer has gone so off-track that the result of valuation return can only be wrong? We cannot but notice that all the above tests are satisfied in the above case. We have already found that a fair and reasonable value was offered to the minority shareholders and the majority of the identified shareholders present and voting, voted in favour of the resolution. Even on a microscopic scrutiny the valuation cannot be found to be egregiously wrong especially looking at the previous offers and also the rights issue offered at par, prior to the reduction of share capital, exponentially increasing the take aways of the individual shareholders and the valuation cannot at all be said to have gone off-track, so as to make it egregiously wrong.
49. In this context, we cannot but notice that the share value now fixed by the Board and approved by the majority of the shareholders of the company which on modification by the Tribunal stands at Rs.196.80/- for each equity share. Even taking the highest offer at Rs.2000/- by a commodity broker as claimed by the appellants, prior

Pannalal Bhansali v. Bharti Telecom Limited & Ors.

to the rights issue, as of now on a further purchase of 115 shares at par, expending Rs.1150/- in the rights issue, the single share available with the identified shareholders becomes 116 at the rate of Rs.196.80/-, which by no stretch of imagination or any standard of scrutiny adopted, can be said to be unreasonable. Arguments raised on the valuation initiated at the behest of the Custodian, is available at Annexure A-9 & A-11, both in the year 2012, based on the purchase offers received. The purchase offers ranged between Rs.550/- to Rs.3,650/-. The valuation too by SBI Caps Securities and ICICI Securities ranged between Rs.12,707/- to Rs.20,215/- after applying discounts ranging from 20% to 30%. The above valuation was in the year 2012, while consequent to the reduction of share capital, the Custodian had sought for a verification of the valuation conducted by the very same agencies. ICICI Securities by Annexure A-30 while affirming the valuation as fair specifically noticed that the adverse effect by reason of the huge liability created on BAL, by a ruling of the Supreme Court was not captured in the earlier valuation. They also emphatically notice that the Valuation was by a reputed international firm and the Fairness Report by a SEBI registered category-I merchant banker. SBI Caps Securities also confirmed the valuation by A-31.

50. We cannot but reiterate that the appellants herein are not wary investors, cautious retirees or mere speculators, but seasoned retail investors who blend in equal measure prudence with quite calculation. The share value of BAL was in the public domain, being a listed company. The appellants were aware of the fact that BTL had only investment in BAL, which confined its operations. The appellants were aware and many had participated in the rights issue brought about and if not participated, at their peril. The shareholders were also aware of the price at which SingTel was brought in, as a strategic long-term promoter, pursuant to which the reduction of share capital was attempted which gave them enough material for making an informed and calculated decision as to whether they should opt for it. Far from the bullish and bearish trends that regulate the flexible share value of listed companies in a volatile market, the appellants held on to the shares of BTL; with zero listing, zero marketability, zero dividend payment, zero exit options also declining purchase offers, with the stoic resolve of a feline waiting patiently for its prey.

Supreme Court Reports

The move was made when the AGM was constituted quite realising the price offered for each equity share, which was even minus the taxes payable by the company. The decision taken at the EAGM passing the special resolution clinches the issue. Only on finding the DLOM having been applied, the objections were raised despite the fact that at the time of EAGM the appellants were satisfied with the price offered. The objection is only in applying DLOM with nothing in substantiation as to how the price fixed is unreasonable. The identified shareholders voted in majority or abstained, finding the price offered to be reasonable and not prejudicial, which though pounced upon was resiled from later. The nature's wild offers no second pounce at the prey nor do the hinterlands of financial wilderness and in any event, valuation is an exercise which is best left to the experts as has been held in ***Mihir H. Mafatlal v. Mafatlal Industries Ltd.***²⁰

51. On the above reasoning, we reject the appeals.
52. Pending applications, if any, shall stand disposed of.

Result of the case: Appeals dismissed.

[†]*Headnotes prepared by:* Nidhi Jain

Municipal Corporation of Greater Mumbai

v.

M/s R.V. Anderson Associates Limited

(Civil Appeal No(s). 3277-78 of 2026)

11 March 2026

[J.K. Maheshwari* and Atul S. Chandurkar, JJ.]

Issue for Consideration

Whether the arbitral award deserves to be set aside on the ground of lack of jurisdiction due to improper constitution of the arbitral tribunal or patent illegality.

Headnotes[†]

Arbitration and Conciliation Act, 1996 – ss.16, 34, 37, 4 – Constitution of Arbitral Tribunal – Interpretation of arbitration clause – Waiver – The Appellant-MCGM had floated a tender and invited proposals – The stipulated duration for completion of the work under the Agreement was 72 months and the contract was designed to be implemented in stages – The work under the contract was completed – A dispute arose in respect of payment of outstanding dues – On 09.08.2005, the Respondent invoked the arbitration clause as contained in the Agreement – On 07.07.2009, MCGM filed an application u/s.16 of the 1996 Act, challenging the appointment of the Presiding Arbitrator as a ‘nullity’ and seeking consequential reliefs – Arbitral Tribunal dismissed the application holding that the appointment of the Presiding Arbitrator was valid – On 05.06.2010, the Tribunal passed the final award, directing MCGM to pay specified amounts – Application seeking setting aside of the arbitral award u/s.34 of the 1996 Act was filed before the High Court – The Single Judge of the High Court dismissed the application – An appeal was preferred u/s.37 of the 1996 Act – High Court dismissed the appeal and confirmed the judgment and order of the Single Judge – Correctness:

Held: 1. In the facts of this case, it cannot be said that the Arbitral Tribunal has been improperly constituted in derogation of the

* Author

Supreme Court Reports

arbitration agreement, or that the interpretation of the arbitration clause as made by the Arbitral Tribunal has resulted in any patent illegality, which would warrant setting aside of the award – As such, the High Court has rightly decided not to interfere with the arbitral award u/s.34(2)(a)(v) or s.34(2A) while rejecting the application to set aside the award. [Para 37]

2. The MCGM raised their objection for the first time, addressing the letter dated 20.02.2009 to the Presiding Arbitrator, alleging that his appointment is a ‘nullity’ since the Co-Arbitrators had not succeeded in appointing the third arbitrator within 30 days and therefore had no power to appoint – In the facts of this case, beyond 30 days from the date of appointment of the second Arbitrator, *i.e.* 07.10.2005, the MCGM agreed to attempt mediation / conciliation by its letter dated 07.01.2006 and then informed the Co-Arbitrators about there being no mediation / conciliation by its letter dated 15.12.2006 – MCGM passively sat idle while three different persons were appointed as the Presiding Arbitrator under Clause 8.3(b) of the Agreement by the Co-Arbitrators, without any demur. [Paras 54, 63]

3. In the present case, the MCGM was completely aware about the non-compliance of a contractual requirement under the arbitration agreement – It proceeded with the arbitration process without any demur, agreed to keep the arbitration proceedings in abeyance to pursue other methods of dispute resolution (mediation / conciliation), and did not object to such non-compliance on three different occasions when such alleged non-compliance took place – In such a case, filing of an application u/s.16 of the 1996 Act cannot regularize or condone its conduct and such conduct is a relevant consideration to decipher its understanding of the contractual terms while deciding the s.16 application on merits by the Tribunal even in the absence of statutory waiver u/s.4 being attracted – A party cannot keep a ‘jurisdictional ace’ up their sleeve and then claim that filing of the jurisdictional challenge u/s.16 would go back in time and wipe out the past conduct and acquiescence of the party which would clearly evince how the contractual terms were viewed by the parties – If the same is permitted, it will erode the basic principles of alternative dispute resolution and ethos of arbitration. [Paras 66, 67]

Arbitration and Conciliation Act, 1996 – ss.16, 4 – Conduct, Acquiescence and waiver – Discussed. [Paras 39-42, 55, 56]

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

Case Law Cited

Hindustan Construction Co. Ltd. v. Bihar Rajya Pul Nirman Nigam Ltd., **2025 SCC OnLine SC 2578**; *Narayan Prasad Lohia v. Nikunj Kumar Lohia* [2002] 1 SCR 1136 : (2002) 3 SCC 572 – **relied on.**

Consolidated Construction Consortium Limited v. Software Technology Parks of India, **2025 INSC 574 : [2025] 4 SCR 1846**; *SEPCO Electric Power Construction Corporation v. GMR Kamalanga Energy Ltd.*, **2025 INSC 1171**; *Quippo Construction Equipment Ltd. v. Janardan Nirman (P) Ltd.* [2020] 6 SCR 272 : (2020) 18 SCC 277 – **referred to.**

List of Acts

Arbitration and Conciliation Act, 1996.

List of Keywords

Principle of party autonomy; Co-arbitrators; Jurisdictional ace; Dispute resolution; *forum non conveniens*; Section 16 of Arbitration and Conciliation Act, 1996; Mediation/conciliation; Non-compliance of the arbitration agreement; Waiver of right; Conduct; Constitution of Arbitral Tribunal; Arbitral autonomy; Acquiescence; Waiver; Minimum judicial interference; Appointment of arbitrator.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 3277-3278 of 2026

From the Judgment and Order dated 04.07.2025 of the High Court of Judicature at Bombay in ARBA (L) No. 4339 of 2024 in IA (L) No. 7312 of 2024

Appearances for Parties

Advs. for the Appellant(s):

Siddharth Bhatnagar, Sr. Adv., Ms. Ananya Nair, Ms. Nivedita Nair, Ms. Asha Gopalan Nair.

Advs. for the Respondent(s):

Shyam Divan, Sr. Adv., Ms. Riddhi Sancheti, Ms. Tanjul Sharma, Mukul Kulhari, Raghav Bhatia.

Supreme Court Reports

Judgment / Order of the Supreme Court

Judgment

J.K. Maheshwari, J.

1. Leave granted.
2. The instant appeal(s) are directed against the judgment dated 04.07.2025 of the High Court of Bombay (hereinafter referred to as “**High Court**”) in Arbitration Appeal (L) No. 4339 of 2024 with Interim Application (L) No. 7312 of 2024.
3. By the impugned judgement, the High Court dismissed the appeal of the Appellant – Municipal Corporation of Greater Mumbai (hereinafter referred to as “**MCGM**”) under Section 37 of the Arbitration and Conciliation Act, 1996 (hereinafter referred to as “**1996 Act**”) and confirmed the judgment and order dated 19th and 20th of October, 2022 of the learned Single Judge in Arbitration Petition No. 84 of 2012 dismissing the application filed under Section 34 of the 1996 Act by MCGM for setting aside the award dated 05.06.2010 of a three-member Arbitral Tribunal.
4. The challenge made in the proceedings of Section 34 was threefold - improper constitution of the tribunal, limitation and interest. However, before us, the Appellant has confined their arguments only to the question of lack of jurisdiction due to improper constitution of the tribunal. As such, our examination of the facts of the case is confined to the question of validity of constitution of the tribunal.

FACTS

5. The facts shorn of unnecessary details are that the MCGM had floated a tender and invited proposals for ‘*Consultancy Services to Upgrade Sewerage Operations & Maintenance Services*’. The scope of work of the contract was for providing consultancy in upgrading the sewage and sewerage handling facilities, operations and routine maintenance protocols. This was a World Bank funded project and the Respondent turned out to be the successful bidder in association with PHE Consultants, Mumbai. Pursuant thereto, an agreement dated 18.09.1995 (hereinafter referred to as the “**Agreement**”) was entered into between the MCGM and M/s R.V. Anderson Associates Ltd., which is an engineering firm based out of Canada.

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

6. The stipulated duration for completion of the work under the Agreement was 72 months and the contract was designed to be implemented in stages. The work under the contract was completed on 20.06.2001 and a final report was submitted by the Respondent to the MCGM. At that stage, a dispute arose in respect of payment of outstanding dues. A meeting was held on 24.10.2002 where the Respondent's claims were discussed and rejected by MCGM except to make partial payments on 17.02.2004.
7. When things stood as thus, on 09.08.2005, the Respondent invoked the arbitration clause as contained in the Agreement. *Vide* communication dated 09.08.2005, received by the MCGM on 14.09.2005, the Respondent invoked the arbitration clause, particularly clause 8.3(b) of the Agreement and appointed Hon'ble Mr. Justice S.M. Jhunjhunwala (Retd.) as their nominee arbitrator. On 07.10.2005, the MCGM appointed Mr. Sharad Upasani, former IAS officer as their nominee arbitrator.
8. On 04.11.2005, a meeting was held between the Appellant and the Respondent, where the parties discussed about exploring a possibility of conciliation or mediation. In reference to the said meeting, another letter dated 08.11.2005 was sent by the Respondent to MCGM, seeking to explore non-binding conciliation or mediation and in the meanwhile, on confirmation by the MCGM, the arbitration proceedings be put in abeyance. The said letter dated 08.11.2005 was also marked to Justice Jhunjhunwala (Retd.) and Mr. Upasani. The MCGM, by writing letter dated 07.01.2006 acknowledged the intention of the Respondent to keep arbitration proceedings in abeyance and to start conciliation proceedings.
9. After a while, the Respondent wrote letters dated 12.02.2006 and 27.02.2006 to the MCGM, requesting to participate in the conciliation. It appears from the record that steps were not taken by the parties to explore the possibility of settlement and nothing was materialized. On 15.12.2006, MCGM addressed a letter to Mr. Upasani, informing him that there was no conciliation pursuant to the letter dated 08.11.2005 and that Respondent was delaying the appointment of arbitrators.
10. On 08.01.2007, the Respondent wrote a letter to the MCGM stating that since MCGM no longer seems to be inclined to explore mediation and conciliation, the arbitration proceedings may continue and the two arbitrators may proceed to appoint the third arbitrator in terms of the contract.

Supreme Court Reports

11. The two nominee arbitrators jointly appointed Justice D.R. Dhanuka (Retd.) as the Presiding Arbitrator by their letter dated 30.04.2007. The Presiding Arbitrator issued the notice for preliminary meeting *vide* communication dated 09.05.2007.
12. At this stage, Respondent by their letter dated 28.05.2007, objected to the appointment of Justice Dhanuka (Retd.) in reference to Clause 8.6 of the Agreement, *inter alia* stating that the presiding arbitrator must not be of Indian or Canadian nationality. As such, Justice Dhanuka (Retd.) tendered his resignation as the Presiding Arbitrator on 28.06.2007.
13. The two Co-Arbitrators, prior to appointing another presiding arbitrator, then addressed a letter dated 17.09.2007 to both the Respondent and the MCGM, seeking information as to whether the parties are “*still interested in the conduct of the pending arbitral proceedings*”. The Respondent replied on 29.09.2007 conveying their intention to continue with the arbitration proceedings and requested both Co-Arbitrators to proceed with the appointment of the Presiding Arbitrator. However, the MCGM did not reply in response to the said letter. Thereafter, the Co-Arbitrators appointed Mr. John Savage as the Presiding Arbitrator on 24.04.2008, who also tendered his resignation on 11.08.2008.
14. On 21.10.2008, the Co-Arbitrators wrote to Mr. Anwarul Haque of Singapore for appointment as the Presiding Arbitrator, who conveyed his acceptance on 29.10.2008. Finally, on 12.11.2008, the learned Co-Arbitrators informed the parties that Mr. Anwarul Haque had been appointed as the Presiding Arbitrator and that a preliminary meeting was scheduled on 08.12.2008, which was first rescheduled to 09.12.2008 and again rescheduled to 09.01.2009.
15. The preliminary meeting of the Arbitral Tribunal was conducted on 09.01.2009 which was duly attended by both the parties as evinced from the Minutes of the Preliminary Meeting of the Arbitral Tribunal. After the said meeting, MCGM, addressing a letter on 20.02.2009 to the Presiding Arbitrator, alleged that the appointment of the Presiding Arbitrator was contrary to the terms of the Agreement, hence a ‘nullity’. It was said that the learned Co-Arbitrators could not have made the appointment of the Presiding Arbitrator beyond 30 days from the date of nomination of the second arbitrator. It was stated that the

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

Presiding Arbitrator, therefore, has ‘no right’ to be an Arbitrator and requested that the Presiding Arbitrator ought to withdraw himself from being an Arbitrator in the matter.

16. A written objection to the letter dated 20.02.2009 was addressed by Respondent through its letter dated 09.03.2009. Thereafter, the Respondent submitted its statement of claim before the Arbitral Tribunal on 20.03.2009. It was at this stage, the MCGM filed an application under Section 16 of the 1996 Act, challenging the appointment of the Presiding Arbitrator as a ‘nullity’ and seeking consequential reliefs.
17. The learned Arbitral Tribunal, by its order dated 17.07.2009, (hereinafter referred to as “**Section 16 order**”) dismissed the application by a detailed order, holding that the appointment of the Presiding Arbitrator was valid.
18. On 05.06.2010, the Tribunal passed the final award, directing MCGM to pay specified amounts in United States Dollars (hereinafter referred to as “**USD**”) and in Indian Rupees (hereinafter referred to as “**INR**”). The Tribunal, under the final award, directed the payment as follows:
 - I. USD 2,078,349.25 and INR 14,76,736 along with interest amount on USD 1,089,926.88 and INR 1,51,596 at the rate of 14% per annum calculated from 16th June, 2004 till payment or realization, whichever is earlier.
 - II. USD 55,217 and INR 15,57,500 along with USD 42,815 and INR 4,07,500 quantified as the cost of arbitration.
19. A corrigendum to the final award was passed on 29.06.2010, making some corrections to the amount payable by the MCGM to the Arbitrators. After the payments were made, the award was finally issued and released to the MCGM on 10.08.2011.
20. The application seeking setting aside of the arbitral award under Section 34 of the 1996 Act was filed before the High Court on 04.11.2011. The learned Single Judge of the High Court pronounced its judgement dismissing the said application on 19th and 20th of October, 2022. An appeal was preferred under Section 37 of the 1996 Act before the Division Bench of the High Court which has been dismissed *vide* the Impugned Order. Upon filing the present appeals by the Appellant, notice was issued *vide* order dated 29.08.2025 and the operation of the impugned order was stayed.

Supreme Court Reports

FINDINGS OF THE TRIBUNAL AND HIGH COURT

21. The main thrust of the jurisdictional challenge as raised by the Appellant is that the Presiding Arbitrator had been appointed after the expiration of 30 days from 07.10.2005, i.e., the day when the MCGM had appointed its nominee arbitrator. It has been contended by the Appellant throughout that as per Clause 8.3(b) of the Agreement, once period of 30 days had expired, the Arbitral Tribunal was rendered *coram non judice* and the Co-Arbitrators had no power to appoint the Presiding Arbitrator, who could have only been appointed by the Secretary General of the International Centre for Settlement of Investment Disputes, Washington D.C. (hereinafter referred to as “ICSID”).

Tribunal’s findings

22. The learned Arbitral Tribunal, while dismissing the challenge laid out to its jurisdiction in the application filed under Section 16 of the 1996 Act, found that the provision to approach the Secretary General of the ICSID for appointment of the Presiding Arbitrator was merely an enabling provision, which did not denude the power of the Co-Arbitrators to appoint the Presiding Arbitrator. It was found that in this case, admittedly, neither party has made a reference to the Secretary General of ICSID and as such, the power of the Co-Arbitrators to appoint the Presiding Arbitrator cannot be said to be ousted. The Tribunal observed that since arbitral proceedings were kept in abeyance on the request of the parties, hence, no fault can be found with the decision of the Co-Arbitrators to appoint the Presiding Arbitrator. It was held that the conduct of MCGM in participating in the arbitral process amounts to waiver under Section 4 of the 1996 Act and the decision to challenge the appointment of the Presiding Arbitrator was barred by limitation.

Findings of the High Court in the Section 34 order

23. Learned Single Judge dismissed the application *vide* order dated 19th and 20th October, 2022. On the question of jurisdiction, it was found that the interpretation of Clause 8.3(b) made by the Tribunal is not just a possible or plausible or reasonable view, but rather it is the only reasonable view, therefore, interference by ‘setting aside’ the award under Section 34 is not warranted. The Court observed

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

that in case the clause is interpreted in a manner that once the 30-day period had expired, the Co-Arbitrators had no power to appoint the Presiding Arbitrator and had to wait indefinitely for the parties to approach the ICSID, it will lead to absurdity and incongruity since there was no time limit for the parties to approach the ICSID. In such a situation, the Arbitrators could not be said to be completely powerless after their appointment.

Findings of the High Court in the Section 37 order

24. The High Court, while dismissing the appeal under Section 37 of the 1996 Act *vide* the Impugned Order has approved the interpretation of Clause 8.3(b) as made by the learned Single Judge and the Arbitral Tribunal. The Court observed that while exercising appellate power under Section 37, the Court cannot sit in appeal over interpretation of the contractual clauses by the Arbitrator merely because a different interpretation of the said clause is possible. Since the appointment of the arbitrator is in line with the provisions of Clause 8.3(b) of the Agreement, no interference is warranted.

ARGUMENTS ADVANCED

25. Learned Senior Counsel Mr. Siddharth Bhatnagar for the MCGM, argued with vehemence that the arbitral award deserves to be set aside due to improper constitution of the tribunal and the award lacks jurisdiction. It has been submitted that the Arbitral Tribunal, learned Single Judge and the Division Bench of the High Court have interpreted and substituted the contractual scheme as agreed by the parties, which militates against the principle of party autonomy. It has been urged that Clause 8.3(b) of the Agreement permits a period of 30 days from the date of appointment of the latter Arbitrator for the arbitrators to jointly appoint the Presiding Arbitrator, after which the Tribunal is rendered *coram non judice* and loses its power to appoint the Presiding Arbitrator. In such a case, he submits, the only way the Presiding Arbitrator could have been appointed, would have been by the parties approaching the Secretary General of the ICSID since use of the word 'shall' in Clause 8.3(b) of the Agreement makes this the only possible interpretation of the contractual terms. As such, entire arbitral process becomes '*non-est*' in law due to a foundational jurisdictional defect which is incurable.

Supreme Court Reports

26. The above said arguments have been met with equal vehemence by the learned Senior Counsel Mr. Shyam Divan appearing for the Respondent. He submitted that the Tribunal has passed a detailed award after interpreting the clauses of the Agreement and the question of jurisdiction has been aptly dealt with by the learned Arbitral Tribunal. He further contended that once the award has been passed by the Arbitral Tribunal, the scope of interference at the stage of a challenge under Section 34 of the 1996 Act is limited. Such scope of interference is even more limited in an appeal under Section 37 of the 1996 Act and more so in a special leave petition arising out of the said appeal. It is urged that once the learned Arbitral Tribunal has reached a conclusion with respect to interpretation of the contract, there is no scope for re-interpretation and the Courts must not sit in appeal in these proceedings merely because a different view may be possible. He has urged assiduously that Clause 8.3(b) is an enabling clause and not a restricting clause, it merely provides an additional avenue for the parties to seek appointment of the Presiding Arbitrator before the Secretary General of ICSID in case there is an impasse and the Co-Arbitrators fail to appoint the Presiding Arbitrator within the prescribed time period of 30 days. It is argued that neither party took recourse before the ICSID as specified under this clause and as such, MCGM has waived its right to challenge the appointment of arbitrator after having actively participated in the arbitration. It is therefore, submitted that the jurisdictional challenge is an afterthought, after the arbitral process was well underway and is hit by waiver.

ANALYSIS OF SUBMISSIONS

27. Having heard learned counsel for the parties at length and on perusal of the facts and material placed on record, the short question which falls for our consideration is *whether the arbitral award deserves to be set aside on the ground of lack of jurisdiction due to improper constitution of the arbitral tribunal or patent illegality?*

Interpretation of Clause 8.3(b) of the Agreement

28. The instant jurisdictional challenge hinges on Clause 8.3(b) of the Agreement and its interpretation by the learned Arbitral Tribunal. Clause 8 of the Agreement is of utmost relevance in this case, and is therefore reproduced as thus:

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

"8. SETTLEMENT OF DISPUTES

8.1 Amicable Settlement

The Parties shall use their best efforts to settle amicably all disputes arising out of or in connection with this contract or the interpretation thereof.

8.2 Right to Arbitration

Any dispute between the Parties as to matters arising pursuant to this Contract which cannot be settled amicably within thirty (30) days after receipt by one Party of the other Party's request for such amicable settlement may be submitted by either Party to arbitration in accordance with the provisions of Clauses 8.3 through 8.7 hereinafter.

8.3 Selection of Arbitrators

Each dispute submitted by a Party to arbitration shall be heard by a sole arbitrator or an arbitration panel composed of three arbitrators, in accordance with the following provisions:

(a) Where the Parties agree that the dispute to appoint a sole arbitrator or, failing agreement on the identity of such sole arbitrator within thirty (30) days after receipt by the other Party of the proposal of a name for such appointment by the Party who initiated the proceedings, either Party may apply to the Federation Internationale des Ingenieurs-Conseil (FIDIC) of Lausanne, Switzerland for a list of not fewer than five nominees and on receipt of such list, the Parties shall alternately strike names therefrom, and the last remaining nominee on the list shall be the sole arbitrator for the matter in dispute. If the last remaining nominee has not been determined in this manner within sixty (60) days of the date of the list, FIDIC shall appoint upon the request of either Party and from such list or otherwise, a sole arbitrator for the matter in dispute.

(b) Where the Parties do not agree that the dispute concerns a technical matter, the Client and Consultants shall each appoint one arbitrator, and these two arbitrators

Supreme Court Reports

shall jointly appoint a third arbitrator, who shall chair the arbitration panel. If the arbitrators named by the Parties do not succeed in appointing a third arbitrator within thirty (30) days after the latter of the two arbitrators named by the Parties has been appointed, the third arbitrator shall, at the request of either Party, be appointed by the Secretary General of the International Centre for Settlement of Investment Disputes, Washington D.C.

(c) If, in a dispute subject to Clause 8.3(b), one Party fails to appoint its arbitrator within thirty (30) days after the other Party has appointed its arbitrator, the Party which has named an arbitrator may apply to the Secretary General of the International Centre for Settlement of Investment Disputes, Washington D.C. to appoint a sole arbitrator for the matter in dispute, and the arbitrator appointed pursuant to such application shall be the sole arbitrator for that dispute.

8.4 Rules of Procedure

Except as stated herein, arbitration proceedings shall be conducted in accordance with the rules of procedure for arbitration of the United Nations Commission of International Trade Law (UNCITRAL) as in force on the date of this Contract.

8.5 Substitute Arbitrators

If for any reason an arbitrator is unable to perform his function, a substitute shall be appointed in the same manner as the original arbitrator.

8.6 Nationality and Qualifications of Arbitrations

The sole arbitrator or the third arbitrator appointed pursuant to paragraphs (a) through (c) of Clause 8.3 hereof shall be an internationally recognized legal or technical expert with experience in relation to the matter in dispute and shall not be a national of the Consultants' home country or of the Government. For the purpose of this clause, "home country" means any of:

(a) the country of incorporation of the Consultants or

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

(b) the country in which the Consultants' (or any of their Members') principal place of business is located; or

(c) the country of nationality of a majority of the Consultants' (or of any Members') shareholders; or

(d) the country of nationality of the Subconsultant concerned, where the dispute involves a subcontract.

8.7 Miscellaneous

In any arbitration proceeding hereunder:

(a) proceedings shall, unless otherwise agreed by the Parties, be held in Bombay;

(b) the English language shall be the official language for all purposes; and

(c) the decision of the sole arbitrator or of a majority of the arbitrators (or of the third arbitrator if there is no such majority) shall be final and binding and shall be enforceable in any court of competent jurisdiction, and the Parties hereby waive any objection to or claims of immunity in respect of such enforcement."

29. On a plain reading, Clause 8.3(b) provides that the parties shall each appoint one arbitrator and if the two arbitrators do not succeed in appointing the third arbitrator who shall preside the arbitration panel, within 30 days, then, on the request of either party, the ICSID shall appoint the third arbitrator. Such is the requirement in respect of appointment of the three arbitrators who shall constitute the Arbitral Tribunal.
30. On an objective perusal of the arbitration clause, it appears to be enabling in nature. It does not provide that in case the two arbitrators do not succeed in appointing the third arbitrator within the period so prescribed, the two arbitrators will lose their power of appointment of the third arbitrator. Rather, the power of appointment of the third arbitrator acts in an independent sphere when juxtaposed with the second part of the clause which is enabling in nature, permitting the parties to approach the ICSID after 30 days, in case the two arbitrators appointed by the parties reach an impasse and do not succeed in making such appointment.

Supreme Court Reports

31. The consequence of non-appointment of the Presiding Arbitrator within the prescribed period has not been specified in the Agreement. In fact, the clause merely grants liberty to the parties to seek the appointment of the Presiding Arbitrator, after a period of 30 days, before the ICSID. The intent of the parties while drafting the arbitration clause could not have been to withdraw the power to appoint the Presiding Arbitrator from the Co-Arbitrators appointed by the parties upon expiry of 30 days from the date of appointment of the second arbitrator, otherwise, it would have certainly found mention in the Agreement. The intent of the clause appears to be that in case both Arbitrators cause a delay in appointment of the third arbitrator, the parties retain the authority to remedy the delay and after 30 days of such non-appointment, they have liberty to apply before the ICSID to address the delay and upon making such a request, the ICSID shall appoint the third Arbitrator. Hence, in absence of such a stipulation in the said clause and looking to the intent of the language used, the Court while exercising its jurisdiction in proceedings arising out of Section 34 of the 1996 Act, cannot read something into the contract which it does not explicitly provide.
32. The manner in which a contract is understood and acted upon by the parties is the best aid to interpreting the contract and understanding the intent of the parties while drafting the contract. The Arbitral Tribunal has interpreted the arbitration clause in a manner which is certainly plausible, holding that it is enabling in nature, on the contingency that an application is made by either party before the ICSID. We are in complete agreement with the said view, however, addressing the contentions made before us, it is seen that the initial part of Clause 8.3(b), *“Where the Parties do not agree that the dispute concerns a technical matter, the Client and Consultants shall each appoint one arbitrator, and these two arbitrators shall jointly appoint a third arbitrator, who shall chair the arbitration panel.”* lays down the composition of the arbitral tribunal and their method of appointment, it vests the power of appointment of the third arbitrator with the Co-Arbitrators appointed by the parties. The subsequent part of Clause 8.3(b) reads *“If the arbitrators named by the Parties do not succeed in appointing a third arbitrator within thirty (30) days after the latter of the two arbitrators named by the Parties has been appointed, the third arbitrator shall, at the request of either Party, be appointed by the Secretary General of the International Centre for Settlement of*

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

Investment Disputes, Washington D.C..” This deals with a contingency which breaks into three critical components, firstly, the contingency is triggered upon the expiration of the thirty-day period from the date of appointment of the second arbitrator without the appointment of the third arbitrator; secondly, the condition precedent is that a request must be made by either party, meaning thereby that the Secretary General of ICSID does not have the power to act *sua sponte* (on its own accord); and thirdly, by using the word ‘shall’, the mandate is that once such a request is made by either party, the Secretary General of ICSID is required to make such appointment.

33. The parties have, in their commercial wisdom, drafted a ‘fail-safe’ into the arbitration clause to deal with a contingency where the Co-Arbitrators fail to appoint the third arbitrator, so as not to leave the dispute resolution process in the balance. They have retained with themselves the power to approach the ICSID and make a request for appointment of the third arbitrator in case of such a contingency. At the very first instance, when the Co-Arbitrators did not succeed in appointing the third arbitrator within thirty days of the appointment of Mr. Upasani, neither party exercised the option to approach the ICSID. If the parties had exercised such an option upon the contingency being triggered, certainly an argument could have been made that despite a request being made before the ICSID, the Co-Arbitrators have proceeded to appoint the third arbitrator and therefore the arbitral tribunal is improperly constituted. In the present case, however, the parties have not exercised the option to approach the ICSID and non-exercise of the contingency cannot make the initial part of the arbitration clause *otiose*. It certainly cannot be said that after the period of thirty days, the power of the Co-Arbitrators to appoint the third arbitrator was completely extinguished.
34. Much emphasis has been placed by the learned Senior Counsel Mr. Bhatnagar on the use of the word ‘shall’ in Clause 8.3(b) to argue that once the 30-day period from the date of appointment of the second arbitrator elapses, the only way to appoint the Presiding Arbitrator is through the Secretary General of ICSID. We are unable to agree with this submission since the word ‘shall’ has been used to enable the parties and the ICSID to proceed in the matter, upon a request being made by either party, upon the non-appointment of third, i.e. Presiding arbitrator, otherwise it will lead to procedural and

Supreme Court Reports

commercial absurdity. By using 'shall' in the clause, the responsibility has been cast on the Secretary General of the ICSID to appoint the third Arbitrator only upon a request made by either of the parties. It provides a mandate that the President of the ICSID shall mandatorily appoint the third arbitrator and this mandate is based on the condition precedent, i.e., a request being made by either of the parties. It is nobody's case that a request has been made by either party before the ICSID after 30 days and prior to appointment of the Presiding Arbitrator by the Co-Arbitrators. The enabling clause is permissive and only attracts when the condition precedent of making a request before the ICSID is satisfied. The parties have, in their wisdom and in a specific circumstance, retained the power and liberty, to make a request before the ICSID, which shall appoint the third arbitrator. The clause cannot, therefore, be read to be restrictive in nature as contended by the Appellant, however, this Court is inclined to reject this argument in line of the decision of the Arbitral Tribunal.

35. Another important factor is that once the arbitrators were appointed by the respective parties, which initiated the arbitration by sending a notice, it cannot be said that the arbitrators have to indefinitely wait for the parties to apply before the ICSID in order to appoint the Presiding Arbitrator and for the arbitration to proceed. If such an interpretation is made, it will lead to commercial irrationality, since until the parties approach the ICSID, the two arbitrators would be left in a state of limbo. This could not have been the intent of the parties within the framework of party autonomy and from the conduct of the parties, which will be discussed in the subsequent part of this judgement, the parties never interpreted the contract in such a manner. In view of the aforesaid discussion, it cannot be said that the parties would want their contract to become unworkable and for the dispute resolution clause to work in such a manner that the arbitrators appointed by the parties after invocation of arbitration would wait indefinitely for either of the parties to approach the ICSID seeking appointment of the third arbitrator.
36. Of course, while saying so we are cognizant of the sacrosanct principle of party autonomy and the fact that Courts cannot substitute the commercial wisdom of parties as is borne out from the plain meaning of the words used in the contract. However, Clause 8.3(b) has been rightly interpreted by the learned Arbitral Tribunal in the Section 16 order and the matter has been dealt with in the right perspective

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

by the learned Single Judge in Section 34 and the learned Division Bench in the Section 37 appeal. The law in respect of the scope of interference permissible in proceedings arising out of a challenge to the arbitral award under Section 34 of the 1996 Act, is well settled. Generally, the scope of interference is quite narrow. The arbitrator is the master of evidence and so also of interpretation of the terms of contract. If the arbitrator has reached at a certain view with respect to interpretation which is plausible, interference is not warranted merely because some other view may also be possible. This is a settled principle of law which has been recently reiterated in the decisions of this Court in ***Consolidated Construction Consortium Limited v. Software Technology Parks of India***¹ and ***SEPCO Electric Power Construction Corporation v. GMR Kamalanga Energy Ltd.***² The role of the Court, in the proceedings arising out of Section 34 of the 1996 Act, is clearly demarcated. The approach of the Court must be to respect arbitral autonomy and ensure minimum judicial interference.

37. As rightly observed by the learned Arbitral Tribunal in the Section 16 order as well as the High Court, this is not a case where the Arbitral Tribunal has been composed completely outside the scope of the agreement and a procedure alien to the agreement has been adopted to appoint the arbitrators. The difference in interpretation is merely as to whether the third arbitrator could only have been appointed by the Secretary General of ICSID or by the two arbitrators nominated by the parties. In any case, in the facts of this case, it cannot be said that the Arbitral Tribunal has been improperly constituted in derogation of the arbitration agreement, or that the interpretation of the arbitration clause as made by the Arbitral Tribunal has resulted in any patent illegality, which would warrant setting aside of the award. As such, the High Court has rightly decided not to interfere with the arbitral award under Section 34(2)(a)(v) or Section 34(2A) while rejecting the application to set aside the award.

Conduct, Acquiescence and Waiver

38. Even though we have found that the Arbitral Tribunal has reached the right conclusion with respect to interpretation of the arbitration

1 2025 INSC 574.

2 2025 INSC 1171.

Supreme Court Reports

clause as contained in the Agreement and that the appointment of the third arbitrator is in line with the arbitration clause, there is yet another aspect of the instant matter which we must address, since it forms a part of the reasoning of the Section 16 order. Even assuming that there is non-compliance of the arbitration agreement in appointing the third arbitrator, whether the MCGM has waived its right to object to the same due to its conduct?

39. Section 16 of the 1996 Act permits the arbitral tribunal to rule on its own jurisdiction. It is relevant and is therefore quoted as under:

“16. Competence of arbitral tribunal to rule on its jurisdiction.

(1) The arbitral tribunal may rule on its own jurisdiction, including ruling on any objections with respect to the existence or validity of the arbitration agreement, and for that purpose, —

(a) an arbitration clause which forms part of a contract shall be treated as an agreement independent of the other terms of the contract; and

(b) a decision by the arbitral tribunal that the contract is null and void shall not entail ipso jure the invalidity of the arbitration clause.

(2) A plea that the arbitral tribunal does not have jurisdiction shall be raised not later than the submission of the statement of defence; however, a party shall not be precluded from raising such a plea merely because that he has appointed, or participated in the appointment of, an arbitrator.

(3) A plea that the arbitral tribunal is exceeding the scope of its authority shall be raised as soon as the matter alleged to be beyond the scope of its authority is raised during the arbitral proceedings.

(4) The arbitral tribunal may, in either of the cases referred to in sub-section (2) or sub-section (3), admit a later plea if it considers the delay justified.

(5) The arbitral tribunal shall decide on a plea referred to in sub-section (2) or sub-section (3) and, where the arbitral

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

tribunal takes a decision rejecting the plea, continue with the arbitral proceedings and make an arbitral award.

(6) A party aggrieved by such an arbitral award may make an application for setting aside such an arbitral award in accordance with section 34.”

40. On the other hand, Section 4 of the 1996 Act deals with waiver of right to object. It provides as follows:

“4. Waiver of right to object. –

A party who knows that –

(a) any provision of this Part from which the parties may derogate, or

(b) any requirement under the arbitration agreement, has not been complied with and yet proceeds with the arbitration without stating his objection to such non-compliance without undue delay or, if a time limit is provided for stating that objection, within that period of time, shall be deemed to have waived his right to so object.”

41. It has been argued by the Respondent that even though a challenge to arbitrability was raised by the MCGM under Section 16 of the 1996 Act, at its core, it is a challenge to non-compliance of the requirements under the arbitration agreement with regard to the procedure for appointment. In fact, the learned Arbitral Tribunal in its order has observed that the challenge by the MCGM is that the appointment of the Presiding Arbitrator is a ‘nullity’ and as such, the Arbitral Tribunal lacks jurisdiction. In this context, it is to be examined whether MCGM has waived its right to object to the appointment of the Presiding Arbitrator by the Co-Arbitrators appointed by the parties.
42. MCGM has claimed before us and also before the Tribunal and the High Court that once the period of thirty days had elapsed from the date of appointment of the second arbitrator, Mr. Upasani, the Co-Arbitrators were denuded of their power to appoint the Presiding Arbitrator and it was only the Secretary General of ICSID who could make such appointment. As discussed, such an interpretation of the

Supreme Court Reports

arbitral agreement cannot be countenanced. In any case, it is pertinent to refer to the conduct of MCGM to understand the aspect of waiver and acquiescence and its understanding of the arbitration clause.

43. On a perusal of the communication between the parties and the history of the present dispute, the authenticity whereof is not disputed by either party, it appears that Mr. Upasani was appointed by MCGM on 07.10.2005. Thereafter, in the meeting dated 04.11.2005, there was some discussion between the parties about pursuing conciliation/mediation which has been referenced in the letter dated 08.11.2005 by the Respondent to the MCGM, a copy whereof has been forwarded to the Co-Arbitrators, Justice Jhunjhunwala (Retd.) and Mr. Upasani. The relevant portion of the said letter was as follows:

“ ...

During the meeting we had with yourself on 04.11.2005 in your office the possibility of amicably settling the issue under dispute through a process of ‘non-binding conciliation’ or ‘mediation’ was discussed and positively received by yourself.

As we are keen to avoid litigation and we consider it appropriate to attempt to amicably resolve issues to the fullest extent possible. We, therefore, request you to confirm MCGM’s agreement to participate actively in such ‘non-binding conciliation’ or ‘mediation’ with us, having regard to a time limit of six months for (sic) resolution of the issues.

Upon receipt of MCGM’s confirmation of the above, we will request the arbitrators to keep the proceedings in abeyance while such conciliation proceedings are continuing between us and MCGM.

In case the parties are unable to arrive at a mutual settlement on all the issues, those issues not amicably settled may be taken up by the Arbitrators in the arbitration proceedings. We, therefore, await your confirmation within 15 days of receipt of this letter, so that the Arbitrators could be appropriately informed. You are also requested to kindly initiate the conciliation proceedings.

...”

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

44. This letter was not replied to by the MCGM until 07.01.2006 when the MCGM wrote a letter addressed to the Respondent, relevant part whereof has been reproduced:

“ ...

Dear Sir,

Prejudice to our right, we have noted your intention to keep arbitration proceedings in abeyance & start conciliation proceedings. It is to inform further that contractors have initiated arbitration process in this case without taking efforts for resolving the issues of dispute, if any. Please note that MCGM's doors were always open and are open for reconciliation, if any.

... ”

45. It is relevant to note that at this stage, there was no objection raised by MCGM that the Co-Arbitrators, due to the operation of Clause 8.3(b), after the elapsing of 30 days period from the date of appointment of Mr. Upasani, had lost the power to appoint the Presiding Arbitrator and to proceed with the arbitration. It has also not been indicated that they had applied or that are intending to apply before the ICSID for appointment of the Presiding Arbitrator. The intent of the parties was clearly to pursue other alternative methods of dispute resolution such as mediation or conciliation and to amicably settle the disputes, prior to pursuing arbitration with respect to issues which remained unsettled.
46. It appears from the record that thereafter the parties did not, in fact, pursue mediation/conciliation and on 15.12.2006, the MCGM informed their nominee arbitrator, Mr. Upasani that there was no conciliation and that it was in fact the Respondent which was delaying the appointment of Arbitrator in order to ‘get a contract from MCGM’. In this letter, the MCGM has also alleged that the appointment of Arbitral Tribunal by the Respondent is of no effect, which was under examination by the MCGM. It is not explained why the appointment made by Respondent was of no effect. It is, however, acknowledged by the MCGM that the appointment of arbitrators had been delayed. Relevant portion of the letter dated 15.12.2006 has been quoted herein for reference:

Supreme Court Reports

“...

There was no conciliation as alleged under the letter dated 8th November 2005. It appears that the Claimant was delaying appointment of Arbitrators to get a contract from MCGM.

From the records, we feel that appointment of Arbitral Tribunal by Claimant is of no effect. However, MCGM will examine the case and report soon.”

47. On 08.01.2007, a letter was written by the Respondent to MCGM which was received by MCGM on 14.02.2007. The relevant portion of the said letter is reproduced below for reference:

“...

However, it now appears, based on MCGM's above referred letter that MCGM does not intend to attempt non-binding mediation & conciliation efforts to resolve the dispute amicably.

We are therefore left with no option but to continue with the arbitration proceedings and request the two arbitrators to proceed with the appointment of the third arbitrator in accordance with the contract.”

48. A copy of this letter was also marked to Justice Jhunjhunwala (Retd.) and Mr. Upasani. By means of the letter dated 08.01.2007, the Respondent made it clear to MCGM as well as the two learned Arbitrators that it is fully intent to proceed with arbitration and in fact, explicitly requested them to appoint the third arbitrator. This letter was also not replied to by the MCGM. The MCGM did not, at this stage, take a plea that due to elapse of 30 days, the Co-Arbitrators had lost discretion or competence to appoint the Presiding Arbitrator and therefore the Respondent could not have requested the Co-Arbitrators to appoint the third arbitrator. No objection with respect to non-compliance of the terms of the agreement was raised by the MCGM.
49. It was on 30.04.2007 that the Co-Arbitrators appointed Justice D.R. Dhanuka (Retd.) as the Presiding Arbitrator. If MCGM's argument is to be accepted, this would be the first instance of non-compliance of the agreement. If in fact it was under the impression that the Co-

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

Arbitrators had no power to appoint the Presiding Arbitrator, at first instance itself, it should have objected to the appointment of Justice D. R. Dhanuka (Retd.), which it admittedly did not do. Justice D.R. Dhanuka (Retd.), acting in the capacity of the Presiding Arbitrator then issued a notice dated 09.05.2007 to both parties for a preliminary meeting. At this stage, it was actually the Respondent which raised an objection to his appointment by means of their letter dated 28.05.2007, alleging non-compliance of Clause 8.6 of the Agreement, since the Presiding Arbitrator could not be of Indian origin.

50. Justice D.R. Dhanuka (Retd.) withdrew his acceptance to act as the Presiding Arbitrator on 28.06.2007 and thereafter, the Co-Arbitrators addressed the letter dated 17.09.2007 to both parties, posing a question as to whether the parties were still interested in the conduct of arbitral proceedings and to continue with the proceedings. Even though MCGM did not reply to this letter of the Co-Arbitrators, the Respondent replied to the Co-Arbitrators with a copy marked to the MCGM *vide* letter dated 29.09.2007, mentioning that they intend to continue the arbitration proceedings. The Respondent also mentioned that the Co-Arbitrators should proceed with the appointment of the third arbitrator and inform the parties. No reply was made by the MCGM to this letter either, it did not inform the Co-Arbitrators or the Respondent that since more than 30 days had elapsed, the appointment necessarily had to be made by the Secretary General, ICSID and could not be made by the Co-Arbitrators as its case now is. Relevant portion of the letter dated 29.09.2007 has been reproduced below for reference:

“...

In reference to your above letter, we confirm our intent to continue with the arbitration proceedings. We request your good selves to proceed with the appointment of the third arbitrator.

We await your subsequent communication confirming the appointment of the third arbitrator and commencement date for the proceedings.

...”

51. On 24.04.2008, the Co-Arbitrators appointed Mr. John Savage as the Presiding Arbitrator, who tendered his resignation on 11.08.2008.

Supreme Court Reports

Yet again, even to the appointment of Mr. John Savage, MCGM did not raise an objection or point out that the Co-Arbitrators had no power to appoint the third arbitrator.

52. After Mr. John Savage's resignation, the letter dated 21.10.2008 was addressed by the Co-Arbitrators to Mr. Anwarul Haque for appointment as the Presiding Arbitrator, who communicated his acceptance *vide* letter dated 29.10.2008. Mr. Justice Jhunjhunwala (Retd.) on behalf of the arbitral tribunal, addressed the letter dated 12.11.2008 to both parties, scheduling the preliminary meeting of the Arbitral Tribunal on 08.12.2008, which was further rescheduled to 09.12.2008 and then 09.01.2009. Even at that stage, there was no objection raised by MCGM to the appointment of the Presiding Arbitrator by the Co-Arbitrators.
53. The preliminary meeting of the Arbitral Tribunal was conducted on 09.01.2009. The minutes of the meeting reflect that the meeting was attended by representatives of both parties. The MCGM was represented through Mr. S.B. Sardar, AE (SO) P & C along with Mr. A.B. Mengole, AE (SO) P & C and Mr. R.H. Murya, SE (SO) P & C. The minutes of the preliminary meeting do not reflect any objection being raised by the MCGM to the constitution of the tribunal.
54. When things stood thus, as explained above, the MCGM raised their objection for the first time, addressing the letter dated 20.02.2009 to the Presiding Arbitrator, alleging that his appointment is a 'nullity' since the Co-Arbitrators had not succeeded in appointing the third arbitrator within 30 days and therefore had no power to appoint. Relevant portion of the letter dated 20.02.2009 has been reproduced below for reference:

"As per facts, the appointed Arbitrators Mr. S.P. Upasani and Mr. Justice S. M. Jhunjhunwala (Retd.) have not succeeded in appointing within 30 days after their appointment, i.e. they have ought to have appointed the third arbitrator on or about 07.11.2005. Since they have not appointed the third Arbitrator within 30 days, as per law, they have forfeited their right to appoint the third Arbitrator within 30 days.

Thus, as per clause 8(b), the third Arbitrator is required to be appointed by the Secretary General of International Center of Settlement of Investment Disputes Washington D.C.

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

The claimant Mr. R.V. Anderson Associates + PHE Consultants had not (illegible) under clause 8.3(b) to the Secretary General of International Center for Settlement of Investment (illegible) though after Arbitrator Mr. S.P. Upasani was appointed on 07.10.2005 and add 30 days period is over as 07.10.2005 i.e. as on 07.11.2005.

Thus you have no right to be an Arbitrator under the Arbitration Agreement under the Contract.

The MCGM request you to withdraw your self as Arbitrator since your appointment is not in consonance with Arbitration Agreement under this contract.”

55. Application under Section 16 of the 1996 Act was then filed by MCGM on 07.07.2009 prior to filing the Statement of Defence. The Respondent, in its reply to the letter dated 20.02.2009 as well as the application *inter alia* contended that the MCGM has not approached the Secretary General of the ICSID seeking appointment of the third arbitrator, and has not raised this objection at the earliest, therefore it may not raise this objection at this stage.
56. It is clear from the above factual conspectus that the MCGM did not raise any objection to the appointment of the third arbitrator by the Co-Arbitrators until after the preliminary meeting of the Arbitral Tribunal was conducted by Mr. Anwarul Haque, who happened to be the third person appointed as the Presiding Arbitrator by the Co-Arbitrators. It is nobody's case that the third arbitrator appointed by the parties was ineligible to be appointed as an arbitrator under Section 12 of the 1996 Act. In fact, it has been recorded in the Section 16 order that MCGM itself conceded that Section 12 and 13 have no applicability to the present case. Its challenge was limited to the aspect of improper constitution of tribunal due to non-compliance of terms of the arbitration agreement. What needs to be considered, therefore, is whether there was undue delay on the part of the MCGM in objecting to what it alleges to be non-compliance of the arbitration agreement, resulting in waiver of rights.
57. In this context, it has been submitted by the learned Senior Counsel appearing for the MCGM that as per Section 4, waiver may not attract in case an objection is made to non-compliance of terms of the agreement 'within the time limit provided' for raising such

Supreme Court Reports

objection. He contends that under Section 16(2) a plea that the arbitral tribunal does not have jurisdiction may be raised at any time prior to submission of statement of defence, which the MCGM has done in the present case. Also, as per the said provision, a party shall not be precluded from raising such a plea, merely because he has appointed, or participated in the appointment of, an arbitrator.

58. The facts of this case do not reveal a situation where the MCGM has, under protest, participated in the appointment of the third arbitrator. In fact, the third arbitrator was appointed by the Co-Arbitrators appointed by the parties. Be that as it may, it cannot be said that the challenge to jurisdiction of the Arbitral Tribunal under Section 16 was belated; it was rather filed at the appropriate stage, i.e., prior to filing of the statement of defence, which is as per the timeline as prescribed in Section 16(2) of the 1996 Act.
59. A co-ordinate bench of this Court, in the context of ineligibility of the arbitrator under Section 12 of the 1996 Act, in ***Hindustan Construction Co. Ltd. v. Bihar Rajya Pul Nirman Nigam Ltd.***,³ discussed the concept of waiver, acquiescence and estoppel under the 1996 Act. The relevant portion of the said judgement is quoted herein for reference:

“13.1. Waiver is a foundational principle of arbitration, rooted in party autonomy and fairness in conduct. Arbitration, being adversarial in nature, inevitably results in a winning and a losing side. The legislative rationale in codifying waiver is to ensure that parties do not secure a second bite at the cherry after an unfavourable outcome. Parties are not permitted to sleep over their rights. This statutory policy is in harmony with the scheme of minimal judicial intervention, where the grounds for interference with an arbitral award are narrow, and waiver operates as a significant bar to belated objections.

13.2. Though waiver, acquiescence, and estoppel are often discussed together in arbitral jurisprudence, they occupy distinct conceptual spaces. Waiver is the intentional relinquishment of a known right; acquiescence arises from passive acceptance or delay; and estoppel precludes a

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

party from resiling from a representation on which the other has relied. The Act, however, incorporates only the doctrine of waiver - presuming parties to be conscious of their conduct and its consequences. The Act elevates silence to waiver by importing an element of intent, thereby preventing parties from approbating and reprobating. A party who has actively participated or consented to continuation of the proceedings cannot later challenge the same process merely because the result is adverse. The legislative design thus discourages tactical objections and multiplicity of proceedings.”

60. Additionally, this Court in **Quippo Construction Equipment Ltd. v. Janardan Nirman (P) Ltd.**,⁴ has relied upon the judgement of this Court in **Narayan Prasad Lohia v. Nikunj Kumar Lohia**,⁵ where the Court held that in case a party is making a challenge to the composition of the arbitral tribunal, the challenge must be made within the timeline as prescribed under Section 16 of the 1996 Act, i.e., prior to filing of the statement of defence, otherwise the waiver under Section 4 shall attract. Relevant portion of the judgement in **Narayan Prasad Lohia** (Supra) is quoted herein for reference:

“16. It has been held by a Constitution Bench of this Court, in the case of Konkan Rly. Corpn. Ltd. v. Rani Construction (P) Ltd. [(2002) 2 SCC 388] that Section 16 enables the Arbitral Tribunal to rule on its own jurisdiction. It has been held that under Section 16 the Arbitral Tribunal can rule on any objection with respect to existence or validity of the arbitration agreement. It is held that the Arbitral Tribunal's authority under Section 16, is not confined to the width of its jurisdiction but goes also to the root of its jurisdiction. Not only this decision is binding on this Court, but we are in respectful agreement with the same. Thus it is no longer open to contend that, under Section 16, a party cannot challenge the composition of the Arbitral Tribunal before the Arbitral Tribunal itself. Such a challenge must be taken, under Section 16(2), not later than the submission of the

4 (2020) 18 SCC 277

5 (2002) 3 SCC 572.

Supreme Court Reports

statement of defence. Section 16(2) makes it clear that such a challenge can be taken even though the party may have participated in the appointment of the arbitrator and/or may have himself appointed the arbitrator. Needless to state a party would be free, if it so chooses, not to raise such a challenge. Thus a conjoint reading of Sections 10 and 16 shows that an objection to the composition of the Arbitral Tribunal is a matter which is derogable. It is derogable because a party is free not to object within the time prescribed in Section 16(2). If a party chooses not to so object there will be a deemed waiver under Section 4. Thus, we are unable to accept the submission that Section 10 is a non-derogable provision. In our view Section 10 has to be read along with Section 16 and is, therefore, a derogable provision."

61. From the above judgements, it is clear that statutory waiver under Section 4 of the 1996 Act would attract in case an objection under Section 16 challenging the composition of tribunal and lack of jurisdiction is not filed prior to the time-limit as prescribed under Section 16(2). In the present case, the application under Section 16 has been filed within the said time-limit. Therefore, it cannot be said that the MCGM is completely precluded from raising a challenge of this nature. As such, statutory waiver under Section 4 does not attract in the present case since a timely challenge to the jurisdiction of the Arbitral Tribunal has been made by the MCGM.
62. However, upon making such a challenge by a party, while adjudicating the application under Section 16 on merits by the Arbitral Tribunal, or examining its rejection at the stage of Section 34 followed by Section 37, the prior conduct of the party certainly becomes a relevant consideration to decipher its understanding of the contractual scheme. This is especially so, when the jurisdictional challenge due to improper composition of the Arbitral Tribunal is made on the ground of non-compliance of the arbitration clause. In such a case, the conduct of the party right from the stage of invocation of arbitration becomes a relevant consideration. While examining the alleged departure from the contractual scheme, acquiescence by the party in its conduct, its actions pursuant to the contractual terms and how it has understood and acted as per the terms of the contract, are all crucial aid in comprehending the contractual scheme.

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

63. In the facts of this case, beyond 30 days from the date of appointment of the second Arbitrator, i.e. 07.10.2005, the MCGM agreed to attempt mediation / conciliation by its letter dated 07.01.2006 and then informed the Co-Arbitrators about there being no mediation / conciliation by its letter dated 15.12.2006. MCGM passively sat idle while three different persons were appointed as the Presiding Arbitrator under Clause 8.3(b) of the Agreement by the Co-Arbitrators, without any demur. Even when the Co-Arbitrators in their communication marked to parties discussed about appointing the third arbitrator and the Respondent requested them to appoint the third arbitrator, there was no objection or demur from MCGM about the alleged non-compliance of the terms of the arbitration agreement. The MCGM, until they raised their objection after the first preliminary meeting of the Arbitral Tribunal, had never come up with a plea that after expiry of thirty days from the date of appointment of Mr. Upasani, the Co-Arbitrators had become *forum non conveniens* and therefore they had absolutely no power to appoint the third arbitrator. Even though we have found above that the interpretation by the Tribunal and High Court that the appointment of the third arbitrator by Secretary General, ICSID was not a requirement under the arbitration agreement, but rather an enabling clause triggered upon a request being made by either party before the ICSID, we find that if the conduct of the Appellant is examined, it is clear that the Appellant never interpreted the contract in the manner which they are suggesting now.
64. We have reached this conclusion in the peculiar facts and circumstances of this case, where it is apparent that merely filing the application under Section 16 could not regularize the conduct of the Respondent and its acquiescence to the power of appointment of the third arbitrator being exercised by the Co-Arbitrators not only once, but thrice. We are constrained to reach this conclusion, primarily because, Justice Dhanuka (Retd.) was appointed as the Presiding Arbitrator by the Co-Arbitrators on 30.04.2007; even if MCGM's argument that the Co-Arbitrators had become *forum non conveniens*, is assumed to be corrected, this was the first time an objection to non-compliance of terms of the arbitration agreement should have been raised. Yet, it was only after the subsequent appointment of Mr. John Savage, his resignation and the later appointment of Mr. Anwarul Haque and the preliminary meeting of the Tribunal in the year 2009 that the objection to composition of the Arbitral Tribunal was made for the first time.

Supreme Court Reports

65. Neither party has approached the ICSID and triggered the enabling clause by fulfilling the condition precedent of making a request for appointment. Although there was extensive communication between the parties and the Co-Arbitrators, the MCGM did not point out from the very beginning that the Respondent must approach the ICSID. In such circumstances, the Appellant cannot now turn around and say, that was the only method for appointment.
66. In the present case, the MCGM was completely aware about the non-compliance of a contractual requirement under the arbitration agreement which it alleges. It proceeded with the arbitration process without any demur, agreed to keep the arbitration proceedings in abeyance to pursue other methods of dispute resolution (mediation / conciliation), and did not object to such non-compliance on three different occasions when such alleged non-compliance took place. In such a case, filing of an application under Section 16 of the 1996 Act cannot regularize or condone its conduct and such conduct is a relevant consideration to decipher its understanding of the contractual terms while deciding the Section 16 application on merits by the Tribunal even in the absence of statutory waiver under Section 4 being attracted.
67. We say so because the subsequent conduct of the parties serves as a powerful practical tool to understand their contractual intent. Reliance on a party's original understanding of obligations under a contract as well as their actions prevents a party from later on adopting a legalistic interpretation which supports their case in stark contradiction of how they actually operated on the ground. In the present case, even though the MCGM argues with vehemence that the Co-Arbitrators had no power to appoint the third arbitrator, the admitted case is that neither party triggered the contingency by approaching the ICSID. Additionally, the MCGM was put to notice by the Co-Arbitrators and the Respondent about the appointment of the third arbitrator, not only once, but on three different occasions. In response to communication where the Respondent has requested the Co-Arbitrators to appoint the third arbitrator, the MCGM has not taken a view that the Secretary General, ICSID is the only authority who could appoint the third arbitrator. The MCGM seems to have conveniently turned a blind eye to the communication which was marked to it and then at the stage prior to filing of the statement of

**Municipal Corporation of Greater Mumbai v.
M/s R.V. Anderson Associates Limited**

defence, for the first time, raised this issue which relates to alleged non-compliance of terms of the agreement in respect of appointment of arbitrators. In such a fact situation, no party can be permitted to take the dispute resolution process, the nominee arbitrators or the opposite party for a ride. A party cannot keep a 'jurisdictional ace' up their sleeve and then claim that filing of the jurisdictional challenge under Section 16 would go back in time and wipe out the past conduct and acquiescence of the party which would clearly evince how the contractual terms were viewed by the parties. If the same is permitted, it will erode the basic principles of alternative dispute resolution and ethos of arbitration.

68. In view of the above findings, the learned Single Judge in the Section 34 application and the Division Bench in the Section 37 appeal were completely justified to reject interference and refuse to set aside the arbitral award. In light of the evidence which goes to show the manner in which the contract was understood and acted upon by the parties, the view taken by the Arbitral Tribunal is certainly a plausible view and no reasonable ground is made out for setting aside the arbitral award under Section 34 of the 1996 Act. As such, we do not find any merit in these appeals, they are accordingly dismissed. In the facts, there shall be no order as to cost. All pending applications shall be treated as disposed of.

Result of the case: Appeals Dismissed.

[†]Headnotes prepared by: Ankit Gyan

Sanjay Kumar Sharma

v.

State of Bihar & Ors.

(Criminal Appeal No. 1304 of 2026)

11 March 2026

[Sanjay Kumar and K. Vinod Chandran,* JJ.]

Issue for Consideration

Issue arose whether the High Court was justified in acquitting the accused despite the alleged dying declarations, motive and testimony of witnesses relied upon by the prosecution to establish the prosecution case.

Headnotes[†]

Evidence Act, 1872 – s.32 – Dying declaration – Evidentiary value – Shanty in which the old couple were residing gutted in a fire, killing the old man immediately and his wife died two days later in a hospital – Prosecution case that the younger son and daughter-in-law of the couple, due to previous land disputes, torched the hut with the intention to murder the parents – Trial court convicted the accused, however, the High Court acquitted him – Correctness:

Held: In the totality of the circumstances as coming out from the evidence, the High Court perfectly correct in acquitting the accused – Unable to find that the dying declarations alleged to have been made to the witnesses are credible or even probable, especially considering the fact that the deceased is alleged to have made the statement immediately after sustaining grievous burn injuries – Investigation was a sham and was premeditated, throwing to the winds every tenet of criminal jurisprudence informed by due procedure – Prosecution, was a farce, parading witnesses whose testimonies fell flat – Investigation and prosecution premised on the motive alleged and nothing more – None of the incriminating circumstances including that of the motive, the complaints filed by the deceased against the accused, the various dying declarations

* Author

Sanjay Kumar Sharma v. State of Bihar & Ors.

and the medical evidence were put to the accused – Investigation carried out grossly deficient – Scene *mahazar* not drawn up, no forensic examination carried out at the scene of crime and no independent witnesses arrayed – Causation of fire not investigated, the presence of the accused in the vicinity of the crime scene not established – Delay in registration of FIR despite the information having been received at the police station earlier, and police personnel including the I.O having visited the scene of occurrence where number of villagers were present was a serious lapse – Delay caused and the manner in which the FIS recorded throws suspicion on the very conduct of the I.O – Dying declarations should have been recorded with more caution and when taken inside the hospital it should have ideally been recorded in the presence of a Doctor, whose certification also ought to have been obtained – Incriminating circumstances that come out in a trial are to be put to the accused in its entirety, solemn duty enjoined both on the Court and the Prosecutor equally, failing which the entire prosecution may fail for that sole reason – There are lapses in investigation, which could have been avoided. [Paras 26, 28, 31-33]

Evidence Act, 1872 – s.32 – Dying declaration – Evidentiary value – Important species of evidence – Explanation:

Held: Dying declaration is an important species of evidence capable of proving the crime proper and identifying the accused, an exception to hearsay having been provided by s.32 – Dying declaration, for reliance should inspire confidence in the Court as to its credibility – Court should be satisfied it is made by the deceased without any prompting or tutoring or coercion or is a mere figment of imagination, then conviction can be based solely on the dying declaration and there is no requirement of any corroboration – It can be reduced to writing or can be oral, as testified by reliable witnesses – It can be one or numerous and if more than one; exculpatory and inculpatory, it is for the Court to find out which is believable – It can be a lengthy one or a short one, so far as the crime is spoken of and identification of the perpetrator comes through – It can be a single narrative or in a question and answer form – It can either have a history of the rancour between the perpetrator and the victim or can be merely the brief statement of the incident – Capacity of the injured to make the statement, both physical and mental, need not be necessarily certified by a doctor

Supreme Court Reports

and would rest again on the satisfaction of the Court on an analysis of the testimony of the witnesses and the other evidence coming forth in trial – If the Court is satisfied of the fit state of mind of the injured from the evidence on record, contrary medical opinion or absence of it will be inconsequential – It can be made before Magistrate; Executive or Judicial, Doctor, Police Officer, relative or third party whose presence is not doubtful – Desire of the declarant to live, through the truth despite fear of imminent death cannot be easily brushed aside – If the statement is doubtful then one or more of the above aspects could result in dying declaration being eschewed completely; based on the facts of each case. [Para 13]

Case Law Cited

Laxman v. State of Maharashtra [2002] Supp. 1 SCR 697 : (2002) 6 SCC 710; *Sher Singh and Another v. State of Punjab* [2008] 2 SCR 959 : (2008) 4 SCC 265; *Atbir v. Government of NCT of Delhi* [2010] 9 SCR 993 : (2010) 9 SCC 1; *Bhajju @ Karan Singh v. State of Madhya Pradesh* [2012] 5 SCR 37 : (2012) 4 SCC 327; *Ashabai v. State of Maharashtra* [2013] 1 SCR 115 : (2013) 2 SCC 224; *Satish Chandra v. State of M.P.* [2014] 6 SCR 23 : (2014) 6 SCC 723; *Amol Singh v. State of M.P.* [2008] 8 SCR 956 : (2008) 5 SCC 468; *Lakhan v. State of M.P.* [2010] 9 SCR 705 : (2010) 8 SCC 514; *Sarwan Singh v. State of Punjab* [1957] SCR 953 : AIR 1957 SC 637 – referred to.

List of Acts

Evidence Act, 1872; Code of Criminal Procedure, 1973.

List of Keywords

Investigation; Dying declarations; Conviction based solely on dying declaration; Exculpatory and inculpatory; Complete chain of circumstances; Memo of arrest; Sham investigation; Incriminating circumstances; Finding of guilt beyond all reasonable doubt.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1304 of 2026

From the Judgment and Order dated 13.08.2024 of the High Court of Judicature at Patna in CRADB No. 1271 of 2017

Sanjay Kumar Sharma v. State of Bihar & Ors.**Appearances for Parties***Advs. for the Appellant(s):*

Smarhar Singh, Surjeet Singh, Rajesh Kumar, Ms. Shweta Kumari, Pankaj Prakash, Mohd Asim, Manoj Kumar, Yash Thakur.

Advs. for the Respondent(s):

Vipin Sanghi, Sr. Adv., Azmat Hayat Amanullah, Ms. Rebecca Mishra, Suraj Kundu, Ms. Vanshita Gupta, Ms. Ekta Kundu, Om Prakash, Vikas Singh Jangra, Samar Vijay Singh, Bhakti Vardhan Singh.

Judgment / Order of the Supreme Court**Judgment****K. Vinod Chandran, J.**

Leave granted.

2. Overzealous investigation is as fatal to prosecution as are the lethargic and the tardy. Framing a case on public perceptions and personal predilections ends up in a mess, often putting to peril an innocent and always letting free the perpetrator. Here, we have a case of gruesome death of a couple when their house was gutted in a fire, with the son and daughter-in-law accused of murder. The entire case is founded on motive; the ill-will the son harbored against the father for not having given him his due share in the ancestral property. The entire village was against the son and the mishap ended in an investigation where truth was sacrificed at the altar of perceived vengeance, ably assisted by the Investigating Officer's selective but careless pursuits, derailing the entire prosecution.
3. On the early hours of 23.11.2016, a shanty in which a lawyer and his wife were residing was gutted in a fire, killing the old man immediately and his wife after two days in a hospital at Patna. It was alleged that the younger son and daughter-in-law of the couple, due to previous enmity arising from land disputes, torched the hut with the intention to murder the parents. In defense, as is permissible, inconsistent stances were taken; of the neighbour, who was managing the properties of the deceased, and the elder son having colluded to murder the couple and an accidental fire, by reason of the cooking

Supreme Court Reports

gas cylinder bursting. The Trial Court convicted the accused, while the High Court acquitted him. We are faced with the divergent findings of the Trial Court and the High Court; that of the High Court by its order of acquittal having fortified the presumption of innocence available to the accused.

4. Sri Smarhar Singh, Advocate-on-Record, appearing for the petitioner, the elder son of the deceased, argued that the High Court has completely lost sight of the evidence in the case and entered an acquittal totally ignoring the dying declarations. In addition to the recorded dying declarations as coming out from the First Information Statement (FIS) and that recorded by PW8, a Block Development Officer (BDO), PWs 1 to 3, 5 and 6 also spoke of the statement made by one of the deceased pinning the dastardly act of setting ablaze the hut and murdering the parents on the accused. There was sufficient evidence to prove the motive, which together with the dying declarations ought to have persuaded the High Court to affirm the conviction ordered by the Trial Court. The Doctor who carried out the post-mortem spoke only of 60% burns and confirmed the mental status of the deceased, who spoke about the cause of her death and that of her husband. A number of decisions are placed before us to put forth the contention that a dying declaration can be solely relied on to enter a conviction. In the present case, there was sufficient corroboration from the medical evidence, the motive proved and the testimony of witnesses who reached the crime spot immediately afterwards. The High Court ought to have ensured that the parricide was not left unavenged, when egregiously the accused were acquitted without a proper appreciation of the evidence.
5. Sri Amanullah, learned Counsel appearing for the State sought to uphold the conviction of the Trial Court and reverse the order of acquittal especially pointing out the dastardly crime. The testimonies of the witnesses, the dying declaration and the motive proved ought to have convinced the High Court about the culpability of the accused is the contention.
6. Sri Vipin Sanghi, learned Senior Counsel for the accused pointed out the lapses in the investigation and the concerted effort to somehow punish the accused, by manufacturing evidence not only in the form of inconsistent dying declarations but also by way of interested testimony of the witnesses. There was a clear pick and choose employed in

Sanjay Kumar Sharma v. State of Bihar & Ors.

bringing witnesses to the trial, all interested and by their testimony validating the defense of a cooked-up prosecution story. The learned counsel for the accused also urged the laxity with which the Trial Court considered the matter. None of the incriminating circumstances were put to the accused under Section 313 of Code of Criminal Procedure, 1973¹ and the defense set up was given a complete go by. The Trial Court proceeded on merely surmises and conjectures without looking into the relevant aspects in the testimony of the witnesses, which would validate the defense of the accused, either of a motivated accusation having been levelled or an accidental fire having occurred, the defense being entitled to take different pleas.

7. In the context of the divergent findings and the peculiar circumstance of a son (A1) and daughter-in-law (A2) being accused of murdering A1's parents we have examined the records and the evidence with a hawk's eye. Since the learned counsel for the appellant had relied primarily on the dying declarations, with reference to various decisions we will have to first look at the decisions placed before us. **Laxman v. State of Maharashtra**² was a Constitution Bench decision examining a reference based on two conflicting decisions. The conflict was insofar as the certification of the doctor regarding the condition of the patient who makes the dying declaration. While one of the decisions held that the certification should be to the effect that the person making that declaration is in a fit state of mind, another coordinate Bench held that if the materials on record indicate the deceased to be fully conscious, the declaration made immediately prior to death cannot be ignored, merely for reason of the absence of a certification by a doctor that the deceased was in a fit state of mind to make such a declaration. The Constitution Bench without relying on the moral premise that '*no man would like to meet his maker with a lie in his mouth*', based itself on more practical grounds. Their Lordships relied on the juristic theory of such declaration being made in extremity, at the time of imminent death, when every hope in life is gone, every motive to falsehood is silenced and the only inducement is the desire to speak truth. However, it was observed that great caution has to be exercised in considering the weight to be given to this species of evidence

1 For brevity, 'the Cr.P.C.'

2 (2002) 6 SCC 710

Supreme Court Reports

on account of existence of many circumstances which may affect the truthfulness and correctness of a statement made, the author of which cannot be cross-examined. There is always the possibility of tutoring or prompting or a product of imagination, which the Court should be satisfied, does not exist. The Court also should be satisfied as to the situation the injured is placed in to take stock of the incident and identify the assailant as also the fitness of mind & body to subsequently speak about it. Normally, Courts look for medical evidence to assess the mental condition of the deceased while making a dying declaration, but it is not a rigid rule. Where, from the attendant circumstances, as spoken of by the witnesses and brought out by valid evidence if the Court is able to satisfy itself that the declaration was made in a fit and conscious state, then a contrary medical opinion cannot prevail and even its total absence would be inconsequential. The declaration made by a three Judge Bench that in the absence of medical certification that the injured was in a fit state of mind, it would be risky to accept the subjective satisfaction of a Magistrate as to the state of mind was held to be too broadly stated and not the correct enunciation of law; deprecated as a hyper-technical view especially in that case where there was available, certification of the doctor to the effect that the patient was conscious, but without the injured being expressly stated to be in a fit state of mind.

8. The law as elaborated in the Constitution Bench decision would be sufficient to evaluate the dying declaration in the present case. However, on the insistence made by the appellant, who had lost both his parents in a fire, an alleged murder which the Trial Court found established and the High Court reversed on reasonable doubt expressed, we would look at the other decisions also.
9. ***Sher Singh and Another v. State of Punjab***³ was a case of bride-burning with multiple dying declarations, the first exonerating the accused, and then more, in one voice implicating them. The first dying declaration recorded by a police officer was in the presence of the mother-in-law, which was resiled from in the declaration recorded by the Executive Magistrate after two days. The earlier statement was stated to be due to a threat that she would not be taken to the

Sanjay Kumar Sharma v. State of Bihar & Ors.

hospital unless she spoke of an accidental fire. This was repeated in the subsequent oral dying declarations, to her uncle, and a Sub-Inspector which were believed by this Court.

10. ***Atbir v. Government of NCT of Delhi***⁴ was a murder by a lady and her son of the second wife and two children. The conviction was on the sole basis of the dying declaration made by the stepdaughter who was admitted to the hospital with grievous injuries in the nature of stab wounds. On an analysis of various decisions of this Court, the principles were encapsulated in paragraph 22 which reads as under:

“22. The analysis of the above decisions clearly shows that:

(i) Dying declaration can be the sole basis of conviction if it inspires the full confidence of the court.

(ii) The court should be satisfied that the deceased was in a fit state of mind at the time of making the statement and that it was not the result of tutoring, prompting or imagination.

(iii) Where the court is satisfied that the declaration is true and voluntary, it can base its conviction without any further corroboration.

(iv) It cannot be laid down as an absolute rule of law that the dying declaration cannot form the sole basis of conviction unless it is corroborated. The rule requiring corroboration is merely a rule of prudence.

(v) Where the dying declaration is suspicious, it should not be acted upon without corroborative evidence.

(vi) A dying declaration which suffers from infirmity such as the deceased was unconscious and could never make any statement cannot form the basis of conviction.

(vii) Merely because a dying declaration does not contain all the details as to the occurrence, it is not to be rejected.

(viii) Even if it is a brief statement, it is not to be discarded.

Supreme Court Reports

(ix) When the eyewitness affirms that the deceased was not in a fit and conscious state to make the dying declaration, medical opinion cannot prevail.

(x) If after careful scrutiny, the court is satisfied that it is true and free from any effort to induce the deceased to make a false statement and if it is coherent and consistent, there shall be no legal impediment to make it the basis of conviction, even if there is no corroboration.”

Therein the dying declaration, which was the FIS was recorded by an Inspector in the presence of a doctor and then registered as an FIR, signed also by the doctor certifying her fit mental state.

11. ***Bhajju @ Karan Singh v. State of Madhya Pradesh***⁵ was again concerned whether a death by burning in the marital house, was accidental or homicidal. After the dying declaration recorded by the Executive Magistrate within two hours of the incident, an affidavit was sworn to by the deceased exonerating the in-laws. Death having occurred a month after the incident, the first declaration was held truthful, which stood corroborated by PW2 and PW3 who took the deceased with 60% burns to the hospital. The dying declaration by the injured; burnt at only the lower part of the body was found to be reliable since it gave a cogent and possible scenario of the occurrence further corroborated by stab wounds.
12. ***Ashabai v. State of Maharashtra***⁶ dealt with four dying declarations which consistently spoke about the role played by the mother-in-law and the sister-in-law in torching the injured. The mere fact that in one of the statements, two others were implicated was found to be not sufficient to discard the role of the in-laws. ***Satish Chandra v. State of M.P.***⁷ dealt with a suicide in which the dying declaration was made as a continuous narrative. It was held that though this Court had found that statements in the form of question and answer would be more appropriate, a credible declaration should not be eschewed on the grounds of existence of more details or presence of family members, when there is no indication of tutoring by the

5 (2012) 4 SCC 327

6 (2013) 2 SCC 224

7 (2014) 6 SCC 723

Sanjay Kumar Sharma v. State of Bihar & Ors.

family. ***Amol Singh v. State of M.P.***⁸ and ***Lakhan v. State of M.P.***⁹ clarified that it is not the plurality of dying declarations that matter, but the reliability, which is the significant aspect. Any inconsistency would only compel the Court to examine it carefully, as to whether those are material or not.

13. From a conspectus of the above decisions, it is clear: That, a dying declaration is a very important species of evidence capable of proving the crime proper and identifying the accused, an exception to hearsay having been provided by Section 32 of the Indian Evidence Act. That, a dying declaration, for reliance should inspire confidence in the Court as to its credibility. That, the Court should be satisfied it is made by the deceased without any prompting or tutoring or coercion or is a mere figment of imagination. That, then conviction can be based solely on the dying declaration and there is no requirement of any corroboration. That, it can be reduced to writing or can be oral, as testified by reliable witnesses. That, it can be one or numerous and if more than one; exculpatory and inculpatory, it is for the Court to find out which is believable. That, it can be a lengthy one or a short one, so far as the crime is spoken of and identification of the perpetrator comes through. That, it can be a single narrative or in a question and answer form. That, it can either have a history of the rancour between the perpetrator and the victim or can be merely the brief statement of the incident. That, the capacity of the injured to make the statement, both physical and mental, need not be necessarily certified by a doctor and would rest again on the satisfaction of the Court on an analysis of the testimony of the various witnesses and the other evidence coming forth in trial. That, if the Court is satisfied of the fit state of mind of the injured from the evidence on record, a contrary medical opinion or an absence of it will be inconsequential. That, it can be made before a Magistrate; Executive or Judicial, a Doctor, a Police Officer, a relative or a third party whose presence is not doubtful. That, the desire of the declarant to live, through the truth despite fear of imminent death cannot be easily brushed aside. The decisions also caution us that if the statement is doubtful then one or more of the above aspects could result in the dying declaration being eschewed completely; based on the facts of each case.

8 (2008) 5 SCC 468

9 (2010) 8 SCC 514

Supreme Court Reports

14. As a corollary, it also has to be observed: That, if there is an iota of suspicion the Court has to look for corroboration. That, the medical certification as to the physical and mental state always aids in arriving at a satisfaction. That, in the wake of multiple grievous injuries or a higher percentage of burns, the declaration could be in question and answer form, lending more credence as actually spoken of by the injured as opposed to a long drawn out narrative, which could be mistaken as supplied by interested related parties. That, a dying declaration recorded by the Judicial Magistrate, adds credence since they are trained to record such declarations. That, as far as possible, the recording is to be done in the presence of the Doctor and definitely not in the presence of numerous bystanders; which could lead to a defence being raised of prompting and tutoring. That, the veracity of the declaration has to come forth from the attendant circumstances as brought out in evidence.
15. We cannot but notice that in the present case, there is a plethora of dying declarations which we will examine one by one. There are two dying declarations reduced to writing and quite a few oral ones, testified by the witnesses, the written ones being examined first. The FIS itself is by the victim recorded by PW7, PSI of the jurisdictional Police Station, in the presence of PW1, the witness who came to the crime scene on hearing a shout and saw the villagers trying to put out the fire. The evidence of PW7 indicates that he was informed of the fire in the village Mahadeopur by the SHO of Banmankhi Police Station. PW7 immediately rushed to the crime scene with the SHO and a Sub-Inspector and found the house of the deceased completely gutted. The body of Sarangdhar Singh was found burnt and his wife, Kamala Devi, as informed by the villagers, was taken to the hospital for treatment.
16. Neither is evidence led of a diary entry made in the police station, of the phone call to the SHO nor is the SHO examined to speak on the phone call received. Strangely, despite the SHO, the Sub-Inspector and the PSI; PW7, having reached the scene there is no FIS recorded from any of the persons who were at the spot, including the witnesses paraded before Court, PW2, PW4 and PW5 who had not accompanied the injured lady to the hospital. PW1 is said to have taken the injured lady to the hospital along with his brother Nirmal, Nirdhan and Ajay Yadav. PW7 deposed that he went to the

Sanjay Kumar Sharma v. State of Bihar & Ors.

hospital, after carrying out the inquest of Sarangdhar Singh, where the FIS was recorded as the statement of the injured victim, Kamla Devi. The FIR narrates about the details of her family, the enmity with the younger son, and the crime, alleged on the younger son and the daughter-in-law at 1.30 am. PW7, Investigating Officer (I.O) took the thumb impression of PW1 and the deceased in the FIS.

17. Interestingly, the FIR was registered at 9.00 am on 23.11.2016 while the police party had been to the scene of occurrence where the villagers including the close relatives of the deceased were gathered, when the fire was raging. Even at the hospital where Kamala Devi was under treatment the villagers and relatives had gathered and there was no valid cause to record an FIS from the victim, who was grievously scorched. If it had to be done, then it was expedient that a medical certification was taken. The FIS has a long narrative of the history of the family dispute, highly improbable from a lady burned seriously. The FIS was admittedly recorded when the villagers and relatives of the deceased were standing around. These aspects considered in the given circumstances puts to peril the veracity of the FIS. Admittedly the deceased were inside the house and presumably sleeping, given the time of the incident. There is little possibility of the inmates of the house having seen the crime proper and the possibility is more that the villagers who gathered there could present a better picture, especially the woman whose shouts woke the neighbours. The attempt of the prosecution to give the FIS an elevated status of a dying declaration hence falls flat on that count too as it does not inspire confidence.
18. We then come to the statement recorded by the BDO, PW8 at 11.30 am on the same day at Sadar Hospital, Araria. There, the narration about the history/motive was far lesser but as earlier, the crime proper is said to have been perpetrated by the younger son who came along with his wife and two other unknown persons and set fire to the residential house. PW7, I.O in his testimony before Court, on questioning by the Court, stated that the dying declaration is in his handwriting and the BDO signed it. PW7 & PW8, the BDO, an Executive Magistrate spoke of the villagers and relatives of the injured being present when the statement was recorded and that PW8 read over the statement to the persons present. No invalidity *per se* comes forth from that, but it raises questions, with reference to the overall circumstances and the lurking suspicion of a false

Supreme Court Reports

accusation in the form of a declaration made by another person or through prompting. The BDO also spoke of having taken down the statement himself quite contrary to the statement of the IO. It was deposed that a doctor was taking care of the injured in which circumstance a certification could have been obtained about the fit state or at least the consciousness of the injured. Neither was such a medical certification taken nor does PW8 speak of the doctor having informed him about the physical and mental condition of the injured. The circumstances as coming out from the testimony of PW7 and PW8 persuade us to disbelieve the second dying declaration also for that too inspires no confidence.

19. Now, we come to the testimonies of the witnesses as to the incident itself. PW1 testified that he came out of his house on hearing the shouts of the wife of Vido Yadav, at his door steps and saw the house burning down. The husband had died and the wife, Kamla Devi was alive but *"burnt little"*. The dying declaration made by Kamla Devi to PW1 was that Soni, her daughter-in-law had poured hot water on her body and A1 having put their house on fire. PW2 testifies that he woke up on hearing Anmol Yadav's wife shout and on coming out of his house witnessed the burning down of the house. It was his deposition that Kamla Devi was inside the house and he along with PW1 and Ajay Kumar tore the window and took Kamla Devi out, not spoken of by PW1. PW2's deposition is that Kamla Devi told them that *"you people should immediately go and save Dadaji, Mukul and his wife will kill him"* (sic-as available from the translation from the records). PW1 and PW2 testified that they along with Ajay took Kamla Devi to the hospital in a tempo. PW3 spoke of coming out of the house when Munnar Yadav's daughter-in-law started shouting. His testimony was that *"the old lady said that Mukul and his wife set the house on fire"* (sic deposition of PW3).
20. PW4 came out of his house on hearing a commotion and tried to douse the fire. He spoke of many villagers having gathered at the scene. He also spoke of Kamla Devi having been burnt badly and found mumbling in a weak state. Contrary to his statement under Section 161, Cr. PC, he denied Kamla Devi having made a dying declaration. PW5 was the brother of Sarangdhar Singh, who spoke of Kamla Devi having come out after breaking the latch, with the help of the villagers. He also spoke of a dying declaration made by the injured, that Saurabh Kumar alias Mukul and his wife Soni burned

Sanjay Kumar Sharma v. State of Bihar & Ors.

herself and her husband. PW6, the elder son of the deceased also deposed that when he saw his mother at the hospital she made a statement about the culpability of his brother and sister-in-law. PW7, I.O however stated that no such statement was recorded from PW6 under Section 161, in his cross-examination.

21. We would not discard the oral dying declarations for reason of the inconsistency in narration. There cannot be any insistence that the exact words of the victim should come out from the witnesses. What has been narrated conveys the culpability, if it can be believed. That being said we cannot but notice that all the witnesses arrayed before the Trial Court spoke of the villagers having reached the spot before them. Three witnesses specifically spoke of the shouts of a lady having woken them up. They described the lady, differently, as Vido Yadav's wife, Anmol Yadav's wife and the daughter-in-law of Munnar Yadav, from which we can infer that there were at least two persons who saw the fire, before the witnesses paraded before Court. Even if it is assumed that the lady spoken of by the three witnesses was the very same person, she was the best witness who could have been examined with respect to the first indication of the crime. In fact, PW2 and PW3 specifically speak of that lady having been engaged in threshing paddy. There was every possibility of her having witnessed the fire breaking out and could have better explained the causation. The non examination of the crucial witness, spoken of by the witnesses who reached the place later, on hearing her shouts, is a very serious lacuna in prosecution.
22. In this context, we have to specifically notice the defence; that PW1, who was managing the properties of the deceased had an eye on it and he, in collusion with PW6 had connived to exclude A1 from his due share. PW5, the brother of the deceased husband also is alleged to have aligned with the other son to exclude A1 from his inheritance. PW1, PW5 & PW6, hence, according to the accused are interested witnesses. PW2 is the nephew of PW1 and PW3 is the brother of PW1 again disclosing an interest against the accused. PW4, the grandnephew of the deceased husband spoke only of having witnessed the fire and the death of his granduncle and denied the dying declaration, quite contrary to the version of the other witnesses. All the witnesses spoke of a motive of the accused which was the exclusion of due share in the properties of

Supreme Court Reports

the deceased. PW6, the other son of the deceased in answer to a question put by the Court categorically stated that he and his brother will have 50% share in the property and that he is willing to give the due share of the property to the accused, which he had obtained through a partition suit; thus demolishing the motive projected by the prosecution. In the totality of the circumstances, we are unable to find that the dying declarations alleged to have been made to the witnesses are credible or even probable, especially considering the fact that the deceased is alleged to have made the statement immediately after sustaining grievous burn injuries.

23. The postmortem report of the deceased husband indicates that he sustained 100% burns. The degree of the burn injuries suffered by the deceased wife is not mentioned in the report prepared by PW10, the doctor who carried out the postmortem. However, he stated that she had sustained 60% injuries, which is stated for the first time before Court and without the same being recorded in the report. Surprisingly, PW10 also stated, on a specific query made by the Court that looking at the postmortem report, the victim would have been in a fit state of mind to make the dying declaration. We are unable to find any credence to the said certification which a pathologist cannot discern by merely looking at the postmortem report. The burn injuries, pertinently are not confined to the lower body. The injuries *interalia* are stated to be:

“Epidermal to Dermo Epidermal burn injury over both lower thigh and lower limb upto ankle, both upper limb, back of chest, abdomen, part of pelvis, right side face and neck with line of redness, hyperemia and areas of hyper coagulated tissues and blister formation at place.”

The injuries thus were not confined to the lower body and even a medical expert examining the cadaver cannot come to the conclusion that, when alive the deceased was in a fit state of mind to give a dying declaration.

24. PW6 attempted to establish the enmity between his father and brother by production of Exhibit P4 to P10, complaints made by his deceased father and mother against his brother. Exhibit P4 to P9 which were partially burnt were said to have been obtained from the crime scene. It is pertinent here to notice that PW7, the I.O. did not think it fit to even draw up a scene *mahazar* of the crime

Sanjay Kumar Sharma v. State of Bihar & Ors.

scene. From the evidence, it is clear that the house was thatched and had bamboo doors, good tinder for fire. The witnesses had spoken of a gas connection in the house and the defence was also that the fire was caused when the gas cylinder burst. There was no investigation on that count and the I.O. did not even carry out a forensic examination of the site to find out the cause of fire, whether it was arson or accidental. In fact the I.O. in his evidence as PW7 stated that there were no half-burnt items found in the crime scene which he had visited four times. PW5, the brother of the deceased husband had also stated in response to the query made by Court that the entire goods of the house were burnt. It was stated that the police had made a list of the goods that were saved from burning and that the list was prepared in his presence. The witness also deposed that since the goods were burnt, the police had left them as such.

25. Exhibit P4 to P9, partially burnt complaints, according to PW6 were recovered from the crime scene which he did not think fit to handover to the I.O. The reliance placed by the trial court on the documents produced by PW6 cannot be accepted, for its genuineness being suspect and the same having been not produced before Court as required in a criminal trial, after drawing up a seizure mahazar, as recovered from the crime scene or even handed over by one of the witnesses and the same being made a part of the record of incriminating documents handed over to the accused.
26. In the totality of the circumstances as coming out from the evidence, we are convinced that the High Court was perfectly correct in acquitting the accused. Rather than providing a complete chain of circumstances, with the connecting links establishing the guilt of the accused and bringing forth no hypothesis other than the guilt of the accused, here the circumstances bring out a conscious effort to nail the accused with the crime of arson and pre-meditated murder. Except PW4, the other witnesses spoke of bitterness between the father and the son due to property disputes. PW6, the son of the deceased and the brother of A1 though spoke of the bitterness between his father and brother, in the same breath deposed that he was willing to give 50% share of the properties to his brother; in which event, there is no cause for enmity between the father and the son. The testimonies of the witnesses paraded before Court was that the entire village was against the conduct of the younger son of the

Supreme Court Reports

deceased. However, this was spoken of by the interested witnesses as alleged by the defence. PW1 was alleged to be interested in the properties of the deceased and PW1, PW2 and PW3 were closely related. PW5 is said to have aligned himself with PW6, the other son of the deceased. PW4, another close relative did not speak of enmity between the father and the son of such a gravity to motivate the son to kill his father.

27. Further, PW1 himself stated that the second accused and the children stayed at the house of the deceased for 20 days before the incident. It is also deposed that 17 days prior to the incident the police took the deceased husband and his son to the police station for counselling, not spoken of by the I.O who was a PSI in the jurisdictional Police Station. Pertinent is the fact that none of the witness spoke of the presence of the accused in the village at any time contemporaneous to the incident, especially when admittedly the accused along with their children were staying at a different location. The memo of arrest is not available in the records and the I.O makes a casual reference to the arrest having been made on the road going from Purnia to Banmankhi, near village Dhima. The accused were alleged to have resided in the house of one Lali @ Lalwa, two weeks back when they came to the village, who was not examined by the police or arrayed as a witness in the prosecution launched.
28. The entire village had gathered at the scene of occurrence and the witnesses paraded were not the persons who reached there first. The lady spoken of by PW1 to PW3 whose shouts woke them up, had not been examined. PW2, PW4 and PW5 also spoke of the deceased Kamla Devi having been removed to the hospital by PW1 along with one Nirdhan Yadav and Ajay Yadav, both of whom were not examined before Court. There was a concerted effort by the I.O not to bring any independent witnesses to the stand. The investigation, according to us was a sham and was pre-meditated, throwing to the winds every tenet of criminal jurisprudence informed by due procedure. The prosecution, hence, was a farce, parading witnesses whose testimonies fell flat. The investigation and the prosecution was premised on the motive alleged and nothing more.
29. We would also notice with some anguish the manner in which the trial court examined the accused under Section 313, Cr. PC. There were only four questions put to both the accused. Question No.1

Sanjay Kumar Sharma v. State of Bihar & Ors.

was with respect to the allegation that on 23.11.2006 at around 1:30 in the night, the accused together went to the house of the father of the first accused with common intention and killed them by putting the house to fire. The second question was about the allegation of the house of Sarangdhar Singh having been torched and the dying declaration made by Kamla Devi that the accused, together with two unknown persons put the house on fire and thus murdered Sarangdhar Singh. Question No.3 was with respect to the allegation that 15 days before the incident, the accused had gone to Mahadeopur village and stayed in the house of Lali @ Lalwa and that four days before the incident they went to their parents' house. Question No.4 was as to the defence. Both the accused replied in the negative to the first three questions and the first accused in defence stated that PW1, the one who managed his father's properties, his elder brother PW6 and his uncle PW5, were attempting to grab his property after excluding him from the same.

30. We cannot but notice that none of the incriminating circumstances including that of the motive, the complaints filed by the deceased against A1, the various dying declarations and the medical evidence were put to the accused. We had, in the very same context in Criminal Appeal No.860 of 2026, Sanjay Kumar & Anr. v. State of Bihar & Ors. dated 12.02.2026 (authored by one of us, Sanjay Kumar, J.) with respect to the scanty questioning under Section 313, Cr. PC without putting all the incriminating circumstances to the accused, held as under:-

“Needless to state, the afore stated casual examination of the accused falls woefully short of the required standard, as stipulated by law. This Court has emphasized this point, time and again. We may refer to the recent judgment of this Court on this point in “Ashok vs. State of Uttar Pradesh” (2025) 2 SCC 385. Therein, a 3-Judge Bench of this Court observed that it is the duty of the public prosecutor to assist the trial court in recording the statement of the accused under Section 313 of the Code; if the court omits to put any material circumstances brought on record against the accused, the public prosecutor must bring it to the notice of the court while the examination of the accused is being recorded; he must assist the court in framing the

Supreme Court Reports

questions to be put to the accused; and as it is the duty of the public prosecutor to ensure that those who are guilty of the commission of offence must be punished, it is also his duty to ensure that there are no infirmities in the conduct of the trial, which will cause prejudice to the accused.

We may also note the earlier decision of another 3-Judge Bench of this Court in “Shivaji Sahabrao Bobade vs. State of Maharashtra” (1973) 2 SCC 793 , wherein the in pari materia provision in the erstwhile Code was under consideration and it was observed that great care is expected of Sessions Judges, who try grave cases to collect every incriminating circumstance and put it to the accused even though at the end of the long trial, the judge may be a little fagged out.

In the light of the aforestated settled legal principle, we are of the opinion that incurable injustice was done to the appellants in the course of their examination under Sections 313 of the Code, as no specific questions were put to them apropos each piece of incriminating evidence adduced against them. The judgments of the trial court based on such inadequate examination of the accused, therefore, cannot be sustained.

In the cited case, we had remanded the matter and restored it to the files for resuming the trial from the stage of questioning under Section 313, Cr.P.C. However, in this case, we do not think such a measure is warranted, especially when the evidence falls short of the standard required in a criminal trial which is not a mere suspicion, a ‘maybe true’ but a ‘must be true’, evidently a long distance to travel, the whole of this distance being paved with legal, reliable and unimpeachable evidence resulting in a finding of guilt beyond all reasonable doubt, as held in **Sarwan Singh v. State of Punjab**¹⁰.

31. We have found that the investigation carried out is grossly deficient. The scene *mahazar* was not drawn up, no forensic examination was carried out at the scene of crime and no independent witnesses were arrayed. The causation of fire not investigated, the presence of the

Sanjay Kumar Sharma v. State of Bihar & Ors.

accused in the vicinity of the crime scene not established. The delay in registration of FIR despite the information having been received at the police station earlier, and the police personnel including the I.O. having visited the scene of occurrence where a number of villagers were present was a serious lapse. The delay caused and the manner in which the FIS was recorded in the present case throws suspicion on the very conduct of the I.O. The dying declarations should have been recorded with more caution and when taken inside the hospital it should have ideally been recorded in the presence of a Doctor, whose certification also ought to have been obtained. The incriminating circumstances that come out in a trial are to be put to the accused in its entirety, a solemn duty enjoined both on the Court and the Prosecutor equally, failing which the entire prosecution may fail for that sole reason. We reiterate these aspects only to point out the lapses in investigation, which could have been avoided, to provide some guidance at least in the future.

32. A couple, at the fag end of their lives were burnt to death and the cause, whether it's a homicide or accidental death, eludes civil society and throws a pall of suspicion on their own son and his family, who will always carry the yoke of dishonour. The son and daughter-in-law were accused of parricide and were convicted by the trial court, later acquitted by the High Court, which acquittal is now affirmed by us. The trauma of arrest, incarceration and trial will always scar the couple and more so their children who were left orphaned, during the time when their parents were imprisoned. We cannot but caution the investigators and the Courts to strive to do better and follow accepted practises and procedural rules to the hilt, when lives are lost or taken and there is a possibility of false accusations being made, putting to peril the reputations of the living.
33. The appeal is dismissed.
34. Pending applications, if any, shall stand disposed of.

Result of the case: Appeal dismissed.

**Subramani
v.
State of Karnataka**

(Criminal Appeal No. 2432 of 2010)

17 March 2026

[Pankaj Mithal* and S.V.N Bhatti, JJ.]

Issue for Consideration

Whether the appellant is guilty of the offences u/ss.302 and 498A of IPC and whether the sentence (two years of simple imprisonment along with fine of Rs.2,000/- and in default in payment of the same, with a further three months of simple imprisonment u/s.498A IPC and sentence of life imprisonment u/s.302 IPC) awarded to him is justified.

Headnotes[†]

Penal Code, 1860 – ss.302 and 498A – Allegation against appellant that he poured kerosene on his wife, lit a candle and threw it upon her – Victim died due to severe burn injuries – FIR registered u/ss.302 and 498A – The Trial Court acquitted appellant on the ground that the bathroom where the incident took place was very small where two persons could not have been accommodated – Trial Court also held that dying declaration of the victim was unreliable as deceased had received more than 80 to 90 percent burn injuries and as such she may not be in a mental state to depose or state anything – However, the High Court convicted the appellant – Correctness:

Held: It has come on record through evidence that the appellant used to beat and treat the deceased with cruelty – There were regular demands for money by him – PW-3, eldest daughter of appellant, an eye-witness, had clearly deposed that on the fateful night after a quarrel, appellant went out and brought kerosene, poured it on her mother and set her on fire – PW-4-Doctor, categorically stated that the death occurred due to septicaemia as a result of burn injuries sustained by victim – Another witness,

* Author

Subramani v. State of Karnataka

PW-10-Doctor, recorded in his statement that victim informed him about the incident and a noting to that effect was also made in case sheet – PW-11, another doctor witness, stated that in the morning of 21.07.2000, the patient was conscious and in a position to give the statement, he gave permission to the police to record her statement – The dying declaration of the deceased was recorded by the Head Constable as PW-15 – Considering the circumstances and the evidence of PW-3, PW4, PW-10 and PW-11, there is no reason to disbelieve the dying declaration – This apart, the police had recovered a matchbox, a kerosene tin and burnt cloth pieces from the site of the incident immediately – In view of the above clinching pieces of evidence, there is hardly any scope for the acquittal of the appellant – The Trial Court was not justified in acquitting the appellant – The opinion of the High Court is perfectly justified. [Paras 9, 10, 12-14, 18, 20-24]

List of Acts

Penal Code, 1860.

List of Keywords

Murder; Cruelty; Demand of money; Dying declaration; Burn injuries; Pieces of evidence; Motive to kill; Medical opinion; credible evidence.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 2432 of 2010

From the Judgment and Order dated 20.09.2010 of the High Court of Karnataka at Bengaluru in CRLA No. 1104 of 2004

Appearances for Parties

Advs. for the Appellant(s):

Shekhar G Devasa, Sr. Adv., Manish Tiwari, Mrs. Thashmitha Muthanna, Rakesh Kini, Shashi Bhushan Nagar, M/s. Devasa & Co.

Advs. for the Respondent(s):

Sanchit Garga, Kunal Rana, Shashwat Jaiswal, Ms. Aarohi Garg.

Supreme Court Reports**Judgment / Order of the Supreme Court****Judgment****Pankaj Mithal, J.**

1. The appellant - Subramani and the deceased Chennamma were husband and wife. They were married for seventeen years before the date of the incident. They had two daughters and two sons. The eldest daughter was aged about sixteen years at the relevant time. They had lived a happy married life for about three years. Thereafter, their relations became strained, and it is alleged that the appellant started ill-treating the deceased and kept on raising demands for money, which the father of the deceased fulfilled most of the time. The appellant had even started treating her with cruelty.
2. On the night of 20.07.2000, the appellant and the deceased as usual again picked up a quarrel. The appellant, in anger, went out and fetched some kerosene. The kerosene was poured on the deceased in a bathroom, the appellant lit a candle and threw it upon her, causing serious burn injuries. The appellant, after burning her, left the house. On the alarm raised by the deceased, the neighbours came and tried to save her. They doused the fire by pouring water. The deceased was taken to the Victoria Hospital by the neighbours and the mother of the appellant. She was admitted at around midnight and died after three days on 24.07.2000 in the hospital due to severe burn injuries received by her.
3. An FIR No. 194 of 2000 under Section 302 and Section 498A of the Indian Penal Code¹ was lodged by the father of the deceased on 24.07.2000 after she had died. The police inspector Shiva Murthy, upon investigation submitted a chargesheet against the appellant for committing offences punishable under Section 498A and 302 IPC.
4. The appellant was put to trial. The Trial Court acquitted him primarily on the ground that the bathroom where the incident took place was very small where two persons could not have been accommodated. The testimonies of the family witnesses were inconsistent and unreliable. The medical evidence suggested that deceased had

1 For short, 'IPC'

Subramani v. State of Karnataka

received more than 80 to 90 percent burn injuries and as such she may not be in a mental state to depose or state anything either to the doctor or the police. The dying declaration, if any, was therefore unreliable.

5. On an appeal by the State to the High Court, the Division Bench reversed the judgment and order of the Trial Court. The acquittal was set aside, and the appellant was convicted under both the above provisions. He was sentenced to two years of-simple imprisonment along with fine of Rs.2,000/- and in default in payment of the same, with a further three months of simple imprisonment under Section 498A. He was also convicted under Section 302 IPC for killing the deceased and was sentenced to life imprisonment and a fine of Rs.10,000/-, and in default, to undergo a further one month of simple imprisonment.
6. Aggrieved by the aforesaid conviction and sentence, the appellant preferred a Criminal Appeal under Section 379 of Cr.P.C which was admitted on 13.12.2010 after the delay in filing the same was condoned. Thus, the appeal is before us for consideration as to whether the appellant is guilty of the offences under Section 302 and 498A of IPC and whether the sentence awarded to him is justified.
7. We have heard Shri Shekhar G. Devasa, learned senior counsel for the appellant-Subramani and Shri Sanchit Garga, Advocate on record for the respondent-State of Karnataka.
8. Learned senior counsel for the appellant argued that the High Court was not justified in interfering with the order of acquittal passed by the Trial Court, more particularly when the acquittal had been recorded on cogent and valid reasons after considering every piece of the evidence on record. It was submitted that apart from the inconsistencies in the statements of the material witnesses, particularly PW-7 and PW-16, who categorically stated that the deceased was unconscious and not in a position to speak, there was no credible evidence to prove that the appellant had committed the offence as alleged. It was also submitted that the prosecution failed to prove any motive for homicidal death. It was inherently improbable that the offence could have been committed inside the small bathroom, and that no independent neighbour was examined to prove the commission of the offence. The alleged dying declaration was unreliable, as it was

Supreme Court Reports

unsupported by any medical certificate and stood contradicted by hospital documents, which record a history of self-inflicted burns. Furthermore, the deceased had admittedly received more than 80 to 90 percent burn injuries and was under heavy sedation. She was not in a position to make any statement. Therefore, the conviction based upon the alleged dying declaration of the deceased was wholly illegal.

9. There is no dispute as to the fact that the parties were married 17 years prior to the date of the incident and that there used to be frequent quarrels between them with regard to money. It has also come on record through evidence that the appellant used to beat and treat the deceased with cruelty. There were regular demands for money by him. The aforesaid facts and the evidence clearly establish that the appellant was not a satisfied man who suffered from frustration and as such had a motive to kill the deceased.
10. The testimony of PW-3, Niresha, the eldest daughter of the appellant and the deceased who was aged about 16 year is very crucial and material. She had clearly deposed that on the fateful night, she, her mother, sister and brothers were in their house. Her father came and questioned the mother that when he had sent her to her paternal home to get money, why she had sent her father to counsel and advise him. Thus, they picked up a quarrel and her father threatened her mother to wait and see what he was going to do. He went out and brought kerosene, poured it on her mother and set her on fire. This was done at around 11:00 p.m. in the night and thereafter, he ran away from the house. On the screams of her mother, the neighbours came and extinguished the fire. Her grandmother and one another person took her mother to the hospital in the burnt state. Her mother remained in the hospital for three days, undergoing treatment, and thereafter, she died.
11. The aforesaid witness PW-3 is an eyewitness. She has narrated the incident as was seen by her. There is no inconsistency in her statement and there is no reason to disbelieve her. There is no material on record to show as to why she would falsely depose against her father. Her evidence clinchingly proves that the appellant brought kerosene, poured it on her mother and lit the fire.
12. The other crucial witness in the case is PW-4, Dr. S. Rudramurthy who had conducted the post-mortem upon the deceased. He categorically

Subramani v. State of Karnataka

stated that the death occurred due to septicaemia as a result of burn injuries sustained by her. He proved the postmortem report 'Exhibit P-2' and his signatures on it. He further stated that the burn injuries were antemortem and were to the extent of 85 to 90 percent. He reported that septicaemia naturally occurs with such high burn injuries. He opined that the burn injuries received by the deceased were superficial in nature. He further opined that even if the deceased were given proper and best treatment, her chances of survival were minimal. Hence, the postmortem report and the statement of PW-4 as such establish that the deceased died of septicaemia as a result of 80-90% burn injuries which were superficial.

13. There is another witness named Dr. Gurumurthy, whose statement was recorded as PW-10. He was the doctor who had treated the deceased after she was admitted in the Victoria Hospital, Bangalore. He stated that he was the in-charge of burns ward of the hospital. The deceased was brought to the hospital on 20.07.2000 at around 11.15 p.m. with a history of burns. She was admitted in the hospital at 12:00 midnight. According to the deceased, as informed to him, her husband used to quarrel with her frequently. On 20.07.2000, he came home at around 11.00 p.m., assaulted her and then poured diesel over her, set her on fire and ran away. He stated that there is a note to the above effect in the case sheet as well. He had examined the deceased on 23.07.2000 and she made the said statement at around 12.30 p.m. on the same day. He even proved 'Exhibit P-11', the statement of the deceased and his signatures upon it. He further stated that the deceased was in hospital up to 24.07.2000 and expired at 9.35 a.m. on the said date.
14. One doctor named Dr. HC Ramanna, PW-11, also treated the deceased when she was admitted to the Victoria Hospital. He stated that on 20.07.2000 while he was working in the aforesaid hospital, a patient by name Chennamma was brought to the hospital in a burnt state. He had examined the patient and had noticed that she had 9 per cent burns on the face and neck, 18 per cent burns on the chest and abdomen, 9 per cent on the upper right and left limbs, 10 per cent on the lower right and left limbs and that the total burns received by her were to the extent of 80 per cent. The patient was conscious when he had examined her. She was admitted by him to the burns ward. On the morning of 21.07.2000 at about 02:45 am

Supreme Court Reports

(i.e. in the night itself), the police of S.R. Nagar came to the hospital and requested him to give permission to record the statement of the patient. Since the patient was conscious and in a position to give the statement, he gave permission to the police to record her statement. The statement was recorded as Exhibit P-12 and he had made an endorsement on it under his signatures that the patient was in a fit condition to give a statement. He even proved the endorsement and his signatures on Exhibit P-12. In his cross-examination, nothing material turned up except that he admitted that in the OPD slip, it is mentioned that she herself had poured kerosene and had set fire to herself, but he does not know who recorded the said statement on the OPD slip/case sheet (Exhibit P-11). He further admitted that though according to his examination the burns were to the extent of 80 per cent but he does not know why the burns were recorded to be 98 per cent. He denied the suggestion that the endorsement on Exhibit P-12 was made by him to support the prosecution under any pressure.

15. The aforesaid evidence of the two doctors who examined the deceased clearly proves that the deceased was admitted to the hospital as alleged on 20.07.2000 and that despite serious injuries, she was in a conscious state. The attending doctors have certified that she was in a fit position to make a statement and, therefore, permission was granted to the police to record her statement which is Exhibit P-12 which bear the endorsement and signature of the doctor. We see no reason to disbelieve the evidence of PW-4, PW-10 and PW-11.
16. The dying declaration of the deceased was recorded by the Head Constable working in the SR Nagar Police Station. His statement was recorded as PW-15. He categorically stated that he had remained posted in the aforesaid police station from 1997 to May, 2003 meaning thereby that he was posted at the aforesaid police station at the time the alleged incident took place and the deceased was taken and admitted to the hospital. He further stated that on the said date he was on night duty and at about 01:30 am, the Station House Officer having received information of the deceased being admitted in the hospital, had asked him to go and record her statement. He as such reached the hospital at 02:00 am and met the doctor of the burns ward of the hospital. He informed him that

Subramani v. State of Karnataka

he had come to record the statement of the deceased. The doctor after talking to the deceased for about two minutes informed him that the patient was in a position to give the statement. He permitted him to record the statement, whereupon he recorded her statement for about half an hour. The deceased put her thumb (LTI) on the statement recorded by him as she was not in a position to put her signatures. The statement was endorsed by the doctor who certified the condition of the deceased and signed the statement. He proved the statement Exhibit P-12, the endorsement and the certificate of the doctor and his signatures upon it.

17. The translated copy of the statement (Exhibit P-12) was not placed before us, though the original in vernacular language exists in the record. The same was proved by PW-15, as stated earlier. He stated that the deceased told him that she was married to the appellant and had lived happily with him for about 2-3 years but thereafter the appellant had started quarrelling with her demanding her to bring more money from her parents. He started treating her cruelly by abusing and beating her. On 20.07.2000, he quarrelled with her and forced her to get more money from her parents. In the night, he again picked up a quarrel with her and assaulted her. He then abused her and even threatened to kill her. He poured kerosene on her body and set her on fire. At that time her four children were sleeping in the house and on hearing her cries, they went to their grandmother's house and called her.
18. Considering the circumstances and the evidence of PW-3, PW-4, PW-10 and PW-11 coupled with the fact that there is no adverse material to doubt the above dying declaration or to suggest that it was not actually or properly recorded or that the deceased was not in a state to make such a statement, there is no reason to disbelieve the dying declaration.
19. The fact that the aforesaid PW-15 admitted that there was no nurse present at the hospital when he recorded the statement, is not enough to belie the above dying declaration. The same was recorded in the night at about 02:00-02:30 am with the permission of the doctor who has accepted having granted the permission on being satisfied that the deceased was in a fit state to make the statement. In the light of the above statements of the doctors and the police officer, the oral evidence of PW-7 and PW-16 that she was not conscious to

Supreme Court Reports

give any statement, is not reliable. The deceased, may have been momentarily in an unconscious state due to the effect of sedatives, however, by and large, as the burn injuries were superficial, though to great extent, she was conscious most of the time and was in a fit state of mind to get her dying declaration recorded.

20. This apart, the police had recovered a matchbox, a kerosene tin and burnt cloth pieces from the site of the incident immediately. The Recovery Memo was duly prepared in the form of Exhibit P-1. The said exhibit was proved by the PW-6, D. Rangaswamy, one of the neighbours who had visited the house of the deceased immediately on the occurrence of the incident. He has stated that the matchbox, kerosene tin and burnt cloths were lying at the scene, a *mahazar* was prepared on the spot and the aforesaid items were collected and seized by the police. He had signed the *mahazar* prepared by the police which is before him as Exhibit P-1 and bears his signatures. He denied the suggestion that he was making a false statement.
21. The fact of recovery of the kerosene tin, matchbox and burnt cloth pieces from the scene of the incident, the deposition of PW-3, the daughter of the appellant and the deceased that she had seen her father bringing kerosene tin, pouring it on her mother and putting her on fire, coupled with the dying declaration and the statements of the doctors PW-10, PW-11 who examined and treated the deceased and PW-4 who conducted the post-mortem, in unequivocal terms prove that the appellant alone is responsible for the commission of the aforesaid offences. He is the person who picked up quarrel with his deceased wife, poured kerosene and burnt her and that his wife died due to the burn injuries after consciously making a dying declaration and naming the appellant as the main culprit.
22. In view of the above clinching pieces of evidence, there is hardly any scope for the acquittal of the appellant.
23. The Trial Court was not justified in acquitting the appellant on slight discrepancies in the statements of some of the witnesses, particularly PW-7 and PW-16. PW-7 is a person who carried the deceased to the hospital and his statement is not very trustworthy. He has not deposed about her condition in the hospital. PW-16 is the police inspector who conducted the investigation. He might have deposed that the deceased was not in a conscious state of mind but that would

Subramani v. State of Karnataka

not override the statement of the doctors who treated the deceased, especially the one who was on duty and had permitted the police to record the statement of the deceased on being satisfied that she was in a fit condition to make a statement.

24. In view of the aforesaid facts and circumstances, we are of the opinion that the High Court is perfectly justified in the facts and circumstances of the case that the appellant is guilty of commission of offences both under Sections 498A and 302 IPC and has rightly been convicted and sentenced to the imprisonment awarded.
25. The appeal, as such, is devoid of merit and is dismissed. The appellant is on bail. He is directed to surrender forthwith to undergo the remaining part of the sentence.
26. Pending application(s), if any, stands disposed of.

Result of the case: Appeal dismissed.

[†]Headnotes prepared by: Ankit Gyan

Mohammad Kaleem
v.
State of Uttar Pradesh & Ors.

(Criminal Appeal No. 1430 of 2026)

17 March 2026

[Sanjay Karol* and Augustine George Masih, JJ.]

Issue for Consideration

Issue arose as regards the propriety of the exercise of power by the Trial Court u/s.319 Cr.PC and the justifiability of the *imprimatur* granted thereto by the Court below.

Headnotes[†]

Code of Criminal Procedure, 1973 – s.319 – Exercise of power under – Pre-trial scrutiny should not resemble a *mini trial* – Trial Court and High Court refused to allow the Appellant-complainant’s application to summon additional accused filed u/s.319 holding that the evidence of the complainant was inconsistent with the FIR and the documentary record, and that the statements of PW-6 and PW-7 were mutually contradictory and unreliable and thus, the evidence did not reach the standard required for summoning additional accused u/s.319 – Challenge to:

Held: Judgments of the Courts below set aside – Power u/s.319 is extraordinary and should be exercised sparingly – Court must assess whether the evidence on record, if unrebutted, reasonably indicates the involvement of the proposed accused – Court need not establish guilt or conduct a detailed credibility assessment at this stage – Pre-trial scrutiny should not resemble a *mini trial* – Trial Court misdirected itself in this regard – In evaluating minor contradictions between witness statements and plausibility issues such as whether the complainant could have avoided injury, Trial Court effectively applied a stricter standard than necessary – It applied higher than necessary standard by relying on the absence of jail records or highlighting minor discrepancies in hospital admission or FIR details – While these points raise valid questions about reliability, they cannot be gone into threadbare at this stage – Trial Court also erred in taking a fragmented approach while appreciating evidence – It treated each inconsistency in isolation rather than assessing the cumulative

* Author

Mohammad Kaleem v. State of Uttar Pradesh & Ors.

weight of all testimonies and circumstances – Similarly, reliance on documentary corroboration is not required; oral evidence alone, if credible, may suffice – The Court’s emphasis on the lack of jail records and the physical plausibility of witness accounts exceeded the threshold scrutiny expected at this stage – It overstepped the intended scope of pre-trial scrutiny, overemphasized minor inconsistencies, and did not fully consider the cumulative force of the evidence – The law consistently balances caution against undue summoning with the need to ensure that potentially implicated individuals are brought to trial when the record, taken as a whole, reasonably supports it – Further, the proposed additional accused persons were named as persons involved in the case by way of a larger conspiracy or otherwise, by PW-1, as noticed by the trial court itself and also PWs 6 & 7 – It is a separate matter that, as found by the Trial Court, there are inconsistencies in the overall testimonies of these witnesses but, that is a matter of trial and not within the Court’s scope at the time of considering an application u/s.319 CrPC – The testimony, on oath, by 3 witnesses, including the complainant is sufficient in the facts of this case to meet the strong and cogent evidence standard – The persons who are sought to be produced as additional accused to be produced as such, and proceeded with, in accordance with law – Penal Code, 1860 – ss.307, 302 and 120-B. [Paras 8-12]

Evidence – Assessment of, depending on the stage of proceedings and the nature of the relief prayed for:

Held: Courts generally assess evidence at three distinct levels, depending on the stage of proceedings and the nature of the relief prayed for – The lowest threshold, or *prima facie* standard, requires only a connection to proceed with formal charges – The middle threshold, which is often described as strong and cogent, applies when Courts consider summoning additional accused u/s.319 CrPC; the evidence must be reliable and reasonably persuasive, but proof beyond reasonable doubt is not required – The highest threshold demands proof beyond reasonable doubt, the standard necessary for conviction, where the Court must be fully satisfied of the guilt of the accused. [Para 6]

Case Law Cited

Hardeep Singh v. State of Punjab [2014] 2 SCR 1 : (2014) 3 SCC 92; *Neeraj Kumar v. State of UP* [2025] 12 SCR 295 : 2025 SCC OnLine SC 2639 – relied on.

Supreme Court Reports

List of Acts

Code of Criminal Procedure, 1973; Penal Code, 1860.

List of Keywords

Section 319, Code of Criminal Procedure, 1973; Summoning additional accused; Proposed additional accused; Additional accused; Pre-trial scrutiny not a *mini trial*; Proposed accused; Involvement of proposed accused.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1430 of 2026

From the Judgment and Order dated 27.03.2023 of the High Court of Judicature at Allahabad in CRLR No. 3720 of 2021.

With

Criminal Appeal No. 1431 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Raghavendra Mohan Bajaj, Ms. Garima Bajaj, Zeeshan Ahmed.

Advs. for the Respondent(s):

Vikas Bansal, Vishwa Pal Singh, Mukesh Kumar, Dr. Bharpur Singh, Adesh Gill, Ms. Munisha Anand, Arun Singh, Vikas Gothwal, Ms. Soniya Sharma, Y.P. Singh, Manzoor Ali Khan Kacho, Dhananjay Garg, Abhishek Garg, Dinesh Kumar Garg, Praveen Bajaj, R.P. Bansal.

Judgment / Order of the Supreme Court

Judgment

Sanjay Karol, J.

Leave Granted.

2. The Appellant herein is the complainant in the First Information Report¹ dated 22nd August 2017 registered at Police Station – Kotwali

¹ FIR

Mohammad Kaleem v. State of Uttar Pradesh & Ors.

Nagar, District Muzaffarnagar under Sections 307, 302 and 120-B, Indian Penal Code, 1860² and PW-1 in subsequent proceedings arising therefrom. He takes exception to the Trial Court³ and High Court⁴ both refusing to allow his application to summon additional accused preferred under Section 319 of the Code of Criminal Procedure.⁵

3. The case pertains to the alleged killing of one Ammar and the people who apparently, came together to make it happen. The FIR read thus:

“Sir, it is submitted that Gulshanawwar, Jamshed, Naushad, S/O Ishrat are top criminals of P.S Bhopa, who are lying in jail in connection with murder and other cases. Previously, they have shot at my brother Khalid @ Bhura and on the next day they have shot at my nephew Taslim have committed his murder. Mohammad Ammar S/o. Nurulla of our village was pleading in this case. Today, hearing was to be conducted in the court of S.C.J.M-3 on the application of my nephew. I was going to the court to plead in aforesaid case with Mohammad Ammar by scooter at around 10:30 A.M and after travelling some distance on reaching Aryapuri Galli from Ansari Road, Dilshad S/o Ishrat, Mumtaz S/o Azmat R/o Sikri, Abid S/o Nushrat R/o Rudkali accompanied by one more accomplice, who I will recognize by his face, came over there from behind by motorcycle and with an intention to kill, they have fired shots at Ammar. Ikbal S/o Sagir and I have witnessed this incident. We have immediately taken Ammar by rickshaw to the government Hospital, where the doctors have declared him brought dead. Rajendra S/o Rajpal, Mausam S/o. Asghar R/o Sikri are involved in this conspiracy, who have plotted conspiracy on the behest of Gulshanawwar, Jamshed, Naushad and have committed murder of Ammar...”

2 IPC

3 Additional Sessions Judge, Court No.1 ,Muzzaffarnagar in Sessions Trial 414 of 2018

4 High Court of Judicature at Allahabad in Criminal Revision No. · 1687 of 2020

5 CrPC

Supreme Court Reports

4. After completion of investigation, challan was presented against certain persons. In the list of witnesses presented by the two prosecution witnesses, who according to the complainant were necessary for the establishment of the case against the accused Dilshad and others, were not listed. An application was made to have the said people be examined as witnesses before the Trial Court which came to be rejected by Order dated 17th March 2021. The same was set aside by the High Court⁶ and the said witnesses namely Khalil and Tazeem were examined as PW-6 and PW-7 respectively. It appears that on the basis on his own statement under Section 161 CrPC and the testimony of PW-6 and PW-7, the complainant wished to have two additional persons, namely Rajendra and Mausam summoned as accused persons under the power granted to the Court under Section 319, CrPC.
5. The Trial Court disposed of the application by order dated 30th November 2011, rejecting the same. A perusal thereof reveals that people already standing trial before the Court filed objections to having the two above named persons as co-accused. The Court considered the said objections along with the evidence as led by PW-1, PW-6 and PW-7. The Court first noted that the allegation of conspiracy was based primarily on the statements of the complainant (PW-1) and the witnesses PW-6 Khalil and PW-7 Tazim. However, their accounts were materially inconsistent. While the complainant stated that Rajendra and Mausam had met three accused persons in jail, namely Gulshanawwar, Naushad and Jamshed, PW-6 stated that the meeting was with Gulshanawwar and Naushad who mentioned about a discussion with Jamshed. PW-7, on the other hand, stated that the meeting was only with Gulshanawwar. These inconsistencies created serious doubt regarding the alleged meeting and the existence of any conspiracy. The Court further observed that the witnesses did not specify any exact date or time of the alleged meeting and merely stated that it occurred about fifteen days before the incident. Ordinarily, the entry and exit of visitors in jail premises is recorded in official registers, yet the witnesses did not refer to any such record. This

6 Application U/S 482 No.- 9654 of 2021

Mohammad Kaleem v. State of Uttar Pradesh & Ors.

omission weakened the credibility of the claim that the meeting had in fact taken place. The investigation record also undermined the prosecution version. The case diary indicated that the accused Jamshed had earlier been transferred from the local jail to Saharanpur Jail and thereafter to Mirzapur Jail, following a quarrel among inmates. As a result, he was not present in the local jail at the relevant time. This circumstance cast further doubt on the allegation that Rajendra and Mausam had met him there shortly before the incident.

Still further, it was found the circumstances in which PW-6 and PW-7 allegedly overheard the conversation to be doubtful. According to their own statements, they heard the discussion while passing near the meeting place while returning home. However, their houses were situated between Rajwaha and the alleged meeting place, and there was no settlement beyond that point. In such circumstances the Court found it unlikely that they would have taken that route. The Court also noted that despite allegedly hearing about a plan to murder Ammar, the witnesses did not inform the deceased but reported the matter only to the complainant, who admittedly had prior enmity with the accused persons. The Court then examined the testimony of the complainant and found significant contradictions between his FIR and his statement before the Court. In the FIR he stated that four assailants arrived on two motorcycles and opened fire. During his testimony he introduced a new version stating that three additional persons had also arrived on another motorcycle. This fact had not been mentioned in the written report or in his earlier police statement. The allegation of a prior conspiracy was also absent from the FIR. Further inconsistencies were noted regarding the circumstances in which the injured Ammar was taken to the hospital. The complainant stated that he had taken the deceased to the hospital where he was declared dead. However, the general diary entry recorded that Ammar was brought to the hospital in an injured condition and died later, and that he had been brought there by a rickshaw puller named Farid Ahmad. These contradictions raised doubts about the reliability of the complainant's account. The Court also considered the physical circumstances of the incident. The complainant claimed that he was seated behind the deceased on a scooter when the assailants fired multiple shots. The post-

Supreme Court Reports

mortem report showed that the deceased sustained five gunshot injuries. Despite being in such close proximity during the attack, the complainant did not suffer any injury, even though he admitted that the accused persons had prior enmity with him. The Court regarded this circumstance as suspicious. The Court also found the alleged motive to be weak. The prosecution claimed that Ammar was targeted because he had been pleading strongly in another murder case involving the accused persons. However, the complainant admitted that Ammar was not a witness of fact in that case and had only been a witness for the seizure of blood-stained soil. The deceased had never testified against the accused persons. In fact, it was the complainant who had deposed against them.

In light of these factors, the Court held that the evidence of the complainant was inconsistent with the FIR and the documentary record, and that the statements of PW-6 and PW-7 were mutually contradictory and unreliable. The Court, therefore, concluded that the evidence did not reach the standard required for summoning additional accused under Section 319 CrPC and that no sufficient ground existed to summon Rajendra and Mausam to face trial.

6. We have heard the learned counsel for the parties and perused the case record. The central question is the propriety of the exercise of power by the Trial Court under Section 319 Cr.PC and the justifiability of the imprimatur granted thereto by the Court below. Before proceeding to the merits of the matter, it is important to understand the scales on which the question of propriety will be adjudged. Courts generally assess evidence at three distinct levels, depending on the stage of proceedings and the nature of the relief prayed for. The lowest threshold, or *prima facie* standard, requires only a connection to proceed with formal charges. The middle threshold, which is often described as *strong and cogent*, applies when Courts consider summoning additional accused under Section 319 CrPC; the evidence must be reliable and reasonably persuasive, but proof beyond reasonable doubt is not required. The highest threshold demands proof beyond reasonable doubt, the standard necessary for conviction, where the Court must be fully satisfied of the guilt of the accused. It is best illustrated through a hypothetical situation-

Mohammad Kaleem v. State of Uttar Pradesh & Ors.

At night, a high-end jewelry store is robbed. Police investigation seizes CCTV footage showing a masked person fleeing on a motorcycle, statements from two eyewitnesses, and phone records linking certain suspects to the vicinity of the store at the time of the incident.

At the first stage, the investigating officer submits a charge-sheet against Person 'A'. The Magistrate reviews the evidence, including the CCTV footage, witness statements, and other investigative material. Based on this, the Magistrate finds that there is sufficient ground to believe that 'A' may have committed the offence and frames charges. This stage requires evidence indicating involvement beyond mere suspicion, but it does not demand full proof or trial-level examination thereof.

During the trial of 'A', evidence emerges suggesting that Persons 'B' and 'C' may also have been involved in planning or executing the robbery. A witness reports seeing 'B' near the scene discussing the plan with 'A', while phone records and CCTV footage show interactions between 'A', 'B', and 'C'. The Court would examine whether this evidence is strong and cogent enough to summon 'B' and 'C' as additional accused under Section 319. Minor contradictions in witness accounts or timing are noted, but they do not automatically negate the overall reliability of the evidence. At this stage, the court is not determining guilt, only assessing whether a reasonable inference of involvement exists.

As the trial continues, forensic evidence reveals fingerprints of 'B' on the display case and DNA of 'C' on a glove left at the scene. Eyewitnesses place 'B' and 'C' at the time of the robbery, and phone messages show coordination among all the three. Cross-examination fails to provide credible alibis. Cumulative assessment of the evidence leaves no reasonable doubt regarding the participation of 'A', 'B', and 'C', and the Court can convict all three. This represents the highest threshold, where minor inconsistencies are immaterial because the totality of the evidence conclusively establishes guilt.

7. The standard of judicial review having been appreciated as above, we turn back to the instant facts. The discussion made by the Trial Court is reproduced below, since the emphasis is on contradictions,

Supreme Court Reports

apparently minor or even major, it is imperative, at the cost of brevity, to appreciate the consideration given thereto:

“It is also pertinent to mention here that application in question was presented on the basis of sufficiency of evidence as to plotting of conspiracy by proposed accused persons namely Rajendra and Mausam on the behest of accused persons already detained in the Jail namely Gulshanawwar, Jamshedvand Naushad on the basis of statements of PW- 6Khalil and PW- 7 Tazim recorded before the Court. In this case, this statement made by complainant Mohammad Kalim (PW- 1) before the Court during his examination-in-chief is important that, “15 days before this incident, Tazim and Khalil of my Village have told me that they have heard Rajendra and Mausam discussing with Dilshad, Mumtaz and Aabid that when they have gone to meet Gulshanawwar, Naushad, Jamshed in the Jail at that time they have sent the name back saying that Mohammad Ammar is pleading much in the case, so remove him from the way and they have also said that while taking our names tell them to do this act and they have also said that this act is to be committed only at Muzaffar Nagar since they will not find witnesses over there”.

In this way, as per the statement of PW- 1, above both witnesses PW- 6 and PW- 7 have stated about accused persons namely Dilshad, Mumtaz as named in F.I.R of Ex. A-1 making with 3: accused persons namely Gulshanawwar, Naushad and said in the Jail, who have given them message of committing murder of deceased Ammar and having discussion in this regard. It is evident that from among all 3 accused persons named in the F.I.R of Ex. A-1 namely Dilshad, Mumtaz and Aabid, the Police has only found accused Dilshad to be involved in this incident, whereas, no evidence was found against other 2 accused persons. In this situation, it is expedient to analyze the statements made by complainant (PW- 1) and PW- 6 and PW- 7 on aforesaid relevant point. In this

Mohammad Kaleem v. State of Uttar Pradesh & Ors.

regard, on the one hand complainant (PW- 1) has stated about above two proposed persons meeting above 3 accused persons in the Jail, whereas, PW- 6 Khalil Ahmad has stated in his examination -in -chief that Mausam and Rajendra were telling Mumtaz, Aabid, Dilshad that when we have gone to meet Gulshanawwar and Naushad in the Jail at that time they have said that they have had discussion with Jamshed that Ammar is pleading a lot. Go and tell Dilshad, Mumtaz and Aabid that Ammar Pradhan is to be killed at Muzaffar Nagar and not in Village Sikri, so that they may not find any evidence in Muzaffar Nagar. On aforesaid point, witness PW- 7 Tazim has stated in his examination-in-chief that Rajendra and Mausam have told that today we have gone to meet Gulshanawwar in the Jail. Gulshanawwar told us that Ammar Pradhan is pleading a lot in this case, he needs to be removed from the way and he has had discussion in this regard with Jamshed, Dilshad, Naushad and it was also decided that he was not to be killed in the Village, rather, in the town. In addition, above both witnesses PW- 6 and PW- 7 have also stated that after hearing aforesaid discussion they have come and narrated it over to their uncle Kalim on the same day. On the point of reaching at the so-called place of meeting, PW- 7 has stated that murder of Ammar Pradhan was committed on 22/8/2017. Nearly 15 days before this incident he has gone to know the wellbeing of mother-in-law of his uncle Bhura @ Khalid. She has sustained fractures in her hip bone. They were sitting over there and while he was sitting even Khalil has come. They have departed for their houses from there at around 7-7:15 p.m. Meeting place of Gulshanawwar was situated on the way and when they reached near to the meeting place at that time they have heard the name of Ammar Pradhan, on which they have stood over there near the jungle and at that time they have heard the fact as to discussion (conspiracy). Similarly, PW- 6 has also stated that murder of deceased Ammar was committed on 22/8/17. 15 days before aforesaid incident he has

Supreme Court Reports

gone to the house of his relative. The daughter of his sister-in law was married with Dilshad. Mother of Dilshad has sustained fractures. He has gone over there to know the well being of her. He has reached at the house of Dilshad at around 6-X: 30 a.m., where he has met with Tajim and he has stayed over there for around one hour and he also has had tea etc. Thereafter, Tazim and he have departed from there. In this way, it is evident from the statements of above 3 witnesses that on the one hand complainant PW- 1 states about meeting between the proposed persons and 3 accused persons detained in the Jail persons meeting only with 2 accused persons detained in the Jail namely Gulshanawwar and Naushad, who have stated to have had discussion with Jamshed, whereas, PW- 7 states about meeting only with one accused detained in the Jail named Gulshanawwar, who has given message to aforesaid both proposed persons. In addition, he also said that he has had discussion with all namely Jamshed, Dilshad and Naushad. It is pertinent to mention here that no exact date and time of so-called meeting by the proposed both persons with the persons detained in Jail is mentioned, rather, only this much was stated that aforesaid given to place nearly 15 days before the incident, whereas, entry and exit regarding any person in the Jail is maintained in the register, in respect of which, aforesaid witnesses are silent. It is evident that all 3 accused persons namely Gulshanawwar, Naushad and Jamshed concerning criminal conspiracy were detained in the Jail at the time of incident. Investigating Officer has arraigned while they were detained in the Jail and has recorded statements of above 3 accused persons U/s. 161 of Cr.P.C. with the prior permission of the Court and then only charges were invoked against them. In this regard, it would be appropriate to perused the evidences gathered by the investigating Officer, in respect of which, CD number 17 of the case diary is important, which was prepared by the investigating Officer on 18 / 9 / 2017, which bears seeking aforesaid permission of the Court for recording

Mohammad Kaleem v. State of Uttar Pradesh & Ors.

statement is mentioned and it is also evident here that after receiving permission from the Court, the investigating Officer has has paid visit to District Jail, Muzaffar Nagar to record the statements of accused persons namely Dilshad, Gulshanawwar and Naushad under judicial custody detained in the Jail and while sitting in the Office of Dy. Jailer, he has separately recorded statements of above accused persons. According to aforesaid statements, this fact has appeared 1n the statement of accused a mutual quarrel has broken out between the prisoners inside the Jail. In view of aforesaid quarrel, accused Jamshed was firstly sent to Saharanpur Jail and thereafter he was sent to Mirzapur Jail, that is, on the date of his statement, that is, on 18/ 9 / 20 17, accused Jamshed not being detained in local Jail was rather detained in Mirzapur Jail, and in this regard, Investigating Officer has referred to the fact in CD that accused persons were firstly sent to Saharanpur Jail and then to Mirzapur Jail nearly 1 year before statement was recorded, whereas, it has been alleged that meeting took place in the jail nearly 15 days before the incident took place on 22.8.2017, of which no exact date or time is mentioned and even the statement of complainant and other two witnesses on aforesaid point of meeting is not alike. PW -6 and PW- 7, both of them in their statements have stated about the meeting place of Gulshanawwar lying on the way while they were returning back to their houses, from where they were passing by naturally, but witness Gulshanawwar is slightly away from "Rajwahe". Their ancestral houses are situated in between Rajwahe and the place of meeting and after Rajwaha there is no settlement, i.e. when no settlement is present on that side then it is not natural for above both witnesses to go from that side. Besides this, it is pertinent to mention here that according to PW-6 and PW-7, after above both witnesses (PW- and PW-7) have received the message in the jail from accused persons namely Gulshanawwar, Naushad and Jamshed, first of all, they were expected to inform the deceased, but they have told this fact only

Supreme Court Reports

to the complainant Kalim, who is having enmity with the accused persons, whereas, PW-6 hailed from Seikh Community and brother of deceased named Haji Hafiz used to stay in Village Ummad, Sikri, but he has not informed him about it.

It is pertinent to mention here that complainant has claimed himself to be an eye-witness, on which basis he has named accused persons in the F.I.R, but evidences gathered during the course of investigation. In this situation, even the evidence of complainant (PW-1) is subject to scrutiny. In the F.I. R of Ex. P-1, complainant has stated about the deceased riding scooter and he himself was sitting as pillion and before reaching at the place of incident, three known and one unknown persons came over there by two motorcycles, who have fired shots at scooter rider Ammar. Thereafter, injured Ammar was taken by the complainant and one more witness Iqbal to the District Hospital, where he was declared dead, but while appearing before the Court as PW- 1, he has admitted that, "it is true that besides the accused persons named in the F.I.R, I have not mentioned the names of 3 persons coming by another motorcycle to the place of incident in my written report. It is true that for the 1st time I have stated before the Court about 3 unknown persons coming by 1 more motorcycle to the place of incident. I have not told aforesaid fact over to the SHO in my Police statement. persons had enmity with him and there were for accused persons who have fired shots at the place of incident and there were a total of 7 accused persons present at the place of incident. He has got recorded the names of a total of 4 accused persons in the report. He has not got mentioned the fact as to a total of 7 accused persons in the report. Above witness PW- 1 has further stated that at the time of murder of Ammar the accused persons namely Jamshed, Gulshanawwar and Naushad were detained in Jail. All 3 of them were detained in Jail in connection with murder case of Tasleem. In his report, he has not got this fact mentioned that, "15 days

Mohammad Kaleem v. State of Uttar Pradesh & Ors.

before this incident, Tazim and Khalil have told me that they have heard Rajendra, Mausam discussing with Dilshad, Mumtaz, Aabid that both of them have gone to meet Gulshanawwar, Naushad, Jamshed in the Jail, who have sent them while saying that Mohammad Ammar is pleading a lot in the cases, so remove him from the way and they have also said Nagar since he would not find witnesses over there".PW- 1 has admitted this fact that accused Jamshed was in Mirzapur Jail on the date of incident and he does not know that for how long Jamshed has been in the Jail before this incident.

Complainant has clearly mentioned in the F.I.R that they have brought Ammar by rickshaw to the Hospital, where the doctors have declared him as dead, that is, in the aforesaid report, complainant has mentioned that deceased was declared as dead as soon as they have reached Hospital, whereas, as PW- 1, though, he has denied from this fact that a rickshaw puller named Farid has taken the Ammar in dead condition to the Hospital and rickshaw puller has admitted him in dead condition in District Iqbal has not met with the Doctor in his presence and treatment of Ammar continued for around 30-45 minutes. This fact is mentioned in G D number 37 dated 22/08/2017 of P.S. Kotwali Nagar, Muzaffar Nagar available on record that ward boy Akash having appeared at Police Station from District Hospital Muzaffar Nagar has filed a memo that Mohammad Ammar was brought to the emergency ward in injured condition at 10:20 a.m. At 11:25 AM, he has died. Through Farid Ahmad son of Rashid Ahmad Laddawala Muzaffar Nagar, Mobile Phone No. 8869090310. In this way, on the point of time of death of deceased, there are clear and substantial Hospital, but he has definitely stated that Iqbal and he having lifted up Ammar have taken him to the doctors, but he did not meet with the Doctor, nor has Iqbal has not met with the Doctor in his presence and treatment of Ammar continued for around 30-45 minutes. This fact is mentioned in G D number 37 dated 22/08/2017 of P.S.

Supreme Court Reports

Kotwali Nagar, Muzaffar Nagar available on record that ward boy Akash having appeared at Police Station from District Hospital Muzaffar Nagar has filed a memo that Mohammad Ammar was brought to the emergency ward in injured condition at 10:20 a.m. At 11:25 AM, he has died. Through Farid Ahmad son of Rashid Ahmad Laddawala Muzaffar Nagar, Mobile Phone No. 8869090310. In this way, on the point of time of death of deceased, there are clear and substantial contradictions in the statement of complainant and facts mentioned in the report. It is evident from the statement of complainant (PW- 1) that he has admitted his enmity with the accused persons of this case. Above witness PW- 1 has clearly stated that Jamshed, Gulshanawwar and Naushad, all 3 of them were detained in Jail in connection with murder case of Tasleem and even in the aforesaid case shot was fired at him with an intention to kill him, but he has escaped by whisker and in this case he is eyewitness and accused persons having come from behind have prevented his way by motorcycle and suddenly fired at him with an intention to kill him. He has not sustained any firearm injury in the aforesaid incident, nor has she sustained any other injury, rather, he has escaped by whisker. He is eyewitness to the incident of half murder case (Section 307 of IPC) that has happened with his brother Bhura and he is also the informant. Shots were fired at him in the incident that has happened with Bhura with an intention to kill him, but he has escaped by whiskers and he has not sustained any injury. In all aforesaid 3 incidents, neither has he sustained any injury from truncheons-mistakes, nor has he sustained any firearm injury. It is expedient to mention here that complainant has stated to be riding as they pillion behind the deceased on the during the course of his statement that assailants have overtaken his scooter from among whom 4 of the assailants have started firing, in which incident it was the deceased who has sustained all the gunshot injury and complainant was riding as a pillion has not sustained any kind of

Mohammad Kaleem v. State of Uttar Pradesh & Ors.

injury, whereas, in the post-mortem report of deceased, 3 gunshot injuries were shown on the back, whereas, two gunshot injuries were shown in the front, which is clearly in contradiction to the facts mentioned in the aforesaid written report of complainant and his statement recorded on oath. In his F.I.R, the complainant has stated about 4 assailants coming to the place of incident by 2 Nos. of motorcycles, whereas, in his statements, he has also stated the presence of 3 other persons coming by one motorcycle and while aforesaid 4 assailants were firing shots and complainant has also stated Besides this, presence of another witness PW- 2 Iqbal was also stated and he was also stated to be an eyewitness, who along with the complainant has allegedly taken the deceased to Hospital, whereas, no such kind of documentary evidences available on record. Complainant has stated about above witness Iqbal to have reached at the site by motorcycle alongwith him, reason whereof as per the complainant is that complainant did not know how to ride motorcycle, for this reason he has brought him along and on this point, on page number 21 of his evidence, he has stated that he does not remember that whether he has got this fact mentioned in his report that Iqbal Sf o. Sagir Hasan was following him on motorcycle from behind or not. On seeing the report, this witness has stated that this fact is not mentioned in the report. It is pertinent to mention here that complainant has stated that the main objective of accused persons, who have been detained in Jail, was the deceased pleading in the case in which PW- 1 has also admitted in his evidence that in the aforesaid murder case of Tasleem, deceased Ammar was the witness for seizure of blood stained soil from the place of incident and in an incident that has happened earlier in which his brother Bhura has sustained firearm injury, Ammar was not a witness and deceased Ammar was also not a witness in the abduction case of his brother Tazim. In addition, he has further stated that deceased Ammar has never deposed against accused persons, rather, he has deposed. He does

Supreme Court Reports

not know that whether Ammar has presented affidavit while pleading against accused persons or not. It is evident from aforesaid the statement of PW- 1 that deceased Ammar was not a witness of fact in the murder case of Tasleem in which accused persons were detained in Jail, rather, he was just a witness for seizure of blood stained soil and deceased has never deposed against them, rather, it was the complainant who has deposed. It is the plaintiff who has admitted his enmity with the aforesaid 3 cases of attack, he has escaped by whisker and he has been eyewitnesses as well as informant in aforesaid entire cases. Even in the instant case, he has stated about riding on pillion behind deceased at the time of incident and 4 Nos. of assailants firing shots at the deceased, as a result of which 3 gunshot injuries were sustained on the back and 2 Nos. of gunshot injuries were sustained in front, but despite of it, complainant has not sustained any kind of injury, whereas, accused persons had enmity with the complainant. Under these circumstances, statement of complainant itself lies within the periphery of reasonable suspicion. In this way, evidence of complainant is in clear contradiction on substantial points from his F.I.R and evidences of PW- 6 and PW- 7 are mutually contradictory and are in contradiction with the evidences of the plaintiff on substantial points.”

8. The Trial Court’s reasoning in rejecting the Section 319 application, *prima facie* appears to be largely aligned with the principles laid down by this Court, such as the requirement that evidence must be strong and cogent rather than mere suspicion. Both **Hardeep Singh v. State of Punjab**⁷ and **Neeraj Kumar v. State of UP**⁸ emphasize that the power under Section 319 CrPC is extraordinary and should be exercised sparingly. The Court must assess whether the evidence on record, if unrebutted, reasonably indicates the involvement of the proposed accused.

7 (2014) 3 SCC 92

8 2025 SCC OnLine SC 2639

Mohammad Kaleem v. State of Uttar Pradesh & Ors.

9. At the same time, the Court has highlighted certain limits to the Trial Court's discretion at Section 319 CrPC. stage. **Hardeep Singh(supra)** clarified that the Court need not establish guilt or conduct a detailed credibility assessment at this stage, while **Neeraj Kumar (supra)** held that pre-trial scrutiny should not resemble a *mini trial*. The Trial Court, in this regard appears to have misdirected itself. In evaluating minor contradictions between witness statements and plausibility issues such as whether the complainant could have avoided injury, effectively applied a stricter standard than necessary.
10. Another instance is that higher than necessary standard being applied is reflected where the Court relied on the absence of jail records or highlighted minor discrepancies in hospital admission or FIR details. While these points raise valid questions about reliability, they are not points that can be gone into threadbare at this stage. Further, we find the Trial Court to have erred in taking a fragmented approach while appreciating evidence. The Trial Court treated each inconsistency in isolation rather than assessing the cumulative weight of all testimonies and circumstances. Similarly, reliance on documentary corroboration is not required; oral evidence alone, if credible, may suffice. The Court's emphasis on the lack of jail records and the physical plausibility of witness accounts could be seen as exceeding the threshold scrutiny expected at this stage. The Court overstepped the intended scope of pre-trial scrutiny, overemphasized minor inconsistencies, and did not fully consider the cumulative force of the evidence. The law consistently balances caution against undue summoning with the need to ensure that potentially implicated individuals are brought to trial when the record, taken as a whole, reasonably supports it.
11. Apart from the point of standard of review, it is also noticed that the proposed additional accused, namely Mumtaz and Aabid, have been named as persons involved in the case by way of a larger conspiracy or otherwise, by PW-1, as noticed by the trial court itself and also PWs 6 & 7. It is a separate matter that, as found by the Trial Court, there are inconsistencies in the overall testimonies of these witnesses but, that is a matter of trial and not within the Court's scope at the time of considering an application under section 319 CrPC. The testimony, on oath, by 3 witnesses, including the

Supreme Court Reports

complainant no less, in our view, is sufficient in the facts of this case to meet the strong and cogent evidence standard.

12. In view of the above discussion, the judgments of the Courts below with particulars as described in paragraph 1, stand set aside. The persons who sought to be produced as additional accused are ordered to be produced as such, and proceeded with, in accordance with law. These appeals are accordingly allowed. Let a copy of this order be sent to the Trial Court for necessary action, through the Registrar General, High Court of Judicature at Allahabad.

Pending applications, if any, shall stand closed.

Result of the case: Appeals allowed.

[†]Headnotes prepared by: Divya Pandey

